

# **Axis Bank Ltd. (AXISBANK)**

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## Call: Jul 2022

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Axis Bank's Q1 FY 23 Earnings Conference Call

July 25, 2022

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MR. AMIT TALGERI – CHIEF RISK OFFICER , AXIS BANK

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Moderator: Ladies and gentlemen, good day and welcome to Axis Bank Conference Call to discuss the Q1FY 23 Financial Results .

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As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.  
On behalf of Axis Bank , I once again welcome all the participants to the conference call. On the call , we have Mr. Amitabh Chaudhry - MD and CEO, and Mr. Puneet Sharma – CFO .

I now hand the conference over to Mr. Amitabh Chaudhary , MD and CEO. Thank you , and over to you, sir.

Amitabh Chaudhry : Thank you so much. Good evening and welcome everyone. Apart from me and Puneet we also have on the call Raj iv Anand – Deputy M.D , Amit Talgeri – Chief Risk Officer, members of the Bank 's Leadership Team -- Subrat Mohanty, Ravi Narayanan and Sumit Bali and Munish Sharda.

We continued to move forward with clarity and intent in a quarter where the external signals were mixed. The system credit growth picked up with double digit credit growth for last four months. Consumption has continued up, working capital demand is strong and together with refinance requirements are driving credit growth. However, higher than expected inflation rate and the global headwinds will mean further rate hikes and tightening of liquidity. There could be some moderation in the short -term. However, we do believe that the medium -term opportunity for Axis Bank is significant. We continue to grow faster and gain market share in our identified segments that provide better risk adjusted returns.

We remain focused on three core areas of execution to move forward on our GPS strategy.

- A. Deepening a performance driven culture
- B. Strengthening the core
- C. Building for the future

Let me now discuss each one of these in further detail:

- A. Performance driven culture

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First, we have lifted the growth trajectory and consistently gained market share: We have lifted the growth trajectory across various business segments and now have strong market position in multiple businesses.

- On deposits, we have gained over 100 bps market share in last 5 years to reach 4.7% as of Jun'22
- On advances, our incremental market share has been closer to ~ 9 to 10% over last 5 years and closing market share stood at 5.7% as of Jun'22
- In credit cards, we continue to be ranked 4th largest with over 17% incremental market share in the last six months and 12% market share on period-end basis
- In Merchant Acquiring Business, we are now the 2nd largest, up from rank 4 in March 2021
- Our Burgundy AUM has grown 3x in last 5 years and we are the 4th largest player in wealth management business
- On the payments side, we continue to have strong positioning with 16% market share in UPI and 15% in Mobile Banking

As discussed above, it is evident that our digital footprint is 3 to 4 times our market share in our traditional businesses. Similarly, on the Wholesale side, we are now 'transaction bank of choice' with market share gains in transaction-oriented flow businesses – We have doubled our foreign LC market share from 5% to over 10% in last three years. Our GST and RTGS market share continue to be strong at ~9% in Q1FY23. We have been the leading player in the DCM space over the last decade. On deposits, refer to slide

slides 17 – 21, our customer acquisition remains strong. In Q1, we added 2.2 million new customer accounts a growth of 22% YOY. The strong growth in our granular deposits continues with average CASA balances up 16% YOY. Our liabilities strategy driven through premiumization, granularization and deepening remains on track, reflected in average Savings Account balance growth of 16% YOY and 4% QOQ.

We continue to see improvement in the quality of our deposit franchise. We are leveraging our wide suite of product portfolio to offer customized solutions for specific markets. We have started seeing traction in our corporate salary acquisitions led by our One Axis approach and productivity lift across the channels.

- 100% plus YOY growth in new salary labels acquired in Q1.
- Our Ultima salary programme has seen significant adoption in our customer base.

On Current Account, we remain focused on driving value and relationship led core CA growth. Our strong positioning in the transaction flow businesses and our wide suite of Axis Bank

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transaction banking APIs have helped to drive acquisitions and balances growth. On a QAB basis, we grew Current Account balances by 15% YOY.

In term deposits, our growth has been higher than the industry and our cost of deposits remains extremely competitive. Our term deposits grew at 13% YOY on QAB basis. The growth in our non-retail term deposits was led by non-callable high value deposits that are LCR accretive.

Digital remains an important acquisition engine across deposit products. We sourced 26% of non-salary SA accounts and 55% of individual CA accounts digitally through VCIP. Further 68% of individual retail term deposits by volume and 46% by value were acquired through fully digital channels. Our credit cards acquisition in the quarter was up 4x YOY at about 1 million cards. We are the fastest growing card acquisition franchise.

In Q1, we witnessed strong momentum across our focused Retail and SME business segments that grew 25% YOY and 27% YOY, respectively. Overall loan book grew 14% YOY. We have built a well-diversified and high-quality SME book in the past 2 years. We have replicated the learnings from SME segment to similar businesses like Small Business Banking (SBB) on the Retail side and Mid Corporate (MC) book on the Corporate side. Mid Corporate book grew 54% YOY and 5% QOQ.

The SBB segment delivered strong growth of 74% YOY led by our innovative product offerings like Digital Business Loans, Merchant Cash Advance, small ticket Suvridha loans, new Account Aggregator product variants, along with our end-to-end Digital fulfilment capabilities. The combined portfolio of these three segments (i.e. Small Business Banking, SME and Mid-Corporate) grew 41% year-on-year and now

constitutes 19% of the loan book , up ~500 basis points in the last two years. Formalization of MSME lending and high contribution of MSME segment in India's GDP offer tremendous opportunity. We continue to invest in the MSME space , extending our distribution and service footprint across India. Within corporate segment we brought down the low yielding offshore trade book during the quarter and chose not to pursue low yielding deals in line with our focus , on driving profitable growth. Our government business performance remains strong. As we continue to add new mandates and gain market share , the government business has transitioned from being deposit centric to being more solution centric. We deliver and deploy holistic customer specific solutions for payments , collections and liquidity management across single and central nodal agencies. Over the last 18 months we have deepened our relationships across various government businesses, and signed MoUs with Indian Army , Indian Navy , Police and Forest Department among others . Within the private sector banking

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landscape, we have been a pioneer in government business offering , competitive products and solutions to the institutional and retail customer. The second point on our deepening a performance driven culture . We continue to focus on Improving Profitability Metrics . While Puneet will provide granular details let me highlight the key metrics.

- Net interest margins improved 11 bps QOQ and 14 bps YOY to 3.60% in Q1FY23.
- NII grew 21% YOY and 6% QOQ, Fee income was up 34% YOY with Retail fee up 43% YOY.
- Our core operating profit grew by 17% YOY. PAT was up 91% YOY.
- The combined Q1FY23 annualised PAT of our domestic subsidiaries stood at Rs 1,082 crores, up 10% YOY.
- The Bank's standalone RoE at 15.07% up 596 bps YOY

Third was around fostering a winning mindset . Our winning mindset is reflected in our strong business performance and multiple external recognitions we received during the quarter. As highlighted earlier, customer acquisitions remained strong. We opened 1.1 million new SA accounts in Q1FY23; up 50% YOY. The number of new current account opened were also up 68% YOY.

Led by innovative product offerings across all asset classes and our One Axis approach, the Bank won "Best Private Bank for Client Acquisition, Asia" at the 5th Annual Wealth Tech Awards. We continue to see traction in our cards segment with 33% YOY growth in number of outstanding cards. 31% of credit cards were acquired through Known to Bank partnerships across Flipkart, Google Pay, Freecharge, Airtel and others. The Bank won 'The Retail Banker's International Asia Trailblazer award' for Trailblazing Use of AI and Machine Learning in Financial Services space. We also won the Economic Times DataCon awards for Modern and Agile Data Architecture and Infrastructure. Maximus, our digital lending product grew over 50% YOY driven by introduction of new programs and new products with end-to-end digital PL and BL contributing over 50% to overall sourcing. The Bank's initiative on the digital lending project 'Maximus' was recognized at the Finnoviti Awards 2022.

B. Strengthening the Core .

Our strong balance sheet lends support to our aspirations. Our asset quality is now among the best-in-class with a net NPA of 0.64% , high provision coverage of 77%, and standard asset coverage of 1.7%.

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We continue to work towards building our next generation technology architecture , strengthening the organizational core and technological capabilities along with the focus on execution .

The impact of significant investments in digital banking, adopting cloud-first technology and analytics driven decision making, have helped us deliver a strong core operating performance. Our in-house engineering team has now delivered over 20 digital products, including Credit Card Servicing , BNPL, MCA , Bill Pay , and several other products. These products are all built in a cloud native, microservices based modular architecture and in an API oriented manner. Our dev-sec-ops framework including our CI-CD pipelines are now tested in multiple situations and have significantly enhanced our go to market speed and ability to be agile and customer centric.

We are seeing strong traction in Project Neo that is aimed at building a world class Digital Corporate Bank. We have built a best-in-class suite with 70+ corporate APIs live and many more under development that are capable of addressing complex use cases across trade, payments, collections, treasury and account information. We witnessed strong corporate interest with significant increase in digital payment transactions done by newly onboarded customers onto our corporate APIs in Q1.

#### C. Building for the future

Digital continues to see strong progress. The impact of this is now visible across the business segments. In Q1, we completed the rollout of our new Internet Banking and we launched our

new Mobile Banking app in pilot mode. Our app continues to see strong growth with MAU of 9.7 million this quarter.

We launched Account Aggregator based lending programs late last year. In this quarter disbursements through this program have grown by 250% compared to the last quarter. The Digital Merchant Cash Advance (MCA), our unique proposition wherein we were the 1st private sector Bank to offer an integrated Digital Current Account & Unsecured Term Loan proposition along with QR continues to see strong traction. The product which was launched in Dec 2021 in partnership with Freecharge helps small businesses to grow their businesses by providing loans upto Rs 5 lakh with a unique daily instalment repayment methodology. During the quarter, MCA delivered 2.7x and 2.2x QOQ growth in number of loans and number of CA accounts opened, respectively.

We continue to have bank-wide programs to build distinctiveness. We are making strong progress through our focus initiatives around 'Bharat Banking' and 'Customer Obsession'.

Bharat Banking continues to scale up strongly. The formalization of the economy via GST, evolution of the technology stack, efficient delivery of various government

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schemes in the Retail and MSME space, and growing internet penetration have provided strong tailwinds to the Bharat markets.

We have enhanced our distribution network significantly in rural regions, led by a strong partnership with CSC and India Post Payments Bank. During the quarter we added 12,000 VLEs to take our overall CSC VLE network to 52,450 that would act as extended arms for our 2065 Bharat branches. In Quarter 1, we also entered into partnership with Airtel Payments Bank to offer greater convenience and faster solutions to a vast customer base in the rural regions of the country.

We are also focused on developing strategic partnerships with agri-corporates and OEMs to scale up rural enterprises segment and capture entire rural value chain. The strategy is to embed banking in the digital ecosystem of clients, pursue co-lending opportunities for PSL and leverage the tax stacks and leverage the data to better underwrite customers. As a result of our focused approach, we achieved strong YOY growth in disbursements across all the major product segments and delivered 42% YOY growth in rural loan book.

We are progressing well on 'Sparsh' which is our customer experience transformation initiative. Several ground level interventions have been set in motion to drive distinctive customer delight for bank customers.

Our subsidiaries continue to create significant value. The 'One Axis' approach is now embodied across the Axis group and is reflected in robust performance of our subsidiaries. As I mentioned earlier, the total annualized PAT of our domestic subsidiaries in Q1FY23 was up 10% YOY.

Axis Finance continues to perform exceedingly well with its PAT up 59% YOY. Axis AMC reported 18% growth in overall quarterly AAUM with 20% growth in its PAT. Axis Capital and Axis Securities reported PAT of Rs 34 crores and Rs 39 crores, respectively.

On Citibank consumer business integration, we are awaiting CCI approvals, and we expect to close the transaction by fourth quarter of fiscal 2023. The Integration Management Office with a steering committee is in place with nominees from both sides. Within the constraints of applicable regulation, we are working on key work streams around people, technology and business operations.

In closing, this was another quarter of a strong and steady performance across multiple identified areas of focus. I have mentioned about the positive cultural change in the Bank and our coming together as a winning team. We remain optimistic on the growth opportunities in the Indian economy while keeping an eye out on the global headwinds.

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We believe that

the strong franchise we are building is well placed to deliver sustainable and profitable growth.

I will now request Puneet to take over.

Puneet Sharma : Good evening and thank you for joining us this evening. We continue to make meaningful progress on strengthening our core business performance and ensuring that our balance sheet is resilient across cycles. I will discuss the salient features of the financial performance of the bank for Q1FY23, focusing on our operating performance, capital and liquidity position, growth across our deposit franchise and loan book, asset quality restructuring and provisioning.

Our core operating performance in the current quarter is strong, with meaningful improvement in NIMs, growth in NII, core operating profit, benign credit costs and significant improvement in our ROA and ROE.

- NII for Q1 FY 23 stood at Rs. 9,384 crores, growing 21% YOY and 6% QOQ
- NIMs for Q1 FY 23 stood at 3.60%, growing 14 bps YOY and 11 bps QOQ.

We had clearly articulated the drivers for our NIM improvement journey over the next 8 to 10 quarters. The progress against the key drivers in the quarter is as follows:

- Improvement in Balance sheet mix to loans and investments from other assets. Loans and investments comprised 87% of total assets at June 22 as compared to 84% at March 22 and 84% at June 21;
- Within advances, INR denominated loans comprised 93% of total advances at June 22 as compared to 91% at March 22 and 89% at June 21;
- Within advances, the retail and CBG segment comprised 69% of total advances at June 22 as compared to 67% at March 22 and 63% at June 21; and
- Low-yielding RIDF bonds declined by Rs 5,816 crores YOY and Rs. 402 crores sequentially.

The Bank continues to improve the risk profile of its loan book. Our NII as a percentage to average risk weighted interest earning assets, stands at 7.26%, improving 30 bps YOY and 15 bps QOQ. Our fee income stood at Rs 3,576 crores, growing 34% YOY. 93% of the fee is granular. Total retail fee grew 43% YOY. Digital and mobile banking fees grew 121% YOY and 3% QOQ. Fees from retail cards and payments grew 62% YOY and 13% QOQ. Fees from third party distribution grew 27% YOY, Transaction banking, forex and trade related fees together grew 22% YOY.

Trading Loss for the quarter stood at Rs 667 crores for the quarter compared to a profit of Rs 231 crores in the previous quarter and profit of Rs 556 crores for same quarter

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last year. The MTM is largely in our corporate bond book. 79% of which is rated AA+ and above and 98% is rated A - and above. We do not expect an economic loss on this book. MTM on the book had an adverse impact on bank's standalone ROA and ROE for the quarter of 16 bps and 172 bps respectively.

Operating expenses for the quarter stood at Rs.6,496 crores, growing 32% YOY and declining sequentially by 1%. The YOY increase in rupee crore expenses can be attributed to the following reasons: (i) 40% linked to volume; (ii) 14% growth investments (iii) 11% technology and digital; (iv) 6% attributable to collections expenses, (v) 5% statutory costs, (vi) one time is 5%, (vii) balance 20% to BAU.

Expenses sequentially declined by Rs 80 crores or 1%. This is attributable to (i) reduction by Rs. 103 crores due to one-time items reported in the previous quarter (ii) Rs. 372 crores is due to lower collection expenses, lower volumes and operating efficiency offset by an increase of Rs. 395 crores in growth, technology, statutory costs and manpower expenses due to annual increments and ESOP costs.

Technology and digital spends grew 42% YOY and constituted ~9% of total operating expenses. Staff costs increased by 18% YOY and 16% QOQ. We have added over 6,150 people from the same period last year mainly to our growth businesses and technology teams. We have continued to maintain the social security code provisions. The cumulative

relative social security provision in the books of the bank stands at Rs 227 crores.

Operating expenses to average assets stood at 2.24% for Q1FY23 higher by 19 bps

YOY and 7 bps QOQ. Given the strong momentum across our businesses; we remain committed to consciously invest in our focus business segments. The lower credit cost over the past few quarters has provided some headroom to run operating costs at a slightly elevated level. This has not affected our ROE delivery trajectory. We have demonstrated our ability to improve the cost ratios having brought them down our cost to assets ratio to below 2% in the past and continue to demonstrate the same through a sequential decline in expenses. We remain committed to achieving around 2% Cost / Assets in the medium term.

Operating profit for Q1 FY 23 is Rs 5,887 crores, declining 5% YOY, largely due to MTM loss in the current quarter. Core operating profit for Q1 FY 23 is Rs 6,554 crores, growing 17% YOY and 5% QOQ.

Provisions and contingencies for the quarter were Rs 359 crores, declining 89% YOY and 64% QOQ. The Bank has not utilized any of its COVID -19 provisions in the current quarter, this is entirely prudent and in no way a reflection of the credit risk on the books of the Bank.

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Annualized credit cost for Q1 FY23 is 0.41%, declining by 129 bps YOY. Profit after tax stood at Rs 4,125 crores, growing 91% YOY and 0.2% QOQ. Consolidated annualized ROA for Q1FY23 stood at 1.48%, improving by ~60% or 55 bps YOY. Subsidiaries contributed 4 bps to the consolidated ROA. Consolidated annualized ROE for Q1FY23 stood at 15.66%, improving by 60% or 587 bps YOY. Subsidiaries contributed 59 bps to the consolidated ROE this quarter, 68 bps in same quarter last year

The cumulative non NPA provisions at June 30, 2022 at Rs 11,830 crores, comprising (i) Covid19 related at Rs 5,012 crores; (ii) Restructuring provisions of Rs 1,259 crores, unsecured retail at 100% provision and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 4,141 crores and (iv) weak assets & other provisions of Rs 1,418 crores.

Our provision coverage [(all provisions NPA + Non NPA)/ GNPA] stands at 133.51%, improving 1,587 bps YOY and 182 bps QOQ. Our standard assets provision cover stands at 1.70% as on June 30th 2022.

The Bank is well capitalized and is carrying adequate liquidity buffers. Our total capital adequacy ratio including profit for the quarter ended June 30, 2022 is 17.83% and our CET-1 ratio is 15.16%. The prudent COVID provision translates to a capital cushion of 58 bps over and above the reported capital adequacy. Our average LCR ratio of the quarter was over 116%. Our exit LCR was ~ 123%. Our excess SLR was Rs 75,636 crore. The RWA% of the Bank at June 30, 2022 stands at 65%.

Growth across our liabilities and loan franchise

Amitabh has discussed the progress in customer acquisitions, growth in the liability and loan franchise in his opening remarks. Please refer slide 17 to 21 for details around the quality of our liabilities franchise and the slides on our loan franchise.

In line with our articulated strategy, our loan book continues to get more granular and balanced with retail advances constituting 59% of the overall advances, corporate loans at 31% and CBG at 10%.

69% of our loans are floating rate which positions us well in a rising interest rate environment. Break-up of the floating rate loan book by benchmark type and MCLR re-pricing frequency is set out on Slide 10 of the investor presentation.

Moving to our Retail business, Q1FY 23, Retail disbursements were up 77% YoY, Small Business Banking, Rural and PL disbursements were up 111%, 177% and 42% YoY. SBB cards and rural loan portfolio grew 74%, 42% and 42% respectively.

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Retail loans represent healthy

characteristics with 79% being secured. Disbursements

to unsecured products continue to grow proportion of unsecured disbursements, total disbursements being 22% this quarter as compared to 18% in the previous quarter.

Credit card spend for Q1FY 23 grew 96% YoY. Industry spend growth is being driven by pickup and commercial card spends. We have consciously focused on growing profitable retail card segment.

We are progressing well in our endeavor to build a profitable and sustainable Corporate Bank. Details of rating composition, incremental sanction quality is set out on slide 36.

The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 96% of the overseas standard corporate loan book in GIFT city branch is India linked and 95% is rated A and above.

The quality of our Commercial Banking franchise is reflected through the strong relationship approach that we are rolling out. 4% of the CBG book got migrated to the Wholesale Banking Coverage team during the quarter, reflecting the scale up of our customers and hence the quality. CBG, Current Account deposits on a quarterly average balance basis grew 26%. Our CBG fees increased by 30% YOY.

Coming to the performance of our subsidiaries, detailed performance of our subsidiary is set out on Slide # 61 to #67 of the Investor presentation.

Domestic subsidiaries reported a total net profit for Q1FY 23 of Rs. 271 crores, up 11% YoY. This translates into a Return on Investment of 45%, and subsidiaries now contribute 4 basis points to consolidated ROA and 59 basis points to consolidated ROE. Axis Finance delivered strong growth as a full-service customer focused franchise offering retail as well as wholesale lending solutions. In Q1FY 23, overall book grew 59% YoY and 11% sequentially. Retail book grew three times and now constitutes 36% of the total loans up 4% in the last two years. Within wholesale, focus remains on well distributed and a granular book. 97% of the corporate book disbursements within Axis Finance were to corporates rated A- and above, and cash flow backed businesses. AFL's book quality continues to be strong, net NPA at 0.46%, negligible restructuring and Stage 3 assets at 0.36%. Axis Finance Q1 PAT grew 59% to Rs. 95 crores, with an ROE of 15.4% and a CAR of 19%.

Axis AMC's average AUM grew 18% YoY in Q1FY 23 and the equity average AUM was up 29% YoY. Its Investor folios grew 50% YoY during the quarter, to take its total Investor base to 13.2 million. In Q1FY 23 PAT grew 20% YOY to Rs. 88 crores.

Axis Capital completed 10 Investment Banking transactions including five Equity Capital Market transactions in Q1FY23. Its PAT stood at Rs. 34 crores.

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Axis Securities continues to see strong traction in new client additions that stood at 0.18 million up 148% YoY, the broking revenues for Axis Securities grew 7% in Q1FY23, and Q1FY23 PAT stood at Rs. 39 crores.

Asset quality provisioning and restructuring:

The GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, SME and Corporate is provided on slide # 53. We have nil net exposure to ILFS entities, 3 Future entities, SREI entities that are being reviewed by RBI.

- GNPA% was 2.76%, improved 109 bps YOY and 6 bps QOQ.
- NNPA% was 0.64%, improving 56 bps YOY and 9 bps QOQ.
- Healthy PCR of 77%, improving 751 bps YOY and 253 bps QOQ.
- We have not sold any non-performing loans in the quarter.

The Bank has a time driven rule based write off policy for retail and CBG portfolios. The net slippage in the quarter adjusted for recoveries from written off pool was negative Rs 17 crores. Hence net slippage for retail, CBG and wholesale was Rs 475 crores, Rs 14 crores and negative Rs 506 crores respectively.

Recoveries from written off accounts for the quarter was Rs 744 crores improving YOY and QOQ by

Rs 456 crores and Rs 25 crores respectively. Reported Net NPA slippage for the quarter was Rs 727 crores declining by 82% YOY. Net NPA slippage ratio for the quarter on an annualized basis is 0.41%, improving 219 bps YOY. On a segmental basis reported net slippage for retail was Rs 869 crores, for CBG was Rs 38 crores and for WBCG net NPA slippage was negative Rs 180 crores.

Gross slippages for the quarter were Rs 3,684 crores, lower by 43% YOY and 7% sequentially. Gross loan slippage ratio for the quarter stood at 2.05%, improving 210 bps YOY and 33 bps QOQ. For the quarter ~ 45% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

Standard Covid restructuring stands at Rs 3,402 crores and is 0.45% of GCA with provision cover thereon at 24%. We collected ~ 5% from the opening standard restructuring book during Q1 FY23.

BB and Below pool of the bank declined 38% YOY and 13% sequentially. Upgrades and recoveries in the quarter aggregated Rs. 652 crores constituting 7% of opening BB and below book. New downgrades in the quarter were Rs 113 crs, down 91% YOY. More details of BB and below pool and restructuring have been provided on slide 54 of our investor presentation.



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To summarize:

- Our balance sheet resilience is visible through strong capital adequacy, NNPA at 0.64%, overall coverage at 133.51% of GNPA and limited covid restructuring at 0.45% of GCA.
- Early improvements in the quality of granular liability growth is visible through reduction in outflow rates. As we have indicated previously this will take 8 to 10 quarters to fully play out with some inter quarter fluctuations. The average CASA balance to average deposits ratio has improved to 43% YOY.
- Focus growth segments like retail, SME and Mid Corporate with better RAROC continue to grow faster at 25%, 27% and 54% respectively.
- The reported consolidated Q1FY23 annualised ROE of 15.66%, is in striking range of our commentary of visible ROE of 16% to 16.5% over our medium-term plan.
- We continue to closely monitor geo-political outlook, inflation and liquidity risks and resultant government policy action its impact on our business.

We would be glad to take your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Edelweiss Financial Service. Please go ahead.

Mahrukh Adajania : My first question is on loan growth outlook, so of course you have done very well on your focus segment. However, if you look at overall loan growth then I mean, what would be the outlook for the next 9 to 10 months? I mean, will we be able to do double digit YOY growth? Is that a fair assumption? Because that is key to constructing an earnings model, right. Obviously, our margins are improving and that should help us?

Amitabh Chaudhry : We have delivered double digit growth; I mean we have always stated that we will continue to grow faster than the market. We have given a range of how much we will grow faster than the market and we continue to maintain that particular guidance. In this particular quarter and in the last couple of quarters, we have been saying repeatedly that the pricing in sub-segments of the wholesale side don't make so much sense for us.

We do expect with all the rate hikes that have happened and that might happen in the future and with what we are seeing in terms of behavior by other banks, that hopefully more discipline will return on pricing, both for the working capital side and the term loan side. And hopefully that should fit into our loan growth going forward.

Just to show a growth in our advances and have a consequent impact on our NIMs did not make sense to us. We have very clearly outlined strategy on delivering a certain Ax

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ROE. As part of that we have said that you need to deliver a certain NIM, certain cost ratio, certain credit costs. And that's what we are focused on.

We do believe that as we continue on this journey, the loan growth will come when the prices return to normalcy. And because we have an extensive corporate franchise, we are one of the key banks to the Corporate India. And frankly, when you look at, want to look for that data, you please see our growth on the fee income side, you see our foreign LC market share, our GST market share, the traction, we are getting is positive. So, we are not too worried about getting that loan growth back at the right time. We are just waiting for the right pricing to resume which we believe should happen in the next couple of quarters, if not earlier.

Mahrukh Adajania : My next question is on deposits. So, basically, last quarter you had talked about reclassification of some deposits from retail to wholesale, all that is done or is something pending there?

Amitabh Chaudhry : Small amount is still pending at the end of FY23, but most of that work is almost done, but small amount of deposits are still pending at the end of FY23 and is referenced to total deposits. And that's why you would see that we, you are seeing growth in the deposits coming from an NRTD rather than RTD side. If you look at the number of NRTDs which have been opened and compare year-to-year, there is clear growth which is visible from our perspective. And again, as we have said, we are quite confident that the granularity in the franchise is there for people to see. We continue to work on our Triumph project. And we expect to continue to see this granularity coming through in the future quarters also.

Mahrukh Adajania : My last question is just on opex . So, obviously, the opex improvement has been good this quarter, you did explain the delta as well. But that's all, I mean any near -term target, I no longer term is 2%. But your opex tend to be very volatile, like in the 4th Quarter, we had guided to some uptick in opex , so what is a stable ratio in the near term that we could look at. And any comments why employee expenses have risen so sharply, QoQ, that has happened even for ICICI, so asking.

Puneet Sharma : Let me break my response into three parts. To the point that we had said last quarter expenses will go up. Our cost to assets was 2.17 when we closed Q4, which was a reported number. Our cost to assets has gone up in -line with our co mmentary to 2.24% which is principally led by the investments that we continue to make in our growth business. So, the cost trajectory is reflective of the commentary that we provided as at Q4.

To the second part of your question, which is do we have confi dence in our ability to manage our cost base adequately, to deliver on the medium -term guidance of around 2% cost to assets , the answer is absolutely 'yes'. We have delivered below 2% in the Axis Bank

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past. We have been able to deliver a sequential decline in cost w hich is effectively against trends that are visible today. So, we remain confident, Mahrukh we don't, we cease to offer short term, costs to assets guidance. We don't intend to bring that back currently. So, the only comment that we have to offer is over t he medium term, we will get to around 2% cost to assets. And we feel confident about that.

Mahrukh Adajania : And employee expenses ?

Puneet Sharma : Mahrukh, on employee expenses, on a year -on-year basis, we have added 6 ,150 people to our growth businesses a s well as our technology and digital teams. Second impact is the RBI instructions on accounting for ESOPs came through in Q2 of last year. So, there was no ESOP cost in Q1. That is reflected currently. So, there is a full -year effect of last year hiring plus ESOP cost, plus annual increments that have paid out in

the current quarter that are showing you the cost growth, on the staff cost li ne.

Moderator : Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka : My question was on NIM, a couple of quarters back, you had given a sort of medium term outlook of 20 bps to 30 bps improvement in NIMs driven by several factors -- in the last two, three quarters . So, what is the outlook from here? And also, if you start growing again, in corporate and maybe international loans, does that, that would be a drag as well. So, how do you counter that?

Puneet Sharma : So, Abhishek, what I had commented two quarters ago is, when we were at NIMs of 3.4%, we had said that we have a NIM improvement journey of 30 to 40 basis points that we want to cover. So, that we get to a NIM range of 3.7, 3.8, that helps us deliv er the aspirational ROE. That commentary and that trend, or execution against that commentary continues.

We are two quarters from when we made that statement. From the 3.4 levels, we are up to the 3.6 level. We haven't built the NIM accretion by drawing do wn on our LCR, so our LCR remains consistent over the quarters. This is business led NIM improvement. We stay committed to getting to the 3.7, 3.8 over the next 8 to 10 quarters, which is the residual period of the comment we made earlier. And the directio n to deliver that in addition to the four variables I spoke of was improving the quality and the composition of our liabilities franchise, which is work in progress. As we stand today, we stick to what we said 3.7, 3.8 over the next 8 to 10 quarters, in te rms of improvement is what we should be able to get.

Abhishek Murarka : The other one is on opex , again. So, basically, in the medium term, you do expect it to come down from current levels. But given your growing retail and maybe CBG more, Axis Bank

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what would drive the opex down, because these would incrementally be a higher opex to asset business compared to let's say large corporate.

Puneet Sharma : So, couple of things, Abhishek, one is , we have said that we are making investments, the productivity gains from that investment need to play through the P&L, because investments are not made for the sake of making investments , so that's one.

Second is while we grow the granular business, we are also building on how the sourcing composition of that business can be which is also a meaningful cost driver.

So, if you change the sourcing mix, you do get cost optimization even as you build

granularity. So, the cost journey will be a function of productivity gains from investments made, plus tactical actions on our businesses. We do think it is achievable and therefore we are sticking to what we have said, previously medium term around 2%.

Abhishek Mu rarka : And that is also, that in medium term would be 8 to 10 quarters just like NIM.

Puneet Sharma : We do a 3 year medium -term plan. So, Abhishek I think around 2% would be an FY25 number.

Moderator : Thank you. The next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah : So, firstly in terms of Retail TD, if you can just highlight in terms of on a like -to-like basis, how would have been the overall growth? And the context is when we look at in terms of the hikes that we would have taken over past three to six odd months compared to the other players, we are relatively on the lower side. So, should we see catch up on the rate side to further gather pace on the Retail TD?

Ravi Narayanan : So, as we mentioned, the entire focus is on getting the LCR accretive business moving, and basis the constitution wise approach that we were doing. If I were to look at it on a like-to-like basis, I think the RTD figures would be somewhere around the 13% growth YOY. So, that is where it would be.

Kunal Shah : In terms of the Retail TD rate, the way we

have seen the increase is relatively lower

compared to that of the other players. So, do we plan to catch up and get the Retail TD growth relatively at a faster pace ?

Ravi Narayanan : So, Kunal, this is something that we are watching very keenly in the market. And we would like to analyze and study as to where the market is moving. At this point in time we feel that where we are for the particular tenors that we are offering our rates. I think we will continue to hold on to those, and watch and wait and see how we play our game.

Kunal Shah : And secondly, in terms of Wholesale or Corporate advances, maybe at least on the advance side, it is declining, but have we built up the position in the investment portfolio

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or the credit substitute, because there is significant rise in the investment book. So, if we have to look at Corporate plus Credit substitute, how would have been the overall growth?

Rajiv Anand : There was no, Kunal this quarter, there has been no material addition to the corporate substitute book. So, what you are seeing on the decline that you are seeing on the corporate loan book is what it is. And as Amitabh spoke about in his opening comments, our focus segments are growing very strongly. And I think incrementally in other parts of the wholesale bank, as and when we see profitable growth, we will certainly chase after that. I think the quality of the franchise is unquestionable. We are gaining market share across various parts of the Corporate Bank.

We are actually serving the customer across the capital structure, which means that there are loans that we do, there are bonds with which we do domestic bonds, offshore bonds, much of that we originate and distribute and earn a fee. We are serving Corporate India from Axis Capital almost 40% of all IPOs last year were left led by Axis Capital. And so therefore, the use of the balance sheet is only one part of the relationship strategy that we have with the corporate s.

Kunal Shah : And lastly on Citi acquisition integration you have highlighted Steering Committee and integration on say, people , processes and technology. But otherwise, when we look at it, how has it been compared to what the expectations were any positive, negative surprise and maybe any read through in terms of how credit cost or any incremental expense that would be incurred towards the integration when we are expecting it to complete by Q4.

Puneet Sharma : Kunal, absence the CCI approval, we do not have full and complete access to Citi information, for all the right reasons. Basis what we are able to track publicly because some data points are published, publicly , the Citi performance is trending in line with the assumptions we made at the time of the investment. That is all that I can say at the moment. Our best-case estimate is CCI approval should come through in four to eight weeks from today. At which point in time, we will have better clarity on data we you could offer incremental comments, assuming it's come through pre quarter 2 to report.

Moderator : Thank you . Next question is from line of Adarsh . Please go ahead.

Adarsh P : Yes, hi Puneet. Question on the liability side, Retail TD, you indicated that large part of the re classification is done. Now, just hard to understand over the next couple of years, getting Retail TD momentum back will be key to sustainable growth for the bank. So, can you just highlight what steps are we taking, you can have a pricing play, you indicated about customer additions, can you talk about the account deepening, what's

happening to your corporate salary build up?  
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Ravi Narayanan : The overall piece in which we are looking at it is in terms of sweating the franchise, to start with. And the way we are going about it is if you would have seen our Slide #17, you would see that we are moving in mul

tiples vectors. One of them clearly states that how we are facilitating our staff, the frontline staff in terms of enabling them to free them up from routine operation work so, if you see 65% of our branch service transactions have moved digital, and 94% of them are straight through which gives us the lever to increase engagement with customers.

So, similarly, we have ensured that we are emphasizing our KRA changes for our staff where entire focus is on ensuring that there is , as Amitabh mentioned in his opening comments, the focus towards delivering an engine which is focused on growth. The productivity whether you look at it in unit terms or value terms, is also moving quite strongly and over the last couple of years it has moved by nearly 30% at a resource - by-resource level.

Similarly, the product penetration that we are focusing on comes through the fact that and that is why salary as a focus segment comes into play. And you would have seen that our engine on the efforts of salary we have doubled the number of Corporates that we have signed up, as well as rejigged our Corporate program, the Ultima Salary program.

And at the same time, again coming back to the ability to onboard the customer better, we have the digital elements of saying that whether it is non -salary, we have moved 26%; individual current sourcing, we have moved 55%. And similarly, RTD coming back to your earlier question, we are seeing 68% to 70% of the individual RTD onboarding going on to the digital. So, a combination of freeing up service to sales capacity, ensuring that there are enablers which are in place , KRAs which are changed to reflect this aspiration of ours to create the growth engine. And then delivering the quality of growth that we are looking for, whether it be in terms of premiumization, whether it be in terms of granular deposits, whether it be in terms of LCR accretive. So, all of that are coming into play and helping us move in that direction as Puneet mentioned, this is a long-term play that we are at. And the effort is to ensure that we are moving in this direction .

The RTD book per se, I think the question on rates and how we are looking at it, as I mentioned earlier to o, this is a market dynamic element, I do believe that we will wait and watch and see how competition, this is the interest rate up cycle. But we do not want to be the leader as of now. We will wait and watch and see how competition moves. But the idea is to be in front of customers. And to see that we are able to get the better and better wallet share.

Rajiv Anand : So, just to add to everything that Ravi just mentioned in terms of what we are trying to do, in the physical space, 68% of our individual RTD comes digitally. And so therefore,  
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to that extent, we have improved the journeys digitally to ensure that that if you are seeing drop-offs, how can we ensure that drop-offs reduce, and so on so forth.

We really literally run hundreds of campaigns, you know, to our base for Retail Term Deposits . And each of these campaigns is run digitally based on data analytics that we have. And many of them are very successful, some of them don't work, and really what we are looking to do is increase these hundreds of journeys into hundreds of campaigns into literally thousands of campaigns, and we are building out capabilities to be able to do that.

We are also trying to optimize the funnel, meaning 68% of individual TDs come digitally. But we also need to ensure that as the customer is looking to redeem on maturity rate or looking for prepayment, is it possible for us to hold him back in some manner, by making him an offer for a personal loan, for example, or a OD/FD product, are some of the journeys that have already got constructed. And so therefore, the digital team is looking at through data analytics, not just at increasing the top of the funnel, b

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ensuring that leakages don't happen as well.

Adarsh P : My only observation and just a follow up on this is, first of all the large brand banks there

is a certain Retail TD attrition that normally happens, when you build on it either through rates or through efforts and then there is an extra momentum that gets built in. What I am just trying to understand is underlying there was reclassification. So, ex that reclassification, how large that number was? How is the momentum, because it looks like somewhere the underlying momentum has been quite weak, right and we have to do a lot more on -- run on the treadmill to kind of get an organic accretion which is there for some of the larger banks out there.

Ravi Narayanan : So, I wouldn't disagree with you at all . I mean, this is a market where everybody has to be on the treadmill, given that it's an interest uptick cycle that is coming through. And as I mentioned earlier, that excluding the reclassification etc, we would be somewhere ballpark around the 13% to 14% mark.

Moderator : Thank you. The next question is from the line of Rahul . Please go ahead.

Rahul Jain: Just taking the previous conversation forward on deposits and bringing in the element of branches. So, on one hand, we see the CD ratios are elevated at 87% to 88% ; capital is fair enough 13% to 14%, but branch expansion is just one, in this quarter, if I saw the numbers correctly. So, how do you all thinking about it and on one hand, we have got HDFC Bank, which is talking about massive expansion of branches. On the other hand, we are looking at higher LDRs and then rates are rising. So, what is the strategy around that particular element?

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Ravi Narayanan : So, as I mentioned the number of branches, opening in Quarter 1, you should take it with a pinch of salt, because we are kind of looking at places and identifying. But let me come back to what the Bank is weighing in. As I mentioned, the focus is on sweating the franchise at the same time, we are also cognizant of white spaces in different states across the country. So, a combination of both these will come to bear on the way we are looking or the direction we take. The whole idea is to see that how I can get each of my existing branches own more and more of the catchment , and take a better wallet share. And to that extent, we track it at a district -by-district level and see how we are moving across the 670 districts that we are present in across the country.

So, both in terms of the existing branches, sweating as well as any white space s available across these districts, is where we are focusing on. And I think that will determine the way we look at it over the next two to three years of how our distribution footprint should be.

Rajiv Anand : Just to put that in context as well, our mobile app today has 9.7 million customers who come to the mobile app on a monthly basis. And transact somewhere in the vicinity between 10 to 12 times, which means that there are 100 million visits to the mobile app on a monthly basis. So, there fore, as we think about our physical strategy, I think the strength of our mobile app is something that we would super impose upon that and think through in terms of the number of number of branches that we require over the next two to three years, as Ravi mentioned, to be able to fill white spaces, some of it physically, and some of it digitally as well.

Rahul : Just another question is on the growth sequentially. So, of course, the headline numbers are sort of indicating a sort of marginal decline, led by corporate. But when I look at the retail book, also, the secured portfolios have seen a slower quarter -on-quarter accretion; maybe some seasonal factors could have been there. But just trying to understand, did we see any pricing pressure there to or ho w has the repayment rates trended in those portfolios, or it's a c

alibrate, or sort of conscious decision to sort of calibrate more towards unsecured and go a little slow on secure? How do you think about the mix changing going forward, and what has happen ed in this quarter.

Sumit Bali : So, overall, as we have guided that we w ould be directionally moving towards bit more of unsecured than what we have done. So, our disbursement this quarter was about 22% unsecured versus say, average 19% for last year, that journey continues. This quarter has been all about rate transmission, increasing fee and at the same time ensuring that the volumes do come in , being a bit of a timing difference in terms of rate hikes, we have been acutely aware that we w ould like to transfer the rate increase to the customer. That's why you see numbers which are there. But overall, the year -on-year growth over 25% is a pretty healthy growth . And this momentum is going to continue in the remaining of the year.

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Rahul : And would you say that the repayment rates or the prepayment balance would have been normal that you have witnessed otherwise?

Sumit Bali : Yes, it's been a normal year in terms of repayment. So, there's nothing extraordinary there .

Rahul : And just wanted to squeeze in one last question in terms of credit cards, very strong momentum there. Can you just throw some light around what would be a revolver rate? What would be the EMI portion out of the spends that you all have?

Sanjeev Moghe : See revolver rates have reduced for us and for the entire industry right. So, that has gone down, which essentially means that a lot of revolvers went out with the credit cycle, which we saw a couple of years back. Apart from that we are seeing behavior where customers were revolving couple of years back and are now displaying more of transactional behavior.

We believe this always happens after a credit cycle. Last time it happened in India in 2007, it took almost four years for the industry to recover to the normal revolver rates.

Our sense is this time is going to be faster, because the growth rate is much faster, right. Having said that, our strategy is pretty clear , the book is clean . We see opportunity in the market organically we see opportunity in the form of partnerships, we will grow our franchise . The rates will organically recover over time. We are not unduly worried by the fact that revolver rates are low right now .

The balance sheet and the business can earn money, which are reasonable even in the context of lower revolves . So, we will stay with the strategy we are playing out right now.

Rahul : Your revolver rates would be below industry levels or would be at par with industry?

Sanjeev Moghe : There is no published metric on this , so very difficult to say what the industry is that we believe everybody is lower than where they were by a certain level. There is no published metric on this , so very difficult to comment.

Moderator : Thank you. The next question is from the line of Mahesh MB from Kotak Securities . Please go ahead.

Mahesh MB: Just a couple of questions , first is on the on Slide #10 with respect to the spread improvement that you have reported this quarter, how much do you think would you attribute to the loan mix that is sitting out there? Either loan mix or the balance sheet changes?

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Puneet Sharma : We haven't split the 13 basis points but the 13 basis points will be a mix of repricing effect on our floating rate book , plus the mix effect but we haven't called out which driver has constituted what amount?

Mahesh MB : No, the question is more in the sense that is it fair to say that the decline in wholesale book would have contributed to the margin expansion or you think that's incorrect assessment there?

Puneet Sharma : So, the decline in wholesale book would have contributed to the Bank margin expansion

ion, because we ran down the trade book . So, that is a correct assertion .

However, to take that assertion to the conclusion that that is the only driver of margin expansion in the current quarter would not be correct. There are drivers like our CBG book and Retail book delivering superior growth and superior pricing. The fact that we have had a reprice, that has taken place in the last quarter that is to fully play out . The mix shift between INR loans and foreign currency loans.

So, the four drivers that I keep talking about the reduction in the RIDF book, all have contributed in parts to make sure that the spread has expanded by 13 bps. So, I would not like you to leave with the conclusion that , or if I were to frame or paraphrase your question, I don't think I will lose this spread once I start doing my wholesale book. So, that's the other way to answer your question.

Mahesh MB : Second, if I were just look at the same slide and just kind of look at how do you see the pricing of the loan book changing over the next couple of quarters given the yield moment for your portfolio ?

Puneet Sharma : So, Mahesh about 70% of my entire loan book to be precise 69 % is floating rate linked, of which roughly about 39% is repo. We have had one cycle of repo rate hikes happening in the current quarter. Assuming that another rate cycle happens, we should see that repricing take place . MCLR if you look at how we have actually put out data for you to make an independent assessment, we have a pretty broad spectrum reprice on the MCLR of the 23% about half of it three prices over a 12 month period. So, the MCLR reprice is going to be the more out in time, the repo repricing will be faster.

There is going to be a component of the 31% Fixed Rate book that pays itself through

the next 12 months, which will also replicate. So, that's how I am looking at the replicating effect on the book over the next 12 months.

Mahesh MB : But just if I would ask one last question, Slide #14. You have seen an improvement in the LCR on a Q OQ basis, you say that the exit LCR is 123. There has been no material change in the balance sheet on the asset side. If anything, there has been a reduction in cash balances. Just trying to understand what could explain an improvement here.

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Puneet Sharma : Mahesh, I have articulated previously that we had two levers to improve our NIIM the composition of our liabilities and the quality of our liabilities. The relative quality of our liabilities has improved on a quarter -by-quarter basis. So, if we look at the LCR disclosure, the outflow rates would have come down, which therefore results in an improvement in LCR. The 123 is the exit number. It is the journey that we set out that we will get to.

Moderator : Thank you. Ladies and gentlemen, we will take the last question from the line Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar : Just two questions, one is, the mark -to-market, so I am assuming this is mostly coming from your corporate bond book. So, could you just highlight what is the duration here?

So, that's the first one. And second is on your fee to assets so how should we think about it, because if I look at from pre -pandemic level, it's growing at about 10.5% odd.

So, has the unsecured mix size, should one reasonably assume fee to asset to improve, these are the two questions.

Puneet Sharma : We have called out the color of the rating profile of our corporate bond book. So, we have said that 98% of the book is A - and above and 79% of the book is AA and above.

We haven't called out the duration of the book but it is not a short duration, per se. So, if your question is the pull to par duration, the pull to par duration is a multi -year duration versus a one -year duration or a shorter period, that one may assume.

Saurabh Kumar : So, in this quarter, you were not

exposed to the short end of the call that was the question.

Puneet Sharma : That is correct. So, all of it is, in fact, if I were to make an assessment, nearly all of this is corporate bond book. And I mean, nearly I mean, it's tending towards 100% is the corporate bond book. We have explained to you there is no economic loss, and it will be a multi -year pull to par.

Saurabh Kumar : Second on fee to asset.

Puneet Sharma : Look I think, we don't offer guidance on fee to assets I think historically performance would be the best reference that I would like to draw to. We really don't have - fee to assets currently.

Moderator : Thank you. I now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma : Thank you, everyone, for taking the time to speak with us today. If we have left any questions unanswered, we would be very happy to speak with you offline in the course of the meeting today. So, please do reach out to Abhijeet for any further questions or clarifications. Thank you very much for spending your evening with us.

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Moderator : Thank you very much. On behalf of Axis Bank Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

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“Axis Bank 's Q2 FY23 Earnings Conference Call ”

October 20, 2022

## MANAGEMENT :

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. SUBRAT MOHANTY – GE, BANKING OPERATIONS & TRANSFORMATION  
MR. RAVI NARAYANAN – GE & HEAD - RETAIL LIABILITIES , BRANCH  
BANKING AND PRODUCTS  
MR. SUMIT BALI – GE & HEAD - RETAIL LENDING & PAYMENTS  
MR. MUNISH SHARDA – GE & HEAD - BHARAT BANKING  
MR. AMIT TALGERI – CHIEF RISK OFFICER  
MR. SANJEEV MOGHE – HEAD - CARDS & PAYMENTS

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Moderator : Ladies and gentlemen, good day, and welcome to Axis Bank Conference Call to discuss the Q2 FY'23 Financial Results for the quarter ending, as on 30th September 2022.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode, there will be an opportunity for you to ask questions at the end of briefing session. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call.

On the call, we have Mr. Amitabh Chaudhry – MD & CEO, and Mr. Puneet Sharma – CFO.

I now hand the conference over to Mr. Amitabh Chaudhry , MD & CEO. Thank you, and over to you, Sir!

Amitabh Chaudhry : Good evening and welcome everyone. Apart from me and Puneet, we have on the call Rajiv Anand – Deputy Managing Director ; Amit Talgeri – Chief Risk Officer, and members of Bank 's Leadership Team – Subrat Mohanty, Ravi Narayanan, Sumit Bali, Munish and Sanjeev Moghe .

The growth momentum in India continues to hold up well at a time when majority of the world is staring at a slowdown. This is reflected in several macro indicators. The system credit growth and domestic consumption remains strong. We at Axis Bank remain optimistic on the growth opportunities in Indian economy , and our ability to support and take advantage of the m.

In this quarter , we continued the strong performance in our identified strategic segments. We saw continued momentum in granularization and premiumization of deposits, market share gains in Bharat and SME segments, industry leading performance in cards, further strengthening of our Transaction Banking franchise and acceleration on Digital Banking outcomes.

A quick aside on Digital Banking , today we are the highest rated Mobile Banking app in the world. We are extremely proud of it . I will speak about it later in this discussion.

Coming back to the quarter , we stayed on course on three core areas of execution of



our GPS strategy, which was around :  
A. Deepening a performance driven culture  
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B. Strengthening the core .

C. Building for the future.

Let me now discuss each one of these in further detail :

A) Performance Driven Culture

1) Improving profitability metrics :

Our consolidated annualized ROE for Q2FY23 stood at 18.90% and has consistently exceeded 15% in the last few quarters.

While Puneet will provide granular details, let me highlight the trends across key operating metrics. Our core operating performance in the current quarter is strong on all parameters both YOY and sequentially.

- Net interest margins improved 57 bps YOY , 36 bps QO Q to 3.96% in Q2FY23.
- Fee growth of 20% YOY , 8% QOQ with Retail fees up 28% YOY & 10% QOQ
- Core operating profit grew by 43% YOY and 19% QOQ.
- Opex growth moderated to 14% YOY and flat sequentially.
- PAT at Rs 53.3 bn was up 70% YOY and 29% QOQ .
- The Bank's consolidated ROA has improved from 0.66% in FY19 to 1.66% in H1FY23 (annualized); and consolidated ROE is up from 8.58% to 17.25% (annualized) during the same period. Consolidated ROE for Q2FY23 stood at 18.90%, up 545 bps YOY .

2) Lifted the growth trajectory and consistently gained market share :

- We now have strong market position and multiple businesses .

✓ On advances, we continue to grow faster than the industry with incremental market share of 7% in last 3 years and closing m

arket share at 5.7% as of

Sep'22

✓ On deposits, we have gained over 69 bps market share in 3 years to reach ~ 4.7% as of Sep'22

✓ In credit cards, we continue to be ranked 4th largest with over 13% incremental spends market share in the last nine months, against 11.4% period ending market share for cards in force.

✓ On the payments side, we continue to have strong positioning with 16% market share in UPI and 15% in Mobile Banking

✓ Our Burgundy AUM has grown by 3x CAGR in over last 5 years and are the 4th largest player in wealth management business

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✓ Similarly, on the Wholesale side, we continue to have strong market share in transaction -oriented flow businesses with 12% market share in foreign LCs, 9% in NEFT payments and 8% in RTGS. We have also been the leading player in the DCM space over the last decade.

- The strong growth in our granular deposits continues with average CASA balances up 13% YOY. Our liabilities strategy driven through premiumization, granularization and deepening remains on track, reflected in ~220 bps YOY improvement in share of premium segment in existing to bank retail SA deposits.
- From an LCR perspective also, we continue to see improvement in the quality of our deposit franchise. Early improvement in the quality of granular liability growth is visible through reduction in outflow rates. The steps we have taken towards improving the quality of liability franchise have definitely started yielding results, however this is the beginning of an improvement journey that will only gain traction overtime.
- We are the fastest growing card acquisition franchise, we issued over 1 million cards this quarter up 88% YOY. Our credit card spends were up 70% YOY and 17% QOQ and card advances were up 47% YOY.
- Our KTB strategy continues to progress well with 31% of cards sourced through partnerships. During the quarter, we launched a co -branded credit

card, in partnership with Samsung India that will help us to further increase card penetration in tier 2 and tier 3 cities.

- In Q2, we continued to witness strong momentum across our focused Retail and SME business segments that grew 22% YOY and 28% YOY, respectively.
- The strength of our wholesale franchise is demonstrated, through 9% YOY and 7% QOQ growth in our domestic corporate loan book. We have achieved this simultaneous to improving our margins.
- MSME segment continues to remain a key growth driver for the Bank. Our Mid Corporate book grew 49% YOY and 9% QOQ. Our SBB segment delivered strong growth of 69% YOY.
- The combined portfolio of the three segments (i.e. Small Business Banking, SME & Mid Corporate) grew 41% YOY and now constitute 20% of the loan book, up ~542 bps in last 8 quarters.
- Our Government business performance remains strong as we continue to add new mandates and gain market share. This business has transitioned from being deposit-centric to more solution-centric. We continue to win Single Nodal Accounts and stand among the top performers in private bank space on the Central Nodal Account opportunities, both of which have helped us to drive growth in government deposits.

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### 3) Fostering winning mindset

Our winning mindset is reflected in our strong business performance and multiple external recognitions we received during the quarter across digital, fin-tech innovation and other businesses.

- The Bank's Axis Mobile app ratings on the play store have gone up from 4.6 to 4.8 now. We are now rated as the World's highest rated Mobile Banking App on the playstore, with over 15 lakh reviews, which is the highest across 59 global banks, 8 global neo banks and 50 Indian fintech apps. The Axis Mobile app has over 10 million monthly active users, close to 52% SA and 43% CA customer registrations and 4 million plus loan account registrations. The app now

handles over 64% of all service requests by volumes and doubles up as our largest branch.

- The Bank in partnership with CRMNEXT won the 'Best CRM Implementation' at the Asian Banker Financial Technology Innovation Awards 2022.
- We also won Data Engineering Excellence award at Cypher 2022 hosted by Analytics India Magazine. The award recognized the Bank for excellent use and producing outcomes at a large scale with respect to our personalisation project.
- During the quarter, the Bank won 2022 Greenwich Excellence Awards for Indian large corporate banking and middle market banking segments for 2nd consecutive year. The Bank was recognized for its distinct qualities like ease of doing business, knowledge of Transaction Banking needs, coordination of product specialists, and customer service.
- The Bank's Dubai International Financial Centre (DIFC) branch also won the 'Customer Service Excellence' award in the Banking category at the recently held Middle East International Business Awards.
- The Bank's Bharat Banking segment also won the best digital financial inclusion initiative at the ET Digital Lending Transformation Global Summit.

### B) Strengthen the Core

#### 1) Strong balance sheet lends support

We have built a strong balance sheet to drive our aspirations. Our asset quality is now among the best in class with net NPA of 0.51%, high provision coverage of 80% and standard asset coverage of 1.60%. Our internal accruals are becoming largely sufficient to fund the business growth in Q1 & Q2. Our CET 1 stood at 15.14% compared to 15.24% in March 2022.

Building next generation technology architecture

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We have modernized the core and strengthened technological capabilities significantly

in last few years to undertake transformational digital banking projects. Project Neo is all about building a world class digital corporate bank. Leadership on APIs is a cornerstone to win new clients and new transaction banking business from existing clients. Corporates are strategically pivoting towards APIs and we have built a strong product-market fit here via :

- o Best-in-class developer portal
- o Building an industry best wide array of APIs spanning all transaction banking products
- o Delivering integrated banking experience through partnerships.
- We are witnessing a strong momentum in customer adoption and are partnering with our customers to offer the optimum solution based on their digital maturity.
- We have become one of the first in the industry to launch a suite of Trade APIs for corporates with first customers going live successfully. Our digital onboarding through API developer portal and ERP agnostic plugin enables seamless onboarding and integration for customers.
- We are seeing over 10X growth in transaction volumes and 2X growth in adoption; We expect the momentum to sustain over the coming quarters as we further expand our capabilities and partnerships .
- What is extremely heartening is that the adoption has been amongst the leading corporates in the country , and across industries from financial institutions, government clients to large conglomerates .

#### C) Building for the Future

1) 1. We have created distinctiveness in Digital and are a class apart. Our Digital Banking unit 'Open' is now operating at scale. The impact of this is visible across the business segments .

- In line with our Open philosophy we launched Account Aggregator based loans and credit cards this quarter. We have now built the full stack for end-to-end digital lending and cards for both existing and new customers.
- Now any citizen of India, our customer or otherwise, can come to any of our digital channels and get instant digital paperless loans or credit cards. We were the first bank to go live on the Account Aggregator framework and we are the first to launch this capability. We are seeing good initial traction;

our

disbursement volumes have grown 30%+ month on month since launch.

- This quarter we launched a significant upgrade to our mobile app as part of our channels 2.0 program. We have crossed multiple milestones and will be launching few more significant changes to our app going ahead.

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- We have upgraded our developer portal and now made digital and self-serve, the entire set up and UAT process. We believe we are now best in class in the country on this front .

1) Our bank-wide programs to build distinctiveness

Bharat Banking strategy continues to scale up well

- Our distinctiveness initiative around Bharat banking continues to deliver strong outcomes. RUSU (rural and semi-urban) markets are an important growth area for us and we see significant opportunity to gain market share in these regions while driving higher profitability.
- During the quarter, we added ~1,600 VLEs (village level entrepreneurs) to take our overall CSC VLE network to 54,000+, that would act as extended arms for our 2,065 Bharat branches.
- As a result of our focused approach, we achieved strong 28% YOY growth in disbursements across all the major product segments and delivered 46% YOY growth in rural loan book .

Our subsidiaries continue to create significant value

- The 'One Axis' approach now embodied across the Axis Group is reflected in robust performance of our subsidiaries. The total annualized PAT of our domestic subsidiaries in H1FY23 was up 14% YOY .

Update on Citibank Consumer business integration

The CCI approval is in place, we expect to complete the transaction by the end of fourth quarter of fiscal 2023 (legal closure date). At present, the Integration Management Office with a steering committee is in place that's working across 17 key work streams around people, technology and business operations. The progress on customer

communications, design of end-state operating model, Day 1 business and operations readiness and the performance of existing Citibank consumer business is trending in line with our expectations .

In Closing :

The global geopolitical and macro environment remains uncertain, which has prompted significant downward revisions by multilateral institutions of their growth and trade forecasts. In the domestic context too, there are a few challenges - inflation has remained above 6%, current account deficit is expected to be high and deposit accretion in the system has been slower than credit growth. The monetary and fiscal policy responses in India have been agile while balancing the policy challenges towards a

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"least growth sacrifice" outcome. These moves and our engagements with our customers gives us strong reasons to remain optimistic .

I will take a moment to step back on how we have fared since the end of the pandemic almost a year back. In the last 4 quarters, we have shifted our performance trajectory upwards meaningfully. We are clocking 15%+ RoE consistently, our operating margins and NIM are in the zone of the best performing franchises, we see acceleration in our focus segments and there is an all-round improvement in all key performance metrics on deposits and assets.

We are leading the way on digital, technology modernisation and innovation. We believe as a group we are playing to our potential as we continue to build a strong, future ready and Open franchise.

I will now request Puneet to take over .

Puneet Sharma : Good evening and thank you for joining us this evening.

We continue to make meaningful progress on strengthening our core business performance and ensuring that our balance sheet is resilient across cycles. I will discuss the salient features of the financial performance of the Bank for Q2FY23 focusing on our:

1. Operating performance
2. Capital and liquidity position
3. Growth across our deposit franchise and loan book

#### 4. Asset quality restructuring and provision.

Our operating performance in the current quarter is strong on all parameters both YOY and sequentially. We have improved NIMs significantly, delivered robust growth in NII, growth in granular fees and controlled our operating expenses. The resultant strong core operating profit growth coupled with benign credit costs, resulted in a significant improvement in our ROA and ROE .

- NII for Q2 FY 23 stood at Rs. 10,360 crores, growing 31% YOY and 10% QOQ

- NIMs for Q2 FY 23 stood at 3.96%, growing 57 bps YOY and 36 bps QOQ.

Domestic NIMs crossed 4% during the quarter.

We had clearly articulated the drivers of our NIM improvement journey, the progress against the key drivers in the quarter is as follows :

- Improvement in Balance sheet mix to loans and investments from other assets. Loans and investments comprised 86% of total assets as at September 22 as compared to 83% at September 21;

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- Within advances, INR denominated loans comprised 93% of total advances at September 22 and June 22 as compared to 89% at September 21;

- Within advances, the retail and CBG segment comprised 69% of total advances at September 22 as compared to 65% at September 21; and

- Low-yielding RIDF bonds declined by Rs 8,329 crore YOY and Rs. 4,612 crore sequentially. RIDF comprised 3.09% of our total assets at September 22 compared to 4.28% at September 21 .

The Bank continues to improve the risk / return profile of its loan book. Our NII as a percentage to average risk weighted interest earning assets, stands at 7.75%, improving 80 bps YOY and 49 bps QOQ Our fee income stood at Rs. 3,862 crores growing 20% YoY and 8% Q-on-Q, 93% of our fee is granular .

Our fee income stood at Rs 3,862 crore, growing 20% YOY and 8% sequentially. 93%

of the fee is granular

- Total retail fee grew 28% YOY and 10% QOQ
- Digital and mobile banking fees grew 45% YOY
- Fees from retail cards and payments grew 53% YOY and 16% QOQ
- Fees from third party distribution grew 20% QOQ
- Transaction banking (including commercial cards) fees together grew 30% YOY and 11% QOQ .

Trading Loss for the quarter stood at Rs 86 crore compared to a loss of Rs 667 crore in the previous quarter and profit of Rs 473 crore for same quarter last year. The MTM is largely in our corporate bond book. 80% of which is rated AA+ and above and 96% is rated A - and above. We do not expect an economic loss on this book. All else being equal, the pull to par period on this book is ~ 4 to 5 years.

Operating expenses for the quarter stood at Rs.6,585 crore, growing 14% YOY and flat sequentially .

- The YOY increase in rupee crore expenses can be attributed to the following reasons: (i) 9% linked to volume; (ii) 51% technology and growth related (iii) 1% statutory costs and (iv) balance 39% to BAU.

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- Technology and digital spends grew 19% YOY and constituted ~8% of total operating expenses.
- Staff costs increased by 12 % YOY and declined 1% QOQ. We have added over 2015 people from same period last year mainly to our growth businesses and technology teams. We have continued to maintain the social security code provisions. The cumulative social security provision in the books of the bank stands at Rs 227 crore .

Cost Income ratio for Q2FY23 at 46%, improved 328 bps YoY and 641 bps QOQ.

Operating expenses to average assets stood at 2.25 % for Q2FY23 higher by 13 bps YOY and 1 bps sequentially. Given the strong momentum across our businesses; we remain committed to consciously invest in our focus business segments. The lower credit cost over the past few quarters has provided headroom to run operating costs at a slightly elevated level. We remain committed to achieving around 2% Cost to Assets in the medium term.

- Operating profit for Q2 FY23 is Rs 7,716 crore, increasing 30% YOY and

31%

QOQ. Core operating profit for Q2 FY 23 is Rs 7,802 crore, growing 43% YOY and 19% QOQ. Provisions and contingencies for the quarter were Rs 550 crore, declining 68% YOY. The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

- Annualized credit cost for Q2 FY23 is 0.38%, declining by 16 bps YOY.
- Profit after tax stood at Rs 5,330 crore, growing 70% YOY and 29% QOQ
- Consolidated annualised ROA for Q2FY23 stood at 1.87%, improving by 59 bps YOY and 39 bps QOQ. Subsidiaries contributed 7 bps to the ROA this quarter
- Consolidated annualised ROE for Q2FY23 stood at 18.90%, improving by 545 bps YOY and 334 bps QOQ. Subsidiaries contributed 41 bps to the consolidated ROE this quarter
- The cumulative non NPA provisions at September 30, 2022 at Rs 11,625 crore, comprising (i) Covid19 related at Rs 5,012 crore; (ii) Restructuring provisions of Rs 1,100 crore, unsecured retail at 100% provision and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 4,332 crore and (iv) weak assets & other provisions of Rs 1,181 crore.

- Our provision coverage [(all provisions NPA + Non NPA)/ GNPA] stands at 138.35%, improving 1454 bps YOY and 484 bps QOQ .

The Bank is well capitalized and is carrying adequate liquidity buffers

Our total capital adequacy ratio including profit for the half year ended September 30, 2022 is 17.72% and our CET -1 ratio is 15.14%. The prudent COVID provision translates to a capital cushion of 55 bps over and above the reported capital adequacy.

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Our average LCR ratio of the quarter was ~ 121%, improving sequentially. Our excess SLR was Rs 55,513 crore. The RWA% of the Bank at September 30, 2022 stands at 66%.

Growth across our liability and loan franchise ,

Amitabh has discussed the progress on customer acquisitions, growth in the liability and loan franchise in his opening remarks. Please refer slides 18 and 19 for details around the quality of our liabilities franchise and slides on our loan franchise.

Our CASA ratio on MEB basis was 46%, improving 172 bps YoY and 251 bps QOQ

Our Loan book gross of IBPC sold grew 19% YOY and 5% QOQ. Our loan book continues to get more granular and balanced with retail advances constituting 58% of the overall advances, corpo rate loans at 31% and CBG at 11%.

68% of our loans are floating rate which positions us well in a rising interest rate environment. ~45% of our fixed rate book matures in 12 months. Break -up of the of the floating rate loan book by benchmark type and MC LR re -pricing frequency is set out on Slide 11 of the investor presentation .

Retail advances grew 22% YOY and 3% sequentially, Unsecured disbursements for the quarter constituted 24% total disbursements in the quarter. Q2FY23 Retail disbursements for SBB, Rural and PL book were up 33%, 28% & 26% YOY. Cards and PL portfolio grew 47% YOY & 22% YOY respectively. The retail loan book represents healthy characteristics with ~ 79% being secured.

The credit card spends in Q2FY23 grew 70% YOY . Industry spends growth is being driven by pickup in commercial card spends. We have consciously focused on growing the profitable retail cards segment .

Corporate loan book including IBPC sold grew 7% YOY and 6% QOQ. The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 97% of the overseas standard corporate loan book in GIFT city branch is India linked and 95% is rated A and above .

The commercial banking book grew 28% YOY and 7% sequentially. The quality of the CBG franchise we are building and strong relation led approach is reflected through:

- CBG CA deposits on QAB basis grew by 31%.
- Overall fees from CBG increased 13.6% QOQ.
- 87% of CBG loan book is PSL compliant .

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Coming to the performance of our subsidiaries , detailed performance of our subsidiaries are set out on Slide # 60 to #66 of our Investor Presentation . The domestic subsidiaries reported a total net profit in H1FY23 of Rs 585 crore, up 14% YOY. This translates into a return on investment of 46% and contributes 7 bps to consolidated RoA and 41 bps to consolidated ROE .

Axis Finance delivered strong growth as a full-service customer focused franchise offering retail as well as wholesale lending solutions .

- In Q2FY23, overall AUM grew 53% YOY and 8% QOQ. Retail book grew over 2.6 times and now constitutes 39% of total loans up from 8% in last 2 years.
- AFL's book quality continues to be strong with net NPA of 0.42% and negligible restructuring and stage 3 at 0.10%.
- Axis Finance's H1FY23 PAT grew 53% to Rs 210 Crores, with ROE of 16.6% and healthy CAR at 19.6% .

Axis AMC : Axis AMC's average AUM grew 4% YOY in Q2FY23 and the equity AAUM was up 8% YOY. Its investor folios grew 34% YOY during the quarter to take its total investor base to 13.2 mn. Its H1FY23 PAT grew 24% YOY to Rs. 183 crores .

Axis Capital : reported a H1 FY'23 PAT of Rs. 64 crores.

Axis Securities : continues to see strong traction . New client additions in H1FY23 stood at 0.38Mn, up 97% YOY. The broking revenues for Axis Securities grew 9% in H1FY23. Its H1FY23 PAT stood at Rs 100 crore .

Asset quality, provisioning and restructuring

Annualized Gross and Net slippage ratio for the quarter improved YOY and QOQ. The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, SME and Corporate is provided on slide # 52 .

- GNPA% was 2.50 %, improved 103 bps YOY and 26 bps QOQ. NNP A% was 0.51%, improving 57 bps YOY and 13 bps QOQ. PCR at 80%, improving 974 bps YOY and 265 bps QOQ.

- We have not sold any non-performing loans in the quarter. Recoveries from written off accounts for the quarter was Rs 709 crore improving 32% YOY.
- The net slippage in the quarter adjusted for recoveries from written off pool was negative Rs 152 crore.
- Reported Net NPA slippage for the quarter was Rs 557 crore declining by 21% YOY. Gross slippages for the quarter were Rs 3,383 crore, lower by 38% YOY and 8% sequentially. For the quarter ~ 39% of the gross slippages are

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attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

- BB and Below pool of the bank declined 26% YOY and 2% sequentially. Covid Restructured assets stand at 0.38% of GCA. More details of BB and below pool and restructuring have been provided on slide 53 of our investor presentation.

To summarize :

- Consistent delivery of 15% plus ROE over the last three quarters, improving quality of earnings and with profits in H1 FY 23 being sufficient to fund growth, we are demonstrating delivery across all the initiatives undertaken by the Bank.
- Our CASA ratio at 46% on an MEB basis at September 30, 2022 and early improvement in the quality of granular liability growth, visible through reduction in outflow rates gives us comfort that we have laid a strong foundation for our liability journey. Our assessment is that improvements planned over the next 8 to 10 quarters are on track with some inter quarter fluctuations which are normal for a business of our scale and size.
- Focus growth segments like retail, SME and Mid Corporate with better RAROC continue to grow faster at 22%, 28% and 49% respectively.
- Our balance sheet resilience is visible through strong capital adequacy and return ratio's reported for the quarter. Overall coverage at 138.35% of GNPA and limited covid restructuring at 0.38% of GCA. This places us in a good position in the current macro environment.
- We continue to closely monitor geopolitical, inflation both domestic and international and liquidity risks and resultant po

licy action, its impact on our

business and our clients businesses as we move forward.

We would be glad to take your questions now. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : My first question is on margin, so congratulations on an excellent margin achievement. But I mean, how do you look at margins going ahead in the next say two to three quarters, because the re is still repricing left. And part of the MCLR repricing, apart from the EBLR book MCLR repricing is also yet to come in. So, how do you view margins in the next few quarters?

Amitabh Chaudhry: So, very difficult, we don't give guidance on margin, but let me make a couple of comments here. One is that we have always talked about the fact that whatever we are trying to do in Axis Bank is to build a sustainable franchise and sustainable P&L. So, Axis Bank  
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the idea behind delivering a margin of this kind is be able to sustain it in a particular zone. We have always been guiding that, our first target is to reach 3.8% and obviously keep it there. We have now reached 3.96%. And obviously, all of us will try very hard to ensure that we remain in the same zone.

There are a couple of things which are at play here, on one side, as you rightly pointed out some deposits will get repriced, the overall interest rates may continue to rise and so there is a potential in the future that our cost of deposits will rise faster than what we have seen till now. Secondly, on the flip side, yes, the impact of increase in some of the MCLR rates which you have talked about will continue to come through. We will also hopefully see high yields in some of our asset classes. And that will also take time to kind of feed into our system. We have talked about the fact that we have been meeting the PSL requirements and RIDF bonds are coming down, but that has again not played through in our lens because the impact on the spreads has been lowered because what

is maturing was at a decent rate, what is not matured is at a lower rate. So, the fact that whatever we have done on the PSL side, the impact of that on NIM has not come through as yet.

So, there are various factors at play. Obviously, Axis will continue to try to ensure that, as I said being in the zone. We would also like to ensure that we use this opportunity to invest back in the business as much as we can. So, I am not giving you a guidance, but I am giving you hopefully enough fodder to think through as to where we could potentially end up.

Mahrukh Adajania : And just in terms of retail deposit growth, so you have given some numbers and talked about granularization and premiumization. But if you could give the like-to-like retail deposit growth or any quarter-on-quarter retail deposit mobilization growth, so that we know the like-to-like number, because currently it's being masked by the conversion, right so?

Amitabh Chaudhry: So, I mean, I will give you some data points, not exactly maybe what you want. Our growth in CASA was 14% YOY relative to the industry which is at 10% YOY. So, it continues to be higher and faster than our market share growth in total deposits where it was at 10% for Axis versus 9% for industry. So, first point is CASA is growing faster. Second, we continue to focus at district level market share gains. The number of districts where our market share is greater than 5% has improved by nearly 35% since March 2020.

Overall TD growth was restricted due to lower CD issuances. Our premium segment where you asked the question, premium segment savings deposits are growing at a faster pace 18% YOY versus 14% for overall savings accounts resulting in share of Axis Bank

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premium segment deposits

is going up by 220 basis points YOY. We saw 64% YOY growth in new corporate salary levels in H1FY23.

And last and important point, with increased focus on LCR corrective deposits in FY23, we have seen a 550 basis point improvement, we have attained in weighted runoff on our RTDs. So, the focus is across every part of a franchise. And I have given you some data points, which will come, prove you that.

Mahrukh Adajania : Just one last question on opex. So, now it's remained flat for the last three quarters. And of course, Puneet did mention maintaining the medium-term guidance, but it's actually remained flat. So, how do we look at it going ahead?

Puneet Sharma : The rupee core number was you must have observed has been flat, our guidance in on cost to assets and we do continue to maintain that medium term of around 2% is achievable. And we stay committed to that number. And it will have multiple factors - we have structurally cost savings, we have growth, both of which will drive us to achieve that number. And I think we are not offering shorter term guidance on cost numbers, as on date.

Amitabh Chaudhry: Let me just add to what Puneet said, on the cost side, we have invested over the last couple of years, we also want to ensure that as you make the investments, initially you incur costs upfront, but then you start getting productivity benefits to come through. So, you might see it as a constant cost for a couple of quarters. But I think the way you should look at it is that the investments which have been made, and now we are seeing the productivity benefits come through. And so while the cost remain the same, we are seeing a lift on the revenue side. So, we will obviously continue to, as we see the productivity benefits come in, we will wait and we see the growth coming we will make some more investments in costs. And hopefully now rather than, again, going through a cycle like that, it will flow together. So, the correlation will be sharper than what you have seen in the past.

Moderator : Thank you. The next question is from the line of Adarsh Parasrampur from CLSA.

Please go ahead.

Adarsh Parasrampur : Question is on the margins, you did give a lot of details around the improvement in the mix, in terms of investment INR alone, the retail within that unsecured and then RIDF. And we obviously had a very large margin improvement, part of it would be related to where the rate cycle is. Would it be possible for you to just indicate what kind of improvement in spreads could have been a little more structural from the mix side? That will be really helpful if you can try and give some broad numbers there.

Puneet Sharma : Adarsh, like we said, the NIM journey had two variables, assets plus liabilities. I think we are structurally on the right path of our NIM journey and we have reported to you

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the sequential improvement on each of the parameters across assets and the quality of our liabilities. I think that's where we will leave it at the moment. It's very difficult to call out what is rate effect and what is structural effect at the moment. I think we are a running business so I think we will leave a response to that.

All we would say is all of our improvements are fundamental and structural, and therefore retention of the improvements will stay within the business.

Moderator: The next question is from the line of Kunal Shah from ICICI Securities. Please go ahead.

Kunal Shah: Firstly, now, as you have highlighted in terms of say deal coming closer to an end. And maybe you highlighted in terms of the growth opportunities, which are there, and it's visible across the broad-based growth as we are finishing this quarter. So, what would be the capital raising plans? Are we looking at something in the near term? So, that's the first question yes.

Amitabh Chaudhry: First, I will make

a couple of points here. One, if you look at our consumption of capital in the first six months of this year, our profitability has ensured that the consumption of capital is minimal. So, we are at 15.14%. Post the Citi acquisition, which we are saying will happen in the 1st Quarter of the next calendar year or if it gets delayed a little bit, maybe in the 2nd Quarter of the next calendar year, we will consume 177 basis points of capital. The benchmarks we have set up internally give us enough cushion to ensure that we are not under any pressure whatsoever to raise capital, even post the acquisition. We want to be sure, we want to bide our time, we want to be sure about the price at which we raise capital if we want to raise it, because we want to ensure that minority shareholders which are already there, do not get diluted too much.

So, we have absolutely no intention as we stand today to raise capital, at least till the Citi acquisition is done. Even post that we will, obviously continue to evaluate various alternatives, including whether we need to raise capital at all or not. And then decide the right strategy depending on how we are doing, what consumption of our capital is for our running business at that point in time, how the market is, what the price is, and whether the timing would be right at that point in time or sometime later in the future. So, I am giving you two answers, one is that we definitely don't see us raising capital up to a certain point in time and beyond that, also, we will let you know once we reach any conclusion in terms of timing, if any, at that point in time.

Kunal Shah: And secondly, when we look at it in terms of deposits, I think the action has been more on the wholesale deposit rates compared to that of retail for us. And I think this repricing given that MCLR and EBLR are linked is higher. Now, there will be further repricing, which is going to happen out there, and we have seen this kind of improvement in the Axis Bank

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spread. So, do we see raising the retail deposit rates and trying to garner more of retail deposit in the second half.

Amitabh Chaudhry: So, obviously I shared with, when I was asked a question earlier some of the data points in terms of how our overall deposits have done. We are trying to solve many problems, we are obviously trying to solve for a franchise issue in terms of how we are working and how the rigor and the rhythm is working within the overall retail franchise to ensure that we can grow the depositors at a certain rate. We are working to ensure that the share of premium deposit increases. We are trying to ensure that the outflow or the weighted average outflow is brought down. We are also trying to ensure the shift between the RTD and NRTD. We are also at the same time trying to expand our franchise, we are also trying at the same time, there are a number of things which we are doing. The reason I am telling you all this is and this means that as the liquidity is sucked out of the system and as market evolves, we will be strategic and tactical at the same time. Now, will it include trying to raise retail term deposits to garner more deposits, I mean it could. What we have seen in the past increase in term deposit rates by a small amount does not have a real impact in terms of the ability to raise more deposits. The ability to raise more deposits quickly is more on the wholesale side rather than retail side. Retail side is more daily tackling and pushing with the customers - the 5, 10, 15 basis points increase does not really make a huge impact, that's what experience is. So, rather than saying this is exactly what we will do I have given you a sense for what are some of the things that we are working on. We promised to you that we will work on our NIM, we have been working on it. And now we need to ensure that we keep it in the same zone. So, give

in all those factors at play, if some tactical move will help us in pushing the growth rate of the overall deposits, we will definitely look at it. Are we doing something of this nature at this point in time? No. But we obviously keep all options open.

Kunal Shah : And lastly, maybe during the call, if you can just share with respect to the MaxLife. And maybe the IRDA's, I mean the order, which was there, if we can just share in terms of how the dynamics or maybe the acquisition could get impacted. So, that would be great if you can make some comments?

Amitabh Chaudhry: Yes so Max, I am happy to share, Max has applied for various approvals under the agreement which we have entered with them when we became a promoter of MaxLife.

As part of the valuation of that particular proposal, IRDA has taken a view on the transactions we have undertaken. We are very clear that the transactions we have undertaken are part of two separate distinct agreements. And we do believe that our legal position is strong, but at the same time, we want to ensure that we work with the regulator. And so, in that spirit we will evaluate the order which has come and work with the regulator to ensure that we can move forward rather than getting caught up in the transactions that we have done in the past. We stay very committed to the partnership as a promoter, and bancassurance. We stay very committed to continue to increase our stake to what we had signed up for. I do want to reiterate that we believe all rules and

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regulations have been followed through the deal process. But I do want to end by saying that our idea is, because we have a pretty decent stake in Max, we intend to stay as a promoter for the longest period of time. We would like to work with the regulator and find the right solution rather than be at odds with the regulator is our thought process.

Moderator : Thank you. The next question is from the line of Jiten Doshi from Enam Asset Management. Please go ahead.

Jiten Doshi : Just want to find out your level of confidence in terms of the sustainability of this performance over the next three years as you plan the future cycles.

Amitabh Chaudhry: As I said earlier that our desire and our intention and whole execution has been around creating a sustainable franchise rather than trying to deliver things quarter-on-quarter.

Yes, over the last seven, eight quarters, there have been some quarters where some metrics have not necessarily been in line with what the market expected. But our intent has always been to deliver consistency and stability and sustainability. So, whatever metrics we are achieving, we do hope in the medium term, we will continue to maintain or improve them. And I can't come on quarter-on-quarter, but that's the intent. That's the hope, that's what the entire management team is trying to execute on.

Jiten Doshi : So, are you reasonably confident that the foundation that you have built over the last 24 months is strong enough to get you where you want to go?

Amitabh Chaudhry: Jiten, with your support, hopefully we will get there.

Moderator : Thank you. The next question is from the line of line of Abhishek Murarka from HSBC. Please go ahead

Abhishek Murarka : Hi, good evening. My questions have actually been asked. So congratulations for the quarter and all the best. Thanks a lot

Moderator : Thank you. The next question is from the line of Mahesh MB from Kotak Securities. Please go ahead.

Mahesh MB : Two questions from my side, one is the lack of growth in retail deposits which seems to be an issue for the industry as a whole, is there any reason that you could attribute to that? Is that our retail slowing down? What would you assume could be a possible reason for this?

Amitabh Chaudhry: So, Mahesh, you are right, and ultimately, the liquidity has been sucked out of the system and it does have an impact

on overall deposit growth, the numbers are quite visible the credit growth is right now faster than the deposit growth. So, there is a scramble for deposits, but immediately in the same breath, I would say that our market share in deposits is 4.7%. Yes, obviously, we have to be worried about the macro and

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what is going on, we are very clear that there is an opportunity for us if we get our acts right, if we get this whole deposit franchise the way we want it to work, that even if the industry growth is impacted, we can and we should aim for continuing to push our deposit growth upwards.

Mahesh MB : I will just kind of probably add to this, so the question you are asking is that on one side retail loan seems to be quite good. But retail deposit doesn't seem to be going that well.

How would you explain the dynamics that is working between both sides of the balance sheet for you and for the system as a whole?

Ravi Narayanan: I think as Amitabh said, this divergence is being seen after some time. The consumption pattern has gone up substantially in terms of how the individual households, as well as small businesses are working through. And therefore, in terms of the outflows that we are seeing as an industry, that that is the fundamental shift that has happened, whether you call it as you can see credit card spends going up, you can see consumption spending going up, you can see the cost of EMI is going up. And that's the fundamental shift that has happened, disruptively in the deposit space.

Mahesh MB : And that you are assuming is flowing back into the system through corporate profits for in terms of higher corporate deposits ?

Amitabh Chaudhry: So, we are trying to work on building blocks and it's not just about retail deposits, I mean, the same thing applies on the wholesale side also. I talked a lot about what we are trying to do on the transaction side of the business, I also talked a lot about how even on the digital side, we are trying to create customer journeys, where customers can actually just come into us. So, we are very focused on continuing to work on building blocks, which will allow us to grow at a different pace in the medium to long term. We realize that there is a problem in the system in the short term, but the message which we are trying to give internally is our market share is where it is, we can definitely, for us to grow at a certain rate, should not be very difficult. But yes, the whole culture, the rhythm, rigor and all is a work in process. And we are confident that with all the measures that we are taking over a period of time, we should be able to get that.

Mahesh MB : Second question is one of the challenges that most of us have on this side of the market is that the disconnect that the banks in general are so confident about growth and asset quality and there is slowdown that seems to be there on the other side. We are not able to kind of connect the dots and come to a conclusion. How would you kind of respond on this question?

Amitabh Chaudhry: Mahesh you are asking a great question that given what is happening on a macro globally, even in India to some extent, is there a possibility that the risks or the overall underwriting standards will be diluted or overall asset quality could deteriorate over a period of time. We are watching some of these numbers very closely. I think Axis has

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moved the needle in terms of asset quality, it has created over the last three, four years if you look at all our metrics, if you look at our 90 D PD, we believe we are best in class, when we compare to some of the best franchises out there. And we are not diluting our framework, we are watching our framework very closely. If required I will ask Amit also to kind of add any comments which he has. But it's something which we are, I can only say that we

are watching that the any deterioration of any kind very closely, because you are making a very good point that if the world is going through what it seems to be going through, there are chances tomorrow that things could slip a little bit here in India, and we don't want to get caught up in that scenario in any circumstances.

Amit Talgeri : Just one point is that the risk frameworks that we have built, we have put in place thresholds for which we will actually take risk action quite instantaneously. So, at the first signs of trouble for any of the segments that we operate, or locations, or a profile, there will be immediate risk actions that we will take and that those are frameworks that we have kind of built right through the last two to three years, especially post -COVID.

Rajiv Anand : Mahesh, the other thing that I mean if there are discontinuities in sort of global economies as we go forward, maybe there will be some issues in terms of growth, and that is something that we could potentially worry about as we go forward. But I think one of the things that you should also consider is that corporate balance sheets are in pristine shape. Debt equity is at 0.5 or 0.6 times. And so therefore at least from the wholesale side, there is a great deal of comfort that, given the fact that we have not, I mean, the banking system at large, has not done large scale lending to the corporate sector over the last three to five years, and corporate balance sheets are in great shape, the probability that you are going to see risks play out very quickly in that space looks unlikely.

Mahesh MB : The only worry this time we see almost all of you, all of the banks in general is that the substantial risk that all of you guys are putting on the SME space, where the markers available for us to track seems to be exceptionally low, that's the only worry.

Rajiv Anand : I think as far as the SME side is concerned, the one thing that you should consider there is the fact that it's a granular business, across multiple sectors, across multiple geographies. So, one of the things that you are trying to do is to ensure that you are

diversifying risk as far as possible, and ensuring that sort of the correlations between sectors is I mean, we do track that and it is relatively low. Second is the collateralization that is that is available in this sector. So, those are the two I would argue mitigants to the SME sector, but there once again, if you look at early delinquency numbers, etc., that doesn't seem to be anything to worry about at this stage.

Moderator : Thank you. The next question is from the line of Ajit Kumar from Goldman Sachs. Please go ahead.

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Ajit Kumar : Coming back again on the deposit side, what is driving this high CA growth in this quarter 30% Q OQ that is one. And while you have taken multiple steps to improve the liability side as you have explained, can you guide in terms of timelines when we will start seeing inflection in terms of deposit growth picking up as CD ratio has already reached 90%.

Rajiv Anand : So, you heard Amitabh talk about the building blocks in place. And you are beginning to see some of the early wins on the current account side. We are winning significant mandates on cash management, we are winning significant mandates on our government businesses, we are winning significant mandates on the trade finance side as well. And if you look at in the market shares on NEFT, RTGS, GST, all those are going up, which really means that thanks to the technology we have now put in place, increasingly, customers are using our current account as the current account of choice. And that is helping us build transaction balances and therefore CA balances. And I do believe that this growth here is sustainable.

Ajit Kumar : So, there is no one off here. I mean, it is going to be sustainable going forward as well in current

ent account.

Rajiv Anand : It is a current account, so there will always be some lumpiness. And that one off lumpiness will always be there. I mean, it's not as if there's anything unique to this quarter.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal : First question is around the margin line again, I mean, this quarter, we have taken a big leap and covered what we indicated in the last quarter that it will take probably eight to 10 quarters for us to reach and now we have beaten that number. So, what has really changed like positive surprise are always welcome, but I was curious to know like as to what has really changed to have driven such a big jump that we didn't really, like indicated in the last quarter?

Puneet Sharma: I think, broadly, we have spoken about the multiple initiatives that the bank has been taking to create a robust platform across multiple aspects to strengthen NIMs both on the assets and liability side. The progress on each of those work streams have delivered the current results. I am happy that it is more positive than the outlook we provided, but it is brass tacks hardcore banking, that has delivered these numbers for the quarter.

Amitabh Chaudhry : Nitin I will add something there that some of the increase in reverse repo rate allowed us an opportunity to move on some of fronts faster than what we had anticipated. And I think given that the whole system was working towards improving NIMs our ability to react and move forward on that basis did help us. But as Puneet very rightly pointed

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out, it is, you know, the whole system was very clear that we had to get the margin to the zone, which had been proposing to you for some time.

Nitin Agarwal : And the second question is around on the business growth, now, while you have explained on the retail deposit part, but knowing that the CD ratio is now hitting close to 90, so do you think it can in a way limit the advances growth for the year, because first half has been relatively soft, and we are looking for a pickup in the second half. So, can this come in the way of choosing the advances in the second half.

Amitabh Chaudhry: So, first principle is that we obviously would like to do things whereby the NIM is in the same zone, we would not like to just for the growth rate again go down the path of showing growth and then sacrificing NIM in the process. Now, assuming we can keep our mix intact, if we can keep our NIMs intact, we do believe that there are sources of deposits out there, which you can raise, which will allow us to manage that growth, because there are a number of levers which are available to us. Obviously, in the long run, we want to build a franchise where the CASA ratio is higher than where it is, we

obviously would like to ensure that the retail TD growth rate picks up , the penetration levels, which are right now lower in compared to some of the others does pick up. And obviously we are working towards it. But in the short term if there are opportunities which come our way, we do have flexibility to raise that money for a reasonably long term quite quickly. So, we will obviously capitalize on those opportunities as they come along.

Moderator : Thank you. Ladies and gentlemen, due to time constraint, we take the last question from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise : Just looking at Slide #19. I just wanted to understand the split on the retail SA balances. Could you kind of highlight what would be the approx range of salary balances within this split? And secondly, the 49% number is only Burgundy and Burgundy Private , is that the right way to look at it?

Puneet Sharma: I guess the Slide #19 that you are referring to for the benefit of others is the customer pyramid that we publish. And you want to know

the balance across the customer pyramid from Easy to Burgundy Private .

Sameer Bhise : May not be so detailed, but some trajectory on what range would the salary share, would be helpful.

Puneet Sharma: So, we don't disclose the salary share across the customer pyramid. And therefore, that's not a number that we would like to talk about. And to your second question on premium, I would request you to look at the footnote on the same slide. Premium includes Burgundy Private , Burgundy , Priority and Prestige and our NRI segments, which we have called out specifically with that distinction.

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Moderator : Thank you. I would now like to turn the conference over to Mr. Puneet Sharma for closing comments. Over to you sir.

Puneet Sharma: Thank you, ladies and gentlemen for taking the time to speak with us. It's been a pleasure. If there are any other questions that we have not been able to answer, please feel free to reach out to Abhijit, we will try and answer them subsequently. Wishing you and your families a very Happy Diwali and all the best for the season. Thank you and good night.

Moderator : Thank you. Ladies and gentlemen, on behalf of Axis Bank, thank you for joining us and you may now disconnect your lines.

## Call: Jan 2023

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“Axis Bank 's Q3FY23 Earnings Conference Call ”

January 23, 2023

### MANAGEMENT :

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. RAVI NARAYANAN – GE & HEAD - RETAIL LIABILITIES , BRANCH  
BANKING AND PRODUCTS  
MR. SUMIT BALI – GE & HEAD - RETAIL LENDING & PAYMENTS  
MR. NEERAJ GAMBHIR – GE & HEAD - TREASURY, MARKETS & WHOLESALE  
BANKING PRODUCTS

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Moderator : Ladies and gentlemen, good day, and welcome to Axis Bank Conference Call to discuss the Q 3 FY'23 Financial Results for the quarter ending, as on 31st December 2022.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen-only mode, there will be an opportunity for you to ask questions at the end of briefing session. Should you need assistance during the conference call, please signal an operator by pressing “\*” then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have Mr. Amitabh Chaudhry – MD & CEO, and Mr. Puneet Sharma – CFO.

I now hand the conference over to Mr. Amitabh Chaudhry , MD & CEO. Thank you, and over to you, Sir!

Amitabh Chaudhry : Good evening and welcome everyone . Happy New Year to all of you. We have on the call apart from Puneet, Rajiv Anand, Deputy MD, and other members of the Bank's leadership team.

This quarter we continued to build the momentum on our GPS strategy. We are gaining market share in our focus segments; we continue to have a disproportionate share in digital channels and products and are now among the best-in-class on operating and earnings metrics. We delivered strong and balanced growth in domestic advances led by market share gains in Bharat and SME segments. We got better on granular and premium deposits; our Credit Cards business has delivered industry leading performance for 4 quarters now. Neo - our cutting-edge digital product for corporate banking - is seeing strong traction among clients and Axis mobile app continues to be the #1 rated banking app in the world. Delivery across the key initiatives undertaken by the Bank is visible and we continue to invest in 19 specific bank-wide transformation initiatives whose results are yet to fully play out.

We are monitoring the external environment closely. We are well positioned to take advantage of the trends that are emerging in India: the 'China+1' MSME opportunity; the next-gen public digital infrastructure like account aggregator, OCEN and ONDC; and Bharat being an engine of growth for India. We remain alert to the global macros and its impact on the economy. We will ensure that this customer-focused, consistent and

industry leading performance will sustain through cycles. On balance, we are feeling good and confident.

Our financial performance reflects the balance sheet strength with meaningful shift in trajectory in the last 5 quarters. There has been fundamental improvement in ROE, driven by higher NIMs as we stay on course on three core areas of execution of our GPS strategy namely:

- A. Embedding a performance driven culture
- B. Strengthening the core
- C. Building for the future

Let me now discuss each one of these in further detail:

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#### A. Performance driven culture

##### 1. Improving profitability metrics:

Our consolidated annualized ROE for Q3FY23 stood at 19.81%.

While Puneet will provide granular details, let me highlight the key trends .

- o Net interest margins improved 73 bps YOY and 30 bps QOQ to 4.26% in Q3FY23, which is a lifetime high.
- o Operating profit grew by 20% QOQ and 51% YOY, highest in last 13 quarters.
- o Opex growth of 8% in Q3 further moderated from 14% in Q2 on a YOY basis
- o PAT at Rs 5,853 crores was up 62% YOY and 10% QOQ.

##### 2. Lifted the growth trajectory and consistently gained market share:

o We have strengthened

market position across key segments.

✓ On advances, we grew faster than the industry with domestic loan book (gross of IBPC sold) up by 18% YOY & 5% QOQ, higher than the system credit growth.

✓ In credit cards, we issued over 3 million cards in 9MFY23, nearly ~2X of that issued in 9MFY22. We had a 16% growth in incremental CIF market share in Q3

✓ During the quarter, we crossed the milestone of 3 million cards in force for Flipkart Axis Bank Credit Card, making it one of the fastest growing co-branded credit cards in the country.

✓ The Bank's Burgundy Private offering that we launched 3 years back continues to scale greater heights with AUM of nearly Rs 1 trillion up 22% YOY. Burgundy Private proposition now includes 30 of the Forbes 100 richest Indians as its clients and manages wealth for over 4,400 families across 27 cities pan country.

##### o Coming to Customer acquisition trends and Deposit Quality

✓ Our customer acquisition remains strong. In Q3, we added 2.9 million new customer accounts a growth of 34% YOY and 3% QOQ.

✓ Our district level segment strategy to build high quality deposits is progressing well. This is reflected in ~140 bps YOY improvement in share of premium SA segment to overall retail SA deposits.

✓ The quality of deposits too saw improvement. The lendable term deposits from Retail and Small Business customers were up 15% while deposits that attract higher outflow rates were down 20%.

✓ The CA deposits on QAB basis grew 10% QOQ led by broad based growth across segments including Branch Banking, Large Corporates, and MSMEs.

##### o On Asset, focus segments delivered strong growth and corporate banking activity increased meaningfully

✓ In Q3, we continued to witness strong momentum across our focused MSME segment, which continues to remain a key growth driver for the Bank. The Mid Corporate book grew 42% YOY and 11% QOQ. The SME book grew 24% YOY and 5% QOQ. The SBB segment delivered strong growth of 60% YOY and 8% QOQ. The combined portfolio of these 3 segments grew 35% YOY and now constitute 20% of the loan book, up ~510 bps in last 8 quarters.

✓ We remain a banker of choice for Corporate India with our ability to serve across their capital structure. The domestic Corporate franchise grew 12%

YOY and 11% QOQ while simultaneously improving its margins. We are seeing a broad-based growth in corporate loan demand. There's strong Axis Bank  
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activity in segments like renewables, roads, chemicals, urban energy distribution, commercial real estate, and healthcare. Capacity expansion projects are picking up especially in consumption driven sectors. Pricing has seen improvement compared to what we were seeing 2-3 quarters back. We continue to choose opportunities that meet our returns threshold.

✓ Retail loans grew 17% YOY and 1% QOQ. Unsecured Personal loans and Credit Card advances grew faster at 21% YOY and 39% YOY, respectively.

✓ We saw market share gains in NEFT payments of 180 basis points YOY to 12%.

✓ We are also the largest clearing member in the listed derivative space with the market share of around 18%, while maintaining our leadership in equity capital markets and debt capital markets.

### 3. Fostering a winning mindset

o Our winning mindset is reflected in multiple external recognitions we received this quarter.

o Like I mentioned earlier, Axis Mobile app is the World's highest rated Mobile Banking App on the playstore, with rating of 4.8. It has over 16 lakh reviews, which is the highest across 59 global banks, 8 global neo banks and 50 Indian fintech apps. The app now handles over 65% of all service requests by volumes.

o The Bank also won Red Hat APAC Innovation award for India for Digital transformation and cloud native development during the quarter.

o We also retained our leadership position in Rupee denominated corporate

bond

issuances for the 16th consecutive year based on Bloomberg league table for India bonds.

### B. Strengthen the core:

#### 1. Strong balance sheet with self-sustaining capital structure

o Our balance sheet remains resilient. Our asset quality is now among the best in class with net NPA of 0.47%, high provision coverage of 81% and standard asset coverage of 1.53%.

o Our internal accrual is now largely sufficient to fund the business growth with CET1 capital accretion of 195 bps in last 9 months as compared to 164 bps of growth-related consumption during the same period.

#### 2. Building next generation technology architecture, for wholesale digital banking

With client-centric design at its heart, NEO is enabling multi-product, multi-channel end-to-end digital experience for our corporate clients. About 100+ open banking APIs are now operational across the product suite. NEO allows us to integrate various API product suite via an ERP agnostic single utility. We have partnered with leading fintechs to offer connected banking experience. Within a short span, we have 1000+ corporates on our Axis API developer portal. I'm bullish on what NEO is doing and what it can do to transform our transaction banking franchise.

### C. Building for the future

1) Our Digital Banking unit is now operating at scale. While our current digital banking platform has delivered strong outcomes, Axis 2.0, our next-gen mobile bank platform, is beginning to fire at MVP [Minimum Viable Product] stage. Axis 2.0 is a significant leap both on technology and business model. It will focus on Axis Bank

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"true digitally generated business" with zero paper, zero touch and zero intervention. Axis 2.0 will operate as a digital bank within the bank. CASA balance through Axis 2.0 sourced accounts has grown nearly 3 times on a YOY basis. FDs sourced have grown by 61%. Similarly, the overall loan book of Axis



2.0 has grown 52% in the same period.

On digital lending, we introduced several new capabilities on account aggregator -based underwriting, eNach and eSign based approvals. The bank today is underwriting a loan or a credit card to any citizen of India digitally, without any physical documents or any human intervention.

Also, we have built very successful digital partnerships that we spoke about during the Analysts' Day. We are setting up and scaling a few more strategic partnerships.

2) Bank -wide programs to build distinctiveness

Bharat Banking growing from strength to strength

As a result of our focused approach, we delivered 27% YOY growth in rural loan book while the deposits growth in Bharat markets stood at 16% YOY. During the quarter, we added ~6,000 VLEs (village level entrepreneurs) to take our overall CSC VLE network to 60,200+, they would act as extended arms for our 2,065 Bharat branches. The disbursements through CSC network were up over 5x YOY in Q3FY23.

Our subsidiaries continue to create significant value

The 'One Axis' approach now is reflected in robust performance of our subsidiaries. The total annualised PAT of our domestic subsidiaries for nine-months of FY23 stood at Rs 1,252 crores. During the quarter, we further strengthened our presence in the retirement solutions segment with the launch of Axis Pension Fund. Capitalising on 'One Axis' approach, the company has become the fastest private Pension Fund to cross Rs 100 crores of AUM.

On Citibank Consumer business integration:

Citi acquisition and integration process is progressing well, customer base and business performance remains steady, on expected lines. We are extremely happy with the response

received from Citi customers and employees alike.

We already have 96%+ acceptance rate from the employees of Citibank who will be joining us shortly. We look forward to adding this high-quality customer base and workforce to the Axis family. The opportunity to build on this base is tremendous on the back of our fast-growing wealth and cards franchise.

In Closing:

The domestic demand and economic activities continue to remain resilient when global economic growth is staring at a slowdown. Our leading indicators suggest that economic momentum remains strong, with minor moderation, despite the rapid transmission of the repo rate hikes and liquidity tightening on a broad spectrum of interest rates. The economic resilience, particularly for the micro and small businesses, is pleasantly surprising. We, at Axis Bank, remain optimistic on the growth opportunities in the Indian economy and our ability to support and take advantage of them.

I will request Puneet to take over.

Puneet Sharma : Good evening and thank you for joining us this evening.

Thank you Amitabh.

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Good evening and thank you for joining us. We continue to make progress on our endeavour to be a stronger, consistent and sustainable franchise. I will discuss the salient features of the financial performance of the Bank for Q3FY23 focusing on our:

1. Operating performance
2. Capital and liquidity position
3. Growth across our deposit franchise and loan book
4. Asset quality, restructuring and provisioning

Our operating performance remains strong. We have now shown consistent NIM improvement, delivered robust growth in NII, growth in granular fees and controlled our operating expenses. The resultant strong core operating profit growth coupled with relatively benign credit costs, resulted in a strong YOY improvement in our ROA and ROE.

o NII for Q3 FY 23 stood at Rs. 11,459 crores, growing 32% YOY and 11% QOQ

o NIMs for Q3 FY 23 stood at 4.26%, growing 73 bps YOY and 30 bps QOQ.

Domestic NIMs stood at 4.41% during the quarter.

o Reported NII and NIM's for the quarter include a one-time interest recovery on restructuring of an existing NPA account aggregating Rs 149 crores, contributing approximately 5 bps to the current quarter NIMs.

We had clearly articulated the drivers for our NIM improvement journey, the progress against the key drivers in this quarter is as follows:

- o Improvement in Balance sheet mix: Loans and investments comprised 87% of total assets at December 22 as compared to 84% at December 21, improving 300 bps YOY;
  - o INR denominated loans comprised 93.3% of total advances at December 22 as compared to 90.4 % at December 21, improving 290 bps YOY;
  - o Retail and CBG advances comprised 67% of total advances at December 22 as compared to 65% at December 21, improving 195 bps YOY;
  - o Low-yielding RIDF bonds declined by Rs 8,425 crores YOY and Rs. 3,246 crores sequentially. RIDF comprised 2.7% of our total assets at December 22 compared to 3.8% at December 21. We currently estimate to be PSL compliant across all sub segments and at the headline level in FY 23.
  - o Composition of liabilities measured through average CASA% improved 18 bps YOY
- Quality of liabilities measured by outflow rate improved ~ 400 bps YOY

The Bank continues to improve the risk / return profile of its loan book. Our NII as a percentage to average risk weighted interest earning assets, stands at 8.14%, improving 89 bps YOY and 39 bps QOQ.

Our fee income stood at Rs 4,101 crores, growing 23% YOY and 6% sequentially. 93% of the fee is granular.

- o Total retail fee grew 30% YOY and 8% QOQ
  - o Fees from retail cards grew 44% YOY
  - o Conventional transaction banking fee grew 25% YOY
- Trading profit for the quarter stood at Rs 428 crores compared to a

loss of Rs 86 crores in the previous quarter and profit of Rs 367 crores for same quarter last year. 46% of the trading profit for the current quarter is attributable to reversal of MTM losses

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previously recognized on the corporate bond portfolio due to rate movements. This is in line with our previous commentary that we did not expect an economic loss on our corporate bond book. 85% of the corporate bond book is rated AA+ and above and 99% is rated A - and above.

Operating expenses for the quarter stood at Rs. 6,847 crores, growing 8% YOY and 4% sequentially.

- o The YOY increase in rupee crore expenses can be attributed to the following reasons: (i) 12% linked to volume; (ii) 40% technology and growth related (iii) 30% wage increments and (iv) balance 18% to BAU.
- o Technology and digital spends grew 11% YOY and constituted ~8% of total operating expenses.
- o Staff costs increased by 18% YOY and 5% QOQ. We have added over 1,309 people from same period last year mainly to our growth businesses and technology teams. We have continued to maintain the social security code provisions. The cumulative social security provision in the books of the bank stands at Rs 227 crores.

Cost Income ratio for Q3FY23 at 42%, improved 822 bps YOY and 358 bps QOQ. Operating expenses to average assets stood at 2.24%, higher by 9 bps YOY and declining by 1 bps sequentially.

Given the strong momentum across our businesses; we remain committed to consciously invest in our focus business segments. The lower credit cost over the past few quarters has provided some headroom to run operating costs at a slightly elevated

level. We remain committed to achieving around 2% Cost / Assets in the medium term.

Operating profit for Q3FY23 is Rs 9,277 crores, increasing 51% YOY and 20% QOQ.

Core operating profit for Q3FY23 is Rs 8,850 crores, growing 53% YOY and 13% QOQ.

Provisions and contingencies for the quarter were Rs 1,438 crores, up 8% YOY. In the current quarter the bank made non-recurring, one time / prudent provisions aggregating Rs. 340 crores or equal to 24% of the provisions and contingencies for the quarter. Excluding such prudent/ onetime/non-recurring provisions, provisions and contingencies would be down 18% YOY. The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

Annualized credit cost for Q3FY23 is 0.65%, adjusted for non-recurring / prudent provisions would be 0.54%

Profit after tax stood at Rs 5,853 crores, growing 62% YOY and 10% QOQ

Consolidated annualised ROA for Q3FY23 stood at 2.00%, improving by 57 bps YOY and 13 bps QOQ. Subsidiaries contributed 8 bps this quarter.

Consolidated annualised ROE for Q3FY23 stood at 19.81%, improving by 465 bps YOY and 91 bps QOQ. Subsidiaries contributed 47 bps to the consolidated ROE this quarter

The cumulative non NPA provisions at December 31, 2022 at Rs 11,633 crores, comprising (i) Covid19 related at Rs 5,012 crores; (ii) Restructuring provisions of Rs 928 crores, unsecured retail at 100% provision and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 2,146 crores and (iv) weak assets & other provisions of Rs 3,547 crores.

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Our provision coverage [(all provisions NPA + Non NPA)/ GNPA] stands at 139%, improving 952 bps YOY

The Bank is well capitalized and is carrying adequate liquidity buffers  
Our journey to be self-sufficient on capital is progressing well, we accreted CET -1 net of all consumption by 41 bps this quarter and have net accreted 31 bps over 9MFY23.

Based on the current capital position and RWA intensity of our existing business, the CET-1 consumption on the Citibank acquisition is estimated at ~180 bps.

We raised Rs 12,000 crores of tier 2 capital in the form of bonds in the current quarter.

This improved our overall capital adequacy by ~150 bps as on 31 December 2022.

Our total capital adequacy ratio including profit for the nine months ended December 31, 2022 is 19.51% and our CET -1 ratio is 15.55%. The prudent COVID provision translates to a capital cushion of 55 bps over and above the reported capital adequacy.

Our average LCR ratio of the quarter was ~ 116%. Our excess SLR was Rs 60,568 crores.

The RWA% of the Bank at December 31, 2022 stands at 65%, improving by 61 bps QOQ.

Growth across our liabilities and loan franchise

Amitabh has discussed the progress in customer acquisitions, growth in the liability and loan franchise in his opening remarks. Please refer slides 20 and 21 for details around the quality of our liabilities franchise and slides on our loan franchise.

Our CASA ratio on QAB basis was 44.1%, improving 18 bps YOY and 48 bps QOQ

We continue to improve the quality of our core loan franchise. Our loan book continues to get more granular and balanced with retail advances constituting 56% of the overall advances, corporate loans at 33% and CBG at 11%.

~68% of our loans are floating rate. ~45% of our fixed rate book matures in 12 months. Break-up of the floating rate loan book by benchmark type and MCLR re-pricing frequency is set out on Slide 11 of our investor presentation.

Retail book

Retail advances grew 17% YOY and 1% sequentially, Unsecured disbursements for the quarter constituted 22% of total disbursements in the quarter.

- o Cards and PL portfolio grew 39% YOY & 21% YOY respectively.
- o The retail loan book represents healthy characteristics with ~ 79% being secured.
- o The credit card spends in Q3FY23 grew 42% YOY.

#### Wholesale Banking Coverage

We are progressing well in our endeavor to build a profitable and sustainable Corporate Bank. Details of rating composition, incremental sanction quality is set out on slide 37.

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Corporate loan book gross of IBPCs sold grew 12% YOY and 9% QOQ. We found profitable opportunities to lend within the risk framework we have chosen operate in. Our mid corporate business grew 42% YOY.

The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 97% of the overseas standard corporate loan book in GIFT city branch is India linked and 95% is rated A - and above.

#### Commercial banking

The commercial banking book grew 24% YOY and 5% sequentially. The quality of the CBG franchise we are building and strong relation led approach is reflected through:

- o CBG CA deposits on QAB basis grew by 22% YOY.
- o Overall fees from CBG increased 16% YOY.
- o 87% of CBG loan book is PSL compliant.

#### Coming to the performance of our subsidiaries

Detailed performance of the subsidiaries is set out on Slides 65 to 71 of the investor presentation.

The domestic subsidiaries reported a total annualized net profit in 9MFY23 of Rs 1,252 crores. This translates into a return on investment of 50%.

o Axis Finance : Delivered strong growth as a full-service customer focused franchise offering retail as well as wholesale lending solutions.

✓ In Q3FY23, overall AUM grew 38% YOY. Retail book grew over 2 times and now constitutes 44% of total loans up from 13% two years ago.

✓ AFL's asset quality continues to be strong with net NPA of 0.37% and negligible restructuring.

✓ AFL's 9MFY23 PAT grew 35% to Rs 340 Crores, with RoE of 17.7% and healthy CAR at 22.2%.

o Axis AMC: Investor folios grew 17% YOY to take its total investor base to 13.1 mn. Its 9MFY23 PAT grew 16% YOY to Rs. 292 crores.

o Axis Capital: Its PAT for 9MFY23 stood at Rs 110 crores

o Axis Securities : For the 9MFY23, new client additions were up 71% YOY, broking revenues were up 10% YOY and PAT stood at Rs 151 crores.

Asset quality, provisioning and restructuring

o

The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, SME and Corporate are provided on slide # 56.

o Reported GNPA% was 2.38%, improved 79 bps YOY & 12 bps QOQ.

o Reported NNPA% was 0.47%, improving 44 bps YOY and 4 bps QOQ.

o PCR at 81%, improving 876 bps YOY and 89 bps QOQ.

We have not sold any non-performing loans in the quarter. Recoveries from written off accounts for the quarter was Rs 608 crores.

Reported Gross slippages for the quarter were Rs 3,807 crores, lower 8% YOY. This includes slippages attributable to non-recurring and / or prudent items aggregating Rs 410 crores. Adjusted for the aforesaid, gross slippage by value was Rs 3,397 crores, down 18% YOY. Further, for the quarter ~ 36% of the reported gross slippages are Axis Bank  
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attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

Reported Net slippages for the quarter were Rs 1,719 crores. This includes slippages attributable to non-recurring and / or prudent items aggregating Rs 402 crores. Adjusted for the aforesaid, net slippage by value was Rs 1,317 crores.

Reported Net slippage in the quarter adjusted for recoveries from written off pool was Rs 1,111 crores. On a segment basis, net slippage for retail was Rs 1,040 crores, CBG was Rs 26 crores and wholesale was Rs 45 crores

In summary, the non-recurring and / or prudent items adversely impacted reported Gross slippages by 22 bps, reported net slippages by 22 bps and reported credit costs by 11 bps. This is more clearly reflected on 56 of our investor presentation.

Details of BB and below pool and restructuring have been provided on slide 57 of our investor presentation.

To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- o Our balance sheet is strong and resilient, visible through strong capital adequacy of 19.51%, covid provision buffer of 55 bps of capital, overall coverage at 139% of GNPA, and limited and better than regulatory provided covid restructuring at 0.30% of GCA.

- o Consistent delivery across our key initiatives and disciplined execution in our focus segments has resulted in consolidated annualised ROE for the quarter standing at 19.81%, improving by 465 bps YOY and 91 bps QOQ.

- o The franchise is getting more sustainable, as visible through net CET -1 accretion over 9M FY 23 of 31 bps. Our QAB CASA ratio at 44.1% at December 31, 2022 and early improvement in the quality of granular liability growth, visible through reduction in outflow rates gives us comfort that we have laid a good foundation for our liability journey. Our assessment is that improvements planned over the next 8-9 quarters should deliver results with some inter-quarter fluctuations which are normal for a business of our scale and size.

While we are well placed in the current macro environment, we continue to closely monitor geopolitical environment, inflation both domestic and international, liquidity risks and its impact on cost of funds, resultant policy action, its impact on our business and our clients businesses.

We would be glad to take your questions now. Thank you.

Moderator : We will now begin the question-and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania : So, my first question is on loan growth. Now do you get any sense say, maybe from the disbursals in November, December or even in January, if at all, there is a slowdown in secured retail in response to rising rates?

Sumit Bali : So, we have started seeing that customers are taking a longer time from the inquiry to closure of the loan. That's what's been observed in the previous quarter. Early trends are similar in this month also, and we'll have to wait and watch how this progresses further

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Mahrukh Adajania : Got it. Because the overall loan growth has been very good, but home loan growth is 2%. So, that's why I was just checking.

Sumit Bali : Yes. So, that's the reason I mentioned that.

Mahrukh Adajania : Right.

Sumit Bali : And that's what we've observed on the ground.

Mahrukh Adajania : And the other question I had is that the credit card thing is because of the festive season, right? You've mentioned a note in your presentation, but the reason why credit card outstanding was flat was because of the festive season being across 2 quarters?

Sumit Bali : Yes, you're right. So, the big billion -day sale of Flipkart was in September end, that's when we saw a bump up. And during the quarter, we saw festive season in December, it's reverted to normal. It's still up about 40% year -on-year.

Mahrukh Adajania : And my next question is on the Citi deal. So, when we had made the initial presentation, we had talked about a Rs. 15 billion additional OPEX over 2 years. Would that cause any lumpiness in cost in the fourth quarter? Will a large part of that OPEX come into the numbers in the fourth quarter? I mean you had not mentioned any quarter, so I'm just asking.

Puneet Sharma : The Rs. 1,500 crore number is post -tax. A large part of that is a time linked payment for services that we would receive post L D1 (legal date 1) . So, it's only gradual. We will be incurring some expenses as we ride up to the actual transaction closing, which would get upfronted, but I don't think there will be material lumpiness on the cost as we move forward.

Mahrukh Adajania : And my last question is again on the outlook on deposit and loan growth. Of course, near-term, maybe the next 2-3 months, but also longer -term in FY '24 now that the system has also hit a very high base

Puneet Sharma : We don't offer short -term guidance. I think we stick by what we've said previously. We feel confident that the franchise will grow at 500 to 600 basis points faster than industry credit growth on advances. We've also said previously that for the current financial year, we expect to grow at or about the industry credit growth. That's the only comment I would offer there. We don't have guidance for the next quarter or multiple quarters thereafter.

Moderator : The next question is from the line of Adarsh from CLSA. Please go ahead.

Adarsh : Question is again on the mortgage growth. It's not been just a quarter where our mortgage growth has been slow. It's been about 2, 3 quarters since 4Q. So, this 9 -month YTD mortgage growth is quite slow. And I don't see this kind of trend in most other banks. So, I just wanted to understand, have we seen a lot of balance transfers out or disbursement trends are weaker? What is happening, if you can just highlight?

Sumit Bali : So, there's nothing abnormally high in terms of balance transfer. This quarter, particularly, as I said, we have seen customers taking a longer time to convert an inquiry into the loan. Hopefully, that trend should stabilize and things should improve this quarter, but we'll have to wait and watch.

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Adarsh : Yes. Again, I'm just reemphasizing that the mortgage growth in 9 months was like 4%, 5%. So, it's a little bit surprising to see this lower growth.

Sumit Bali : First quarter was okay. The second quarter was slightly slower, and third quarter is when it's slowed down to about 1% growth. Q4 historically has been good. So, let's wait and watch how our Q4 pans out.

Adarsh: Got it. So, your sense on market share in mortgages, disbursements, all are doing fine, is it?

Sumit Bali : No. So, disbursements also have been affected. So, that's how the book has not grown the way we expected it to. So, it has got impacted.

Adarsh : And the second question was on OPEX. Puneet and team , sequentially for 3 quarters now, we've had

a more stable OPEX after the investments we've done in the last 2 years. And I understand that you'll have guided to 2%. So, when you guide 2 %, now does that include the merger or that's just the Bank alone and hence, we would see a bump up if you look at post -merger basis?

Puneet Sharma : So, Adarsh, thanks for the question. What we've said is around 2% and not an absolute 2%. The around 2% is for Axis Bank excluding the Citi acquisition. We did put out pro forma disclosure on what the cost to assets of that business is. And yes, there will be an impact on cost to assets on the integration. But if you look at the flow -through to the bottom line, we've also called out in the same breadth that the transaction is ROE accretive. So, yes, on the cost to assets variable, there will be an adverse impact when we add the Citi franchise. We also need to incur the implementation expenses, which is the one -time cost that we've talked about over an 18 -month period, but that's temporary. So, those 2 variables will play through the P&L post -integration.

Adarsh : I'll just squeeze in 1 more question is on corporate growth. When you've seen this kind of growth after kind of remaining low on that business, have the incremental spreads

improved quite materially for you to take the call that we will do this business a little bit more proactively now?

Rajiv Anand : I think spreads in this business have certainly improved over the last couple of quarters. I think the way to think about that perhaps, Adarsh, is also that despite the fact that the corporate book has grown, NIMs have improved as well.

Moderator : The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal : I have 1 question around the treasury performance this quarter. This seems particularly strong. So, anything which has driven this performance?

Puneet Sharma : My apologies, we were not able to catch the question. Would you be kind enough to repeat it, please?

Nitin Aggarwal : So, the question is around the treasury performance this quarter and the outlook, if you can talk about this.

Puneet Sharma : So, like I called out specifically, 46% of the trading profit performance is the write-back of MTM losses that we have recorded in the earlier part of the year when rates had moved adversely on our corporate bond book. At that point in time, also, we had

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specifically said that we will not incur an economic loss on the portfolio. And the corporate bond book, 85% of it is rated AA+ and 99% is rated A - and above. So, we don't think we will incur an economic loss even for the residual MTM, which is the difference of what we took in quarter 1 versus what we have gotten back because of rates this quarter.

Obviously, further MTM write backs will be a function of how rates play out. So, difficult to call at the moment. What I can tell you with certainty is we maintain that we will not incur an economic loss on that portfolio. Also, to give you better clarity, the duration of the book we had previously said was 4 to 5 years. So, assuming that there is no further movement, that would be the timeframe by which the residual MTM should come back into the P&L.

Nitin Aggarwal : And secondly, just 1 small clarification around the standard plus additional provisions that we have. In the press release on Page 3, you mentioned the additional provision standard plus additional other than NPA of Rs. 5,000 -odd crore. So, this seems to be like a misplaced number. So, if you can just verify this.

Puneet Sharma : The Rs. 5,012 crores that I called out was our COVID provision, which we have either utilized, not of the current quarter. We believe that provision is entirely prudent.

Nitin Aggarwal : And the total number is?

Puneet Sharma : Rs. 11,633 crore, which is also set out on if you look at the investor presentation, Slide 1 or Slide 2 of the investor presentation.

Nitin Aggarwal : If you just consider the number that was mentioned for the additional plus standard on Page 3 of the press release, which seems a bit odd.

Puneet Sharma : Sorry, just give me one second. Please read that as a typographical error, please. So, we have a correction issue. The amount is like I called out, Rs. 11,633 crore. That Rs. 5,012 crore number that you're reading on Page 3 of the press release should be read as Rs. 11,633 crore. We will issue a revised press release to that effect. Thank you for bringing that to our attention.

Moderator : The next question is from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora : Sir, if I look in the Citi Financials for the business that Axis is acquiring for FY22, the PAT there is around Rs. 420 crore. And in the presentation that we had issued at the time of announcement of merger, the normalized PAT that we were looking at was Rs. 840 crore. So, just wanted to understand how should we look at this difference. Is it the cleanup that is happening? And does the Bank remain confident on its position for Citi business post-merger? That's the first.

And second was on the retail term deposits. And if you look at the last 4 to 5 quarters, the absolute value has not changed much. So, what's happening there? Are there any challenges in raising retail term deposits because of nonretail term deposit size is rising? So, those are the 2 questions.

Puneet Sharma : So, on the Citi Financial numbers, unfortunately, I do not have the Rs. 400 crore number that you're referencing. But just for clarity, we are buying the Citi Consumer business, which is part of Citibank India NA.

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Rohan Mandora : Actually, sir, the number that Rs. 420 crores that I'm taking is from the Citi India Financials where they are giving a separate disclosure of discontinued financials. And there, they are giving that number of Rs. 420 crores as part of discontinued business, that is likely to be sold off, that's why they are giving this. So, I'm assuming it to be the entire business that Axis is purchasing, and that's I think is given on the second last page of the Citi India Financials.

Puneet Sharma : Understood. The only clarification I can offer there at the moment is on the discontinued business, we need to see whether the discontinued business profitability is on a transfer price basis, or on an actual profitability basis. I will have a look at the disclosure and come back to you. The way our pro forma was prepared was it was Citi Bank India branches consumer business plus Citi Finance India Limited, which is the NBFC entity. We are buying both businesses. When we looked at the pro forma therein, we set certain costs. So, if you look at the footnote, we had clearly called out that we expect certain costs to disappear. On top of that, we had called out synergy benefits. That is an Rs. 840 crore number that we had called out. We'd be very happy to look at this disclosure. And once we've consummated the acquisition, we can build a bridge for you. But at the moment, I can't comment on how Citi has quantified its discontinued business' profitability. We stand behind our pro forma disclosure. We think it was well articulated and thought through, please.

Rohan Mandora : And on the retail -term deposits?

Ravi Narayanan : Thanks for that question on retail -term deposits. As Puneet had mentioned in his opening comments, retail -term deposits also determine the kind of outflow improvement that we have seen. Puneet had talked about 400 basis points improvement there. So, we continue to stay focused on ensuring that we use the retail -term deposits to improve the quality of franchise as we go ahead.

Even in the individual term deposits over the 9 -month period, we have seen a growth of 13%. So, it also indicates that we are moving

in the right direction. Having said that, we continue to work hard to ensure that we look at these retail -term deposits as a focus area for us. So, the indicators in terms of the way we are moving and the quality of franchise that Amitabh also alluded to in his opening statement, these are the ones where we continue to focus. Thanks.

Puneet Sharma : Thanks for your question. Just to supplement your answer while Ravi was answering your question, I've had a chance to look at the disclosure. I would guide you to look at the segmental disclosure that's referenced in the note. There is treasury profitability which sits there. So, that's on a funds transfer price basis, not an actual profitability basis. So, that may be the principal reason for the differential. Like we said, we stand behind our disclosure.

Rohan Mandora : Sir, sorry, if you repeat the last part.

Puneet Sharma : Yes. So, if you look at the geographic segment disclosure that Citi has put out, which is Page 70 of document you were referencing, at the head of the document, you will see that the segment is treasury, corporate banking, retail banking, other banking business. So, effectively, when you look at all Bank segmental disclosures, the businesses are disclosed on a funds transfer priced basis, not actual cost of fund basis. So, that's the principal cause of difference. So, you would need to read that disclosure holistically with our disclosure, please? But we will reemphasize this for you once we integrate.

Moderator : Next question is from the line of Pankaj Agarwal from Ambit Capital. Please go ahead.

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Pankaj Agarwal : Sir, you mentioned that you are PSL -compliant on marginal basis. So, does it mean that on price disbursement you are doing, you are doing 40% in PSL as well?

Puneet Sharma : Thank you for the question. What we said is we expect to be PSL -compliant for FY23. Our PSL compliance is a combination of organic business plus PSLCs.

Pankaj Agarwal : So, there's still a shortfall on PSLCs, right?

Puneet Sharma : There is no shortfall anticipated at a subsegment or headline level for FY23. The compliance will be organic PSL aided by PSLC purchases. So, there is no shortfall that we have indicated as of now.

Pankaj Agarwal : Sir, my question was more related to your RIDF bonds. So, if you continue to meet your PSL requirements, this number will come to 0 in a couple of years?

Puneet Sharma : So, we have previously stated that the duration-to-maturity of our RIDF portfolio is 4 to 5 years, and therefore, you would have to look at that tenure for the number to get to net zero. Obviously, in the same breadth, what I would say is no large franchise runs at net zero. So, we will need to wait and watch, but our endeavor is to get the number to the lowest possible value.



Pankaj Agarwal : And you said that the quality of your liabilities has improved. But if I see on a Q OQ basis, your bulk deposits have gone up. So, what I'm missing here?

Puneet Sharma : So, I think what Ravi was indicating is the way we measure quality of liability is outflow rate for LCR purposes. What you are seeing is a change in the composition of liabilities. For composition of liabilities, we look at proportion of CASA and TDs in the total book. So, Ravi's point was the quality of the stock liability has improved. We do take your feedback that NRTDs have grown faster than the core liabilities, but that's a composition effect, not a quality impact.

Pankaj Agarwal : But Puneet, that outflow should be a function of your retail and bulk deposits, right? More bulk deposits, more outflow, right? This is how the calculation needs to be done.

Puneet Sharma : That is correct. But in bulk deposits, you also have to factor noncallable bulk deposits. And again, if you look at the quality parameter, we have improved on the noncallable bulk deposit side also. Therefore, you will see

a cumulative quality improvement.

Moderator : Next question is from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh : Sir, just 2 questions. One is on your recovery. Was there any chunky recovery in this quarter?

Puneet Sharma : Thank you, Saurabh, for your question. No, no chunky recovery this quarter.

Saurabh : Sir, just on this third-party fees, how should we think about this momentum going ahead? I mean quarter-on-quarter it's pretty good. How would you think about the growth here?

Ravi Narayanan : I think while it would be difficult to give a future looking guidance on that. But in terms of the fact that as you have seen, we have maintained robust growth on the third-party fee line. It's a combination of multiple products. So, there will be always one or the other

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at play at all times. And therefore, we continue to believe that what we have

demonstrated in terms of the growth indicates the strength of the franchise. Thank you.

Moderator : Next question is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal : Just 2 bits on my side. One, in terms of your slippage that you'd probably talk about one-off of prudential in nature. And in that context, you have made around Rs. 315-odd crores of provisions as well. Which segment does it belong to? What I do essentially mean is when I look at your overall retail segment GNPA of that has gone up. And in that context, when I look at your LAP portfolio, from a growth perspective, that has also gone down. Is there something write-off that we have taken in that segment? If you could just highlight this.

Puneet Sharma : Thank you, Prakhar, for your question. The prudent onetime nonrecurring items are large accounts. So, they don't affect the retail segment.

Prakhar Agarwal : The second is, when I look at your retail growth, which is around 1% on a sequential basis. And when I look at your fee growth, which probably even adjusting for this third party, which is around 11%. What is driving and what is our outlook on that particular line item?

Puneet Sharma : So, I think Prakhar, the way you should think about retail fees is the product mix that we are delivering. So, while the headline growth has been 1% sequential quarter and 17% year-on-year, the mix has seen a positive shift that continues to yield better fees for us. And that's why you're seeing a divergent performance between fee growth and asset growth. And like Sumit said, in our assessment, it is a function of timing of disbursement. And Sumit earlier alluded on the call saying that let's monitor how this progresses through Q4.

Prakhar Agarwal : And just 1 last bit, if I can squeeze in. On the margin, so if we don't expect any further rate hikes from RBI, when do you see your margin is probably peaking out? Or probably the other way of saying is when you see your cost of funds picking over probably incrementally negating the benefits of margin yield?

Puneet Sharma : So, Prakhar, we don't offer short-term NIM guidance. But broadly speaking, if you look at the contributors to our NIM improvement, there are 3 big contributors. One is the structural drivers for NIM improvement, which I discussed earlier in the call. The second is the pricing discipline that we have brought through across all of our businesses. And third is the cyclical rate hikes where asset repricing has led liability repricing in this cycle. We fully appreciate and we ourselves have indicated that we expect deposits to reprice through quarter 4 of the current financial year and further in quarter 1 of the next financial year. The outlook that we are offering is we've built a cushion over our structural NIM. 2 of the 3 drivers of our NIM journey still have an ability for us to control and that should serve as some offset to the rate pressure that we see on the deposit side coming forward.

That's how I would request you to think about our NIM journey.

We do not have specific guidance for a point in time NIM as we speak.

Moderator : Next question is from the line of Rakesh Kumar from Systematix Group. Please go ahead.

Rakesh Kumar : Just 2 questions. Firstly, like how do we read this that our total investment portfolio having gone up as a percentage to NDTL broadly on a sequential basis on the last 5 quarters. And the non-retail deposits has gone up by 21%. So, what is happening there

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basically on the asset and liability side? So, why so much frictional liquidity that we are keeping on the book?

Neeraj Gambhir : This is Neeraj Gambhir here. So, our investment portfolio largely comprises government securities. And there is some bit of corporate bonds as well. It's basically high-quality liquid assets that we need to maintain for our LCR. And if you look at our average LCR over the last 4 quarters, it has been between 114% to 120%, 121% average. So, essentially, the size of the book is moving in line with the LCR requirement of the balance sheet, which is a function of how the deposit book grows.

Rakesh Kumar : And secondly, the similar kind of things, if you look at the excess SLR number, that has gone up actually in this quarter on a sequential basis to Rs. 60,000 crore from Rs. 55,000 crores. So, like is there any plan to reduce IDR ratio and increase like CD ratio is already on the higher side. So, what is your plan? How are we planning to reduce this IDR?

Neeraj Gambhir : So, main decision point on the liquidity is basically the LCR. Excess SLR is basically a disclosure that we give. Now the major driver of liquidity management is LCR ratio. And therefore, I would guide you towards looking at the LCR ratios to look at what is the liquidity on the balance sheet. As I mentioned, over the last 4 quarters, we have been ranging between 114% to 121%. So, it's very well sort of within a range kind of LCR that we maintained.

Rakesh Kumar : And would it be right to understand that this kind of excess SLR we will have to continue considering the previous quarter, NSFR number and LCR number of this quarter?

Sumit Bali : So, the LCR dynamic is different from SLR. SLR is a fixed percentage, 18%, whereas the LCR requirements are dependent upon the deposit composition. Depending upon how the deposit composition changes, the LCR requirement moves up and down. Suffice it to say that for most banks, including us, the LCR requirements are higher than what is the kind of government securities are required to be held for SLR.

Moderator : Ladies and gentlemen, we'll take the last question from the line of Jai Mundhra from B&K Securities. Please go ahead.

Jai Mundhra : Sir, first, if you can elaborate this one-off or nonrecurring prudent item, which has impacted slippages and provisioning? Because I remember we had already boxed all the risky assets, and we had provided adequately there.

Puneet Sharma : Thank you for your question, Jai. This is not an ad hoc provision. The one-off item is illustratively and let me explain one of the items for you, so you get full color. It's an account which is not 90 days past due. This is our risk assessment. We have prudently downgraded that account, and we have applied our rule-based provisions to that downgrade. And therefore, the only prudent decision was to downgrade an account that was not 90 days past due. Other than that, our rule engine kicks in and makes provisions. There is no discretion beyond that. So, this is nothing to do with legacy assets. Our legacy assets are fully provided for as we have called out. This is an action that has happened in the current quarter.

Jai Mundhra : And this is funded exposure, right? Nothing to do with guarantee, et cetera.

Puneet Sharma : This is funded exposure. There is linked non-fund-based exposure also. And like I said,

our rules apply to both, fund plus non-fund, and therefore, provisions would have got triggered for both.

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Jai Mundhra : And second question, Puneet, on the sustainability of the ROA, right? So, our GPS strategy also emphasizes a lot on sustainability. Over the last, let's say, 4 quarters, we have seen ROA now coming to 1.9% versus 1.3%, 1.4%. And the same delta has come or even higher delta has come from margins, which are now, let's say, historic high. As we go forward over the next 4 quarters, probably these margins will decline, then how do you address the sustainability of the headline ROAs.

Amitabh Chaudhry : So, Amitabh here. Whatever we've been trying to do since we launched the GPS

strategy is to build a sustainable business. And what we are very conscious of is that while we had broadly talked about the ranges on NIM, we have never given a guidance on ROA, but we had definitely given a guidance on NIMs and ROE. Our intention is once we get to a certain zone to work very hard to stay there, this is not something which we're trying to do in the short-term and hope that when the numbers come down, we'll do nothing about it.

So, we are obviously continuing to work on all our levers possible, looking at what might happen in the market in the future and ensure that we can sustain the overall performance. I'm not guiding ROA, I'm not guiding anything else. I'm just saying that the idea was to hit 18% ROE, and we will work very hard to stay there. We fully well know that there are factors which are working against it also in terms of the rising cost of deposits, but we are trying to go to use every possible lever to ensure that we sustain the performance. And again, this is not a guidance for next quarter or next year, just saying how we are looking at the business and how we're sustaining it.

Jai Mundhra : And Puneet, just to understand this one-off, this is the entire exposure you have already put out and have provided 100%. And if you can also mention the sector because this is like on a large scale, this is coming for the first time in the last 1-2 quarters across banks. So, if possible, if you can share the sector of that exposure.

Puneet Sharma : Thank you. We don't comment on sector or name specific exposures. To your first question on whether it's fully provided, I will go back to a comment I made earlier. It's been provided as per our rule engine, and our rule engines are reasonably conservative. That's where I leave that response.

Moderator : Thank you very much. I now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma : Thank you, Nirav. Thank you, everyone, for taking time this evening to speak with us. It's been a pleasure. If there are any questions that remain unanswered, our teams will be available to assist you with those. Good evening and have a nice day.

Moderator : Thank you very much. On behalf of Axis Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Axis Bank's Q4FY23 Earnings Conference Call  
April 27, 2023

## MANAGEMENT :

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. NEERAJ GAMBHIR – GE & HEAD - TREASURY, MARKETS & WHOLESALE  
BANKING PRODUCTS

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Moderator: Ladies and gentlemen, good day, and welcome to the Axis Bank Conference Call to discuss the Q4FY23 Financial Results. Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceedings of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have Mr. Amitabh Chaudhry, MD and CEO; and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Chaudhry. Thank you, and over to you, sir.

Amitabh Chaudhry: Thank you, Neerav. Good evening and welcome everyone. We have on the call Mr. Rajiv Anand, Deputy Managing Director; Mr. Puneet Sharma, CFO; and other members of the leadership team.

We have had a solid year of performance built on our GPS strategy with meaningful upward shift in trajectory on key business parameters every quarter. More importantly, the investments in building blocks that we have made in this period on customer experience, digital capabilities and people give us the confidence in sustaining this performance. We delivered strong growth across our focus segments, completed successful acquisition of Citi and retained our leadership position in specific businesses like credit cards, wealth management and Digital. This has been possible through the collective efforts of our employees and partners who served the needs and aspirations of our customers. We are carrying the confidence and momentum of having checked the boxes on growth, profitability and sustainability over the past year into FY 24.

We continue to stay on course on three core areas of execution of our GPS strategy namely :

- A. Embedding a performance driven culture
- B. Strengthening the core
- C. Building for the future

Let me now discuss each one of these in further detail:

- A. Embedding a performance driven culture

## 1. Improving profitability metrics:

During the quarter, we completed the acquisition of the Citibank India Consumer Business, a landmark in the Indian banking industry.

This was a large and complex transaction, including cards, wealth, deposits and assets businesses, which we have completed in an accelerated time line within 7 months after the CCI's approval.

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To that effect, we have taken non-recurring one-time charges reported as exceptional items, details of which would be provided by Puneet subsequently. Our consolidated annualized ROE (excluding exceptional items) for Q4FY23 stood at 21.58%, up 500 bps YOY and 177 bps QOQ. We also delivered our aspirational Consolidated ROE (excluding exceptional items) of 18.84% on a full year basis.

Let me highlight the key trends for Q4.

- o Net interest income grew by 33% YOY and 2% QOQ. Net interest margins improved 73 bps YOY.

- o Core operating profit grew by 46% YOY and 3% QOQ.

- o PAT (excluding exceptional items) stood at Rs 6,625 crores was up 61% YOY and 13% QOQ.

## 2. Lifted the growth trajectory and consistently gained market share:

- o Deposits and Advances

- ✓ The domestic loan book grew by 23% YOY & 13% QOQ and deposits grew by 15% YOY and 12% QOQ with CASA ratio at 47% up 215 bps YOY and 261 bps QOQ respectively and Retail term deposits up 5% QOQ. We continue to grow faster than industry.

The foundation we have built on

customer centricity, rigour and rhythm to improve in these core business areas has meant a smooth upward growth trend that we feel confident to sustain.

- ✓ In credit cards, we were among the largest issuer (on net basis). Our card issuances for Q4FY23 stood at new quarterly highs of 1.13 mn taking the full year FY23 card issuances to 4.2 mn, up 8% YOY.

- ✓ We gained significant incremental market share of 26% in FY23 on merchant acquiring business. We launched "Digital Dukaan" a comprehensive digital offering for the merchant community.

- ✓ We are now ranked 2nd in the NEFT volumes market share (up from 4th)

- o Customer acquisition and Deposit Quality

- ✓ Our customer acquisition remains strong. In Q4, we added ~3 million new customer accounts, a growth of 23% YOY and 3% QOQ, taking the total no of accounts opened in FY23 to new highs of 10.8 mn, up 26% YOY.

- ✓ We have strengthened our Corporate Salary proposition significantly. We saw 33% YOY growth in new salary labels acquired and 20% YOY growth in salary account acquisitions in FY23.

- ✓ Our premiumization strategy and the recent acquisition of Citi portfolio has resulted in ~870 bps YoY increase in share of premium segment in Retail SA portfolio.

- ✓ Deposit quality has improved with outflow rates lower by 550bps on a YOY basis

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- o All round growth across businesses. Market leading growth in our focus segments

- ✓ Retail disbursements stood at new life time highs for the quarter and

the fiscal year as a whole. Retail loans grew 22% YOY and 14% QOQ. The Bharat loan portfolio grew by 26% YOY and 19% QOQ respectively. Unsecured Personal loans and Credit Card advances grew faster at 21% YOY and 97% YOY, respectively.

✓ MSME segment continues to remain a key growth driver for the Bank. The Mid Corporate book grew 38% YOY and 10% QOQ. The combined portfolio mid -corporate, SMEs and small businesses grew 32% YOY and now constitute 20% of the loan book, up ~ 629 bps in last 3 years. ✓ Domestic corporate loans grew 24%YOY and 11% QOQ. We have seen a healthy pick -up in demand for corporate loans. Demand is seen across capital structure and as One Axis, we are serving them through our range of products - working capital and term loans, bonds and equity. Importantly, this growth has come without any dilution of our risk guardrails. We have a reasonably good pipeline of transactions and are confident that the momentum will continue into FY24.

### 3. Fostering a winning mindset

We are winning more, and this is reflected in multiple external recognitions we received this quarter.

- o NEO, possibly, the most advanced Wholesale digital banking platform in India, continues to receive positive reviews from clients. During the quarter, the Bank won the Best BFSI Customer Experience award for Neo API Banking Suite and the Best BFSI MSME Support award for Neo Connect at the prestigious Dun & Bradstreet BFSI & Fintech Summit 2023. Project NEO also won the ET BFSI Excellence Award for Customer Engagement Initiative of the year.
- o We were ranked in the Top 10 of the Kincentric Best Employers in India survey and we were certified a Great Place to Work for the second consecutive year. Business Today has recognized us as the Top 7 Best Companies to Work for owing to our employee -friendly policies. These accolades demonstrate the impact of investment we have made on people and reflect the positive culture change in the Bank.

### B. Strengthening the core:

#### 1. Strong balance sheet with self -sustaining capital structure

- o Our balance sheet remains resilient. Our asset quality is now among the best in class with net NPA of 0.39%, high provision coverage of 81% and standard asset coverage of 1.42%.
- o We have net accreted CET1 capital (excluding the impact of exceptional items) of 69 bps in FY23.

#### 2. Building next

generation technology architecture, for wholesale digital banking

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- o I have spoken a bit about NEO already. Let me give some more colour on it. The outcomes in FY23 demonstrate a strong product market fit with our API led Cash Management and Trade proposition finding good acceptance.
- o Over 200 corporate clients are now experiencing the technology driven working capital optimisation benefits from NEO. Business outcomes have seen 3X growth in transactions along with 2X growth in throughput over last year.
- o In FY24 we have a strong pipeline of demand for Neo from our customers. We expect significant uptick in adoption and subsequent monetization of this platform. We have built the #1 rated consumer banking digital app in the world. Simply put, with NEO we aspire to replicate that success in wholesale bank.

### C. Building for the future

#### 1. Digital Banking performance continues to be strong

- o I have spoken about the next wave of digital capabilities that we are building in Axis 2.0. This is fully functional with over 20 products across liabilities, loans, investment products, insurance, and forex accounting for up to 5% to 85% of incremental sales for these products.

o If you take a view of Axis 2.0 balance sheet during the year – we grew CASA balances by 92% YOY, retail TD inflows by 89% YOY and retail loans up by 53% YOY.

o We scaled our Account Aggregator linked business significantly through the year and we also launched our Central Bank Digital Currency offering. We continue to enter strategic partnerships to expand our presence in the digital space .

2. Bank -wide programs to build distinctiveness

Bharat Banking growing from strength to strength

o Bharat Bank engine is humming with disbursements growing by 37%, book by 26% and deposits by 15% in FY23.

o The distribution footprint has been expanded to 2,137 Bharat Banking branches, complemented by the 60 thousand plus CSC VLE agents across the country.

o We have launched several new initiatives to strengthen our proposition in these markets -

o A digital co-lending platform has gone live with 5 more partners joining in. It will provide access to new customer segments and augment the PSL portfolio.

o Launched eKYC based CASA platform, enabling deepening of our liability products through partnership ecosystem.

Sparsh, our customer obsession program, is making an impact on our customer experience scores.

o We started the Sparsh build-out from Branches and Wealth Management segment of Burgundy and in the last 12 months, Sparsh has now been taken to all our Service touchpoints, all products and segments in Liabilities, Cards & Payments and to the Commercial Banking Group.

o This is a multi-year journey, and we will continue to invest here with the aim to cover the entire Bank in this Financial Year.

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Our subsidiaries continue to create significant value

o The 'One Axis' approach continues to reflect in robust performance of our subsidiaries. The total FY23 PAT of our domestic subsidiaries stood at Rs 1,304 crores.

o Having scaled up the business significantly in the last 4 years, we realigned and strengthened the leadership teams across our capital markets facing subsidiaries during the quarter to drive our next phase of growth.

On Citibank Consumer business integration:

We closed the transaction on 1st Mar 2023, in a smooth transition of business, without any service disruption for customers. Early traction from the Citibank customer base has been quite positive, and that is reflected through deposits from this customer set growing by ~4% since 31st January 2023.

In the past 2 months the senior management of the Bank, has engaged directly with several high value customers who have acknowledged the seamless transition, continuation of highest levels of service

and access to Axis Bank's

extensive network of branches, and wide product portfolio under the One Axis umbrella.

All the 1600 corporates for Suvidha salary accounts have been contacted and set up in our systems. We are activating them for additional locations of Axis, where Citi was hitherto not present. We have already started incremental onboarding on Axis Bank platform. There is strong interest from the erstwhile Citi Suvidha corporates for our comprehensive product suite.

All the Citi employees are now integrated into the Axis organization structure.

They are excited to be a part of the large Axis franchise and are looking forward to building new careers in a fast-growing platform. The business teams have started implementation of 20+ synergy initiatives in Q1FY24 identified across business units as we look to drive revenue and cost benefits.

In Closing:

In the last three years, we have strengthened our balance sheet and lifted the

key operating metrics significantly. We are well positioned to take advantage of the trends that are emerging in India: the 'China+1', MSME opportunity; the next-gen public digital infrastructure like account aggregator, OCEN and ONDC; and Bharat being an engine of growth for India.

We, at Axis Bank, remain confident on the growth opportunities in the Indian economy. We remain "watchful" over consumer demand and the global macros. But we feel confident that our franchise will grow at 400 to 600 basis points faster than the industry in the medium to long term. We are working hard in building an "all-weather" institution that will stand the test of time.

I will request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. Good evening and thank you for joining us. We continue to make good progress on our endeavour to be a stronger, consistent and sustainable franchise. We delivered on our aspirational consolidated ROE of 18% excluding exceptional items on a full FY 23 basis. We remain focussed

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on strengthening our core businesses and ensuring that our balance sheet is resilient across cycles. Amitabh has discussed the business and transformation projects, I will cover the salient features of the financial performance of the Bank for FY 23 and Q4 FY23, focusing on our :

1. Operating performance
2. Capital and liquidity position
3. Growth across our deposit franchise and loan book
4. Asset quality, restructuring and provisioning

The Bank is the legal owner of the Citibank India Consumer Business effective March 1, 2023, hence our reported numbers for FY 23 and Q4FY23 are not strictly comparable with respective prior periods. Charge to P&L emanating from prudent accounting choices aggregating Rs. 12,490 crores comprise (i) full amortization of Intangibles and Goodwill which is equal to the value of the purchase consideration paid/ payable for the acquisition of the Citibank India Consumer Business; (ii) the impact of policy harmonization on operating expenses and provisions; and (iii) one-time stamp duty on acquisition. These are non-recurring and one-time and have been charged to the P&L in Q4FY23 and reported as Exceptional Items. Details are provided by way of note 5 to the published AFR.

Please refer Slide 19 in the investor presentation, which provides a comparative analysis of key performance parameters as reported and without exceptional items. Additionally, slide 89 of the investor presentation provides annual and sequential growth rates with and without the Citibank India Consumer Business for advances and deposits.

In FY 23, our operating performance was strong across NIMs, fee, cost and credit cost lines. For full FY 23, on a reported basis:

1. NIM stands at 4.02%, improving 55 bps YOY
2. NII stands at Rs 42,946 crores, YOY growth of 30%
3. Fee stands at Rs 16,216 crores, YOY growth of 25 %, granular fee at 93% of total fee
4. Core operating profit stands at Rs 32,291 crores, YOY growth of 40%;
5. Cost to assets stands at 2.25%, increasing by 8 bps YOY
6. Cost to income (excluding exceptional items) stands at 46.1%, improving by 274 bps YOY
7. Credit cost at 0.40%, declining 32 bps YOY
8. PAT (excluding exceptional items) stands at Rs 21,933 crores, increasing 68% YOY
9. GNPA at March 23 was 2.02%, declining 80 bps YOY
10. NNPA at March 23 was 0.39%, declining 34 bps YOY
11. PCR% at March 23 was 81%, improving 613 bps YOY



- 12. Standard asset coverage ratio of 1.42%, All provisions by GNPA ratio of 145% improving 1329 bps
- 13. Consolidated ROA% (excluding exceptional items) at 1.82%, improving 53 bps YOY
- 14. Consolidated ROE% (excluding exceptional items) at 18.84%, improving 517 bps YOY
- 15. CET-1 accretion net of organic consumption, but excluding Exceptional Items was 69 bps

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For Q4 FY23, on a reported basis:

■ NII for Q4 FY 23 stood at Rs. 11,742 crores, growing 33% YOY and 2% QOQ

■ NIM for Q4 FY 23 stood at 4.22%, growing 73 bps YOY. NIM for the quarter was adversely impacted by ~ 6 bps as the Bank maintained ~ 13% higher average LCR in the current quarter as compared to the previous quarter.

■ Reported NII and NIM for the quarter include interest on income tax refund aggregating to Rs 85 crores, contributing 3 bps to NIM. The previous quarter included a one-time interest recovery on restructuring of an existing NPA account aggregating Rs 149 crores, contributing approximately 5 bps to the previous quarter NIMs.

■ As previously indicated, we saw an increase in deposit costs in Q4 FY23 and we expect deposit costs to increase further in Q1FY24. We have cushion of ~ 40 bps over our guided structural through cycle NIMs and our endeavor will be to retain as much as possible of this cushion.

■ We had clearly articulated the drivers for our NIM improvement journey, the progress against the key drivers in this quarter is as follows:

o Improvement in Balance sheet mix: Loans and investments comprised 86% of total assets at March 23, improving 242 bps YOY;

o INR denominated loans comprised 95% of total advances at March 23, improving 340 bps YOY;

o Retail and CBG advances comprised 69% of total advances at March 23, improving 150 bps YOY;

o Low-yielding RIDF bonds declined by Rs 11,089 crores YOY. RIDF comprised 2.3% of our total assets at March 23 compared to 3.5% at March 22. We are PSL compliant across all sub segments and at the headline level in FY 23.

o Composition of liabilities measured through average CASA% improved 66 bps YOY

o Quality of liabilities measured by outflow rate improved ~ 550 bps YOY

■ We had strong all round fee performance in the quarter. Our fee income stood at Rs 4,676 crores, growing 24% YOY and 14% QOQ. 93% of the fee is granular.

o Total retail fee grew 31% YOY and 14% QOQ

o Fees from retail cards grew 50% YOY and 9% QOQ

o Fees from retail loans grew 22% YOY and 12% QOQ

o Fees from retail forex exchange and remittances grew 25% YOY and 22%

QOQ

o Wholesale lending fee grew 27% QOQ, and treasury fee grew 25% QOQ

■ Trading profit for the quarter stood at Rs 83 crores compared to a profit of Rs 428 crores in the previous quarter and profit of Rs 231 crores for same quarter

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last year. 84% of the corporate bond book is rated AA+ and above and 99% is rated A - and above.

■ Operating expenses for the quarter stood at Rs. 7,470 crores, growing 14% YOY and 9% sequentially.

o The YOY increase in rupee crore expenses can be attributed to the following reasons: (i) 28% linked to volume; (ii) 34% technology and growth related (iii) 16% related to integration expenses and (iv) balance 22% to BAU.

o Technology and digital spends grew 27% YOY and c

onstituted ~ 8.7% of total operating expenses.

o Staff costs increased by 15% YOY and declined 5% QOQ. We have added 6,083 people from same period last year mainly to our growth businesses and technology teams. The decline in staff expenses in the quarter is largely attributable to true up of provision for variable pay accrued in earlier quarters of the current year, no longer required. We continue to hold social security code provisions aggregating to Rs 228 crores.

■ Cost Income ratio (excluding exceptional items) for Q4FY23 is 45%, improved 553 bps YOY. The sequential change in cost / income ratio can be attributed in a large part to lower trading income and incurring of integration expenses relating to the acquisition in the month of March 2023.

■ Operating expenses to average assets stood at 2.25%, higher by 8 bps YOY and 1 bps sequentially. We remain committed to consciously invest in our focus business segments. The lower credit cost over the past few quarters has provided some headroom to run operating costs at a slightly elevated level.

■ The acquired Citi business is entirely retail which understandably runs at a higher cost and return ratios. The Citi business is RoE accretive post integration. The cost ratios will remain sticky till the Citi integration phase is over. This doesn't impede our ability to deliver our aspirational RoE.

■ Operating profit for Q4 FY23 is Rs 9,168 crores, increasing 42% YOY

■ Core operating profit for Q4 FY 23 is Rs 9,084 crores, growing 46% YOY and 3% QOQ.

■ Provisions and contingencies for the quarter were Rs 306 crores, declining 69% YOY and 79% QOQ. The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

■ Annualized credit cost for Q4 FY23 is 0.22%, declined 10 bps YOY and 43 bps QOQ

■ Profit after tax (excluding exceptional items) stood at Rs 6,625 crores, growing 61% YOY and 13% QOQ

■ Consolidated ROA (annualized, excluding exceptional items) for Q4FY23

stood at 2.18%, improving by 64 bps YOY and 18 bps QOQ. Subsidiaries contributed 8 bps this quarter.

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■ Consolidated ROE (annualized, excluding exceptional items) for Q4FY23 stood at 21.58%, improving by 500 bps YOY and 177 bps QOQ. Subsidiaries contributed 46 bps to the consolidated ROE this quarter

■ The cumulative non NPA provisions at March 31, 2023 stood at Rs 11,928 crores, comprising (i) Covid19 related at Rs 5,012 crores; (ii) Restructuring provisions of Rs 812 crores, includes unsecured retail at 100% provision and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 2,276 crores and (iv) weak assets & other provisions of Rs 3,828 crores.

Our journey to be self-sufficient on capital is progressing well

■ The organic Axis business accreted 69 bps of CET -1 for FY 23. We consumed 191 bps for the Citibank India Consumer Business Purchase transaction, after accounting for purchase price, harmonization costs and stamp duty.

■ We have proposed a dividend rate of 50% or Rs 1 per share in line with the dividend rate declared in FY22.

■ Our total capital adequacy ratio including profit but after proposed dividend for FY23 is 17.64% and our CET -1 ratio is 14.02%. The prudent COVID provision translates to a capital cushion of 51 bps over and above the reported capital adequacy.

■ Our average LCR ratio of the quarter was ~ 129% as compared to 116% in the previous quarter. Our excess SLR was Rs 75,071 crores.

■ The RWA% of the Bank at March 31, 2023 stands at 65%, improving by 75 bps QOQ.

Growth across our liabilities and loan franchise

Amitabh has discussed the progress in customer acquisitions, growth in the liability and loan franchise in his opening remarks. Please refer slides 33 and 34 for details around the quality of our liabilities franchise

and slides on our

loan franchise

Our CASA ratio on MEB basis was 47%, improving 215 bps YOY and 261 bps QOQ

Our loan book continues to get more granular and witnessed strong sequential growth. The book is well-balanced with retail advances constituting 58% of the overall advances, corporate loans at 31% and CBG at 11%. ~68% of our loans are floating rate. ~42% of our fixed rate book matures in 12 months.

The break-up of the floating rate loan book by benchmark type and MCLR re-pricing frequency is set out on Slide 25 of our investor presentation. Retail book

■ Retail advances grew 22% YOY and 14% sequentially, ~ 78% of the book is secured, unsecured disbursements for the quarter constituted 20% of the total disbursements.

■ Q4FY23 Retail disbursements for HL grew 43% QOQ, Rural disbursements grew 56% QOQ, Small business banking disbursements grew 57% QOQ and PL disbursements were up 20% QOQ.

■ Cards and PL portfolio grew 97% YOY & 21% YOY respectively.

■ The credit card spends in Q4FY23 grew 57% YOY and 14% QOQ.

#### Wholesale Banking Coverage

We are progressing well in our endeavor to build a profitable and sustainable Corporate Bank. Details of rating composition, incremental sanction quality is set out on slide 49.

■ Corporate loan book grew 14% YOY and 6% QOQ.

■ The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 96% of the overseas standard corporate loan book in GIFT city branch is India linked and 92% is rated A - and above.

#### Commercial banking

■ The commercial banking book grew 23% YOY and 13% sequentially. The quality of the CBG franchise we are building and strong relation led approach is reflected through:

- o CBG CA deposits on QAB basis growing by 13% YOY.
- o Overall fees from CBG increased 29% QOQ.
- o 86% of CBG loan book is PSL compliant.

#### Coming to the performance of our subsidiaries

■ Detailed performance of the subsidiaries is set out on Slides 76 to 82 of the investor presentation.

■ The domestic subsidiaries reported a total annualized net profit in FY23 of Rs 1,304 crores. This translates into a return on investment of ~ 50%.

■ Axis Finance : Delivered strong growth as a full-service customer focused franchise offering retail as well as wholesale lending solutions.

- o In FY23, overall AUM grew 35% YOY. Retail book grew 67% YOY and now constitutes 41% of total loans up from 17% two years ago.
- o FY23 PAT grew 30% to Rs 475 crores, ROE of 17.9% and healthy CAR at 20.5%.
- o Strong asset quality with net NPA of 0.36% and negligible restructuring.
- Axis AMC: FY23 total investor base stood at 12.9 mn. Its FY23 PAT grew 16% YOY to Rs. 415 crores .
- Axis Capital: PAT for FY23 stood at Rs 142 crores
- Axis Securities : FY23, new client additions were up 28% YOY, broking revenues were up 9% YOY and PAT stood at Rs 203 crores.

#### Asset quality, provisioning and restructuring

■ The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide # 69.

■ Reported GNPA% improved 36 bps QOQ, Reported NNPA% improved 8 bps QOQ.

■ Recoveries from written off accounts for the quarter was Rs 823 crores.

■ Reported Net slippage in the quarter adjusted for recoveries from written off pool was negative Rs 147 crores of which retail was Rs 807 crores, CBG was

Rs 26 crores and wholesale was negative Rs 980 crores.

■ Reported Gross slippages for the quarter, including one -time day 1 impact of Citibank India Consumer Business was Rs 3,375 crores, lower 15% YOY and 11% QO Q. Further, for the quarter ~ 35 % of the reported gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded

ed in the same quarter.

■ Reported Net slippages for the quarter were Rs 676 crores of which Retail was Rs 1179 crores, CBG was Rs 112 crores and WBCG was negative Rs 615 crores.

■ Details of BB and below pool and restructuring have been provided on slide 90 of our investor presentation.

• Banks are required to report the Digital Banking Segment as a sub -segment within the existing "Retail Banking Segment" from Q4. This disclosure includes the business and related income sourced through the Digital Banking Units along with other products and services based on the definition of Digital Banking as stated in the RBI circular. Axis 2.0 which we have previously discussed is completely digital and is not comparable to this disclosure. To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- o Our franchise is strong, resilient and getting more sustainable, visible through (i) organic axis business CET 1 accretion excluding exceptional items of 69 bps in FY 23; (ii) our covid provision buffer of 51 bps of capital, (iii) overall coverage at 145% of GNPA, and (iv) limited covid restructuring at 0.22% of GCA.

- o Consistent delivery across our key initiatives and disciplined execution in our focus segments has resulted in our consolidated ROE (annualised excluding exceptional items) for the quarter standing at 21.58%, improving by 500 bps YOY and 177 bps QOQ. We delivered above our aspirational consolidated ROE on a full FY 23 basis.

- o Our liability improvement journey is progressing well with our Q4 QAB and MEB CAS A ratio of 44% and 47% improving 80 bps and 215 bps respectively on a YOY basis. Our Liability franchise is getting granular and reduction in outflow rates gives us comfort that we have laid a good foundation. Improvements planned over the next 8 -9 quarters should deliver results with some inter quarter fluctuations which are normal for a business of our scale and size.

- o While we are well placed in the current macro environment, we continue to closely monitor geopolitical environment, inflation both domestic and international, liquidity risks and its impact on cost of funds, resultant policy action and its impact on our business and our clients businesses.

Thank you. We will be glad to take your questions now.

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Moderator : We will now begin the question -and-answer session. The first question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania : So, my first question is that this would include 1 month of Citi's income, right? I mean Citi's P&L?

Puneet Sharma : Thank you, Mahrukh, for the question. Yes, it would include the Citi P&L for the month of March.

Mahrukh Adajania : And my other 2 questions are, firstly, on operating expenses. Basically, you've given a breakup in the notes to accounts of Rs . 5 billion for provisions and for OPEX on harmonization. That is part of the Rs. 20 billion or Rs. 15 billion Citi - related OPEX over 2 years that you had pointed out?

Puneet Sharma : No, Mahrukh. I think what we have given in the AFR Note 5 is the cumulative exceptional items of Rs. 12,489 crores, of which, we have said operating expenses is Rs. 129.33 crores and stamp duty cost is Rs. 180 crores. This is

transaction-related expenses. I had specifically called out in our communication previously that we will incur integration expenses of Rs. 1,500 crores post tax over the next 18-month period. Therefore, the Rs. 12,489 crores does not include integration expenses. Integration expenses are recurring and integration expenses are, therefore, sitting in the operating expenses line on a reported basis this quarter.

Mahrukh Adajania : Got it. And my last question is, so I know that you said that you'll grow 400 to 600 basis points above the sector. But what's your view on sector growth and

deposit growth specific to your bank, right? And also, how that translates into branch expansion? Because the HDFC Bank is likely to set up many more branches. Would you want to scale up your branch expansion given that deposits are getting tight in the system?

Amitabh Chaudhry : So, Mahrukh, we don't give guidance for next year. I think what we consistently maintained through our analyst commentary has been that we are very confident that in the medium to long term, given the platform, given where we stand, we can grow 400 to 600 basis points faster than the industry.

As far as the overall credit growth and the deposit growth is concerned, I think you have already seen that the credit growth has come off a little bit. Our projection for next year on the credit side for the system is 12% to 13% and our deposit growth is expected to remain in the same zone as well it is today. So, the numbers speak for themselves. This potentially is not sustainable over a long period of time that we have a deposit growth, which is lower than the credit growth. And as I said, we maintain the stance that we will be able to grow at a certain rate.

Your second question was around branches. As far as branches are concerned, I think we have maintained a pretty consistent stand that we believe that the combination of opening new branches, our mobile app, which for us is the largest brand for us, the fact that we have these business correspondent relationships, the fact that we have expanded our VLE network is a way to

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reach our customers in different forms, in different ways, and we will continue to build on that strategy.

We are, at this point in time, quite clear that we expect to add up to 500 branches this year. Obviously, we keep calibrating our thought process around it as the year will move on. We would obviously like to get them out of the way as quickly as possible. We do not want to react to what others are doing. We want to do what we believe will be the right way to grow our business and grow our deposits and reach our customers in a particular way. And that's what we will continue to do as we move forward. But yes, it is very important to look at what others are doing and keep calibrating our strategy on that basis, and we will continue to do that as we move forward. If there is a change in that strategy, we will obviously let you know.

Moderator : The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : So, my question was with respect to yields and on a calculated basis despite whatever you have mentioned with respect to increase in retail plus SME and maybe the lending profile, which we have. Still, there is not much of an increase on a QOQ basis on yields. So, one is in terms of the excess liquidity. But what could be the other reason for that, yes?

Puneet Sharma : Kunal, thank you for your question. What I've clearly called out earlier for your consideration is there is a 6 basis points impact on net interest margins because of the 13% higher average LCR maintained through the quarter. That effectively should explain any bridge that you are trying to work through.

Kunal Shah : But ideally with this lending profile, in fact, yield expansion should have been higher on a QOQ basis, maybe 6 bps plus, no improvement on a calculated basis. So, that still seems to suggest a slightly lower number, yes.

Puneet Sharma : So, Kunal, instead of specifically getting into the competition you are running, my request would be for you to look at what we have disclosed on Slide 25 of our investor presentation. We have clearly said that our loan spreads have expanded by 4 basis points as per our computation on an average basis. And

overall, we feel comfortable with the loan yields that we are currently running at for the book that we have.

Kunal Shah : And any reason for

running LCR at 129% and excess SLR at Rs. 75,000 crores?

Neeraj Gambhir : If you look at the historical LCR that we have maintained, it has been in the region of 116% to 121%. This quarter was 129%, so about 8% extra. Part of this is explained by the fact that we had to pay for Citibank acquisition of about Rs 12,000 crores, for which we were carrying excess liquidity. Partly, we had a much better outcome on cash flow side depending on some of the transaction banking -related flows that we received. So, that resulted in a much higher balance in current account and a much higher holding in government bonds. So, both of these have contributed towards this increase in the LCR of 129%. I think it will normalize over the next 2 quarters.

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Kunal Shah : And last question is on write-offs being higher. So, is there anything to do with the acquired Citi portfolio because NPAs are given separately, but any impact of Citi on write-off?

Puneet Sharma : Kunal, the entire Citi portfolio is retail led, and I have a rule-based policy of writing off retail loans that I have discussed with you previously. Given that the portfolio was just acquired a month ago, there would be limited to no impact of the Citi portfolio and our rule-based write-off.

Kunal Shah : Okay. So, Rs. 2,400 crores is entirely Axis Bank standalone?

Puneet Sharma : Across all 3 segments.

Moderator : Next question is from the line of Adarsh from CLSA. Please go ahead.

Adarsh P. : Congrats. First is on OPEX. I just wanted to understand, as you get into FY24, you'll have a full year of higher OPEX business costs running in, you'll add branches as well. And overall, the cost to asset of acquired Citi business would be more. So, just wanted to understand, do you want to recalibrate your guidance of 2%? Or you think over a 3, 4-year period, you will get there?

Puneet Sharma : So, Adarsh, thanks for the question. I think it is very fair. What I have tried to do is if you reference Slide 28 of the investor presentation that we put out. We have given a broad sense of what our cost to assets for Q4 is, which is 2.25%. And then you see a dotted line, which is showing you a number of about 2.40%, this is post annualization of costs booked for 1 month. That should be a fair indication of the annualized impact across integration expenses and cumulative book taken over.

To the second part of your question, yes, we have a guidance out there which said we would expect to get to around 2% by FY25. We will work hard towards normalizing the number, but very clearly, the Citi business is entirely a retail business. Retail businesses run at higher cost ratios. And therefore, there should be a recalibration in all our minds to where that calculation will land at. That's probably how I would respond to your question. We have also said that against FY 25 exit, we are saying in the medium term, we stay committed to getting to the 2% cost to assets. It might be slightly later, but that commitment stands.

Adarsh P. : And Puneet just clarifying, the 2.4% number includes both the running cost, which is a higher OPEX business and the one-off integration costs, does that include both or that only includes the running costs?

Puneet Sharma : So, it includes both cases, the best estimate that we have currently.

Adarsh P. : And second thing is on margins. Let's say, we are at ~4.20% with some liquidity buffer. And we will get into the next 2, 4 quarters where cost of fund will catch up with yields, which had moved up earlier. So, just wanted to understand we had earlier indicated a margin bank. We had some fundamental improvement in our business also. So, what's your comfort zone on margin if I want to look 12 months out?

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Puneet Sharma : So, Adarsh, I think we stick by the fact that w

e don't guide what absolute margins are. But let me present a framework, let me help think through the issue. FY 23 full year, we have called out is 4.02%. We started on a low number. We ended on a higher number. We report on a quarterly basis, the numbers exist. Our Q4 annualized is 4.22%. And at a full year FY 23 NIM of 4.02%, I have delivered a consolidated ROE of 18.84% on a full year basis.

I go back to what I have consistently said. We have a 40 basis point cushion over the structural NIM guidance that we have. We will continue to work on the 5 initiatives that I have spoken to you about on improving our net interest margin. Yes, there will be a lag effect of deposit cost increase. We will endeavor to maintain as much as the cushion that we have built for a sustainable period. We do not guide a specific outlook for 12-month margins.

Amitabh Chaudhry : So, Adarsh, just to supplement what Puneet said, and he has said it, but I just want to emphasize it. We worked very hard to get here. And our endeavor, as Puneet said, would be to ensure that we continue to maintain as much of the cushion as possible. You know all the factors which are working against us.

Puneet has talked about the 5 kind of initiatives or potential ways and means we have to mitigate some of the rising cost of deposits. We also have the added benefit of the extra LCR, which we are carrying. Again, we'd not like to guide it, but please understand and appreciate that the endeavor of the management team is to remain in the zone as much as possible. But we know some things are working against us very clearly.

Moderator : The next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek Murarka : So, in the Analyst Day back in November, I think you had shown a slide where you had shown a movement of lendable deposits versus non-lendable deposits. And the lendable deposits had gone up, I think, 10% in the first half, non-lendable down about 17-odd percent. Can you give an update on how that has trended? Ideally, it would have improved further the mix?

Puneet Sharma : Abhishek, thanks for the question. The other way to look at the same data point is the reduction in outflow rates. As Amitabh called out in his opening remarks, our outflow rates on a Basel reported basis, are down by about 550 basis points. So, if we had an outflow rate of 25% to 26%, our rates would be in the 21% to 22% range now. That itself shows you the improvement in the quality of the deposits. As outflow rates decline, lendable deposits by implication increase.

Abhishek Murarka : Right. No, that's useful. Another thing is on the yield side, again, I had to come back to that. But if you look at just the yields on advances, is there any particular sector where it has become increasingly difficult to pass on yields because your loan mix has moved favorably in the last 4 to 5 quarters due to all the efforts that you've taken, but the yield is not reflecting a commensurate increase. So, is there any sector where you are finding it difficult to pass on the rates or any comment there would be helpful?

Amitabh Chaudhry : No. So, firstly, I am a bit surprised by the comment that there is no commensurate increase in yield. I mean we have worked very hard to increase

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our NIMs, which have moved from 3.4% to 4.2%, partly obviously one of the reasons I've been able to do it is we have been able to increase our yields and that is reflected. In our case, it has happened faster in comparison to some of the others because we pushed through some of these changes faster than some of the others. So, it can't be timed exactly as maybe to someone you might be comparing us to.

As far as generally, the overall business is concerned, we don't give some guidance on where the yields are falling, where the yields are up. But if you check the market, you



know that on the wholesale side, the pricing has been tough for quite some time, it's opened up a little bit now. Mortgage, every bank, every NBFC seems to be going after that segment. The pricing has always been tight there.

And as far as some of the other sectors are concerned, depending on which bank wants to drive growth in which quarter. So, you do sometimes see completion intensity, which is more than what we anticipated. That happens with the market all the time. But on a particular track, we have a certain strategy. We, as I just mentioned in the answer to the previous question, would like to ensure that we remain at a certain level, and we will be very disciplined about maintaining some of those metrics at those levels because we worked very hard over the last 6 to 8 quarters to get them there.

And as I said, we believe the platform which we have allows us to maintain the metrics of those levels. I am not giving you a very specific answer, but I think you need to understand the essence of what we are trying to do in Axis Bank.

Abhishek Murarka : Sure. And just one quick question on fee growth. The sequential movements have been very strong. How much of that is durable? And how much would you attribute to a, let's say, year-end effect, typically March would have a bunched-up effect?

Amitabh Chaudhry : First, everything we are doing in Axis is to try to build a granular business. Nothing is being driven one-off, onetime or pushing it towards end of the quarter or end of the month. Yes, you can have some transactions, some things which worked out and you had a little bit of a spurt. But otherwise, please understand and appreciate, the entire drive over the last 3.5, 4 years is to get everything granular so that we can repeat our numbers QOQ on a predictable basis.

As I said towards the end of my remarks that we are trying to build an all-weather institution that will stand the test of time. By doing this one-off thing, you don't create an institution of this nature. So, long answer, but please assume things are granular.

Moderator : Next question is from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh Kumar : So, just firstly, on the sustainability of the credit cost. So, recovery upgrade momentum is quite high this year. How should we think about it going into next year? Would you expect this momentum to start moderating? How do you think about your credit cost for next year?

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The second is, can you help us 1-month PPOP and profit of the Citi portfolio? And lastly, in terms of Axis Finance, the growth is very high, building off retail business of a low base. So, what kind of customer segments or retail business is being done back? These are the three ones.

Amitabh Chaudhry : So, let me answer the Axis Finance growth question first. I think yes, Axis Finance has been trying to grow the retail side of the business quite actively. They are into LAP, business loans, and I think they have built a niche for themselves based on some of the technology and the kind of customer end-to-end solutions they have developed. The portfolio quality is pristine at this point in time. They've also developed what they call emerging market business, which is more the SME side of things.

Their overall wholesale business continues to do well. Axis Finance has also sold a pretty decent portfolio through the year because they were getting very good rates, and that is also reflected in the P&L. We are quite positive about how that business is being built. And obviously, Axis Bank is very, very supportive of what they are trying to do. They intend to continue to expand the franchise as we move forward. Actually, they just completed 10 years and is one of the fastest-growing NBFCs if you look at in terms of the growth and profitability in our 10-year history. So, we are very

, very happy with what they have achieved.

Saurabh Kumar : On the credit cost?

Amitabh Chaudhry : On the credit cost side, before Puneet kind of jumps in, I would like to make one quick statement, that please understand and appreciate that we have pivoted to better asset quality. I think our numbers are reflecting better asset

quality. So, first is that somewhere we need to start getting rewarded for the fact that the asset quality has moved so well. So, the credit costs have gone down. And while I understand and appreciate the question that this current level of credit cost is not sustainable, I would also like you to appreciate that this pivoting which has happened in such a significant manner for Axis Bank will, over a period of time, hopefully reflect consistent lower credit cost in comparison to competition out there because that's exactly what we have done. Puneet?

Puneet Sharma : No, fully agree with Amitabh. Saurabh, thanks for the question. Broadly, the upgrade and recoveries are reflective on the net credit cost number. But if you even look at where our gross credit costs are that we show you a data point, which is over 15 years, and we show you every quarter. The gross credit cost itself has improved meaningfully, which is the point Amitabh was making that the underwriting strength of the franchise has clearly improved.

The last question that you had was Citi PPOP for 1 month. We are operating Citi India Consumer business and Axis Bank as one bank. And therefore, we will report as such. We don't intend to report Citi independently on go forward basis.

Moderator : Next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

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Rahul Jain : So, I was just circling back to the yields point. So, Amitabh, you said you've got the delta maybe slightly ahead of what others may have got. So, keeping in mind the loan book mix that we have got, which has MCLR and even some of the fixed trade portfolio as that is getting repriced at higher rates. But do you reckon that despite all of it, we have now started reversing the yields, I mean, are we going back on the cycle, given whatever competition that you talked about? Or we still have some room available to kind of maintain or push up this number?

Amitabh Chaudhry : Let me first start by saying we don't give any guidance.

Rahul Jain : No, I am just trying to understand the gist of it.

Amitabh Chaudhry : Yes. I'll try to answer. On one side, we have factors which are working against us, including repricing of deposits and slow deposit growth. On the other side, as Puneet has always mentioned that we have 5 factors at play where there is still some scope left to continue to push for improving our overall NIMs. Over and above that, if you look at within retail and wholesale, the growth, for example, if you combine the mid -corporate, the CBG and the business banking segment that have seen a meaningful increase in overall share in our overall earning assets. So, there is also a kind of a product mix factor at play.

While not giving guidance, we have stated quite vociferously that our intention is to try very hard to be in the zone where we are. Obviously, some factors could play up and result in some of the numbers going here and there. But our intention is to stay there. So, while not giving guidance, we are trying to say that we have factors working on both the sides. Let's see where we end up and we will continue to strive hard to ensure that our metrics continue to reflect all the hard work we have done. We also held by the fact that in the last quarter, our LCR has gone up and there is some play there also.

Rahul Jain : That's helpful, Amitabh. The other question was on just trying to understand the growth trajectory now that the integration may be going on full swing. How should we think about how the growth will

It look like over the next couple of quarters? When do we expect some delta to start reflecting from the Citi customers in the portfolios where they are significant?

Amitabh Chaudhry : So, we have taken it over as of March 1. We did not have any data before that, where we have got an idea of the customers. As we said, the senior management team has been visiting some of these customers and getting a sense of the customers out there. We have also mentioned that we saw 60 - plus synergy initiatives, which could be undertaken by Axis to the combination. I also mentioned that 20 -plus synergy initiatives are already in play in the first quarter and the synergy benefits are obviously around 3 things. They are

around deposits; they are around revenues and expenses. So, these things will play out through the year and beyond, because we also please understand, appreciate going through the transition to LD2 when all the systems, all the cards, every technology will be onboarded on to the Axis platform. So, while changing the wheels of the car, we are obviously pushing through the synergy benefit. There's a separate team which is working on it.

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There is a team of senior management people who are in charge of ensuring that the synergy benefits are delivered. So, if you are expecting an uplift, you should start expecting uplift coming through from the second quarter onwards. We are not guiding on what that uplift would be. But I am just telling you that the work is going on as we speak.

Rahul Jain : Just final question maybe to Puneet. On the cost side due to integration or rather the merger cost, the only thing that is now left is the integration cost, right, which is Rs. 1,500 crores over the next 18 months that you have alluded to a couple of times.

Puneet Sharma : Yes, Rahul, all one-time costs with respect to the purchase have been dealt with. The Rs. 1,500 crores is post tax and we will incur that over an 18 months period. That's absolutely right.

Moderator : Next question is from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M. B. Mahesh : I mean, sorry, I do have a similar question on the yield side. Post the acquisition of Citi, when we look at the next couple of quarters, is the housing yields reflecting the book at which you are carrying today and also for the credit card book and also on the deposit side.

Puneet Sharma : Mahesh, thanks for the question. I didn't fully catch it. Could you just help me with that question again, please?

M. B. Mahesh : I guess we just don't know at what yields were the portfolio acquired at. And when you compare that book with yours, is there room for improvement or would you see some pain as we go forward? When you look at the overall portfolio, both from a housing yield side, the kind of credit card book that you are carrying as well as term deposit and the savings account rate that they were enjoying.

Puneet Sharma : Understood, Mahesh. Thanks for clarifying. Just to set context, the total Citi asset book that came over was approximately Rs. 29,000 crores, that's about 3.5% of the total assets at Axis level. Of that book on a proforma disclosure basis that we did in January, Rs. 9,000 -odd crores was credit cards and the balance was mortgages, Auto, C V, etc.

So, first and foremost, on a cumulative number basis, will this move the yield insofar as the non-cards business is on Axis book yields? No. On a disbursement yield basis, I have said, we have decided to operate as one franchise, and therefore, disbursement yields should be consistent. We don't want to have internal competition vis-a-vis the customer. On credit cards, the Citi franchise, obviously, was a superior franchise in terms of both spends on cards and that we hope we will continue to sustain.

M. B. Mahesh : Okay. I'll take this question offline again. But the

second question. Amitabh,

you had kind of indicated there is a potential slowdown that you are seeing on the growth side. Any possible reason for calling it out this early? Is there a

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demand slowdown that you are seeing? Or is there any kind of risk that you are seeing out there that you are worried of?

Amitabh Chaudhry : Mahesh, I think the narrative on what is going to happen in the world has changed every one month. I think the comment you are referring to was at a

time when people were talking about rapid increase in interest rates globally because of what had been happening. After that, obviously, and this was going through the banking crisis. I think things have improved a little bit, though, again, we don't know. You know what is going on in the U.S. as we speak. I think the macro remains volatile and in a volatile environment to say everything is going to be gunge-ho and things are going to all look up and nothing else can happen, I think it would be a fool hardy on our part. So, what we are really saying is, on one side, we have a platform we can capitalize all the opportunity that comes our way, and we will grow at a certain rate above the industry. But at the same time, it is very, very important for us to be cognizant of some of the risks out there, which could play out and to reunite some of those risks as and when they emerge and to be able to change our path, our way to ensure that we don't get hit by unexpected risks and unexpected losses are the things that return the other way.

I am not expecting Indian economy to go south. I am just saying that if things were to slow down, if interest rates certainly were to rise, we could have potentially a problem in terms of how the risk could play out. So, the comment was set in that context. I think it has somehow been taken to mean that I am saying that there will be a slowdown. We are not seeing a slowdown. I think our numbers in this quarter very clearly reflect that the growth in all our asset classes have done extremely well. Even on the deposit side, I think we compared quite well to some of our peer banks, and we will continue to strive for it. But macro remains volatile, and we are very watchful. That's what I meant.

Moderator : The next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Thanks for the additional disclosure. I had a question on loan growth. So, while I understand that we don't give guidance, and we have the stated aim of growing 400 to 600 basis points ahead of the industry. For FY 23, if I exclude Citi, then we are very close to the industry. And this year, probably we had one of the best tailwinds for NIMs. So, I wanted to check as to what were the 2, 3 key constraints, which limited our loan growth to similar to industry level? And to what extent you think they have been addressed.

Amitabh Chaudhry : So, if you look at our numbers for the year, and I'll ask Puneet to supplement, our growth rate on the wholesale side was quite muted for the first 3 quarters because in a very calibrated way we realized, we were not getting the kind of pricing which we want. And we did not want to participate for the sake of participating in whatever transactions which we were coming our way. And we have been stating that quite consistently in the first 3 quarters. And then we saw the pricing kind of opening up. You saw that in the third quarter, we

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showed some growth in the wholesale side and the fourth quarter has shown even more healthy growth.

So, a large part of our book did not grow that much in the first 2 quarters and it was muted growth in the third quarter. Similarly, on the mortgage side, you would see that we have been quite cautious in the first couple of quarters because of the same reason. We

saw intense competition. We saw people were cutting prices. And again, we were quite cautious in terms of just going out there and offering loans at a certain rate, which did not make sense to us. As things have stabilized, I think we have demonstrated very clearly in this quarter that we can grow faster than the industry. As we have always said, you can't deliver 400 to 600 every year or in the medium to long-term basis, we believe that, that's the kind of growth we can demonstrate over a certain period of time. And that's the growth we are very confident we can deliver as we continue to move forward because we have the platform, we have the reach. We are digitizing extremely fast. We are seeing the impact of our products in the marketplace. We have gained market share across various asset classes. And that's where the confidence comes from. So, that's in nutshell kind of a long-winded answer to your question.

Jai Mundhra : And the second and last question. Sir, if you can talk about the pricing in your fixed rate book, right? So, over the last 12 months, repo rate and E BLR-linked products would have seen a 250 basis point upward revision. And I think MCLR-linked book would have also seen a 150 -plus kind of an upward revision.

What kind of upward revision in the yield would have happened for fixed rate book? And what kind of a scope do you see going ahead? Because it looks like that you are now more confident on growing the unsecured book. So, I wanted to understand the scope. I mean so far, what has been the yield rise in the fixed rate book? And how should one look at the yield on this particular book?

Puneet Sharma : Jai, thanks for the question. I'll respond to it in part , obviously, we don't disclose which is what is the yield on fixed rate book. The part that I would request you to consider is something I said earlier in the conversation. 42% of my fixed rate book matures in the next 12 months. That should give you comfort that if there is an uptick, it will get captured in the market space. We are very confident that we are not underpricing our selves to competition. Therefore, book yield should get captured.

Jai Mundhra : So, if you can specify, sir, a fair range or maybe a broad range within which the fixed rate book would have repriced at least on incremental basis. So, just to understand that is this 40% book gets repriced and what kind of a yield impact one could see if possible?

Puneet Sharma : Yes, I am sorry. We don't put that number outside. I actually wouldn't respond to that.

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Moderator : Next question is from the line of Anand Dama from Em kay Global. Please go ahead.

Anand Dama : So, when we look at our SM E book that's been growing at a pretty faster pace. This quarter, we have grown almost about 13% QOQ. So, one, what is there basically driving the growth? Which are the segments where we are going? And have we increased the yields on this portfolio in line with the increase in the repo rate ?

Rajiv Anand : So, point 1 is that growth in this segment over the last 18 to 24 months has been strong and continues to be so. The portfolio is very well diversified across sectors and geographically. We also managed from a risk perspective the ticket sizes that we do on a per company per corporate basis within this space. And as far as the yields are concerned, this book is linked to repo. So, therefore, the impact of higher rates as a result of the repo rate increases have been passed on.

Anand Dama : So, we have fully passed on the rate hikes or like there has been some back and forth like the customer comes back and basically we review the rate. Or there is competition as well, which basically leads to some kind of cut -off in the yields?

Rajiv Anand : They've been fully passed on.

Anand Dama : Sir, secondly the question is to Amitabh, particularly on the corporate growth

front. So, as you said that last year, there were some issues in terms of corporate growth but how do you see the corporate trade you are picking up this year? Can you provide some insights on that.

Rajiv Anand : So, we are seeing demand on the corporate side across multiple sectors, for example, in iron and steel, commercial real estate, infra, roads, and NBFCs. So, demand is quite robust at this point in time. We are also seeing a reasonably strong uptick in terms of private CAPEX . However, not all private CAPEX is being funded by bank loans, given the fact that corporate cash flows continue to remain strong. And corporates have de -levered, they are using their own balance sheet to fund CAPEX as well. So, demand continues to be strong and across multiple sectors.

Moderator : Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma : Thank you, Neerav. Thank you, everyone, for taking the time to speak with us

this evening . If there are any questions that we have not been able to take or clarify, we would be happy to engage with you and take them up subsequently. Have a good evening. Stay safe. Thank you.

Moderator : Thank you very much. On behalf of Axis Bank, thank you for joining us, and you may now disconnect your lines. Thank you.

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## MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. RAVI NARAYAN – GROUP EXECUTIVE , RETAIL LIABILITIES, BRANCH  
BANKING & PRODUCTS  
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MR SUMIT BALI – GROUP EXECUTIV E AND HEAD - RETAIL LENDING

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Moderator: Ladies and gentlemen, good day, and welcome to the Axis Bank Confer ence Call to discuss the Q 1FY24 Financial Results . Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom a n invitation has not been sent. Unauthorized dissemination of the contents or the proceedings of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during this conference call, please signal an operator by pressin g star then zero on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have Mr. Amitabh Chaudhry, MD and CEO; and Mr. Puneet S harma, CFO . I now hand the conference over to Mr. Amitabh Chaudhry. Thank you, and over to you, sir.

Amitabh Chaudhry: Thank you. Good evening and welcome everyone. We have on the call, Rajiv Anand – Deputy MD, Puneet Sharma – CFO, and other members of the leadership team.

We have begun the new fiscal year with strong operating performance across segments. The Bank's Q1FY24 profit after tax grew 41%, with consolidated annualized ROE at 19.44%, up 388 bps YOY. We also accelerated our progress in identified areas of distinctiv eness namely Digital, Bharat Banking and Customer Obsession while working on synergies from acquired Citi businesses. We remain watchful about the emerging macro variables, and we are fine -tuning our strategy to continue to deliver a sustainable and predic table performance.

We continue to remain focused on three core areas of execution of our GPS strategy namely:

- A. Embedding a performance driven culture
- B. Strengthening the core
- C. Building for the future

Let me now discuss each one of these in further detail:

#### A. Embedding a performance driven culture

There is visible improvement in the quality of our Deposit franchise

We have made significant progress in our journey towards improving the quality, granularity and premiumization of our deposit franchise over the last three years led by multiple Bank-wide transformational initiatives. Please refer to the slide number 18 & 19 in the investor presentation, the results of these initiatives are evident in the deposit performance

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- The Bank's Deposit franchise grew 400 bps faster than the industry with improvement in both quality and composition of deposits.
  - Low-cost CASA share is at 45.5% , compounding at 19% for the last three years.
  - In the last two years, the Bank's outflow rates (on Basel reporting basis) have seen reduction by ~ 460 bps and are now trending closer to the best in the Indian banking sector.
  - During Q1FY24. on a quarterly average basis,
    - ✓ Savings deposits grew 20% YOY & 10% QOQ and Current Accounts grew 17% YOY.
    - ✓ Total deposits grew by 15% YOY and 6% QOQ and term deposits grew 12% YOY and 5 % QOQ on the back of 21% YOY and 9% QOQ growth in average LCR accretive deposits for the quarter .
  - The micro market led strategy is making an impact with 52% increase in districts with market share gain in last 3 years
  - The granularity , quality and growth of deposit franchise has improved tremendously in the last three years . We continue to invest disproportionately here.
- All round growth across businesses . Market leading growth in our focus segments
- MSME segment continues to remain a key growth driver for the Bank. The combined portfolio of mid-corporate, SMEs and small businesses grew 32% YOY and now constitute 2

0% of the loan book, up over 600 bps in last 3 years .

- Corporate loans grew 25% YOY, led by a healthy pick-up from NBFCs, Retail Trade, Roads, Telecom Services, Textile etc. The disbursement pipeline for Q2 looks healthy. 70% of the pipeline is from Term loans and balance 30% from Working cap and Trade.
- On Retail, we are driving a balanced growth in portfolio leveraging our best in class digital and data analytics capabilities. The share of unsecured disbursement for the last four quarters has been in the 20-25% range.

#### B. Strengthening the core:

On Wholesale Banking, the transformation programmes that we started two years back are delivering client impact as we strengthen our capabilities in the Transaction Banking and Treasury segments.

- Our go-to-market traction on Project Neo is strong with contribution to revenues from transaction banking APIs (across Payments, Collections & Trade), treasury and CBG segments. The pipeline on Cash management and trade APIs continues to remain strong with 1000+ customers in engagement phase of which 250+ are in UAT stage.
- In addition to the strong product-market fit, Neo continues to get widely recognised in the market. The Bank bagged the award for "Best Product Innovation for Neo API Banking Suite" at Infosys Finacle Innovation Awards 2023 and Best API project at the Asset Triple A Awards .

#### C. Building for the future

Digital Banking performance is strong

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Our Digital 2.0 balance sheet continues to deliver strong growth with 56% increase in deposits and 60% increase in loans. Axis 2.0 is now roughly 5% of the Bank's overall business and we intend to increase contribution by 3-4x by fiscal 2027.

We have taken early leadership in leveraging platforms like Account Aggregator, ONDC, CBDC and OCEN (please refer to slide 46 of the investor presentation). Axis was the first bank to go live on the account aggregator platform as financial information provider (FIP). Since then, the bank has launched a number of use cases as a financial information user (FIU).

Today the bank offers personal loans, auto loans, two-wheeler loans, home loans, small business loans and credit cards leveraging the Account Aggregator framework. The amount of loans disbursed using the Account Aggregator framework grew by 220% in this quarter compared to same period last year.

- We launched 'One View', a multi-bank aggregator feature built in to 'Axis Mobile' app that allows users to get a consolidated view of all their balances from different banks, track all transactions and access statements at one place. It is a unique offering, first of its kind in the banking industry, and has seen more than 2.5 lakh registrations in the first 8 weeks of its launch.
- We continue our leadership in partnership and ecosystem models. We have more than 100 digital partnerships to fuel new customer growth. During the quarter, we partnered with Airtel and Flipkart to offer instant personal loans to their customers in less than 30 seconds.
- During the quarter, we partnered with the RBI Innovation Hub and launched 5-minute digital end-to-end KCC loans with instant loan account opening and access to funds. We also launched digital business loans for MSMEs leveraging RBI's Innovation Hub. We are also the 1st bank to launch a Central Bank Digital Currency merchant app., the first to launch an iOS app and among the first banks to offer partial interoperability with UPI QR.

. Bank-wide programs to build distinctiveness

Our big bet on Bharat is growing from strength to strength

- We have further expanded our distribution footprint to ~2,250 Bharat Banking branches that are complemented by a ~62,000 strong

CSC

VLE network. The CSC Q1 asset disbursements grew by 3x on a YoY basis.

- We are leveraging the tech stacks of agritech and fintech companies to serve the retail customer in Bharat. During the quarter, we went live with ITC MAARS, a multi-product partnership, offering opportunities for rural assets, retail assets, liabilities, forex across their large network of farmers and Farmer Producer Organization (FPO).
- Our digital co-lending platform is live with 6+ partners and we have more products and partners lined up to go live on the platform during this year.

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- Q1FY24 disbursements grew by 34% YOY, rural advances were up by 22% and deposits from Bharat banking segment grew 17% YOY. Sparsh, our customer obsession program, is making an impact on our customer experience scores.
  - It is now live across 100% of the Bank's branches & all service touchpoints
  - Over the last year, NPS in retail customer journeys has moved up to 130 & in wholesale to 133 over an indexed baseline of 100
  - We have an Industry-first 6-hour service promise for our Burgundy customers, available on our App.
- On Citibank Consumer business integration :

The Citi team is now well integrated, and the customers have seamlessly transitioned to the broader platform in Axis. This is demonstrated through the trends we are seeing across credit card spends, higher acquisitions and stronger term deposit mobilization.

We are also witnessing synergy benefits coming through – examples include improvement in monthly disbursements in the vehicle finance business, and the great response we have seen for new wealth management products, from the palette made available with the Axis group.

The ex-Citi colleagues have welcomed the opportunity to take on larger responsibilities within the Bank. Their annualized attrition is materially below the trend of the previous two years.

In Closing:

The Indian economy and the Banking sector are well placed in context of the global geopolitical and macro headwinds. The emerging trends with shift in global value chain mix, Indian Government's supportive policies and infrastructure for MSME, Bharat and Digital; will help the Indian banking sector. We, at Axis Bank, are well positioned to take advantage of these opportunities and believe that we have significant runway for growth. We remain focused on our GPS strategy and our areas of distinctiveness in building 'an all-weather institution that will stand the test of time.

I will request Puneet to take over.

Puneet Sharma: Thank you Amitabh.

Good evening and thank you for joining us. We continue to make good progress on towards building a stronger, consistent and sustainable franchise. We have strengthened our core businesses and are focussed on ensuring that our balance sheet is resilient across cycles. Amitabh has discussed the business and transformation projects, The salient features of the financial performance of the Bank for Q1 FY24, across:

1. Operating performance
2. Capital and liquidity position
3. Growth across our deposit franchise and loan book
4. Asset quality, restructuring and provisioning

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is as follows

Our operating performance was robust across NIMs, fee, cost and credit cost lines:

1. NIM at 4.10%, improving 50 bps YOY
2. NII at Rs 11,959 crores , YOY growth of 27%
3. Fee at Rs 4,488 crores , YOY growth of 28%, granular fee at 94% of total fee
4. Operating profit at Rs 8,814 crores , YOY growth of 50%;
5. Cost to assets at 2.32%, increasing by 8 bps YOY
6. Cost to income at 48.29%, improving by 417 bps YOY
7. Net credit cost at 0.50%, increasing 9 bp

s YO Y, largely due to lower

recoveries from prudentially written of accounts

8. PAT at Rs 5,797 crores , increasing 41% YOY
9. GNPA at 1.96%, declining 80 bps YOY and 6 bps Q OQ
10. NNPA at 0.41%, declining 23 bps YOY and flat Q OQ
11. PCR% at 80%, improving 233 bps YOY
12. Standard asset coverage of 1.39%, i.e. a ll provisions by GNPA ratio is 145% improving 1,134 bps YOY
13. Consolidated ROA% at 1.83%, improving 35 bps YOY
14. Consolidated ROE% at 19.44%, improving 388 bps YOY
15. CET-1 accretion net of organic consumption, was 36 bps

## Net Interest Margins

- Yields on interest earning assets have improved YOY and Q OQ. We however saw an increase in funding cost in Q1 FY24 by 114 bps YOY and 28 bps QOQ. As a result, NIMs improved 50 bps YOY and declined by 9 bps Q OQ. The balance 3 bps dec line in NIMs QOQ is attributable to interest on income tax refunds in Q4FY23 and nil in Q1 FY24. The marginal cost of deposits has stabilized over the last few months. We expect deposit costs to increase further over the remaining part of the financial year but the pace of deposit cost growth will most likely moderate.

- Our progress on structural NIM drivers continues, with improvements across all variables on a YOY basis:

- o Improvement in Balance sheet mix: Loans and investments comprised 88% of total assets at June 23, improving 113 bps YOY;

- o INR denominated loans comprised 95.64% of total advances at June 23, improving 324 bps YOY;

- o Retail and CBG advances comprised 68% of total advances at June 23

- o Low-yielding RIDF bonds declined by Rs 11,385 crores YOY. RIDF bonds comprised 2.29% of our total assets at June 23 compared to 3.58% of total assets as at June 22.

- o Composition of liabilities measured through average CASA% improved 151 bps YOY

- o Quality of liabilities measured by outflow rate improved ~ 460 bps over last 2 years

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- We had strong fee performance in the quarter. Fee income stood at Rs 4,488 crores, growing 28% YOY.

- o Total retail fee grew 37% YOY and 1% Q OQ
- o Fees from retail cards grew 60% YOY and 24% Q OQ
- o Fees from retail forex exchange and remittances grew 33% YOY and 12% Q OQ
- o Transaction banking fee grew 17% YOY and 4% Q OQ

- Operating expenses for the quarter stood at Rs. 8,232 crores, growing 28% YOY and 12% sequentially. It is pertinent to note that there were no Citi BAU expenses in Q1 FY 23 and only one month Citi expenses in Q4FY23.

- o ~ 21% of the YOY and ~ 28% of the Q OQ cost growth in rupee terms is attributable to integration expenses;

- o The balance YOY increase in rupee crore expenses other than above can be attributed to the following reasons: (i) 4% linked to volume; (ii) 57% linked to technology and growth related and (iii) balance 39% to BAU.

- o Technology and digital spends grew 19% YOY and constituted ~ 8% of total operating expenses.

o Staff costs increased by 23% YOY. We have added 8,366 people from same period last year mainly to our growth businesses and technology teams.

- Operating expenses to average assets stood at 2.32%, higher by 8 bps YOY and 7 bps sequentially. The acquired Citi business is entirely retail which understandably runs at a higher cost and return ratios. The Citi business will be RoE accretive post integration. The cost ratios will remain sticky till the Citi integration phase is over.

- Provisions and contingencies for the quarter were Rs 1,035 crores. The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

- Annualized Gross credit cost at 74 bps was lower by 5 bps YOY. Annualized net credit cost for Q1 FY24 is 50 bps, increased 9 bps YOY and 28 bps Q OQ. The increase in Q OQ net credit cost is attributable to higher seasonal rural slippages in the quarter and lower recoveries as compared to the previous quarter from p

rudentially written off accounts from the corporate portfolio.

- Subsidiaries contributed 3 bps to the consolidated annualized ROA and 27 bps to the consolidated annualized ROE this quarter

- The cumulative non NPA provisions at June 30, 2023 at Rs 11,848 crores, comprising (i) Covid19 related at Rs 5,012 crores; (ii) Restructuring provisions of Rs 708 crores, includes unsecured retail at 100% provision and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 2,296 crores and (iv) weak assets & other provisions of Rs 3,832 crores.

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Our journey to be self-sufficient on capital is progressing well

- Our total capital adequacy ratio including profit is 17.74% and our CET-1 ratio is 14.38%. We accreted 36 bps of CET -1 capital during the quarter. The prudent COVID provision translates to a capital cushion of 48 bps over and above the reported CET -1 capital adequacy.

- The RWA% of the Bank at June 30, 2023 stands at 6.7%.

Growth across our liabilities and loan franchise

Please refer slides 18 and 19 for details around the quality of our liabilities franchise and slides on our loan franchise

- o Our CASA ratio on MEB basis was 45.5%, improving 182 bps YoY

- o Our CASA ratio on QAB basis was 44.2%, improving 151 bps YoY and 31 bps Q OQ

- o Our loan book is granular and well-balanced with retail advances constituting 58% of the overall advances, corporate loans at 32% and CBG at 10%.

- o ~68% of our loans are floating rate. ~42% of our fixed rate book matures in 12 months.

Break-up of the floating rate loan book by benchmark type and MCLR re-pricing frequency is set out on Slide 10 of our investor presentation.

Retail book

- Retail advances grew 21% YOY and 2% sequentially, ~ 77% of the book is secured,

- Q1FY24 Retail disbursements for LAP grew 35% YOY, Small business banking disbursements grew 8% YOY and PL disbursements were up 26% YOY.

- Cards and PL portfolio grew 91% YOY & 21% YOY respectively.

- The credit card spends in Q1FY24 grew 78% YOY and 28% QOQ.

#### Wholesale Banking Coverage

We are progressing well in our endeavor to build a profitable and sustainable Corporate Bank. Details of rating composition, incremental sanction quality is set out on slide 35.

- Domestic corporate loans book grew 36% YOY and 4% QOQ.

- The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 96% of the overseas standard corporate loan book in GIFT city branch is India linked and 91% is rated A - and above.

#### Commercial banking

- The commercial banking book grew 24% YOY. The quality of the CBG franchise we are building and strong relation led approach is reflected through:

- o CBG CA deposits on MDAB basis grew by 13% YOY.

- o 88% of CBG loan book is PSL compliant.

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- o As our customers grow, we migrated ~3.6% of the CBG book as at March 31, 2023 to our CRG business. This will be a routine feature going forward.

#### Coming to the performance of our subsidiaries

Detailed performance of the subsidiaries is set out on Slides 68 to 74 of the investor presentation.

- o The subsidiaries reported a total Q1 FY24 net profit of Rs 303 crores, growing 16% YOY. The return on investment in domestic subsidiaries was ~ 45%.

Axis Finance : Delivered strong growth as a full -service customer focused franchise offering retail as well as wholesale lending solutions.

- In Q1FY24, overall AUM grew 28% YOY. Retail book grew ~1.5 times and now constitutes 43% of total loans

- Q1FY24 PAT grew 29% YOY to Rs 123 Crores, and healthy CAR at 18.6%.

- Strong asset quality with net NPA of 0.38% and negligible restructuring reflects the strength in balance sheet .

Axis AMC: Axis AMC's overall

I AUM grew 13% YOY to Rs. 252,203 crores,

Q1FY24 PAT grew 4% YOY to Rs 91 crores

Axis Securities : Axis Securities' broking revenues for Q1FY24 grew 24% YOY and PAT grew 14% YOY to Rs 45 crores

#### Asset quality, provisioning and restructuring

- Asset quality continues to improve with declining Gross NPA and largely flat net NPA. The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide # 59.

- Q1FY24 gross slippage ratio (annualized) stood at 1.87%, declining 18

bps YOY.

■ Gross slippages for the quarter was Rs 3,990 crores, higher by 8% YOY mainly relating to the retail book. Our CBG and CRG slippages are contained or improving both on a YOY and QOQ basis. Further, for the quarter ~ 38% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

■ Net slippages for the quarter were Rs 1,685 crores of which Retail was Rs 2,028 crores, CBG was Rs 64 crores and WBCG was negative Rs 407 crores

■ Recoveries from written off accounts for the quarter was Rs 554 crores.

■ Net slippage in the quarter adjusted for recoveries from written off pool was Rs 1,131 crores of which retail was Rs 1,639 crores, CBG was negative Rs 10 crores and wholesale was negative Rs 498 crores.

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To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- Our franchise is strong, resilient and getting more sustainable, visible through (i) organic axis business driven CET 1 accretion in the quarter of 36 bps; (ii) our covid provision buffer of 48 bps of CET -1 capital, (iii) overall coverage at 145% of GNPA, and (iv) limited covid restructuring at 0.21% of GCA.

- Consolidated ROE for the quarter at 19.44%, improved by 388 bps YOY. We have now consistently delivered an ROE in excess of 18% over the last 4 quarters through disciplined execution.

- We have laid a good foundation for our liability franchise. The improvement journey is progressing well with (i) our Q1 FY 24 QAB and MEB CASA ratio of 44.2% and 45.5% improving 151 bps and 182 bps respectively on a YOY basis; (ii) outflow rates falling by ~460 bps over the last 24 months. Improvements planned over the next 7-8 quarters should deliver results with some inter quarter fluctuations which are normal for a business of our scale and size.

- We are well placed in the current macro environment, we continue to closely monitor geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

Thank you. We will be glad to take your questions now.

Mahrukh Adajania : My first question is on opex. Sir, you clarified on the integration expenses. And last time also you had called out a number for integration expenses. And if you add both, then the integration expenses work out to roughly Rs 350 crores to Rs 380 crores per quarter. Is that the run rate we continue to expect in the next few quarters?

Puneet Sharma : Mahrukh, thank you for the question. Slide 13 of the investor presentation clearly calls out integration expenses for the quarter. It is Rs 385 crores. We have said that we expect to incur integration expenses over a period of 18 months aggregating to Rs 2,000 crores pre-tax, Rs 1,500 crores post-tax. That number stands. You may see some inter-quarter fluctuations, but we stand by the gross number of Rs 2,000 crores. And for the quarter, it is Rs 385 crores.

Mahrukh Adajania : Okay. But that run rate should broadly continue, right? Because I thought Rs 500 crores of that Rs 2,000 crores will be upfronted sooner than the Rs 1,500 crores?

Puneet Sharma : So Mahrukh, like I said, I think we said we will upfront some of the Rs 2,000 crores in the early four quarters. We are working to ensure that integration

is

smooth and is done in the fastest possible time. So directionally, yes, it's likely to be upfronted than back-ended. So your conclusion there qualitatively is

correct. The Rs 2,000 crore s number stands. The Rs 385 crore s number for the quarter stands.

Mahrukh Adajania : Okay. Thanks. Sir, my next question is on deposit mobilization through the rest of the year, right? Some banks still have excess liquidity. A lot of banks have not grown deposits this quarter but it intensifies from next quarter. So how do

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you view your deposit mobilization in the context of your margins from next quarter onwards?

And also, is the bulk of past repricing over now? So assuming no more rate changes, can we assume that margins have bottomed now?

Ravi Narayanan : Thank you, Mahrukh. This is Ravi. As far as the growth in deposits is concerned, it continues to be an effort across the banking sector, no doubt about it. But we continue to stay focused on what we have picked up as some of the elements of execution over the last few months, which is primarily focused on sweating the franchise and the distribution. We have been, as mentioned by Puneet and Amitabh, we have been looking at a district level approach where we are seeing t hat how do we ensure that district -by-district, we are focused on increasing our market share in deposits. At the same time, we are working towards the composition and quality of our franchise. We are not taking our eyes of that. And we continue to ensure that at all points in time, it is a relationship approach that we are taking so that we continue to focus on the customer behind the account. And therefore, create sustainability of the relationship as well as the liability. So overall, as we see, t he focus is on sweating the distribution that we have. And continue to focus on how every resource can participate and contribute. As far as the cost of funds is concerned, I'll hand it over to Puneet.

Puneet Sharma : Thank you, Ravi. Mahrukh, as you are a ware, we don't offer net interest margin guidance. Therefore, to your comment on where the margins will be at this level for the rest of the year, we can't offer a constructive comment.

Qualitatively, on cost of deposits, the marginal cost of deposits have stabilized for the last few months. We expect deposit costs to further increase over the remaining part of the financial year. But the pace of growth of deposit cost is most likely to moderate. So if you recollect, in the Axis context, we had a deposit co st increase that took place in quarter 4 of last year, followed by a deposit cost s or cost of funds increase in quarter 1 of the current year. We are seeing the pace of growth is likely to moderate for the rest of the financial year.

Moderator: Thank you. We'll take our next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : So the question was on excess SLR, wherein you have utilized almost Rs 18,000 -odd crores, you said like larger part of it could be utilized over next six months. So from Rs 57,000 -odd crores, how would be the utilization out t here? And the second question is on the employee's side. In terms of the cost increase which has been there on a quarter -on-quarter basis, how much would have been on account of the one -off due to the incentives which we have highlighted here?

Puneet Sharma : Thank you, Kunal, for the question. Let me start wi th your second question first on staff cost increase. Since you've asked the question on a sequential quarter basis, there are three elements that are playing through on a sequential quarter staff cost increase. One, you would appreciate that we purchased the Citibank

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business effective 1 , March. So the employee cost of all Citi employees in Q4 of FY 23 is for one mont

h. For Q1 of FY 24, is for three months. So in some sense, it's not an equitable comparison. That has contributed to staff cost

growth at one level.

The second element that has contributed to staff cost growth is, we've offered increments to our employees in quarter 1 as we do annually. And the increments are in line with industry numbers. Therefore, that's a second contributor to staff cost increase.

And the third element is, we've added incremental staff in our growth businesses and technology teams. So therefore, there is an annualization impact of last year's, specifically quarter 4 hires and incremental hires in quarter 1 that is contributing to the balance staff cost. There is a marginal impact of gratuity that has played through given where interest rates have moved. But those would be the four broad components on basis of which staff cost has increased.

Now on excess SLR, you made one comment and asked one question. My request is, I do not believe that between Amitabh or me, we said we will run through our excess SLR over the next six months. So I would just caveat your comment on the time frame. Our LCR numbers are 123%, gives us enough flexibility to grow our loan book as long as we get constructive opportunity. And as we reduce our LCR, excess LCRs will run off. We do not have a targeted guidance to run down excess SLR as a metric.

Kunal, I hope that covers both your questions but if there is something, happy to take a follow-up.

Moderator: Thank you. We have our next question from the line of Saurabh from JPMorgan. Please go ahead.

Saurabh Kumar : Sir, just two questions. One is basically on this NIM slide, slide 10. So last quarter, you had a 6 -basis point impact because of the excess liquidity. So fair to say that the cumulative decline this quarter, including the 6 basis points of excess liquidity, that number should be about 15 basis points? So that's one. And the second is, on this attrition rate, could you have -- I mean, would we expect the staff cost number to persistently remain high now because of the attrition rates are going up at the Bank? Thank you.

Puneet Sharma : Saurabh, thank you for the question. Yes, there has been a 5% moderation in LCR. But I'm not clear on how that translates to the 15 basis points that, of normalized reduction that you're coming to. On a reported basis, we have declined net interest margins by 12 basis points, 9 basis points of the 12 basis points is BAU, which is cost of deposits being offset by increase in yield on investments and advances. And 3 basis points in the last quarter was a one-off item, which is interest on income tax refunds, which doesn't repeat itself in quarter 1. So the bridge for the 12 basis points is the 9 basis points -plus 3 basis points.

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Amitabh Chaudhry : On attrition, let me say a couple of points. First, there are only very few banks who report attrition numbers on a regular basis.

Secondly, I think you are assuming that everyone is reporting attrition on exactly the same basis. And so the attrition numbers are comparable. I do not think so. We have done our analysis and some people are excluding some of their workforces when they report or how they report -- how much time they have spent with the organization before they report the attrition numbers, point number two.

Point number three. Our attrition rate has remained in the same zone for quite some time. So I don't know when you say that attrition rate has gone up, yes, it went up last year. It is reflected in our overall staff cost. All the institutions, at least the ones we compete with, are used to this kind of attrition rate and they've been operating quite well through that period without seeing a large jump in staff cost because the attrition rates are high. Frankly, if the attrition rates are high, sometimes it can

lead to a lower staff cost because you might replace the individuals who are leaving you with someone who comes in at a lower cost. So I think to attribute high attrition rate to higher staff costs might not necessarily be right all the time.

So in nutshell, we do not expect our staff cost to go up because of a slight



movement in attrition number, either up or down. I hope that answers your question. Thank you.

Moderator: Thank you. We have a next question from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Two questions. One on growth, if you could offer some comments on Housing and LAP. There's been a little -- the growth has been a little moderate there for a couple of quarters. And is there something in terms of demand that you're seeing, which is leading to this kind of moderation?

And also on the CBG part, where there's a decline this quarter on a Q OQ basis. So what would be driving this? So that's my first question. Again, I'll come back for the second.

Sumit Bali : Hi, good evening, Abhishek, this is Sumit here. So last year, we had started on our improvement of NIM journey. And as part of that, we had taken some initiative to rationalize costs. And one is, now our NIMs are where we want them to be. So we will be growing our home loan book. We've already put in place initiatives to grow that book and that will be visible in Q2, Q3 onwards. Net of home loan, every other product is doing well. Home loan, we have a plan in place to grow the book.

Rajiv Anand : So Q4 over Q1 drop is -- you would have seen that last year as well. But you'll find that at the overall growth on a Y-o-Y basis continues to be quite strong. This is a business that we like. It is granular. It is sectorally dispersed, very profitable. And this is a piece that we are looking to grow and grow quite strongly. So we are not very concerned about the small drop that you've seen on a Q OQ basis.

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Moderator: Mr. Abhishek, does that answer your question?

Abhishek M: Yes. That was the first. I've got one more.

Moderator: Please go ahead.

Abhishek M: Thank you. Sir, the second question is on cards. So first, can you give a rough mix of revolvers, EMI and whether that would have gone down post the Citi merger? And also, would it be fair to assume that Magnus would have led to, let's say, 15% to 20% of net card additions and also spends? And now after the devaluation, there would be an impact on both of these?

Arjun Chowdhry : So there's actually three questions there. I'll just sort of take them one-by-one. Trend-wise, across the industry, the revolver percentage is coming down but I obviously can't share specific numbers on trend of EMI. EMI is a trend which is increasing. And what we are noticing you will have seen this in the RBI numbers as well, is that our overall spend, which is a reported number, is growing quite well and in fact, growing much ahead of the industry. So that's the first part.

On the Magnus, no, certainly, it would not -- we have not seen any attrition and it will certainly not lead to any meaningful number in terms of attrition, even if it were to come through.

The third part is, I wouldn't refer to the changes in the Magnus as devaluation because if you look at it holistically, we have actually introduced a product for -- which is tied in with our wealth management proposition for our Burgundy customer which is actually, we believe, even more powerful than the earlier Magnus was.

So we are certainly not looking at it as a devaluation. We are looking at it as a segmentation of our product line, more aligned to the high spenders. And for that segment, which spends about a particular threshold, we know with the math we've done but it is still the most powerful card in the market for that segment of customers. So I certainly wouldn't attribute any m

eaningful number

on attrition too. In fact, we are seeing the spends going up, as I mentioned on the cards portfolio in general and we certainly wouldn't call it a devaluation of the Magnus product.

Moderator: Thank you. We have our next question from the line of Adarsh from CLSA. Please go ahead.

Adarsh P: So most of my questions were answered. I just wanted to check if you think

about the cost base adjusted for the integration cost. I'm sure there is some amount of cost that banks are incurring now, the spend when the going is good. Just wanted to understand what's the trajectory and you guided to it earlier as well but when should one expect this to moderate, right?  
What I'm trying to understand is, will it last till the going is good or specifically think that there should be a turning point here ?

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Puneet Sharma : Adarsh, thank you for the question. The environment allows us to continue to make investments today. We have previously demonstrated our ability to pull back costs when we need to. And therefore, if you're directionally asking me, will we have this ability to manage our cost to assets ratio on a go-forward basis post the integration expenses falling away. If the environment were to deteriorate, yes, we do believe that we have levers to manage costs at that point in time. As we stand today, we are constructive about the environment that we operate in and therefore, we'd like to continue to invest in the franchise .

Adarsh : And that medium-term guidance on cost to asset ex integration is something you don't want to still put on a timeline to?

Puneet Sharma : So Adarsh, what we have said previously and we've reiterated that on slide 13 of our investor presentation, we have set out a -- around 2% cost to assets on an FY 25 exit basis. If you see the update that we have provided, we've continued to hold that guidance of around 2% FY 25 exit basis, excluding the Citi business.

Please appreciate the reason for the exclusion is, the Citi business operates at higher revenue and higher costs. We had called out the impact of Citi costs on the univariate cost to assets ratio last quarter. Therefore, the guidance that we had offered previously stands, as originally intended. So we are not walking away from that guidance.

Moderator: Thank you. We have our next question from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal : Good evening, everyone. I have two questions. One is around the Tier 1. We have seen a good improvement in Tier 1 this quarter despite the rise in RWA to total asset ratio. So what has really driven this, is this one-off or do you think that this is going to steadily improve over the coming quarters? And in view of this, what will also be the plans that we have on the capital raise?

Puneet Sharma : Thank you for your question, Nitin. Let me take the capital raise plan first and then come back to your one-off question on capital. Our current CET1 stands at 14.38%, well above our philosophical rebase level, well above what we need to protect our domestic AAA rating, sufficient headroom for us to grow at 400 basis points to 600 basis points higher than industry credit that we've indicated we would like to grow at. Therefore, we do not have any plans currently to raise capital for the growth outlook that we have for FY24.

To your second question on, is there a one-off in the net capital accretion that you have seen of 36 basis points, no. Capital accretion is roughly about 66 basis points if I take you to slide 15 of our presentation. About 66 basis points of accretion is on account of profits for the quarter. Across operations, risk and growth has consumed 30 basis points. So the 36 basis points is core organic accretion that we have delivered in the current quarter.

Nitin Aggarwal : Okay. And second question is on

the branch expansion plan, while you have a guidance around cost to asset but how are you looking at the branch expansion over FY '24 to FY '25. And related to the branch expansion, on the

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liabilities, because CD ratio has been like hitting close to 91 now, so how are we looking at the liability position and what is your comfort level on the CD

ratio?

Ravi Narayanan : Thank you. So on the branch expansion plan, as we have said earlier too, we continue to look at white spaces across the country, both in Bharat and the urban markets. Current financial year, we are looking at around 400 branches incrementally for the year. And we will keep ourselves open for any kind of opportunity which further comes up. Similar numbers would be where we are looking for even possibly, as we go along.

Overall, in terms of the job between the loans and the liability, that continues to be something that is playing out for the industry. We have our eyes closely hooked on to the CD ratio and we continue to make all efforts to ensure that, that is something that is always under control and see how we can bring it up, as we go along. So between the push towards increasing distribution as well as ensuring that the existing franchise is completely sweated out, we continue to be extremely positive about the deposit growth that we have.

Moderator: Thank you. We have our next question from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian : So on slide 12, you're showing this, the retail cards, and payments within the retail fee mix. So I just wanted to understand, would most of the Citi fee be sitting within this retail cards and payments. And if so, it looks like the Citi business would have been about INR150 crores to INR200 crores of fees this quarter. Is that ballpark number, correct?

Puneet Sharma : Thanks, Param, for the question. I'm not going to call out or ratify the amount that you've calculated. We've categorically said we are one bank, one number reported. It is an integrated Axis franchise. Therefore, the Citi fee number is not being called out separately. To your first point out that, is Citi fee is being reported? Part of the Citi fee is being reported in retail cards and payment. There will be fees that will come in third -party products as well as Citi fees appearing in retail liabilities. The recharacterization of the fees is in line with how Axis used to consistently characterize its fee profile. And therefore, there is consistency of this reporting.

P Subramanian : Okay. Got that thing . But the last number we got for the Citi business as of CY '20, when you had given out a broad P&L. So I just wanted to understand if the P&L trends stay in the NII and fee line, are broadly similar on an accretion basis.

Puneet Sharma : Param, thanks for the follow -up. What we also set out in the pro forma disclosure was an ROE number, which was 19% -plus. We do believe that, that number is deliverable post full integration and therefore, the business should be ROE accretive for us. Without commenting on specific lines of income and expense growth, we stay committed and stay true to our comments that this business is ROE accretive post -integration period.

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Moderator: Thank you. We have our next question from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar : Yes. So sir, firstly question was on the outflow rate for the LCR calculation, there was an improvement of 460 bps. And that improvement is being utilized in the lower surplus liquidity, so including the asset yield. So just wanted to understand, what is the longevity like how much more we can improve the deposit profile and use that to improve the overall margin profile? So how much -- what is in the degree -- outer degree

of that, if you can elaborate on that?

Puneet Sharma : Thank you for the question. As we would see on slide 18 of our presentation, we've called out a June '23 outflow rate of 23.7%. If you look at broadly our peer bank set, we've reached the rates that they have historically operated in and continue to operate in. So the efficiency there would be at the margin because we've seen a significant improvement in the last 24 months. So that lever of NIM improvement is getting optimized and may have limited to no scope of improvement on a go -forward basis.

Rakesh Kumar : Sir, secondly on the slippages, you mentioned that there is a seasonality in this rural slippage number and the recovery number kind of has come down. So recovery numbers, we can understand but the seasonality of this rural slippage

number. So can we see this number in any other quarter, Q3 or Q4 or like it will happen just in Q1. So if you can help there?

Puneet Sharma : Thanks again for that question. Typically, rural NP As is the May -November cycle. So you will see a quarter 1, quarter 3 impact of the rural cycle. The other products typically don't have the seasonality that comes through the rural loan portfolio .

Moderator: Thank you. We'll take our next question from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R : So once the branch -- new branch is open, like how much time it usually takes to reach the desired metrics in terms of loans and deposits. So that is my first question. And if you can give me some color on like what is the average yield on credit cards, like. Yes. These are the two my questions, sir.

Ravi Narayanan : Yes, thanks. On an average, we are now looking at the branches becoming fully profitable in the ballpark of couple of years. Obviously, there will be outliers, some of them may come in faster. Some of them may go beyond. But on a broad basis, couple of years is where we look at the customer base kicking in and a granular kind of approach in terms of getting the profitability. Than ks. On the cards, I'll have Arjun or Puneet look at it.

Puneet Sharma : Thanks for the question. As you're aware, we don't give product -wise yields out. So as Arjun alluded to, how the market has moved, on revolve plus cards loans. But we do not have any particular yield callout on the cards portfolio that we can disclose here.

Arvind R : But if I can just ask one question, like especially on fixed rate loans, especially in consumer segment, banks have not been able to pass on the interest rate

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that much. I'm just trying to get your view on like, how do you see like passing on the rates to the customers in the retail segment, especially fixed rate book like in personal loans and other products?

Puneet Sharma : Thank you for the question. Like I said earlier, we've seen an improvement on our yield on advances. We are also seeing improvement in yields on disbursements, which is why we've been able to offset the 31 basis points cost of deposits increase. So that's visible in the numbers that we are reporting. Having said that, the market is competitive. We operate in a competitive market space. And consequently, there will be pulls and pressure on pricing for the customer profile that we would like to have. So, I think it's a market dynamic. We are a large and active participant. We have meaningful distribution strength as One Axis. So, we feel comfortable in competing and winning in this space. On your fixed rate loan profile, I had earlier called out that 42% of our fixed rate loans mature over the next 12 months, that should give you an indication of the repricing frequency of that book.

Moderator: Thank you. I now hand the conference over to Mr. Puneet Sharma for closing comments. Thank you and over to you, sir.

Puneet Sharma : Thank you, Yashashree . Thank you, everybody, for your time this evening.

We'd be very happy to take any questions that remain unanswered. Subsequently, please feel free to reach out to Abhijeet and we'd be happy to take on follow -on questions or engage with you. Thank you very much. Have a good evening.

Moderator: Thank you, sir. On behalf of Axis Bank, thank you for joining us and you may now disconnect your lines.

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Axis Bank's Q2FY24 Earnings Conference Call  
October 25, 2023

### MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. RAVI NARAYAN – GROUP EXECUTIVE , RETAIL LIABILITIES, BRANCH  
BANKING & PRODUCTS  
MR. ARJUN CHOWDHRY – GROUP EXECUTIVE , AFFLUENT BANKING, NRI,  
CARDS & PAYMENTS  
MR SUMIT BALI – GROUP EXECUTIVE AND HEAD - RETAIL LENDING

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Moderator: Ladies and gentlemen, good day and welcome to Axis Bank Conference Call to discuss Q2 FY24 Financial Results.

Participation in this Conference Call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceedings of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the Conference Call. On the call, we have Mr. Amitabh Chaudhry – MD and CEO and Mr. Puneet Sharma – CFO.

I now hand the conference over to Mr. Amitabh Chaudhry – MD and CEO.  
Thank you and over to you, sir.

Amitabh Chaudhry: Thank you, Neerav. Good evening and welcome everyone. We have on the call, apart from Puneet, Rajiv Anand – Deputy MD and Subrat Mohanty – ED, and other members of the leadership team.

In Q2FY24, we continued with the focus on GPS metrics that we had set for ourselves a couple of years back. This performance and balance sheet quality of the Bank is now significantly different from the past which gives us confidence in sustaining it across cycles. Let me briefly explain these structural changes .

- The current level of 18% plus ROE is delivered at a much lower risk - weighted asset intensity than in the past.
- This has helped the Bank become self -sufficient on capital. The Bank accreted 18 basis points of CET 1 capital in Q 2FY24 and 54 basis points in H1FY24 with CET 1 levels now at 14.56% .
- On Profitability, there is a visible improvement in quality and consistency of the Bank's earnings. In Quarter 2, the Bank delivered

among the best core operating profit growth driven by one of the best margin and fee performance amongst large private Banks.

- On Loan Growth, all the three segments have grown above 20% with SME book growing 9% QOQ .
- On Deposit Quality, we have improved meaningfully with one of the best LCR outflow rates and CASA ratio in the sector today. On digital

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and tech, our people, product, APIs and system architecture continue to be among the best in class. It is validated by so many successful partnerships across the Bank and its new product launches, which I'll share later during the call.

These structural improvements provide us the flexibility to build the Bank for the future with investment in our chosen areas of distinctiveness, namely Digital, Bharat Banking and Customer Obsession. Sparsh while working on synergies from acquired Citi businesses.

We continue to remain focused on 3 core areas of execution of our GPS strategy namely:

- A. Embedding a performance driven culture
- B. Strengthening the core
- C. Building for the future

I will now discuss each of one of these areas:

- A. Embedding a performance driven culture

There is a visible improvement in the retail deposit growth and the quality of our Deposit franchise.

We have made solid progress in improving the quality, granularity and premiumization of our deposit franchise through multiple Bank-wide transformational initiatives. The results of these already reflect in our improving retail deposit performance.

- The growth trajectory of retail term deposits continued to improve with 15% year-on-year and 4% quarter-on-quarter growth on a period end basis and 13% year-on-year and 4% quarter-on-quarter on QAB basis.
- Low-cost CASA shares were at 44.4%,

among the best in the industry

and compounding at 15% per annum for the last three years.

- In the last two years, the Bank's outflow rates of Basel reporting bases have seen reduction by 550 basis points and are now trending closer to the best in the Indian Banking sector.

- During the quarter, we achieved the milestone of opening the 5000th branch and added 207 branches and 110 new centres to widen our distribution network to 5152 domestic branches.

We continue to see all-round growth across businesses. We've seen market leading growth in our focus segments .

- Within retail lending, we continue to drive balanced growth across the product portfolio.
- The retail disbursements in Q2FY24 were the highest ever for a non-financial year closing quarter.

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- Corporate loans grew 21% YOY and 3% QOQ, led by a healthy pick-up across sectors. The disbursement pipeline for Q3 continues to be healthy .

- MSME segment continues to remain a key growth driver for the Bank. The combined portfolio of mid-corporate, SMEs and small businesses grew 33% YOY and 9% QOQ, and now constitute 21% of the loan book, up over 680 bps in last 3 years.

#### B. Strengthening the core:

- On Wholesale Banking, we have strengthened our capabilities in the Transaction Banking and Treasury segments in the last 2 years.
- Our API led Transaction Banking NEO proposition offers strong product market fit and continues to witness strong adoption. The interest amongst corporates continues to grow at an accelerating rate with 2.3X customers onboarded in September over last year. Similarly, transaction volumes and throughput have surged by ~5X.
- Additionally, "NEO for Business" which is our mobile -first, "Banking and Beyond Banking" MSME proposition designed especially for SMEs went live in the current quarter. We have about ~5,000 businesses being on-boarded every month with strong adoption rates. The offering has many standout features when compared to market offerings by banks and fintechs. Please refer to slide 40 of our investor presentation for more details.
- Under NEO, we will also be launching in this quarter, "Neo for Corporates" - our platform for the large corporates. With full rollout of Neo, Axis remains on track to become the Operational Bank of choice for our Corporate Banking clients.

#### C. Building for the future

Digital Banking performance continues to remain strong

- We have rebranded our award-winning mobile app, as 'open by Axis Bank'. Its balance sheet continues to deliver strong growth with over 50% increase in deposits and loans. open is now roughly 5% of the Bank's overall business and we intend to increase contribution by 3-4x by fiscal 2027.
- As part of the open by Axis Bank launch, we have introduced several changes to our mobile banking app and internet banking portal. In addition to branding changes these include a revamped landing page, hyper personalised nudges, personal finance management, vernacular language for internet banking etc. Our app continues to remain the highest rated mobile banking app on the Google Play store with rating of 4.8 based on over 2.2 million reviews.
- Continuing our aspirations to be a leader in new platform businesses, we launched Credit on UPI on pilot basis working with NPCI. We aim to launch this for customer usage in the coming quarter. Further, Axis Bank was among the first banks to integrate with the Public Tech

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Platform for Frictionless Credit (PTPFC) launched by the RBI and RBI Innovation Hub. The bank offers MSME loans in under 5 minutes leveraging this platform.

Bank-wide programs to build distinctiveness continue.

Our big bet on Bharat is growing from strength to strength

.

- In rural advances, the balance sheet added in the last 24 months is 2x the size of the balance sheet added in the previous 4 years (Sep'17 - Sep'21).
  - Our distribution footprint has increased to 2,373 Bharat Banking branches complemented by a 63k+ strong CSC VLE network. We have scaled up with marquee names such as ITC, Bayer, and Airtel payments bank, demonstrating progress and success of partnership and value chain approach.
  - Our digital co-lending platform is live with 8+ partners and we have more products and partners lined up to go live on the platform this year.
- Sparsh, our customer obsession program, is making an impact on our customer experience scores .

- We believe that only a deeply embedded culture of Customer

Obsession can help us sustain this journey. Earlier this month, we celebrated Sparsh Week, a pan Bank event with a focus to listen to our customers, act on it & celebrate.

- Over the last 18 months, NPS across retail customer journeys has moved up to 139 over an indexed baseline of 100

On Citibank Consumer business integration :

The employees and the customer integration so far is on track. We are also witnessing synergy benefits coming through with improvement in productivity and best practices transfer across the organization.

One of the key strengths of Citi was the customer service capabilities. The erstwhile leadership team of Citiphone is leading the upgrade of our service architecture in line with the best-in-class standards.

In Closing :

- We believe the Indian economy is relatively well placed in context of the uneven and slower global growth outlook. Higher crude oil and food prices remain key risk for CPI inflation, and we expect the policy rates in India would stay higher for longer.
- We expect the Banking system credit and deposit growth, both to be around the 13% mark for the current fiscal excluding the HDFC Limited merger impact. We feel confident that Axis will grow at 400 to 600 basis

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points faster than the next merger industry credit growth over the medium term. We remain focused on our GPS strategy and our areas of distinctiveness in building an all-weather institution that will stand the test of time.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh.

Good evening and thank you for joining us. We continue to make good progress towards building a stronger, consistent and sustainable franchise. Amitabh has discussed the business and transformation projects, The salient features of the financial performance of the Bank for H1 FY24 and Q2 FY24, across:

1. Operating performance
2. Capital and liquidity position
3. Growth across our deposit franchise and loan book
4. Asset quality, restructuring and provisioning

is as follows:

Key financial parameters for H1 FY24:

1. Consolidated ROE% at 19.04%, improving 179 bps YOY
2. Consolidated ROA% at 1.81% improving 15 bps YOY
3. CET1 at 14.56%, net accretion (including profits) of 54 bps
4. NIM at 4.11%, improving 33 bps YOY
5. Operating profit at Rs 17,446 crores, growing 28% YOY
6. Core operating profit at Rs 17,028 crores, growing 19% YOY
7. PAT at Rs 11,661 crores, growing 23% YOY
8. Cost to income at 49%, flat YOY

Our operating performance for Q2FY24 was healthy across NIMs, fee and credit cost lines:

1. Consolidated ROA% at 1.83%, Consolidated ROE% at 18.67%
2. CET-1 accretion in Q2FY24, including profits was 18 bps
3. NIM at 4.11%, improving 15 bps YOY, 1 bps QOQ
4. NII at Rs 12,315 crores, YOY growth of 19%
5. Fee at Rs 4,963 crores, YOY growth of 31%, granular fee at 93% of total fee
6. Core Operating profit at Rs 8,733 crores, QOQ growth of 5%
7. Cost to assets at 2.41%, increasing by 16 bps YOY



8. Net credit cost at 0.42%, improving by 8 bps QOQ, higher by 4 bps YOY largely due to lower recoveries from prudentially written -off accounts.
9. PAT at Rs 5,864 cr ores, increasing 10% YOY
10. GNPA at 1.73%, declining 77 bps YOY and 23 bps QO Q
11. NNPA at 0.36%, declining 15 bps YOY and 5 bps QOQ
12. PCR% at 79%, largely flat YOY and QOQ
13. Standard asset coverage of 1.32%, All provisions by GNPA ratio is 150% improving 1128 bps YOY

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### Net Interest Margins

- Yields on interest earning assets have improved by 116 bps YOY and 14 bps QOQ. The increase in yield on interest earning assets during the quarter was largely sufficient to offset increase in cost of funds. As a result, NIMs improved 15 bps YOY and 1 bps QOQ.
- Included in Q2FY24 NIMs, is interest on income tax refunds and other one-time items that contributed 2 bps to NIMs as against nil in Q1 FY24.
- As we had indicated in our Q1FY24 commentary, the marginal cost of funds has broadly stabilized. We expect deposit costs to increase further over the remaining part of the financial year but the pace of deposit cost growth will most likely moderate. Hence our NIMs will be driven largely by our ability to pass increased cost of funds through better pricing of assets or improvement in mix and other structural NIM drivers we are working on.

Our progress on structural NIM drivers continues, with improvements across all variables on a YOY basis:

Improvement in Balance sheet mix: Loans and investments comprised 89% of total assets at September 23, improving 317 bps YOY;

- INR denominated loans comprised 95.8% of total advances at September 23, improving ~ 280 bps YOY;
- Retail and CBG advances comprised 69% of total advances at September 23, improving 32 bps YOY
- Low-yielding RIDF bonds declined by Rs 7,990 crores YOY. RIDF comprised 2.14 % of our total assets at September 23 compared to 3.09% at September 22.
- Composition of liabilities measured through average CASA% remained flat YOY at 43.31%
- Quality of liabilities measured by outflow rate improved ~ 550 bps over last two years

We had strong fee performance in the quarter. Fee income stood at Rs 4,963 crores, growing 31% YOY and 11% QOQ. 93% of the fee is granular.

- Total retail fee grew 38% YOY and 11% QOQ
- Fees from retail cards grew 42% YOY and 5% QOQ
- Fees from TPP grew 62% YOY and 72% QOQ
- Commercial cards fee income grew 27% YOY and 17% QOQ
- CBG fees grew 9% YOY and 27% QOQ

Trading profit and Other income at Rs 71 cr ores was flat YOY and declined by Rs 528 crores sequentially, mainly on account of lower treasury income.

Operating expenses for the quarter stood at Rs. 8,717 cr ores, growing 34% YOY and 6% sequentially. It is pertinent to note that there were no Citi BAU expenses in Q2 FY 23.

- Integration expenses contribute 4% of the YOY growth in % terms and ~ 13% of the YOY cost growth in rupee terms;
- The balance YOY increase in rupee crore expenses other than above can be attributed to the following reasons: (i) 9% linked to volume; (ii) 51% technology and growth related and (iii) balance 27% to BAU.
- Technology and digital spends grew 36% YOY and constituted ~ 8.5% of total operating expenses.
- Staff costs increased by 20% YOY. We have added 10,832 people from same period last year mainly to our growth businesses and technology teams.
- QOQ increase in operating expenses is largely attributable to the cards business including non-recurring expenses incurred for cards benefit rationalization and increased prudence in actuarial valuation of cards reward points.

Operating expenses to average assets stood at 2.41%, higher by 16 bps YOY and 9 bps sequentially. The acquired Citi business is entirely retail which understandably runs at a higher cost and return ratios. The Citi business will be ROE accretive post integration. The cost ratios will remain sticky till the Citi integration phase is over.

Provisions and contingencies for the quarter were Rs 815 crores, lower 21 % QOQ. The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

For Q2FY24 - Annualized Gross credit cost is 70 bps, lower by 4 bps YOY and QOQ. For Q2FY24 - Annualized net credit cost is 42 bps, increasing 4 bps YOY and declining 8 bps QOQ. The increase in YOY net credit cost is attributable to lower recoveries and upgrades from prudentially written off accounts from the corporate portfolio.

Subsidiaries contributed 7 bps to the consolidated annualized ROA and 37 bps to the consolidated annualized ROE this quarter

The cumulative non NPA provisions at September 30, 2023 at Rs 11,758 crores, comprising (i) Covid19 related at Rs 5,012 crores; (ii) Restructuring provisions of Rs 648 crores, includes unsecured retail at 100% provision cover and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs 2,266 crores and (iv) weak assets & other provisions of Rs 3,832 crores.

- Our journey to be self-sufficient on capital is progressing well
- Our total capital adequacy ratio including profit is 17.84% and our CET-1 ratio is 14.56%. The prudent COVID provision translates to a capital cushion of 48 bps over and above the reported capital adequacy ratio.
  - The RWA% of the Bank at September 30, 2023 stands at 67%.

Growth across our liabilities and loan franchise

franchise and slides on our loan franchise.

- Total Deposits on a QAB Basis grew 16%. Our CASA ratio on QAB basis was 43.31%, flat YOY. Our granular retail term deposits on a QAB grew 4% sequentially.
- Our loan book is granular and well -balanced with retail advances constituting 58% of the overall advances, corporate loans at 31% and CBG at 11%.
- ~69% of our loans are floating rate. ~47% of our fixed rate book matures in 12 months.
- Break -up of the of the floating rate loan book by benchmark type and MCLR re -pricing frequency is set out on Slide 11 of our investor presentation.

Retail book

- Retail advances grew 23% YOY and 4% sequentially, ~ 76% of the book is secured.
- Q2FY24 Retail disbursements grew 47% YOY and 24% QOQ, with similar trends across secured and unsecured products. Disbursement growth at a product level is as follows - LAP grew 47% QOQ, Home Loans grew 26% QOQ, Small business banking disbursements grew 39% QOQ and PL disbursements were up 29% QOQ.
- Cards and PL portfolio grew 72% YOY & 25% YOY respectively.
- The credit card spends in Q2FY24 grew 72% YOY and 4% QOQ.

Wholesale Banking Coverage

We are progressing well in our endeavor to build a profitable and sustainable Corporate Bank. Details of rating composition, incremental sanction quality is set out on slide 36.

- Domestic corporate loans book grew 33% YOY and 4% QOQ.
- The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch.
- 97% of the overseas standard corporate loan book in GIFT city branch is India linked and 91% is rated A - and above.

Commercial banking

The commercial banking book grew 27% YOY and 9 % QOQ. The quality of the CBG franchise we are building, and strong relation led approach is reflected through:

- CBG New to Bank book grew by 38% YOY.
- 88% of CBG loan book is PSL compliant.

Coming to the performance of our subsidiaries

Detailed performance of the subsidiaries is set out on Slides 69 to 75 of the investor presentation.

The domestic subsidiaries reported a total H1 FY24 net profit of Rs 689 crores, growing 18% YOY. The return on investment in domestic

subsidiaries was ~ 53%.

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Axis Finance :

- In Q2FY24, overall Assets Under Finance grew 31% YOY. Retail book grew 49% YOY and now constitutes 44% of total loans
- H1FY24 PAT grew 26% YOY to Rs 265 Crores, and healthy CAR at 17.9%.
- Strong asset quality with net NPA of 0.31% and negligible restructuring.

Axis AMC: Axis AMC's overall quarterly average AUM grew 5% YOY to ~ Rs. 259,800 crores, H1FY24 PAT stood at Rs 189 Crores

Axis Securities : Axis Securities' broking revenues for H1FY24 grew 36% YOY

to Rs. 457 crores and PAT grew 14% YOY to Rs 113 Crores

Asset quality, provisioning and restructuring

- Asset quality continues to improve with declining Gross NPA and net NPA. The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 60 of our investor presentation.

- Q2FY24 gross slippage ratio (annualized) stood at 1.49%, declining 39 bps YOY and 38 bps QOQ, the lowest for the last 12 reported quarters.

- Gross slippages for the quarter was Rs 3,254 crores, lower by 4% YOY and 18% QOQ. Our CBG and CRG slippages are well contained and declined on a QOQ basis. Further, for the quarter ~ 39% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

- Net slippages declined 25% QOQ. Net Slippages for the quarter were Rs. 1,269 crores, of which Retail was Rs 1,405 crores, CBG was Rs 84 crores and WBCG was negative Rs 220 crores

- Recoveries from written off accounts for the quarter was Rs 664 crores.

- Net slippage in the quarter adjusted for recoveries from written off pool was Rs 605 crores of which retail was Rs 953 crores, CBG was Rs 25 crores and wholesale was negative Rs 373 crores.

To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- This is visible through (i) organic business driven CET 1 accretion in the quarter of 18 bps and 54 bps for H1 FY24; (ii) our covid provision buffer of 48 bps of CAR, (iii) overall coverage at 150% of GNPA, and (iv) limited covid restructuring at 0.19% of GCA.

- Consolidated ROE for H1 FY 24 at 19.04%, improving 179 bps YOY, an outcome of disciplined execution.

- Our liability franchise is progressing with outflow rates falling by ~550 bps over the two years. Improvements planned over the next 7 -8

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quarters should deliver results with some inter quarter fluctuations which are normal for a business of our scale and size.

- We are well placed in the current macro environment, we continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

We would be glad to take your questions.

Moderator: Thank you very much. We will now begin the question and answer session.

The first question is from the line of Mahrukh Adajania from Nuvama Wealth.

Please go ahead.

Mahrukh Adajania: Good evening. My first question is on OPEX. Puneet, you mentioned that there is some non-recurring item in other OPEX explaining the steep QOQ increase in that item. So, could you quantify it? That's my first question and I have another one on deposit growth?

Puneet Sharma : Mahrukh, thank you for your question. We are not putting the absolute number out on what the quantum of the one timer is on a QOQ basis. I just want to clarify for you that we've done two things on operating expenses; (i) we have become more prudent on the way we actuarially value our cards rewards points, so there's a one-time charge for an actuarial catch up that is sitting in the OPEX for the current quarter, which should be non-recurring and (ii) second is some bit of rewards rationalization that took place in the quarter. We've upfronted the

cost of that rewards rationalization. That's the two broad heads that have largely contributed to the QOQ increase. But there will be other BAU items for a growing business that we would incur.

Mahrukh Adajania: Okay. Because if you exclude the integration expenses that have grown, I mean that have kind of declined, right, there's a Rs. 100 crore decline in the

Citi related integration expenses. So, if you exclude that, then the OPEX has actually grown over 7% QOQ, so do we expect that high growth because I mean if some other expenses are going to compensate for one-off this quarter, then I mean just some broad guidance even on near-term OPEX?

Puneet Sharma: So, Mahrukh, I think I have consistently maintained that integration expenses will be Rs. 2,000 crores incurred over 18 months. I have also indicated that 75% of that expense is time-proportioned and 25% of that expense will be incurred episodically to accelerate the closure of the transaction. So, if you take what I had indicated previously, the cost for the quarter completely represents the time accrual that I would have spoken of. In the last quarter, we accelerated some of the expenses, which I had anyway always indicated would be episodic. So, this Rs. 100 crore decline is just the function of when we incur that Rs. 400 crores of expenses, which is the 75:25 proportionality that I spoke of. To your second point on whether we would provide an indication on what short-term OPEX would look like, I think we're sticking to the fact that the opportunity that we have, given where NIMs and credit costs are, allow us to continue to invest in the franchise, our investments are going into our growth and technology related business. If you look at slide 14 of the investor presentation, 51% of the expense growth is under those two headings. The BAU

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OPEX growth is also called out there. That is a good proxy of what you should see on a BAU basis for growth to come through. There is clearly a one-time operating expense for the two-line items I have called out, which ideally should not recur as we move forward.

Mahrukh Adajania: Okay. And my other question is on deposit growth. So, you've done a very good job in improving the quality of deposits. However, the deposit growth is lagging loan growth. Obviously, you had excess LCR, which you could have used and you have, but do you have any more excess LCR or now will deposit growth be in line with loan growth? And then does that mean some sort of a pause in the structural improvement of deposit quality that has already occurred over the last 2 years?

Amitabh Chaudhry: We mentioned that as far as LCR outflow rates are concerned, we are now perhaps the best in industry. We can't keep improving on this. Actually, I do believe that there is some scope for us to play around with that number depending on how things play out and see whether we can continue to use that to fund our loan growth. So, from our perspective, we have various levers in hand, which is going after term deposits and support our balance sheet. Look at our outflow rates and see what we can do and how much we lend, continue to work on some of the other levers which we have on the deposit side and we'll be using all those levers depending on how the market plays out and where the positives are. So, I don't want to get boxed into how it will play out in the next couple of quarters, just please be assured that the management team is on top of what these variables are, how they can be used and that's exactly what we demonstrated in the quarter that has just gone by.

Moderator: Thank you. Next question is from the line of Chintan Joshi from Autonomous. Please go ahead.

Chintan Joshi: So, I want to continue the conversation on deposit in terms of the levers you have, how high are you willing to let the loan deposit ratio go up? I a

ppreciate

it will fluctuate quarter from quarter, but what is the kind of ceiling that we can think of in terms of loan deposit ratio? And then I have one more on provisions?

Rajiv Anand: The metrics that we work of is LCR because see ultimately it's not just the quantity of deposits that's important, but in this new LCR regime, not new anymore, but in the LCR regime, the quality of deposits has become as if not more important and so therefore the metrics that we work, the point that you're making is off is LCR and typically you will see if you see many quarters, our LCR range has been around 115 to 120. That's the range that we like to keep it.

Amitabh Chaudhry: Let me just add to what Rajiv said, we pulled across it rightly. Please understand that if you look at our term deposit growth across all our segments,

it is about 22%. We are doing as well as anyone else out there on the TD side. It's not that the franchise is not firing from that perspective. We are signing up a number of partnerships. We have the maximum number of partnerships where I would say on the retail side, which will ultimately feed into this franchise. One of the reasons why we did 'open' was to also scale our liability

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franchise digitally. So, if you look at the number of branches which we have added, it is also one of the highest in the last couple of quarters. So, our investments continue on one side. Secondly, the franchise has shown the capacity and the capability to fire. And as Rajiv rightly pointed out, we focus more on LCR and driving the business through LCR.

Chintan Joshi: Okay, thank you. And then, if I look at your total provision coverage ratio at 150%, it compares quite favorably with peers. I'm wondering if there is potential of release into capital into equity here at some point in the future or do you hold these provisions against kind of identified issues?

Amitabh Chaudhry: So, our intention at this point in time, which we have been quite consistent about is that we have no intention of releasing our COVID provisions. We can't keep calling it COVID provisions forever. So, by March 2024, we will take a call on where do we put them across, but our intention is not to write back any of it at this point in time. We will keep it for the future rainy day.

Puneet Sharma : Just to supplement what Amitabh said, I just want to make it abundantly clear that these are prudent. They do not reflect any risk on our book as we see it today.

Moderator: Thank you. Next question is from the line of Param from Nomura. Please go ahead.

Param Subramanian: Thanks for the opportunity. My first question is on the retail card fees. So, if I look at the retail card fees which you've disclosed, it's up 39% YOY. The spends, the credit card spends you're showing is up 72%. So, I just wanted to understand what's the reason for the disconnect here? That's my first question?

Arjun Chowdhry : Yes. Thanks for the question, Param. So, the fees number which you see represents an overall holistic view on the nature of fees and it wouldn't be exactly linearly mathematically correlated with the spends. Also do keep in mind that the year-on-year growth in spends also represents the acquired portfolio of Citi, which had a different fee structure from what the Axis book has. In absolute terms, though I must tell you that 39% is quite a good number to see fee growth. That's a focus area for us because we want to diversify the earnings pool that we've seen in the cards business as well.

Param Subramanian: Yes, I got that. So, 70% includes the Citi fee, but I just wanted to understand because the credit card fee I understand would be the bigger driver within the retail card fee, right? So, I just wanted to understand both these numbers are like for like comparable. Why is there a gap because one would have expected those retail card

fees to be higher?

Arjun Chowdhry : No. The retail card fee comprises non-spend related items as well. There are items related to annual fee, joining fee, payment charges, all kinds of other fees and the fee structures of the Citi portfolio and the Axis portfolio were quite different. The spend number is the 72% doesn't include the spend coming from the Citi cards portfolio, which is not in the baseline of the previous year. That's

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why the spend number is showing a higher percentage growth rate than the fee number. Some part of the fee does come from the spend and that is dependent on the interchange rates as you well know, but not all of it. And that is why we are seeing that as the spend goes up, the spend will continue to

grow faster but elements of fee which are not related to spend will obviously not grow at the same pace.

Param Subramanian: Got that. And my second question is on the margins. So, how far along are we on the term deposit repricing? And secondly, this quarter, we've actually shown an expansion in the loan yields, which I think some of our peer Banks have not shown. So, I just wanted to understand parts directionally, you know what segments are driving this expansion in yields and how we see that progressing going ahead? Yes, that's it from me. Thanks.

Amitabh Chaudhry: Give us some credit for doing a good job. Well, we have worked very hard to get to this point. So, yes, I mean it partly reflects the fact that our overall loan mix has changed. Some asset categories have grown faster than some of the others, but you know we have always talked about 4 or 5 things which we are driving within the Bank. We're driving cost of funds, we are driving the RIDF numbers, we are driving how we can change the product mix, we are driving the overall yields. So, this effort is coming because of lot of factors which are being driven at the same time and we are maintaining it quite consistently. We also are running a project to see as to how we can price the right yield for an individual customer. I mean ultimately there is a price point, there is a tenure and there is an amount which is perfect for the customer and makes sense for the Bank. You know, all of us use pricing grids. We are running a project internally to actually create a pricing for individual customers, so there are a lot of things which are happening below the surface which have allowed us to get here and it has not been an easy journey. It will not remain an easy journey because some of the repricing, you know the rates have hardened. So, the repricing is still left, but we have been stating consistently that we will continue to work towards ensuring that we remain in the same zone. That's the kind of the phrase we've been using forever. And I think this quarter's numbers reflect the fact that we've been able to keep the same zone at the higher end of the zone.

Param Subramanian: Yes. Thank you so much, Amitabh. Just one more bit on the term deposit repricing as well, if you could speak a little bit about that. Yes, that's it from me. Thanks a lot and congratulations on the quarter.

Puneet Sharma: Thanks for the question on term deposits. Our marginal cost of funding has stabilized. So, at the margin, we're not seeing an increase in deposit expenses. The base book will continue to reprice. The pace of repricing of the base book, i.e. the change in cost of funds, should slow down as we get into the subsequent quarters in the year, but we do see a few more quarters for base book to get fully repriced in this cycle.

Moderator: Thank you. Next question is from the line of Abhishek from HSBC. Please go ahead.

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Abhishek: Hi, Amitabh and team. Congratulations for the quarter. So, I have one question on personal loans. Can you talk a bit about, you know

now, there have been indications by the RBI that it is a little cautious about it. You yourself I think last quarter had mentioned that there was some pressure in the less than Rs 50,000 ticket size segments. So, if you can talk a little bit more about a) whether the RBI has asked Banks in general to be a little, go a little slow on this. And b) also if you can talk about how much of your personal loan portfolio is from top, let's say, Tier -1 versus Tier -2 and where does the stress lie really in the overall personal loan pool?

Amitabh Chaudhry: So, you're absolutely right. I think especially RBI Governor has been calling out the growth in personal loans for quite some time and obviously if the regulator is calling it out, we have to take full cognizance of what is being said. On the flip side, we obviously have our risk guard rails. We're monitoring it very closely and we are very clear in our minds that the growth in personal loans, if it comes, it has to come not at the cost of risk guard rails or lowering our risk, but it has to come because we are reaching out to more customer segments, our distribution reach has improved, our overall efficiency of the process has gone up and so we are able to get at the same risk quality, more customers

and so we are able to grow that portfolio. So, let me first get that principle out and we have mentioned that we are seeing stress build up in loans below Rs 50,000, our share of loans below Rs 50,000 is much smaller, I will ask Sumit and Puneet to expand. So, we are watching these parameters closely. We are not seeing any deterioration, but we are fully cognizant at the same time of what the regulator is saying. I'm not aware if the regulator has called some players specifically and asked them to curtail it or not. It is not in public domain, so I'm not aware of it. But let me ask Sumit and Puneet to kind of expand on some of the other facts.

Sumit Bali: Abhishek, Sumit here. So, Rs 50,000 and below is where we believe there is stress that portion for us is almost nil. We don't play in that segment and we have consciously chosen to be away from that segment. Historically, if you see large part of our personal loan sourcing is from ETB customer and as we grow, that number has maintained. The number last quarter also was 83%.

Contribution from ETB segment, this quarter also the number is 83%. In addition to that, now we have a few partnerships in place where again, those customers are known to the Bank, and we also have their transaction data with the partners. So, our score card is therefore much more richer for those set of customers. So, we are not seeing stress build up. We are in control of the situation. And as Amitabh said, we're not compromising risk or volume at all.

Abhishek: And Sumit, just to clarify, in your PPT it says that 100% of the PL is given to the salaried segment. Is this incremental or on book 100% is to salary, then nothing is given to self-employed in terms of PL only?

Sumit Bali: So, salaried personal loan is given only to salaried customers. So, the number you see again, salaried personal loan is to salaried people only. Separately, we have a business loan which is given to self-employed people that is classified under the Small Business Banking. That's a book of about Rs 12,000 odd crore, which is behaving even better than the personal loan.

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Abhishek: So, that is a personal loan given to business owners. So, that's why it's classified there and not in your PL book?

Sumit Bali: Yes. So, that's an unsecured loan given for business purpose to SME or professional, hence it is classified as business installment loan.

Abhishek: Got it. Thanks for that. And my second question is actually on your fee. So, if I knock off the card fee and the third-party fee, what remains is the asset and liability related fee. Now if I look

at that fee, that has not grown much, I think that is declined about 3% QOQ, whereas there has been a reasonable amount of growth in your assets, especially the loans, personal loans and other loans. So, why has that gone down?

Puneet Sharma: Abhishek, thanks for the question. I think I just request you to think about non cards and non-TPP fees with reference to disbursements and not to loan book because some of the fee is earned at disbursement. So, you will see the fee behave as disbursements behave. So, that's one element. The second element that I would want to flag off to you is as a franchise, we are at 1.53% fee to total assets which basis numbers I see is near best in class in the industry. I think inter-quarter fluctuations will happen in a business our size. But I would request you to consider the fact that at 1.3% fee to assets, we have a very healthy fee profile as we stand, 93% of our fee is granular, which makes it sticky and recurring. On an inter-quarter basis, it will be a number that will keep moving around, but I don't think you should read too much into it.

Abhishek: Actually, yes, I was looking at the disbursement number and your index disbursement has gone up from 118 to 146 in this quarter. So, that's why I thought that line item would have gone up more. Anyway, thanks for the clarification and all the best for the future work.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, the first question is with respect to home loans. Last quarter also, you highlighted that work is in place and we should see the growth visible in the quarters. But still when we look at it, it's like a much lower pace, hardly like 2%



sequential growth, 9% year -on-year. So, when do we actually see the traction and building up and the initiatives out there?

Sumit Bali: So, Kunal, Sumit here, a couple of statistics. Quarter -on-quarter, home loan disbursement is up 26%. If I look at our previous quarter number, our book was quarter -on-quarter minus 0.5%. This quarter it is plus 2%. So, we are seeing good momentum build up. These numbers from here on will continue to improve. We have taken couple of strategic initiatives which are going live. In addition to that, even the normal business is growing. That initiative would be additional to the regular BAU business.

Kunal Shah: Sure. And secondly, in terms of the overall employee addition during the quarter of almost like 4500, so in the opening remark, it was highlighted that most of them were towards the technology and included in this technology cost

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which we highlighted, or this is across this segment, that number is also getting higher?

Puneet Sharma: Kunal, thanks for that question. What we did call out was that a large part of our OPEX growth, which is the comments we made is 51% of our OPEX growth is towards technology and growth -related businesses. On the headcount, the headcount is pan Bank. Please appreciate that we also added, as Amitabh indicated, 204 branches in the quarter. There would be headcount that would be deployed for that business in addition to all of the growth that we are delivering. So, the headcount growth will be principally across our business teams plus technology team. That's the key message that I would request you to please take away.

Kunal Shah: And one last question, anything with respect to attrition in Citi deposit because if we look at maybe in terms of this lower deposit growth vis -à-vis the other peers even in absolute term when we look at the traction that still seems to be like 15, 20 odd thousand crores vis -à-vis like more than 50 odd thousand crores for the other players. So, obviously you said like you would not split between both after the merger, but qualitatively any sense if it's largely because of that?

Arjun

Chowdhry: No. So, Kunal, actually you're right. We can't split it. It's now a combined book. But qualitatively, let me reassure you that from the day it came over, the Citi deposit book has actually been growing and it's been growing a little faster than it was in the prior period. So, you can rest assured on that front that it is not leading to any sort of depletion. In fact, there are more accounts being opened and there are more balances in those accounts now.

Moderator: Thank you. Next question is from the line of Saurabh from JP Morgan. Please go ahead.

Saurabh: Just two questions. So, one is to what level would be comfortable taking your unsecured book to, it's about 11% odd, but directionally what level could you take it to? And the second is in terms of the difference between your gross credit cost and net credit cost. So, as we mature in the cycle, how would you think about the differential between the two? These are my two questions and congratulations on the good numbers. Thank you.

Puneet Sharma: Saurabh, thank you for the question. If you look at slide 60 of our presentation, our gross credit cost is about 70 basis points, our net credit cost is for the quarter at 42 basis points, so there's roughly a 28 -basis points gap. The same number for the previous quarter would have been a gap of 24 basis points. So, there will be inter-quarter fluctuations, but directionally the way we seeing this pan out is asset quality is holding up well. Gross credit cost is the number we should monitor. The jaw between gross credit cost and net credit cost will shrink simply because recoveries and upgrades will not be at the same pace that we have had previously. So, that's directionally how gross and net credit cost would move. My request again is please don't look at gross and net on a sequential quarter basis or on a quarter -on-quarter basis because wholesale recovery is episodic and can change that number. A good way to look at that

number in our minds is on a full year basis. Directionally, recoveries and upgrades are likely to decline as we move forward. That's our view for ourselves. That's also our view on how industry will behave given how we see it.

Saurabh: And secondly, sir, on the unsecured, what percentage can you take it?

Rajiv Anand : So, on the point about unsecured, the way that I would request you to think about it is that if you see slide 16, the RWA intensity of the portfolio is not changing. I mean, it's been around just moving around 66% -67% for the last 6 to 8 quarters. I think that should give you an indication of how we're thinking about risk. The intent here is not to increase the risk to be able to deliver 18% ROE. The intent is to deliver 18% ROE with this level of RWA intensity.

Moderator: Thank you. Next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Good evening, sir. Question on OPEX, right, so we have given that you know we are committed to 2.0% OPEX to cost and that is excluding Citi expenses and integration. So, if you can tell us what is the number right now if we were to exclude Citi expenses and integration, integration one can deduct, but what is the like -to-like number as of now?

Puneet Sharma: Jai, thanks for the question. I think there are two ways to answer it. We can deduct Citi expenses and give you the cost to assets ratio, net of Citi expenses. We've always indicated that we will not report Citi numbers separately because it's an integrated balance sheet. When we announced the deal, we said that Citi operates at roughly 200 basis points higher cost to assets than us. They were 5% of the business, so 10 basis points. So, the other way to answer your question is adjusted for Citi against the 2.41% that we have reported in the current quarter, the outlook will be around 2.10% would be the target as we

would stand.

Jai Mundhra: Sure, understood. That is clear. And secondly on your comment on deposit pace moderating, the pace of deposit cost moderating, of course that is visible in your numbers so far. But I mean just observation that since March, right, our total deposit growth has also been very muted. So, for the last two quarters, maybe you have not, let us say if you were to accelerate the pace of deposit growth, would the current run rate would also sustain? I mean any thoughts there that if you were to accelerate from here onwards, the behavior should also be similar, is that the correct understanding?

Puneet Sharma: Look, I think for our comment is marginal cost of funds have stabilized given our own growth aspirations, our call out remains that there will be an increase in cost of funds/cost of deposits, that pace should slow, the incremental increase to slowdown in the consequent quarters. We stay true to what we think we need to deliver on growth and our comment on cost of funds is in light of the growth we think we would like to deliver.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA India. Please go ahead.

Piran Engineer: Thanks for taking my questions and congrats on the quarter. Some of them have been answered, but I have a couple remaining. Firstly, on your sharp increase in repo link loans in the last two quarters, that too without much growth in home loans, is it fair to say that you're moving to better quality corporates or is it just more bargaining power in the hands of the corporates now?

Rajiv Anand : Almost all the lending that we do on the SME side is repo, so it's not just the retail side. Even all of the SME, which is around 10% of our portfolio would comprise repo.

Piran Engineer : But that hasn't increased much in the last two quarters, right? It's actually just flat at 11%. So, whereas your share of repo link loans has gone up from 41 to

46, so I'm presuming its large corporates that are being repriced?

Rajiv Anand : So, large part of the increase is from the SME side, as I just explained, there is some repricing that's happened on the corporate side as well that would explain this increase.

Piran Engineer : Okay. Fair enough. Secondly, just getting back to a previous question on what explains the increase in loan yield when loan mix has largely been the same, is it fair to say that just some lagged impact of MCLR hikes that were taken 6 months back or have we increased rates across product?

Puneet Sharma : Piran, thanks for the question. I think like I called out in the structural NIM journey, one is portfolio composition which is Retail, SME and Wholesale. But there's another driver under that which is the product mix. Further, there has been a driver which is RIDF reductions as we see them. Lastly, there is a driver on the currency composition of the advanced book, so it's not just one lever where you see constant performance, which is wholesale, retail, SME. But the other 4 levers that I have spoken of have meaningfully moved in our favor, consequently helping us improve overall portfolio yields. You will get the directional input on slide 12 of our investor presentation. We have given you directionally where each of those levers have moved.

Piran Engineer : Thanks for that. And lastly, just a clarification, did I hear Amitabh say 28% -29% retail TD growth?

Puneet Sharma: No, Amitabh indicated that on a year -on-year basis, the RTD growth is 15%. That's the numbers that we've reported. So, that's the accurate number that you should be looking at please.

Piran Engineer : Yes. I just want to confirm that. Thanks a lot and all the best.

Moderator : Thank you. Ladies and gentlemen, we'll take the last question from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

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Nitin Aggarwal : Good evening everyone. So, my question is on the branch expansion. We have seen a pickup in branch expansion this quarter. So, how are we looking at that trend? And also given our specific guidance on cost to asset, what sort of branch expansion are we baking in over FY25?

Ravi Narayanan : So, as we had mentioned couple of quarters back, we are looking at doing about 500 branches this fiscal and we are on the path to delivering that. So, this is something which is there in the public domain. So, that's what we are headed for in terms of branch expansion and the way we look at branch expansion is to look at white spaces across states and different geographical catchments and see how we can establish both in terms of local intelligence as well as analytics to ensure that these 500 are established. That's how we have moved towards what we have done as 200 odd branches in the first half and we are confident we will do the 500 this year.

Nitin Aggarwal : Right. So, basically what I want to understand is like the way we have explained the rise in OPEX from the baseline to the current quarter, what are the levers that we have when we look at a decline over FY25, what will bring it down? What components will possibly like drive this reduction?

Puneet Sharma: I think the directional answer to that question would be 1) growth productivity benefits for all of the digital and tech investments that we're making should flow through over a period of time. You would also note that we've been in the process of transitioning the book from a mix perspective of 47% -48% wholesale, 52% retail. So, now roughly 58% retail, 42% holds at the CBG. Given where we've gotten to, we have now started seeing over the last couple of quarters wholesale growth and retail growth match each other and therefore proportions haven't changed. Wholesale growth comes at a much lower cost to assets ratio. And therefore, as the book now grows across our segments, we should see some optimizations come through. So, we do have a plan on being able to optimize where we need to get to. I would, however, reiterate what I said to an answer to a question earlier. We would like to continue to invest in the business as we move forward. The opportunity set that we see is large, and if that means continuing to invest to deliver the right outcomes and other lines of our P&L, we'll continue to do so. The 2.1%, we have indicated

around 2.1% including Citi is what we would target on FY25 exit. If we have to review that number, we'll come back to you, but as of now, that number stands.

Nitin Aggarwal : Right. And I have one more question on the credit card business, the ETB mix of card has declined quite sharply. Like, how do you look at that and any threshold on this that you would like to maintain? I understand that the KTB mix was going up and just why this decline, but any threshold on ETB share that you would like to observe?

Arjun Chowdhry : Yes, thanks for the question. The way I request you to look at that and to contextualize it is to look at partnerships as a whole because there's also in addition to just ETB and NTB in the form of digital partnerships, we have a very amenable mid path which is what we call the KTB, i.e. known to the Bank where we are able to underwrite customers a lot more effectively based on the wide - ranging set of partnerships we have and the data which those partners are able

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to call into an underwriting score. So, we use that very effectively and we've been able to grow that book quite well. We have noticed that the data which the partner put together also is quite a good predictor on current behavior. So, that's holding out pretty well as well. Therefore, as we continue to invest in partnerships as a means of growing both to get the numbers and

to deliver

higher customer value, we will find that the ETB -KTB mix will keep moving. We also keep an eye on that, and we'll keep calibrating that in the quarters going forward. But in a particular quarter, the mix could change. For example, you could have offers running with a particular partner, which would then in that quarter increase the mix. So, I'd request you to look at that in the context of three segments, ETB, KTB and NTB rather than the traditional way of just two segments.

Moderator : Thank you very much and I now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma : Thank you, Neerav. Thank you everyone for taking the time to join us on our call this evening. Wishing you and your families a very Happy Diwali and all the best for the upcoming festivities. If any questions remain unanswered, please do reach out to our IR team or myself and we'll be very happy to pick them up. Good evening.

Moderator : Thank you very much. On behalf of Axis Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Axis Bank's Q3FY24 Earnings Conference Call  
January 23, 2024

## MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR (DESIGNATE)  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. ARJUN CHOWDHRY – GROUP EXECUTIVE , AFFLUENT BANKING, NRI,  
CARDS & PAYMENTS  
MR SUMIT BALI – GROUP EXECUTIVE AND HEAD - RETAIL LENDING  
MR NEERAJ GAMBHIR – GROUP EXECUTIVE AND HEAD OF TREASURY –  
GLOBAL MARKETS

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Moderator: Ladies and gentlemen good day, and welcome to the Axis Bank Conference Call to discuss the Q3 FY24 financial results. Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during this conference call, you may please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have with us Mr. Amitabh Chaudhry, MD, and CEO; and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Chaudhry, MD, and CEO. Thank you, and over to you, sir.

Amitabh Chaudhry: Thank you, Neerav. Wish you all a very happy new year. We have on the call, Rajiv Anand, Deputy MD; Subrat Mohanty, ED; Munish Sharda, ED Designate; Puneet Sharma, CFO; and other members of the leadership team. .

- Over the last few years, we have set Axis Bank on the course of a predictable and sustained high performance guided by our GPS strategy centered on our customers and our colleagues. We had the opportunity to highlight our execution rigour, distinctiveness and differentiation at our Analyst Day in November 2023. The Indian economy continued its upward momentum in Q3 and remains a beacon of optimism globally. A mix of judicious and bold policy moves has placed India in a sweet spot which bodes well for the sector in the medium term.
- In Q3FY24, we delivered strong operating performance led by robust sequential growth across loans and deposits. Let me briefly highlight them:
- The Bank has delivered an ROE greater than 18% for the past 6 quarters, while maintaining a better credit profile as compared to the past, instilling confidence in its

sustainability across economic cycles.

- The Bank has organically net accreted 39 bps of CET -1 capital in 9MFY24.
- On loan growth, all the three segments delivered strong sequential growth with Retail, SME and Corporate book (gross of IBPC sold) growing 5%, 4% and 3% QOQ, respectively.
- On deposits, we have improved the quality of our granular franchise significantly with our LCR outflow rates and CASA ratio being the best in class in the sector today; and our retail term deposits growth improving to 12 quarter high.
- On cards and payments, we saw strong traction in new card issuances, cards in force and spends led by our strategic partnerships. On the Merchant Acquiring Business too, we have now attained leadership position with terminal market share of close to 19% as of Nov'23 with widespread adoption of our innovative technology - based product offerings.

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- On digital and technology, 'Open by Axis' continues to be the highest rated mobile banking app with rating of 4.8 on the Google play store. On the iOS Appstore as well, Open by Axis' rating has increased to 4.7 this quarter from 4.6 earlier. 'NEO' our cutting-edge digital product offering for corporate and SMEs, is deepening our transaction banking relationship among clients.
- Axis Bank has been recognized in the highest "Leadership" category with score of 77 in the Indian Corporate Governance Scorecard, recently published by Institutional Investor Advisory Services ("IIAS") with evaluation framework built around globally accepted G20/OECD principles.
- We have tried to be ahead of the curve towards building

ing a Bank for the future with deep investment of management time and resources in our chosen areas of distinctiveness, namely, Digital, Bharat Banking and Customer Obsession.

- We stay focused on three core areas of execution of our GPS strategy namely:
  - o Embedding a performance driven culture
  - o Strengthening the core
  - o Building for the future

I will now discuss each one of these areas:

There is visible improvement in the retail deposits growth and the quality of our Deposit franchise

- The growth trajectory of retail term deposits continued to improve with 17% YOY and 2% QOQ growth on period end basis and 15% YOY and 3% QOQ on QAB basis.
- Our low-cost CASA share at 42% is among the best in the industry and has compounded at 14% for the last three years.
- In Q3, we added 100 branches taking the overall branch additions to ~350 for the 9MFY24 period, which is among the highest in the industry.
- Further, we are doubling down on our deposit mobilization strategy led by 2 large transformation initiatives - Siddhi (a super app for our employees) and Project Triumph. We spoke about them during the Analyst Day.
- We have enabled every business vertical and channel through tools and platforms like VCIP (Video Based Customer Identification process), BYOD (Bring Your Own device) and Siddhi app to serve our customers real time and onboard new customers with minimal friction.
- We have a strong foundation for our liability franchise. We continue to work on the 'deposit leadership' roadmap we set a year back. We expect to realize the full potential of this transformation in next 6-7 quarters

All round growth across businesses. Market leading growth in our focus segments

- Within Retail lending, we continue to drive balanced growth across the product portfolio. The retail disbursements in Q3FY24 were the highest ever for a non-financial year closing quarter aided by improved consumer sentiments and strong festive demand.

- Domestic Corporate loans [gross of IBPC sold] grew 23% YOY and 3% QOQ, led by a healthy pick-up across sectors. The disbursement pipeline for Q4 continues to be healthy.
- MSME segment continues to remain a key growth driver for the Bank. The combined portfolio of mid-corporate, SMEs and small businesses grew 30% YOY and 5% QOQ, and now constitute 21% of the loan book, up ~620 bps in last 3 years.

#### B. Strengthening the core:

- On wholesale banking, we have replicated the success of our digital consumer banking app with “neo” for Corporates. We have been on this journey for 2 years,

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and we now have a validation for the strong product-market fit based on how quickly our clients have embraced it.

- On Transaction Banking APIs, we continue to see strong interest from corporates across industry segments. with 3.7X growth in corporate onboarding along with 7X growth in transactions and 4.8X growth in throughput.
- NEO for Business, our mobile-first transaction banking platform tailored for SMEs, continues to scale up in terms of customer onboarding. We saw an increase of over 25% in digital usage amongst these customers with the introduction of business banking specific features. We are in the process of rolling out a host of beyond banking features which will include features like ERP integration, payroll and inventory management.
- We have also rolled out NEO for Corporates, our internet banking proposition for large corporates to all new customers and we are in beta testing with existing corporates clients.
- With full rollout of NEO, Axis remains on track to become the Operational Bank of choice for our Wholesale Banking clients.

#### C. Building for the future

Digital Banking performance continues to remain strong

- The ‘Open’ by Axis Bank balance sheet had an 48% increase in deposits and 86% increase in loans. We launched a new digital savings account

proposition ‘Amaze’

that provides customers attractive joining offers and spends based rewards for a nominal monthly fee.

- We also launched and scaled new products including FD for standalone credit card customers, US\$ FDs in GIFT City for NRI customers, new loan and insurance products on Open.

Bank-wide programs to build distinctiveness

Our bet on Bharat is growing from strength to strength

- The Q3FY24 disbursements were up 46% YOY, rural advances up 34% YOY and deposits from Bharat Branches up 11%; thereby aiding the PSL and profitability metrics.
- We have expanded our multi-product distribution architecture to 2,420 branches complemented by 63,500+ CSC VLE network and 80+ partners across the industry.
- Our digital co-lending platform is live with 10+ partners and the volumes are growing 80%+ QOQ
- We are building a pioneering “end-to-end omnichannel and digital” delivery model for the RuSu markets using the Salesforce platform. This will help us scale sustainably over the next 3 years.

Sparsh, our customer obsession program, is helping improve relationship and transaction intensity with our customers

- Over the last 21 months, NPS across 12 retail customer journeys has moved up to 141 over an indexed baseline of 100, as we listen to and act on the voice of our customers. NPS is now an important lead indicator for us, to invest in areas that matter to our customers.
- Sparsh is a Bank-wide priority. It is embedded in rituals and practices across all 5250+ branches, all our customer touchpoints and in the conduct of every employee.

On Citibank Consumer business integration:

- The Citi integration remains on track with acquired business portfolio metrics trending in line with the internal estimates. Deposits are stable and there has been improvement in cross sell metrics across wealth, insurance and retail assets.
- Nearly all of the 70 synergy initiatives that we had identified across cross-sell, deepening, sales productivity and cost rationalization remain on track and monitored

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by the Board. We expect to complete data migration and system integration by the end of H1FY25.

In Closing:

- The growth momentum in India continues to be strong. We have taken global headwinds and higher interest rates in our stride. Consumer sentiment remains healthy with improved capacity utilization across sectors for corporates. The factors are ideal for an uptick in private capex.
  - The deposit growth in the system is a challenge with a tight liquidity environment. We expect this to continue till inflation reaches the lower bound of the range. We foresee the system credit growth to converge towards deposit growth of around ~13%.
  - We see this as an opportunity to differentiate and serve our customers better. All of us are building 'an all-weather institution' that will stand the test of time.
- I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh.

Good evening and thank you for joining us. We continue to make good progress towards building a stronger, consistent, and sustainable franchise. The salient features of the financial performance of the Bank for Q3 FY24, across (i) Operating performance; (ii) Capital and liquidity position; (iii) Growth across our deposit franchise and loan book and (iv) Asset quality, restructuring and provisioning is as follows:

Our operating performance for Q3FY24 was steady across NIMs, fee, cost and credit cost lines:

1. Consolidated ROA% at 1.84%, Consolidated ROE% at 18.61%, Subsidiaries contributed 9 bps to the consolidated annualized ROA and 54 bps to the consolidated annualized ROE this quarter
2. Banks CET -1 including profits stands at 13.71%. Organic CET -1 accretion in 9MFY24, including profits was 39 bps, change in regulations impacted CET -1 by ~70 bps. Prudent COVID provision translate to a capital cu

shion of ~43 bps over and above the reported CET -1 ratio

3. NIM at 4.01%, declining 10 bps QOQ. Yields on interest earning assets have improved by 69 bps YOY and 6 bps QOQ. This increase did not offset increase in cost of funds, thereby impacting NIM. We have always maintained that NIM should be looked at on a full year basis. For the 9MFY24 the NIM was 4.08%, better than 9MFY23 by 13 bps.
4. NII at Rs. 12,532 crores, growing 9% YOY, 2% QOQ
5. Fee at Rs. 5,169 crores, growing 29% YOY growth and 4% QOQ, granular fee at 93% of total fee
6. Operating profit at Rs. 9,141 crores, growing 6% QOQ
7. Core Operating profit at Rs. 8,850 crores, grew 1% QOQ
8. Cost to assets at 2.49%, increased by 25 bps YOY
9. Net credit cost at 0.28%, improved by 14 bps QOQ, 37 bps YOY, aided by higher recoveries and an upgrade of a large corporate restructured account
10. PAT at Rs. 6,071 crores, increasing 4% QOQ
11. GNPA at 1.58%, declined 80 bps YOY and 15 bps QOQ, NNPA at 0.36% declined 11 bps YOY
12. Standard asset coverage of 1.29%, All provisions by GNPA stood at 153% improving 1385 bps YOY.

We achieved the final financial closure of the Citibank transaction. Please refer note 6 of the UFR for details. There is no material impact as the transaction was fully accounted for in FYE March 23. We remain on track for achieving LD2 per earlier stated timelines.



Our progress on structural NIM drivers continues, with improvements across all variables on a YOY basis:

- Improvement in Balance sheet mix: Loans and investments comprised 89% of total assets at December 23, improving 154 bps YOY;
- INR denominated loans comprised 95.8% of total advances at Dec 23, improving ~ 250 bps YOY;
- Retail and CBG advances comprised 69% of total advances at Dec 23, improving 264 bps YOY
- Low-yielding RIDF bonds declined by Rs. 8,170 crores YOY. RIDF comprised 1.8% of our total assets at December 23 compared to 2.73% at December 22.
- Quality of liabilities measured by outflow rate improved ~ 600 bps over last two years, given liquidity and rate situation in the market average CASA at 42% declined 196 bps YOY, however this continues to be the highest among the large private sector banks

We had good fee performance in the quarter.

- o Total retail fee grew 36% YOY and 6% QOQ
- o Fees from retail loans grew 26% YOY and 7% QOQ
- o Retail Card fees grew 58% YOY and 12% QOQ
- o Commercial cards fee income grew 35% YOY and 10% QOQ
- o Fees from TPP grew 42% YOY and 4% QOQ
- o CBG fees grew 13% YOY and 6% QOQ

■ Trading profit and other income at Rs. 385 crores was lower by Rs. 178 crores YOY and grew by Rs. 314 crores sequentially, mainly on account of better DCM and trading performance and reversal of MTM booked in the previous quarters.

■ Operating expenses for the quarter stood at Rs. 8,946 crores, growing 32% YOY and 3% sequentially. It is pertinent to note that there is no Citi BAU expenses in Q3 FY 23.

o Integration expenses contribute ~4% of the YOY growth in % terms and ~ 13% of the YOY cost growth in rupee terms;

o The balance YOY increase in rupee crore expenses other than above can be attributed to the following reasons: (i) 10% linked to volume; (ii) 47% technology and growth related and (iii) balance 30% to BAU.

o Technology and digital spends grew 36% YOY and constituted ~ 9% of total operating expenses.

o Staff costs increased by 19% YOY. We have added 12,075 people from same period last year mainly to our growth businesses and technology teams. We opened 100 branches in Q3FY24 taking the branch addition count to 350 for the 9MFY24 period.

o QOQ increase in operating expenses is largely attributable to higher volumes.

■ Provisions and contingencies for the quarter were Rs. 1,028 crores, lower by 28% YOY but higher 26% QOQ. Adjusted for the prudent provision made for AIF investments, provisions

and contingencies for the quarter would be Rs. 847 crores, near flat QOQ.

The Bank has not utilized any of its COVID -19 provisions, this provision is entirely prudent.

■ The cumulative non NPA provisions at December 31, 2023 at Rs. 11,981 crores, comprising (i) Covid19 related at Rs. 5,012 crores; (ii) Restructuring provisions of Rs. 587 crores, includes unsecured retail at 100% provision cover and the rest at first bucket NPA rates, (iii) standard assets provision at higher than regulatory rates of Rs. 2,216 crores and (iv) weak assets & other provisions of Rs. 4,166 crores.

Growth across our liabilities and loan franchise

We gained 20 bps of market share on a YOY basis across our deposit and loan franchise. Please refer slides 19 and 20 for details around the quality of our liabilities franchise and slides on our loan business.

The Bank sold IBPC in the current quarter aggregating to Rs. 5,754 crores, grossed up for IBPC sale, the QOQ loan growth was 4% and YOY loan growth was 23%.

Total Deposits on a QAB Basis grew 18% YOY. Our CASA ratio on QAB basis grew 13% YOY and 1% QOQ.

Our loan book is granular and well -balanced with retail advances constituting 59% of the overall advances, corporate loans at 31% and CBG at 10%.

~69% of our loans are floating rate. ~48% of our fixed rate loan book matures in 12 months.

Break -up of the floating rate loan book by benchmark type and MCLR re -pricing frequency is set out on Slide 11 of our investor presentation.

#### Retail book

■ Retail advances grew 27% YOY and 5% sequentially, ~ 75% of the book is secured

■ Q3FY24 Retail disbursements grew 47% YOY and 10% QOQ. Unsecured disbursements were 22% of retail disbursements for the quarter as compared to 25% in the previous quarter. Disbursement growth in home loans was 37% YOY, SBB and auto loans 33% YOY, retail agr i 46% YOY, personal loans 61%.

#### Wholesale Banking Coverage

Details of rating composition, incremental sanction quality is set out on slide 36 of our investor presentation.

■ Domestic corporate loans book grossed up for IBPC sales grew 23% YOY and 3% QOQ.

■ The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 95% of the overseas standard corporate loan book is India linked and 91% is rated A - and above.

#### Commercial banking

■ The commercial banking book grew 26% YOY and 4% QOQ. The quality of the CBG franchise we are building and strong relation led approach is reflected through:

- o CBG New to Bank book grew by 28% YOY
- o 84% of CBG loan book is PSL compliant.

#### Coming to the performance of our subsidiaries

Detailed performance of the subsidiaries is set out on Slides 69 to 77 of the investor presentation. The domestic subsidiaries reported a total 9MFY24 net profit of Rs. 1,108 crores, growing 17% YOY. The return on investment in domestic subsidiaries was ~ 50%.

#### ■ Axis Finance :

o In Q3FY24, overall AUF grew 38% YOY. Retail book constitutes 44% of total loans

o 9MFY24 PAT grew 25% YOY to Rs. 425 crores, and healthy CAR at 18.79%.

o Strong asset quality with net NPA of 0.32% and negligible restructuring.

■ Axis AMC: Overall quarterly average AUM grew 6% YOY to ~ Rs. 2,62,398 crores, 9MFY24 PAT stood at Rs. 297 crores

■ Axis Securities: Broking revenues for 9MFY24 grew 42% YOY to Rs. 757 crores and PAT grew 31% YOY to Rs. 198 crores

#### Asset quality, provisioning and restructuring

■ Asset quality continues to improve. The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 60 of our

investor presentation.

■ The Bank has investments in AIF's aggregating Rs. 207 crores. Details are as follows:

(i) ~ 46% of the AIF investment is in AIFs that are dire

ctly or indirectly government owned

or from sponsoring entities like NIIF, NABFID and NABARD; (ii) The Bank has not invested in any single AIF amounts greater than Rs. 50 crores; (iii) The portfolio overlap with AIF's is 85% A - and above rated exposures, 15% is AAA rated exposures; (iv) the realizable value at December 31, 2023 is close to the holding cost the investment. The Bank has prudently provided 100% of the entire AIF outstanding at December 31, 2023 agnostic of overlap as on date.

■ Net slippage ratio (annualized) stood at 0.50%, declining 43 bps YOY and 9 bps QOQ.

■ Net slippages in the quarter were Rs. 1,117 crores, declining 35% YOY and 12% QOQ. Net Slippages segmentally were Rs. 1,988 crores in retail, Rs. 74 crores in CBG and negative Rs. 945 crores in WBCG.

■ Recoveries from written off accounts for the quarter was Rs. 635 crores.

■ Net slippage in the quarter adjusted for recoveries from written off pool was Rs. 482 crores of which retail was Rs. 1,542 crores, CBG was negative Rs. 11 crores and WBCG was negative 1,049 crores.

■ Gross slippages in the quarter were Rs. 3,715 crores, declining 2% YOY. Gross Slippages segmentally were Rs. 3,384 crores in retail, Rs. 238 crores in CBG and Rs. 93 crores in WBCG.

■ For the quarter ~ 35% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

o This is visible through (i) organic business driven CET 1 accretion in the 9M FY 24 of 39 bps; (ii) our covid provision buffer of 43 bps of CAR, (iii) overall coverage at 153% of GNPA, and (iv) limited covid restructuring at 0.16% of GCA.

o Consolidated ROE for 9M FY24 at 18.86%, 82 bps higher than 9MFY23, an outcome of disciplined execution.

o The Bank has ample and sufficient liquidity, visible in the exit LCR ratio of ~129%, given the increased regulatory focus on C/D ratio as one among multiple metrics to be tracked, deposit growth could be the key constraint for growth in advances in the short to medium term.

o We are well placed in the current macro environment, we continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

Thank you for your patience. We would be happy to take questions now .

Moderator: Thank you very much. The first question is from the line of Chintan Joshi, Individual Investor. Please go ahead.

Chintan Joshi: Yes. Hi. This is Chintan from Autonomous. Before I ask, can I just quickly get your LCR deposit number for reference? And then the question I have, your comment you made that deposit growth will be a constraint on growth overall. How should we think about

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this? Like do you think these tight liquidity trends will ease over the coming months? Or are we talking about a challenged deposit growth kind of outlook not just for Axis, but for the other banks as well? And then related to that, what are the actions you can take on the asset side to offset some of these pressures?

Rajiv Anand : Our average LCR was 118, for the quarter. Typically, if you see over the last 18 quarters, the average LCRs have trended between 115 and 120. That is where we are quite comfortable, especially given the outflow rates that we have been able to sort of significantly improve over the last three years -or-so. It is a tight liquidity environment ; while the policy rates are at 6.5%, you can see that overnight rates are closer to 6.75%, and much of the curve is at 7% and beyond.

That is the liquidity situation that we are seeing at this point in time. It will require intervention from RBI. And I do not think that intervention is going to come anytime soon. And so therefore, the pressure on deposits will continue as we

go forward, which

is, therefore, the point that Puneet makes that how much we will be able to grow will be determined by how much we are able to grow on the deposit side.

You would have noticed that, thanks to all the initiatives that we had put together over the last many quarters, setting the franchise, partnerships technology like Siddhi, etc, have helped us gain market share. And I think that is a play that we will hopefully continue to play as we go forward. On the asset side, I think we will have to get a balance between continuing to build a long-term franchise with our customers, on one side and being able to optimize for NIMs and ROE on the other side. And I think that is a balancing act that we will have to continue to play based on how liquidity and therefore, deposits for us grows in the coming few quarters.

Chintan Joshi: Thank you. I was after the LCR retail deposit number, if you can -- if you have that handy?

Puneet Sharma: Chintan, we will anyway be publishing that number as part of our Basel disclosures. You should see it on our website at some point in time later in the evening, please.

Chintan Joshi: Thank you so much.

Moderator: Thank you. Next question is from the line of Maruk Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: Yes, hi. I just wanted to check on bulk deposits. So the system liquidity got much tighter towards the end of the quarter. Would it be fair to assume that a lot of bulk deposits were mobilized towards the end of the quarter and the full impact on cost will be seen on the quarter? That is my first part on deposits.

And my second part is on any comments on LDR, given that everyone seems to be worried about the LDR. Of course, you did mention about the deposit challenge. And

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then some banks have admitted to RBI having discussed this one -on-one with them.

So, where do you see your LDR settling, say by FY25, given the, I mean, any broad range? I know you do not give specific guidance, but...

Neeraj Gambhir : So, Ma hrukh, this is Neeraj here. On your question around the bulk deposit pricing, I think bulk deposit pricing continues to be inching up steadily through the quarter. It is not just a quarter-end phenomenon. As the system liquidity has remained tight and the overnight rates have inched towards the upper end of the corridor, it is kind of getting reflected in where the bulk deposit rates are and where the CD rates are, which are kind of very close to each other.

I do not think this trend eases off anytime soon. In fact, Q4 being the last quarter of the year, we will probably see this continuing. The main driver will be how the liquidity in the system plays out and how Reserve Bank sort of deals with the liquidity. So, I think that the trend is kind of there. It will play out steadily over a period of time.

Mahrukh Adajania: No, my question was that were most of your bulk deposits mobilized towards the end of the quarter?

Neeraj Gambhir : We do it through the quarter, Ma hrukh. Our deposit mobilization process continues through the quarter. There is no, in some senses, bunching up towards the end of the quarter, as you are referring to.

Amitabh Chaudhry: We have moved away from this -- we have worked very hard to move away from this quarter-end month stuff. So, maybe it has happened in the system, but you will also notice that we are perhaps the only large private bank whose LDRs have moderated sequentially. I think you should give us credit for that.

Also, we continue to have one of the best outflow rates in the industry, which we continued to demonstrate even during this quarter. And as Neeraj actually pointed out, even on the LCR side, we have always operated within the 115 to 120 band. The movement is almost, has been within this band for the last 18 quarters.

So, talk about consistency in terms of how we have

run the business and the liquidity

coverage ratio through the cycle. So, I think just please keep that in mind. We raised large deposits through the quarter. Yes, at the right price, it makes sense to us, and we will continue to move forward. But there is nothing, there is no quarter-end effect. I just want to move away from that. Puneet, you want to add something else?

Puneet Sharma: Mahrukh, thank you for the question. I think the direct pointed answer to your question is if you look at slide eight of our investor presentation, you will see deposit growth presented on a QAB basis. And you will see that the QAB basis deposit growth tracks MEB basis very closely, which will indicate to you that balances have grown through

the quarter rather than at period end.

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Maruk Adajania: Perfect. And on just the LDR thing, I know that it is improved. So, it is rare that in this quarter someone's LDR has improved, but any range you would like to give for FY25?

Puneet Sharma: Mahrukh, thank you for the question. We do not offer a range on LDR. We think there are multiple variables through which we manage our balance sheet. LDR is one of the variables. We do not have a targeted LDR that we discuss publicly.

Mahrukh Adajania: Okay. Thank you so much. Thank you.

Moderator: Thank you. Next question is from the line of Suresh from Macquarie Research. Please go ahead.

Suresh: Yes, hi. Two questions. One is on this deposit mobilization strategy itself, right? So, I mean, we were focusing a lot on retail deposits. But if I look at the same slide eight, it looks like almost 60% plus of incremental deposits this quarter has come from non-retail term deposits, right? It has grown 12% QOQ. So, should we read too much into this? It is just one quarter phenomenon where liquidity has been tight, and therefore you have to take recourse to bulk deposits? Or how should we read into this? Because it is a large number. Almost 60% incremental has come from NRTD.

Puneet Sharma: Suresh, thank you for the question. Couple of things. I think while you look at slide eight, I will also request you to look at slide nine and slide eight collectively. On Slide nine, you will see that our retail term deposits have grown by 17% on a YOY basis. And if you look at the trajectory of growth in retail deposits, it was close to 0% in December '22, and it is up to 17%.

This is in line with all of the efforts we are making to granularize the franchise and the output of those efforts are visible in the RTD growth number. Yes, you are right that in the current quarter, NRTD has contributed to growth. But again, I think it is not a period end balance. It is coming from our corporate customers. And effectively, as Rajiv often says, we are a universal bank. We deal with retail customers and wholesale customers. And if the wholesale customers offer us an opportunity to pick up deposits from them, we would be very happy to pick up deposits from them.

Amitabh Chaudhry: Suresh, I would add, you are asking a very fair question. I would add you to also think and take into account the outflow rates we have, right? So even if we are raising, let us say, deposits from our wholesale customers, please remember that they are coming at a certain outflow rate, which means that there could be a decent portion would be non-callable. So it is not just raising some short-term deposits. We are trying to ensure that the balance sheet is structured right on a consistent basis. Just keep that note.

Suresh: The only problem, Amitabh, there is these deposits tend to be a bit more fickle in nature, right? If liquidity tightens, I know until the time it is non-callable, it is fine. But suddenly, the corporate moves to another bank in the market. And there is a lot of bidding war happening by the PSUs in the market. So you are confident that this does not distort

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the pricing curve on the cost of fund side for you, right, because you have gone ahead and raised a lot of bulk deposits this quarter. That is the only worry I am.

Amitabh Chaudhry: So pricing of the deposit is a market-driven phenomena. It is not just in the bulk deposit side, but also on the retail deposit side, we are making sure that our liability cost is in line with what our peers are offering. So it is competitive on both the sides, not just on the bulk deposit side.

Yes, bulk deposits tend to have a certain phenomenon that needs to be taken into account. But I have seen a good correlation between where the bulk deposit rates go and where retail rates go over a period of time. The non-callable feature, which actually helps us make sure that the outflow rates are not higher for these deposits is the one real hedge against this deposit shopping in some senses.

Suresh: Okay. And just finally, one question on capital. I know you have, of course, repeated your stance, but still, again, for the benefit of everybody here, you are at 13.7% on CET1; your peers of course, are easily 200, 300 basis points above the number that

you are reporting. Some of them actually, Amitabh and Puneet, they keep internal thresholds of 14% Common Equity Tier 1 under the new Basel III regime, whatever it is, each bank has its own threshold criteria. At 13.7% , are you comfortable, sure that with the outlook which is there? And I mean, can you share anything with respect to your internal thresholds there? Any guidance on that would be great? Thank you.

Puneet Sharma: Suresh, thank you for the question. I think the framework that we have consistently adopted with respect to capital as we think about capital on 2 pillars, capital for protection and capital for growth. Under the protection pillar, we look at regulatory capital as well as capital to protect domestic AAA.

Even at 13.7%, we carry sufficient cushion over both those variables. On capital for growth, I would just request you to look at what we put out on Slide 16. On a 9 -month period FY24, we have net accreted 39 basis points of CET1 capital. So we are currently in an environment where we think we will organically continue to accrete capital.

Amitabh did indicate in his opening remarks that our house economist expect the advances growth at an industry level to be at the 12% to 13% range. And therefore, we are really not seeing capital being consumed for growth given how our organic business is accreting. So we continue to maintain our position categorically that we do not intend to raise capital.

I think to your question in reference to Basel III norms, the one request I would is the risk weight under Basel III are very different from the regulatory risk weights. So what you are seeing 13.7 % basis regulatory risk weights would be different in the Basel III construct. Therefore, again, putting that layer on to your question, we still categorically maintain, we do not need capital at the current stage .

Suresh: Okay. Thanks so much, Puneet.

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Moderator: Thank you. The next question is from the line of Pranav from Bernstein. Please go ahead.

Pranav: Thanks for taking the question. Just had a question on your loan mix. You have continued to move towards the higher yielding segments. Two questions on that. One, with the risk weight change that has been announced, do you see a change in pace of that transition, number one?

And number two, do you have an y end state in mind in terms of the split between mortgages and other consumer segments that you have right now?

Sumit Bali : So consumer business, especially the personal loan business has been growing. If you see slide 22, in terms of retail disbursement trend, QOQ, that number in terms of composition is down to 22% from 25%

in the previous quarter, which really means that the other assets also are growing. So we are kind of comfortable with that.

As we earlier also said, we do not see any stress in the portfolio. The growth we see on the consumer loan side is a result of a few quarters' effort in terms of transformation projects being run and a lot of partnerships scaling up. So that we intend to continue. The loan mix is in a desired state as we are progressing. Can you just repeat the second part of the question?

Pranav: Second part is more on a steady state mix that you are looking at. Are you at the steady state or is there some more transition that you expect to happen?

Sumit Bali : Yes. So we have been around 78 %-80% secured, 20 %-22% unsecured. That is what we have been saying and holding for some period of time. If it goes to 75 %-25% over a period of time, that is also fine with us.

It is something which we have to keep moderating and observing in line with the various developments happening in the industry. And currently 75% of our retail book is secured.

Pranav: My question is more related to mortgage growth. I think we have seen almost for several quarters now that that growth has been muted. So I was wondering if that was part of an intentional shift to get to a certain loan yield and therefore if we should expect a recovery in the mortgage growth or if we will see some more of this loan mix shift happening?

Amitabh Chaudhry: I think I mentioned in the previous call also that we are assessing every business based on risk -adjusted return on capital and these asset classes stack up on that R AROC curve in a certain way and whichever is higher on the R AROC curve within obviously defined limits, we will try to push that business more in comparison to the others. It is

not that the mortgage business is not important for us. It is a large business for us.

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But in a deposit constrained environment, we will obviously have a waterfall and in that waterfall, we will push businesses which give us a better return. So we do not want to get caught up in specific numbers in each of the businesses, but we will play depending on what makes the most optimal sense for us. And in a deposit constrained environment where credit growth will get constrained, a lot of questions around LDR and so on and so forth, I think we need to prioritize where we want to grow and that is exactly what we are doing.

Pranav: Understood. Perfect. Thanks a lot.

Moderator: Thank you. Next question is from Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, good evening and thanks for the opportunity. Sir, on your opening remarks, you mentioned that the system wide deposits and credit growth are likely to converge at around 13%. Is this like FY24 or this is like FY25? Any timeline for that number?

Amitabh Chaudhry: I mean, if you look at all the commentary coming from RBI and the Governor and commentary around inflation, I think it is quite obvious that this is not just next three months event. This will continue into FY25 and I think stay during FY25 for almost the entire year unless something dramatic happens. We are still way off from or at least away from the target which RBI has in mind on inflation.

There are still risks to that inflation target. So I do not see interest rates coming down.

I do not see RBI taking the pedal off the constraint of liquidity.

And frankly, the biggest factor which is driving why the deposit rates are high or deposit growth is constrained is RBI tightening the liquidity and I do not see that going away.

So cutting long story short, we do expect the deposit growth remain constrained. And as a result, over a period of time, the credit growth has to temper down. They have to convert at some stage, they cannot keep running into different or at very different levels for a long p

eriod of time. And this is not what we have been saying today, we have been saying this for quite some time also, quite consistently.

Jai Mundhra: Right. So sir, in that context, at our current LDR while it has improved QOQ, it goes without saying that ask rate on deposits for Axis Bank is much higher than the credit growth rate, right? That is how -- and you also indirectly mentioned that the deposit growth will be constrained as a credit growth at least in the near term. Is that the right interpretation?

Neeraj Gambhir : So the -- one of the drivers of the LDR change over a period of time is how we have optimized the balance sheet. If you see our outflow rate on deposit has come down from roughly 2.9% to 2.3% levels now. And that has meant that we have preferred certain kinds of deposits over certain other kinds of deposits, right?

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The deposits, which attract 100% outflows, we have preferred not to increase that book or rather shrunk that part of the book. And that has had an impact on LDR. So like we said, at NCR, LDR, NSFR, these are all important parameters that we look at while optimizing our balance sheet and seeing how the balance sheet evolves over a period of time, all of these are important parameters. But at times, there is a play between one versus the other.

Jai Mundhra: Right. And then last, a different question on -- I mean, notice that you have around 10 million non-Axis Bank customers using Axis Mobile and Axis Pay. And I assume these are not freecharge customers, right, because that runs into millions or even higher numbers. So if you can provide some color as to what exactly is the offering that these non-Axis Bank customers are using and any medium-term plans to convert these known-to-bank customers to offer other services?

Rajiv Anand : So you are right, these are not freecharge customers. There could be some overlap, but in general these are not freecharge customers. We have been speaking about 3 types of customers: new-to-bank customers, existing-to-bank customers and known-to-

bank customers, customers that we know something about. So this set of customers are customers where we know something about them. And we have various programs where we are able to underwrite these customers and we are able to sell personal loans, credit cards, etc, to these entities.

We are a leading player on the account aggregator platform. Much of the traction that you are seeing is through this route as well. And of course, through the various UPI platforms that we are present on.

Jai Mundhra: Understood, thank you and all the best.

Moderator: Thank you. Next question is from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: Thank you for the opportunity. I have two questions. First one is on the linking of the loan book to different benchmarks. So we see that the repo loan benchmarking, the loans linked to repo loans are up by almost 10 percentage point in last 1 year to almost 48%, 49%. That is in the context of mortgage loan growth being slower. So just wanted to understand what is driving this change in the context of impending rate cut cycle that we may see? That is question one. And second, just a small observation. The cost guidance has been removed from the presentation. So do we need to read anything on to this or anything you would like to elaborate? Thanks.

Puneet Sharma: Thank you for the question, Rikin. I will take the second question first. We were -- we commented on cost on the Analyst Day. And the comment that we made on costs at the Analyst Day, which we continue to carry since then is -- as long as the benign credit environment allows us to continue to invest in the franchise, we will continue to invest in the franchise. We are investing for the future. We are investing to build capabilities.

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Some of the investments are visible to you today, the NEO app, the mobile app, the tech stack that we have built, the 350 branches that we have created.

So as long as we operate within a given DuPont, we will continue to make the investment.

We remain focused on managing our expenses when the need arises. And we do believe that we can pull back that expense if the need were to arise. So the number that we used to put was a takeaway when we discussed at length the Bank's performance at the analyst day. It is not a takeaway in the current quarter. Sorry, Rikin, can you give me context to your first question, please?

Rikin Shah: Yes, so we look at the loan book being benchmarked to different rates. And there are the loans which are benchmarked at the repo rate. The share of those loans have increased by almost 10% points from 38%, 39% to 48% now to the repo linked rates. So given the impending rate cut cycle, first, I wanted to understand as to what is driving this higher increase in the benchmarking to the repo? And second, does this mean that once the repo rate cut cycle kind of begins, the transmission of interest rate yields will now be faster or would you kind of course correct before that?

Rajiv Anand: Firstly, we are not in the impending rate cut camp. So let me get that out of the way first. I think, as you know, that all of retail or much of retail and almost all of SME is repo linked. And therefore, as that book grows, it continues to be repo linked. We have over the last one year, we have also seen increasing use of repo rate on the corporate side for corporate loans. And that is driving that growth as well. So therefore, it is most of retail, almost all of SME and some part of the corporate side which is now repo linked.

Rikin Shah: Understood. Fair enough. Thank you very much.

Puneet Sharma: Sorry, Rikin, I will just supplement what Rajiv said. If you look at our December 22 presentation, 68% of our loans were floating rate. As of December 23, it is 69% which is floating rate. So there is not actually a movement, it is just a play between the benchmark types. And effectively, over a finite period of time, the benchmarks will have to behave similarly across a rate cycle.

Rikin Shah: Sure. Thank you, Puneet.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Hi. Thanks for taking the question. So I am not sure if you answered that because I missed some part of the conversation. But given that you always have been highlighting in terms of the growth targets, but now it seems to suggest that deposit is definitely a constraint. So would we still continue to grow at 4% to 6% points higher than the system average when you are highlighting that loan and deposit growth would settle



at 13%-odd percent? Or does that also change given this CD ratio as well as the deposit constraint which is there?

Amitabh Chaudhry: You are trying to hold us on QOQ outlook. I think we continue to maintain our guidance that in the medium term, we will continue to be able to maintain that 400 to 600 basis point differential. We are not changing that.

Kunal Shah: Sorry.

Amitabh Chaudhry: We have said that we will maintain the 400 to 600 basis point differential between industry and our growth rate. Do not hold us Q uarter -to-Quarter. But yes, in the medium term, we believe that we can maintain it and we are not changing it.

Kunal Shah: Okay. And secondly, in terms of maybe earlier we highlighted last quarter that almost like the marginal cost of funds and cost of deposits have stabilized. So where are we in terms of maybe what would be the gap between the incremental cost of deposits and the o utstanding cost of deposits? If you can maybe not give the exact numbers, but maybe indicate, how much is the gap I

eft between the two? Which will get caught up over a period of time? particularly term deposits?

Puneet Sharma: Kunal, thank you for the question. What we have maintained is marginal cost of funding has stabilized. As long as the marginal cost of funding remains at where it has been for the last four to six months, we do expect our base deposit book to get repriced through quarter four of the current financial year and a spillover into quarter one of the next financial year.

Kunal Shah: Okay. Got that. And any levers on the loan book side now available given that unsecured pie is also coming up? Though this quarter we see sequential growth being strong in some of the high yielding segments. Plus, now RIDF is also down to almost like say 1.8-odd percent, almost getting in line with or maybe much below where the other banks are. So maybe there were a couple of levers on the yield side, but what levers do we see now going forward on yields?

Puneet Sharma: Thank you, Kunal for that question. I think if you look at Slide 12 of our presentation, we have -- from a mix perspective, we have talked about Retail and SME as a percentage of loan book. We have talked about the INR, non -INR-book. And those are the two observations that you are pointing out have got into the 69% and the 4.2% respectively. We also flagged off a third lever when we speak about our yield optimization journey, which is a sub segment shift within the wholesale business, which is still to play through.

The other element is that if you look at our bank balance sheet, only about 14% to 15% of our advances are unsecured. So we do still have some play at of the bank level between secured and unsecured exposure as we move forward. So short answer to

your question, yes, there are some levers that have been optimized, but there are other levers that we can still work through in the coming quarters and coming years.

Kunal Shah: Okay. Perfect. Thank you. And all the best.

Moderator: Next question is from the line of Saurabh Kumar from JP Morgan. Please go ahead.

Saurabh Kumar: I have just one question. Sir, on this wholesale credit side, so you have had a large recovery. So, two things. One, can you help us with what is the quantum of the -- on the written -off book, what is the quantum left? And how long would you expect this negative credit cycle -- I mean the recov ery side in the corporate will last -- negative net slippage in the corporate to last? Thank you.

Puneet Sharma: Saurabh, thank you for your question. I think if you look at Slide 62 of our Investor presentation, you will see a table that gives you the cumulative value of prudential write - off till date. The number at Q3 FY24 is Rs 40,211 crores .

Saurabh Kumar: Of this how much was corporate?

Puneet Sharma: We do not break this up between corporate and retail. But if I just give you a context, Rs 40,211 crores, this is cumulative value. We have been recovering against this value over a period of time. I think to your specific question on data point on what is corporate

and what is corporate recovery likely to be. We have directionally commented to say that we do expect credit costs to move up in the first stage, recovery from written-off accounts will reduce.

And over a period of time, we do expect gross credit cost to move up for the system and for us. All of us are operating below long-term through cyclical credit cost numbers. Hence, that is the trajectory that we expect to see over time.

Saurabh Kumar: Okay. All right, thank you.

Moderator: Thank you. Next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi. Thanks for the opportunity. My question again is on deposits. So historically, we have pointed out in the past that we are strong in the government business. And one of the reasons for the tighter liq

uidity is government money going out of the system.

So when that money comes back, are we better placed compared to the rest of the system? Any sort of gearing you would like to highlight over there? Yes, that is my first question.

Rajiv Anand : So you are right. Historically, we have had a strong relationship with the government at the central state government, district, panchayat, right down to the beneficiaries. And we continue to leverage on those relationships increasingly what the government wants

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is, is technology solutioning to be able to manage this flow from the consolidated fund of India all the way down to the beneficiary; and we have been providing to the various governments, various state governments, various departments, and ministries these solutions, and we have a significant market share among private sector banks as far as government business is concerned. It is -- the government is looking to get more efficient in terms of these cash flows.

So in the long term, I think as much of these flows become more and more digital, the amount of float in the system will reduce. But I think that is not a problem that we will have tomorrow. But over a period of time, it could potentially sort of play out. But I think the point that you are making is that there is money lying with the government -- and therefore, there is liquidity tightening.

I think to some -- the way that the RBI thinks about liquidity is the liquidity pool that is lying in the banking system, the money that is lying with the government because that government money will either come through -- will either come through in terms of salary payments in the beginning of every month or payments to the state governments and for infrastructure spend, etcetera. So there is a bit of a lead lag as GST payments go to the government and some of these payments come through.

I think one of the things that is been happening is revenue numbers for the government have been very strong. And so therefore, their liquidity buildup has been quite strong. I do believe that, I mean, maybe for the next couple of months as the code of conduct for the elections, which has now pretty much been announced for April 16th, begins to kick in. There may be some slowdown in terms of government spending, but all that will come through as we go forward.

Param Subramanian: Perfect. That is really helpful. But could you provide any numbers in terms of market share? You did highlight that you have a significant market share, but market share percentage of your total deposits, say, contributed by the government business?

Param Subramanian: Any numbers on -- the market share -- you highlighted your market share in government deposits is higher. So any numbers you can give over there? Yes.

Rajiv Anand : I mean, one of the problems that you will always face is that there is no public data around this. So, we know some of these numbers because of some of the work that we have done and some anecdotally. So we are not really looking to share that number publicly.

Param Subramanian: Okay. No problem. And my other question is on the -- again, on re-pricing. So what are the price actions we have taken on unsecured retail as well as loans to NBFCs post the RBI increase in the risk weights. Yes, those are my questions. Thank you.

Puneet Sharma: Thank you for your question, Param. I think on incremental disbursements, we have increased pricing on personal loans. Obviously, you would appreciate that it is a

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competitive market space and therefore, how much you can pass through to the customers depends on market conditions, but we have increased pricing on the loans and we are seeing a better yield come through on our PL portfolio and incremental disbursements. The back book is entirely fixed.

So we are not likely to see that re-priced until it gets repaid.

On NBFCs, we are in the process of passing on the rate hike to the NBFCs. It is a function of when the loan is due for re-pricing, but we have seen a marginal uptick in gross yields on our NBFC book this quarter compared to the last quarter.

Param Subramanian: Perfect. Thanks just one more question, if I could squeeze in. So did I catch it correctly that you are not going to be held to the 2.1% cost to assets exit ratio that you are guiding to, say, by end of FY25? So that is not something we are looking at currently. Is it?

Puneet Sharma: Param, what I said is if the environment permits us to invest, we would like to invest for the future. That is what I had said when we did our Analyst Day. Given the benign credit environment, we would like to continue to build the franchise for the future as long as we can deliver in and around our aspirational ROE metric.

Param Subramanian: Okay. Got it Puneet. Thanks a lot. All the best to the team. Thank you.

Moderator: Thank you. Next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: Yes, hi. Thanks for the opportunity. Just thinking around this liquidity tightness, I wanted to get thoughts from Amitabh on how do you think from the second order derivative perspective of this phenomenon? Would you worry on potential asset quality issues? Are we still some time away from that? And what would you see as signals if this kind of persists for a longer time?

Amitabh Chaudhry: Well, it is difficult to predict at this stage. I think it is given where the Indian banking system is, where the consumer sentiment is. Yes, and the way regulator is watching the matrices so closely and so actively, I do not see the second order impact coming through in any big or significant way. But ultimately, we are in the risk-taking business. It is very difficult to say anything with surety.

All of us are watching our numbers very, very closely. All of us are aware that the times are so good that we do need to watch our numbers closely because this is when we might make some mistakes, no signs as yet. But this potential tightening situation, pricing might lead to a second order impact? Only time will tell. I can only assure you at least from Axis Bank perspective, we are looking at everything possible we can very, very closely and trying to assess if there is any signal out there, which would be telling us that things could be going down -- going south in some form or shape.

Sameer Bhise: But at this point in time, you do not worry on that. Is that fair?

Amitabh Chaudhry: Banking being a risk-taking business, we are worried all the time.

Sameer Bhise: And just quickly, can I have a breakup of the gross slippages across businesses?

Puneet Sharma: Thanks for the question. Our gross slippages for the quarter were Rs 3,715 crores. They declined 2% YOY. Segmentally, it was Rs 3,384 crores for retail, Rs 238 crores for CBG and Rs 93 crores for the WBCG business.

Sameer Bhise: Okay. This is helpful. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi. Thanks for taking my question and congrats on the quarter. I do not mean to harp on this too much, because it has been discussed quite a bit. But if you had to reduce your LCR, I just want to understand management's approach, would you rather slow down loan growth or get the required deposits through NRTD and compromise a bit on NIMs?

Puneet Sharma: Thank you for the question, Piran. I do not think there is one answer to that question. It is not a choice of either-or. It will be a mix of both, that we will work through. We cannot really say that we are willing to pay any price for a deposit to fund our loan growth.

owth.

And similarly, we are not saying that if deposits are far too expensive, we will not grow

at all. We operate in a model where we will optimize both variables. So the honest answer is there will be a path that we will find to grow with deposit cost increases as they move through in the future.

Piran Engineer: Got it. So in the interim, it is fair to assume that there is a chance your loan growth does not grow 4 percentage to 6 percentage points higher than the industry, in the interim? That is a fair assessment, right?

Puneet Sharma: Piran, I think the request I have of you is the 400 to 600 bps guidance that we had was based on the structural strength of the franchise, and we said that that is a number that we will target in the medium to long term. We did not hold ourselves ever accountable to do that number on every sequential quarter basis. The comment that we have added through this call is given where liquidity is in the market today, we do expect deposits to constrain advances growth. We will operate within both those metrics, but we are not moving away from our medium-term guidance of 400 to 600 basis points faster than industry credit.

Piran Engineer: Got it. And just secondly, can you talk a bit about what has changed in LAP? Like until two quarters back, we were barely growing 1%, 2% QOQ. Now it is picked up to 6%, 8%. So maybe if you could just help us understand what changes you have made to drive growth here?

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Sumit Bali : LAP growth is an outcome of some of the transformation projects which we have been running. During the last 12 months also, LAP was outgrowing within the mortgages business. This year, we have seen a lot of stuff come together in terms of delivering the growth which we are seeing. Our portfolio quality remains strong. So we expect this growth to continue.

Piran Engineer: Sorry. I meant have we improved like our turnaround time, have we added distribution, a new partner, something would have changed that it picked up?

Sumit Bali : It is a mix of everything. We have added partners, turnaround time has improved, our channel management has gotten stronger, sourcing from branches increased, we have gotten deeper distribution into our rural Bharat Banking branches. So it is a host of initiatives across the board, which we have been working on. And that is what has resulted into this outcome.

Piran Engineer: Got it. Got it. Okay, that is useful. Thanks and all the best.

Moderator: Thank you. Next question is from the line of Shubranshu Mishra from Philip Capital. Please go ahead.

Shubranshu Mishra: Good evening, sir. Thank you for the opportunity. Got a couple of questions on the credit card piece, which is on slide number 22.

So when we say 52% is ETB and 33% is known to bank, this entire 33% known to bank is coming from the Flipkart co-brand. That is the first part that I wanted to understand. And also the definition of Known-To-Bank.

The second part is what is the mix of revolvers, EMI, and personal loans here in the transactors here in the mix? And what would be the ballpark ROA that we make on a steady state basis in this business, in the credit card business? Thanks.

Arjun Chowdhry : Yes, sure. Thanks for your question. This is Arjun here. So I will try and cover all of it.

KTB refers to Known-To-Bank, which is a set of customers where we have some information about them, but it is not exactly a customer who has an existing, some other product of the bank. May not be a SA account, may not be a loan, but they do in many cases come from our partners where we have compliant data sharing arrangements, which allow us to get a better insight about that customer.

No, all of them do not come from Flipkart. We have a similar arrangement with multiple partners. As you know, we have got partnerships with Airtel, we have got partnerships with Samsung,

we have got partnerships with Google, and also Flipkart. So it is a mix of partners.

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We do not share, unfortunately, portfolio -specific and segment -specific metrics at the third level, such as EMI and revolve rate. But suffice it to say that the broad trends we have seen in the past continue to hold out this quarter as well.

Not sure I can say much more than that. Your third question I could not quite catch.

Would you mind repeating that, please?

Shubranshu Mishra: What would the ballpark ROA of the credit card business on a steady state business, steady state business, not in this quarter or quarter gone by?

Arjun Chowdhry : Yes, no, that unfortunately is something we cannot share at the product level. But we do track it, but we cannot share it at the product level. I am sorry.

Shubranshu Mishra: Right. If I can just, in that case, just squeeze in one last question. What is the absolute dollar value of the cost of acquisition for Existing -To-Bank and Known -To-Bank and an absolute open -source customer?

Arjun Chowdhry : This is a product -wise, segment -wise question. And again, we cannot share that level of granularity in terms of the metrics.

Shubranshu Mishra: No, issue sir. Best of luck.

Moderator: Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma: Thank you, Neerav. Thank you, everyone, for taking the time this evening to join us. If there are any questions that remain unanswered or there are follow -on questions, please feel free to reach out to Abhijit and our IR team, and we would be happy to pick them up. Thank you and have a good evening.

Moderator: Thank you very much. On behalf of Axis Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

## Call: Apr 2024

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Axis Bank's Q4 & FY24 Annual Results  
Media Conference Call on April 24, 2024

### MANAGEMENT :

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO, AXIS BANK LIMITED  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR, AXIS BANK LIMITED  
MR. SUBRAT MOHANTY - GROUP EXECUTIVE & HEAD - BANKING OPERATIONS AND TRANSFORMATION  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER, AXIS BANK LIMITED  
MR. MUNISH SHARDA - GROUP EXECUTIVE & HEAD - BHARAT BANKING  
MR. SUMIT BALI - GROUP EXECUTIVE & HEAD - RETAIL LENDING

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Moderator: Ladies and gentlemen, good day, and welcome to Axis Bank Conference Call to discuss the Bank's Financial Results for the quarter and year ended as on 31st March 2024.

Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touch-tone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call we have Mr. Amitabh Chaudhry, MD and CEO, Mr. Rajiv Anand, Deputy Managing Director and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Choudhury, MD and CEO. Thank you and over to you, Sir.

Amitabh Chaudhry: Thank you, Neerav. As you mentioned, we have on the call Rajiv, Subrat, Munish and other member of the leadership team.

We have had another strong year of performance built on our GPS strategy that has set Axis Bank firmly on the path to become a resilient all-weather franchise. We have delivered our aspirational return ratios with better quality and consistency of earnings while maintaining a strong balance sheet position.

During the year, we maintained the growth trajectory across our focus business segments, improving MSME, Bharat and Retail Assets and improve the quality of our deposit franchise. We also scaled up the branch network as we crossed the milestone of 5,000 branches and opened a record 475 branches in FY24. We have improved our Net Promoter Score ranking to

second amongst large peer banks as per a benchmarking study undertaken by the independent agency, Cantor for Axis Bank.  
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Our flagship digital properties, 'open' and NEO, continue to lead the market in retail and wholesale segments. Our current position of strength is a result of consistent execution, rigor, and investments made in building blocks across our people, processes, technology, and several multiplier projects over the past 5 years. This has helped us to not only surpass the GPS commitments we had made, but also deliver distinctiveness, and differentiation across our focused business segments as we continue to build new sources of competitive advantage.

In Q4 FY24, the bank delivered consolidated ROE of 20.87% and has now delivered ROEs of greater than 18% for the past 7 quarters. The bank is well capitalized with organic net accretion of 44 bps of CET1 capital in FY24. We stay focused on 3 core areas of execution of our GPS strategy, namely:

A. B

becoming a resilient all-weather franchise

B. Creating multiple creative forces to build competitive advantage

C. Building for the future

As you will see, there is a slight change in narrative through FY24. The earlier themes of high-performance culture, a winning mindset and strengthening of the core are now an integral part of Axis Bank's DNA. I will now discuss each of these areas.

A. Becoming a resilient all-weather franchise:

As far as becoming a resilient all-weather franchise is concerned, I will talk about deposits first. Over the last couple of years, we have in deliberate planned steps shifted the quality and strength of our deposit franchise in a marked manner. We have shared the trend on growth of granular deposits, reduction in LCR outflow rates, premiumization to Burgundy and Burgundy Private platforms and embedding of Siddhi, an employee super app and Sparsh, our customer experience transformation program into the DNA of the branches.

These initiatives have improved the health of our franchise significantly and the impact of this was seen progressively every quarter in FY24 and our deposits market performance. We are carrying this momentum into FY25.

I will now take you through performance highlights for Q4.

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■ We continue to deliver higher growth in LCR accretive retail and small business deposits, that stood at 18% YOY, 500 bps higher than our overall deposits growth. We have improved our LCR outflow rates by 500 bps in the last 2 years, which is among the best in the sector today.

■ CASA deposits grew 8% QOQ and our CASA ratio as a percentage of average assets for Q4 FY24 stood at 32%, which is among of the best in the sector today.

■ We have further improved the growth trajectory of retail term deposits with 17% YOY growth that stood at a 13 quarter high.

■ On the corporate salary side, we have redesigned our corporate salary product proposition under SUVIDHA to win employer mind share and get higher employees wallet share further access to 1,600 SUVIDHA corporate tables from the Citi acquisition with pan-India coverage as compared to few cities earlier is also adding the corporate savings account growth.

■ Our premiumization strategy has performed well with Burgundy OEMs growing at a CAGR of 32% in 5 years. Burgundy Private launched 4 years back, now includes 35 of the Forbes 100 richest Indians as its clients and manages wealth for over 10,650 families across 27 cities PAN country.

■ On the wholesale segment, Project NEO is helping to drive higher transaction banking flows leading to better current account balances.

■ Our NEFT market share in terms of value has increased to 12% and Q4 FY24 as compared to 9% in Q4 FY23. This was possible due to large CMS wins in the

fintech payment aggregation space.

■ Our deposit mobilization strategy has been led by 2 large transformation initiatives, Siddhi a super app for our employees and Project Triumph leveraging the various business segments within retail, Bharat and SME continuing to progress well .

We have seen all -around growth across businesses, and we have now market -leading growth in our focus segments. Refer to Slide 8 of the investor presentation, our higher -yielding focus segments, including SME, mid -corporate, SBB, which is small business banking rural, personal loan, credit cards together have grown at a CAGR of 25% in the last 4 years and now constitute 43% of the total advances, up by 1,210 b ps during this period .

We will continue to focus on driving growth across our business segments while following capital efficient RAROC model. Refer to the Slide 10 and 11.

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As far as strengthening the core is concerned, while we strengthen

d the balance

sheet and capital position significantly, we have also been consistently building and investing in the entire technology backbone, data analytics, digital and tech teams.

We have early leadership in micro services -based cloud adoption and the first Indian bank to be ISO certified for its AWS and Azure Cloud Security as part of commitment to open API ecosystem. We now offer wide stack of 410 -plus APIs on the developer portal. Our investment in Emerging Tech has demonstrated through creation of 3,500 plus RPA bots and leveraging Microsoft Gen AI use -cases, focused on conversational banking, automation and AI service enablement. This year, we have also embarked on further strengthening our enterprise -class systems of engagement with sales force journey that will further aid in making the systems more scalable and future ready.

B. Creating multiple creative forces to build competitive advantage:

Our second pillar is creating multiple data forces to build competitive advantage. Our readiness to partner with innovative fintech ventures has created a dynamic ecosystem that fosters innovation, enhances the customer experience and sets new industry standards globally. We believe we are well placed to play all the socioeconomic mega trends over the next decade and beyond. The multiplicative forces that we have built through unification of One Axis, 100 plus partnerships and new -age tech platforms give us the right to win. Slide 13 to 16 provide more details.

Citibank Consumer Business integration remains on -track. Deposits are largely stable, while there has been growth in retail assets and wealth management led by improvement in cross -sell metrics. We are now live with the first change in the migration journey for the transitioning customer base with IFC migration, enabling payments to Citibank accounts using Axis Bank IFC. This has been made live in March '24. We have successfully completed the migration of CVC loans portfolio in March 24, and the customers have now fully migrated from Citi systems onto the Axis systems. The integration of the other assets and liabilities remains on -track.

C. Building for the future:

The third pillar, building for the future . We are trying to be ahead of the curve towards building a bank for the future with deep investments on management, Axis Bank|Public

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time and resources in our chosen areas of distinctiveness, namely Digital, Bharat Banking and Customer Obsession.

Digital banking performance continues to remain strong . 'open ' by Axis balance



sheet continues to deliver strong growth with 33% in deposits and 74% increase in loans. 'open' by Axis continues to be the highest-rated mobile banking app on the Google Play store with a 4.8 rating. On the IOS app store too, the rating has increased to 4.8 this quarter.

NEO for business, our MSME proposition, now has 60,000 customers onboarded over the last two quarters. NEO for corporates has been scaled up with customer migration currently underway. The migration here will continue to scale up until quarter three, while we continue to launch additional capabilities. With the full rollout of NEO, Axis remains on track to become the operational bank of choice for our wholesale banking clients.

Bank-wide programs to build distinctiveness continue. Our bet on Bharat is going from strength to strength. The FY24 disbursement sold by Bharat Banking is up 30% YOY, rural advances up 30% YOY and deposits in Bharat branches up by 12%, thereby adding the PSL and profitability metrics.

In rural advances, the balance sheet in the last 24 months is 1.75x the size of the balance sheet added in the previous four years, which is March '18 to March '22. We have expanded our multiproduct distribution architecture to 2,482 branches complemented by 64,550 CSC yearly network across 683 districts and 80-plus partners across the industry. It

has also contributed significantly to the bank's overall PSL achievement at 46.37% for FY24.

Sparsh, our customer obsession program is helping to improve relationship and transactional intensity with our customers. Sparsh, our Bank-wide distinctiveness priority, is now embedded in rituals and practices across all 5375+ branches, all our customer touchpoints and in the conduct of every employee. Our Gen AI conversational chatbot is empowering frontline employees to efficiently address queries on core products.

In closing, the Indian economy continues to remain a bright spot with its favourable macros backed by strong and stable domestic policy environment, which bodes well for the banking sector. We will continue to be differentiated and distinctive in our journey to improve our service and performance levels for all our stakeholders. We remain focused towards building an all-weather institution that will stand the test of time.

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I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. The FY24 PAT stood at INR 24,851 crores, up 160% YOY. Net Interest Margin for FY24 was 4.07%, up 5 bps YOY. Consolidated ROA at 1.84%, up 99 bps YOY. Consolidated ROE at 19.29%, up 10.03% on a YOY basis. Our operating performance has been robust.

Q4 FY24 net interest income grew 11% YOY and 4% on a sequential quarter basis. Q4 net interest margin was 4.06%, up 5 bps QOQ. Q4 FY24 fee income grew 23% YOY and 9% QOQ. Retail fees grew 33% YOY and 12% QOQ. Granular fees account for 93% of our total fees.

Q4 FY24 operating revenue was up 20% YOY, 10% sequential quarter. Operating profit grew 15% YOY and 15% QOQ. PAT stood at INR 7,130 crores, up 17% on a sequential quarter basis. YOY is not comparable to previous year.

Q4 FY24 consolidated ROA and ROE on an annualized basis is 2.07% and 20.87%, up 23 bps and 226 bps QOQ. Our subsidiaries contributed 7 bps to the Consolidated ROA and 52 bps to the Consolidated ROE.

Net Interest Income grew 16% YOY for FY24 on a full-year basis. Fee income grew 28% YOY on a full-year basis. Operating profit grew 16% YOY on a full-year basis.

Our healthy business growth was delivered across all segments. Bank's total business grew 13% YOY and 5% sequential quarter. Advances grew 14% YOY, 4% sequential quarter and our month-end deposits grew 13% YOY, 6% sequential quarter.

On a month-end balance basis, our retail term deposits grew 17% YOY and 5% sequential quarter. CASA grew 8% on a QOQ basis with a CASA ratio of 43% as of 31st March 2024.

On a quarterly average balance basis, our retail term deposits grew 16% YOY, 3% sequential quarter. Total deposits grew 16% YOY, 5% on a

sequential quarter basis. Our average LCR during Q4 FY24 was 120%. Our outflow rates improved by 500 bps over the last two years. Advances gross IBPC sold grew 15% YOY, 4% QOQ. Within advances, retail loans grew 20% YOY, 7% QOQ. SME loans grew 17% YOY, 5% QOQ. Corporate Axis Bank|Public

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loans gross of IBPC sold grew 7% YOY. Small business banking loans grew 33% YOY, 7% sequential quarter.

Our mid -corporate book grew 22% YOY. Small business banking SME plus mid-corporates now aggregate on a total basis to INR 2,08,338 crores of book, constituting 22% of loans. This is up 628 bps in the last three years. We are well capitalized with a self -sustaining capital structure and adequate liquidity buffers. Overall Capital Adequacy Ratio stood at 16.63% with a CET1 ratio of 13.74%. Net organic CET1 accretion of 44 bps in FY24 and 3 bps in Q4 FY24. INR 5,012 crores of COVID provisions have been reclassified to other provisions.

These are not considered for capital adequacy computation and provide a 41 bps cushion over our reported Capital Adequacy Ratio. Our excess SLR was INR 85,056 crores. Our average LCR for the period was 120.

We continue to maintain strong position in payments and digital banking. Axis Mobile and Axis Pay have 11 million non -Axis Bank customers. 100 plus digital partnerships across platforms and ecosystems. 20 million customers on WhatsApp banking. Credit card CIF market share at 14%. Retail card spends grew 51% YOY.

Our asset quality has improved and is amongst the best in class today. GNPA at 1.43%, declined 59 bps YOY and 15 bps QOQ. Net NPA at 0.31%, declined 8 bps YOY and 5 bps QOQ. GNPA and NNPA in rupee per terms have both declined sequentially. PCR is healthy at 78%. On an aggregated basis, our coverage ratio stands at 159%.

Gross slippage ratio at 1.48% declined 28 bps YOY and 14 bps sequentially. Our Net slippage ratio is 0.57%. Q4 FY24 net credit cost was at 0.32% FY24, net credit cost was 0.37%, declined 3 bps YOY.

Our key subsidies continue to deliver steady performance. FY24 PAT at INR 1,591 crores, up 22% YOY, with a return on investment of 54% on our domestic subsidiaries. Axis Finance FY24 PAT grew 28% YOY to INR 610 crores. Asset quality metrics improved ROE of 16.77%.

Axis AMC FY24 PAT at INR 414 crores, Axis Securities FY24 PAT grew 48% YOY to INR 301 crores. Axis Capital PAT stood at INR 150 crores and executed 90 investment banking deals in FY24.

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With this, we conclude our comments. We will be happy to take questions.

Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Jinit Parmar from Moneycontrol. Please go ahead.

Jinit Parmar: So, my first question is basically on your exposure to AIF. So, you had done some provisions in the last quarter. So, just wanted to get a sense on after RBI direction last month, have you done any write -backs on that particular provision?

Puneet Sharma: No, we have not written back any provisions on AIF post the RBI clarification. We are prudently holding on to provisions on AIF investments.

Jinit Parmar: My second question is on the exit of Mr. Ravi Narayanan from the Bank last month. So, there were speculations that his exit was kind of surprising as such, considering his term in the bank.

So, just wanted to get a clarity that in your exchange filing you had said it is for personal reasons and he wanted to do something else. But just wanted to get a clarity as to like what it was other than personal reasons because there were speculations. So, any clarity on that?

Amitabh Chaudhry: Whatever we had to say was on that announcement. If they want to speculate then that is not our problem.

Jinit Parmar : Sir, your voice is not clear. I am sorry, but I could not hear you.

Rajiv Anand : Whatever the bank had to say was there in the exchange disclosure , we have nothing else to add to that.

Jinit Parmar: Okay, noted on it. Thank you.

Moderator: Thank you. The next question is from the line of Siddhi Nayak from Reuters. Please, go ahead.

Siddhi Nayak: Hi Sir. This is Siddhi. Thanks for the question. I wanted some guidance on your loan and deposit growth. I guess in the last quarterly call you had mentioned that eventually there will be some kind of slowdown in loan growth and the deposit growth obviously will have to catch up to the loan growth.  
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So, wanted to get some guidance in the new fiscal year. Any outlook that you would provide on the loan and deposit growth?

Amitabh Chaudhry: Firstly, can you hear me?

Siddhi Nayak: Yes Sir.

Amitabh Chaudhry: So, we do not provide any guidance on loan or deposit growth. But we continue to stick to our statement that based on whatever we are hearing and seeing in the marketplace that deposit growth will remain a constraint. Liquidity will remain tight and as a result if the deposit growth remains muted as what we have seen in the recent past, ultimately, the loan gr

owth will also  
reflect the same.

And I think in this quarter some of the announcements of the banks have come and we can see that playing through in some of the bank results. So, whatever we have said is turning out to be true. So, I hope you will listen more to us going forward in the future.

Siddhi Nayak: Okay, Sir. I will come back.

Moderator: Thank you. The next question is from the line of Benn from The New Indian Express. Please go ahead. Benn, sorry to interrupt you, your voice is not coming clearly. Can you please speak through the handset. Benn, may I request you to come in a better reception area as your voice is breaking.

Benn Kochuveedan: Can you hear me now?

Moderator: Yes, slightly better.

Benn Kochuveedan: Yes. Can you give us the absolute numbers of NIM (Net Interest Income), the balance sheet growth, because barring the profit numbers, none of the absolute numbers are given in the exchange filing?

Puneet Sharma: Thank you for the question. Actually, our press release carries all the numbers that you requested for, but let me read them out to you. On a full year FY24 basis. Sorry, am I audible?

Benn Kochuveedan: Yes.

Puneet Sharma: Thank you for your question. I just want to clarify that all of the numbers you have requested for are part of our exchange filing and also included in our  
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press release please. I will just read them to you for ease of reference. Our Net Interest Income for the full year is INR 49,894 crores. Our net interest income for Q4 is INR 13,089 crores growing 11% YOY and 4% QOQ.

Your second comment was on overall balance sheet size. I will guide you to look at page 8 of our press release. Our total balance sheet size as 31st March is INR 14,77,209 crores. For the same period last year which is 31st March 2023 , our balance sheet size was INR 13,17,326 crores effectively representing that our balance sheet grew by INR 1,60,000 crores in the last financial year. I hope that answers your question.

Benn Kochuveedan: And how has been the personal loan growth?

Puneet Sharma: So, effectively, if you look at the way our book has performed on a personal loan growth basis, I will request you to look at slide 740 of our investor presentation. Our PL book grew 10% on a sequential quarter basis, stands at

INR 71,592 crores and comprises 12% of our total retail asset loan book.

Benn Kochuveedan: Okay, thank you.

Moderator: Thank you. The next question is from the line of Manojit Saha from Business Standard. Please go ahead.

Manojit Saha: Hi. Good evening. What is the reason for the sharp increase in provisions from INR 305 crores in the same period of previous year to INR 1185.31 crores in the Q4 FY24?

Puneet Sharma: Thank you for your question. If you look at the breakup of provisions that we provide on slide 80 of our investor presentation, you will see that the increase is principally coming on loan loss provisions. And the increase is backed up by improvement in our provision coverage ratio.

Asset quality remains good for us, which is reflected through gross slippages. Gross slippages for us on a YOY basis has actually declined by 28 bps, giving you comfort that the book quality remains good.

Manojit Saha: Can you throw some light where the loan loss provisions have gone up, if it is retail or SME or corporate loans?

Puneet Sharma: So, effectively, please do appreciate that loan loss provisions are across categories. Again, I will request you to look at slide 78 of our investor presentation.  
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presentation. We have provided you a segmented disclosure on the NP A composition of our loan book.

We do not provide breakup on segmental net credit cost as part of our reporting. But directionally, wholesale and SME books typically would have held up well. The provisions

would be largely for the retail portfolio.

But again, please read the provisions in the context of slippages. Our slippages have improved sequential quarter and YOY, reflecting the fact that the book has healthy credit quality as we stand today.

Manojit Saha: You are saying slippages are in control, but provisions have gone up. So, is it because of aging provision? Or there was a floating provision, right?

Puneet Sharma: We do not as a policy make floating provisions. Please see the PCR number. Our PCR number now stands at a healthy 79%.

Manojit Saha: Essentially, it is aging provision, right?

Puneet Sharma: It will be a mix of aging provision and composition of assets that have slipped. It is not only aging provision. It is also a mix of assets.

Let me give you an example. In our case, we provided very high rates for retail unsecured loans. But a mortgage loan book is provided at a different rate. So, if the composition of slippages changes, loan loss provisions will change. But please do appreciate asset quality is reflected through gross slippages and net NPA. Our net NPAs have improved YOY and sequentially.

And our gross slippages have improved YOY and sequentially.

Manojit Saha: And what is the credit growth and deposit growth projection for the current financial year?

Puneet Sharma: We do not offer guidance on loan growth and deposit growth. As we answered a question previously asked to us, the only guidance we offer is medium term. Medium term for us is three to five years. And we believe that we will be a market share gaining franchise on a three to five year basis.

Manojit Saha: Okay, thank you.

Moderator: Thank you. Next question is from the line of Shilpy Sinha from the Economic Times. Please go ahead.

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Shilpy Sinha: Good evening, Sir. My question is again on CASA deposit, which you have been mentioning over the calls for some time now. But again, just to get some views on your deposit falling. The CASA deposit if I look at and the percentage of total deposits has fallen from 47% to 43%. If you can just give some idea as to what the bank is doing about it?

Munish Sharda: Yes, Shilpy, so like Amitabh said, we have been on a transformation journey for our deposit franchise in a very deliberate and planned manner over the

last couple of years. If you look at the numbers, we have made structural shifts in our type of deposits, our LCR ratios, our LCR equity deposits, our growth has actually held up our deposit trajectory. Actually, this quarter is on a 13-quarter high in terms of deposits.

And in terms of average or deposit as the sum of average assets, we are amongst the best in the industry. So, we are working on a number of things across the franchise, which include, getting the entire bank to get us deposits, including businesses like asset businesses. Also, our transformation projects, which are technology-led transformation projects. And also, the client project where we are trying to improve the operating rhythm in the branches. Apart from that, our distribution expansion last year has given us good growth and we will continue to invest in that growth, in the time to come.

Shilpy Sinha: Okay. On the advances front also, I wanted to understand if you can give some colour on the kind of loan demand that you are seeing and where is it coming from? Your corporate loan has grown only 3% last year, if I read the numbers correctly. So, if you can give some colour as well?

Rajiv Anand: So, corporate loan demand continues to be fairly broad based across various sectors. We ourselves have participated in a fair number of these transactions. And we do believe that, I mean, as I look at my pipeline, the pipeline for incremental demand on the corporate side,

continues to be quite strong as well.

I think the issue will at this point in time, given the way that the curve is shaped, where short-term rates are like a one-year deposit rate is closer to 7.5%, but the 10-year GSEC is closer to 7.20 and add corporate spreads, etc.

I think the shape of the curve will preclude us from participating in many of the transactions where potentially the customer is able to get better yields from, for example, the bond markets as opposed to the loan markets.

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From our perspective, we are able to serve the customer given the fact that we have market-leading capabilities on both the debt capital market side as well as on loan origination. And so, therefore, some of our incomes on the wholesale bank side may not necessarily come through NII, but will come through fee incomes as we continue to engage with corporate India across the capital structure that they have.

Puneet Sharma: Shilpy, I would just like to supplement what Rajiv said. A better way to look at corporate growth is grossing up for IBP C sold. So, I think you referenced the 3% number. The number grossed up for IBP C sold is actually 7%. So that is the number we should work with.

Shilpy Sinha: Okay. Another thing, the board has today approved raising of funds for the issue of debt instruments to the tune of INR 35,000 crores. So, what is the plan here? By when do we see the fund raising happening and in which mode?

Puneet Sharma: Shilpy, thank you for the question. It is a recurring annual resolution which is enabling in nature. We had a similar resolution last year of an equivalent amount. This is purely enabling for the purposes of our business. It is not an outlook on the quantum of funds or the type of funds we are likely to raise.

Shilpy Sinha: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Ashish Agashe from Press Trust of India. Please go ahead.

Ashish Agashe: Thank you so much. I hope I am audible, Sir. What was the CD ratio for this quarter, Sir? And secondly, you mentioned that the deposit growth would be a constraint. So, what sort of play could we expect from Axis Bank on this? Like, would it be hiking of deposit rates? What sort of headroom there? And again, what will be the impact on NIMs because of this? What sort of outlook do you keep on NIMs?

Puneet Sharma: Thank you for your questions. You were inaudible for some parts of the questions. We picked up two questions. One was on what our CD ratio as of 31st March was. And the second question was an outlook on NIMs. So please allow us to answer those two. And then if there are parts of your question we missed, we request you to repeat them. The CD ratio as of 31st

March was 90.31%. So, that clarifies the data question. On NIM outlook, as we have consistently maintained, we do not offer NIM's guidance on a  
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sequential quarter basis or a YOY basis. Therefore, we do not really have a way to respond to that question.

We remain true to the fact that our through-cycle NIMs will be 3.80% structurally. We currently, on last reported quarter basis, have a 26 bps cushion. Please also note that last year, full year to current year, we have improved our margins by 5 bps. So, 4.02 last year to 4.07 this year. That should indicate to you that we are focused on ensuring the right levels of NIMs at the right levels of risk for the franchise. We do not offer an outlook, so therefore we will not be able to answer that question.

Ashish Agashe: Okay, so the missing part was only on the deposit accretion side. As there is a constraint on deposit growth, will there be more hikes in the offering both for Axis as well as for the system? And then I was linking it up to the NIMs side because if you were to hike depo

sit rates, what sort of impact do you see on NIMs going forward?

Puneet Sharma: Association of deposit rate increases in margins, and that is now available in public domain. Our 12-month cost of deposits increase, which is the increase in the 12-month FY24 versus the 12-month FY23, is roughly between 95 and 97 bps. We have also had an increase in yield on interest earning assets by an equivalent number.

So far, as looking at cost of deposits and yields impact, our performance for FY24 indicates that we have been able to pass on that cost of funds to our customers either through change of mix or improvement in pricing, in some cases both. On the deposit question, we had a healthy deposit growth on a sequential quarter basis in Q4. Our commentary on deposits has been in the current liquidity constrained environment. Deposits should continue to grow for us is where I will pause that response.

Ashish Agashe: Second quick question. On the entire technology architecture side of things actually, how difficult is it to maintain, and this can be a very broad question, how difficult is it to maintain really the entire tech engine such that it keeps pace with the overall customer growth and other things for a bank your size? You also suffered some difficulties during the quarter recently on that front. So how difficult is this? Of course, we have seen quite a lot of action from the regulatory side as well on this.

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Subrat Mohanty: Sorry, you are not very audible here, but I think I got the gist of your question in terms of how we are architecting our technology landscape to manage both the increase in digital transactions, the resilience of the system to make sure that they do not go down, and also to manage information security and data security risk. Now, this is a constant kind of work that we have been at for the last three to four years. And fundamentally, this requires a very strong and new-gen technology architecture, which kind of separates the core banking system from the middleware, and then middleware from the front-end systems where most of the transactions are happening, which we have done.

The second part of this is also to be able to partition the core banking system in a manner where you are able to do the high-velocity, low-value transaction, which is the feature of India's digital stack. And we are able to take it to the cloud, which is also what we have done. So, from our perspective, there is a clear vision to be able to continue the kind of resilience that we have seen our information technology systems have.

We have also, built the capacity for the infrastructure at fairly significant levels of slack within the system, so that we have that additional capacity when the volumes go up. Having said all of this, this is not an area that any one of us can be comfortable at any point in time. So, the constant monitoring

and constant action on this is part of the everyday IT game at this point in time, and we continue to be extremely vigilant about it.

Ashish Agashe: Okay, Sir. Thank you.

Moderator: Thank you. A reminder to all the participants, you may press star and 1 to ask a question. Next question is from the line of Ekta Suri from Zee Business.

Please go ahead.

Ekta Suri: Hello, am I audible?

Moderator: Yes, ma'am, you are. Please go ahead.

Ekta Suri: I would actually like to ask that, you know, will it be possible to throw some light on Sojo Infotel NCD underwriting issue. Did Axis Capital pay subscribers like Aditya Birla Finance and Sun TV? If yes, then how much was the amount?

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Amitabh Chaudhry: We do not comment on specific transactions the one you are referring to. So, sorry, we will not be able to add anything to what is out there in the public domain.

Ekta Suri: And also, Sir, I would like to understand that as far as the home loan top-ups are concerned, is it like banks, Axis Bank is tracking that what is the end use of that home loan top-up? Because essentially a home loan top-up is for home refurbishing or maybe home expansion. But the banks are advertising it as personal loan usage.

So how is the bank like putting it in their own books, records, like giving it as a home loan top-up, personal loan or what kind of loan or loan against property?

Sumit Bali : So, this is a top-up against the home loan. So for all the customers whose account is with us, we disperse in that account and we track the movement of that. So, it is for personal loan in nature. Discretionary at the end of the customer, you can use it for house repair or other miscellaneous expenses.

Ekta Suri: So, it is in your book, as a ?

Sumit Bali : We lost... Yes, it is treated as an unsecured loan in our books. It is a small quantum of the book.

Ekta Suri: Okay, thank you, Sir.

Moderator: Thank you. Next question is from the line of Jinit Parmar from Money Control. Please go ahead.

Jinit Parmar : Oh, I pressed the button by mistake. Sorry.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma: Thank you, Mr. Neerav. Thank you, ladies and gentlemen, for taking the time to be with us this evening. If any questions remain unanswered, the Corporate Communication and Investor Relations team would be happy to take those questions offline. Thanking all of you for your time this evening.

Thank you. Have a good one.

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Moderator: Thank you very much. On behalf of Axis Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

# Call: Apr 2024

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Axis Bank's Q4 & FY24 Annual Results  
Media Conference Call on April 24, 2024

## MANAGEMENT :

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO, AXIS BANK LIMITED  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR, AXIS BANK LIMITED  
MR. SUBRAT MOHANTY - GROUP EXECUTIVE & HEAD - BANKING OPERATIONS AND TRANSFORMATION  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER, AXIS BANK LIMITED  
MR. MUNISH SHARDA - GROUP EXECUTIVE & HEAD - BHARAT BANKING  
MR. SUMIT BALI - GROUP EXECUTIVE & HEAD - RETAIL LENDING

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Moderator: Ladies and gentlemen, good day, and welcome to Axis Bank Conference Call to discuss the Bank's Financial Results for the quarter and year ended as on 31st March 2024.

Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touch-tone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call we have Mr. Amitabh Chaudhry, MD and CEO, Mr. Rajiv Anand, Deputy Managing Director and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Choudhury, MD and CEO. Thank you and over to you, Sir.

Amitabh Chaudhry: Thank you, Neerav. As you mentioned, we have on the call Rajiv, Subrat, Munish and other member of the leadership team.

We have had another strong year of performance built on our GPS strategy that has set Axis Bank firmly on the path to become a resilient all-weather franchise. We have delivered our aspirational return ratios with better quality and consistency of earnings while maintaining a strong balance sheet position.

During the year, we maintained the growth trajectory across our focus business segments, improving MSME, Bharat and Retail Assets and improve the quality of our deposit franchise. We also scaled up the branch network as we crossed the milestone of 5,000 branches and opened a record 475 branches in FY24. We have improved our Net Promoter Score ranking to



second amongst large peer banks as per a benchmarking study undertaken by the independent agency, Cantor for Axis Bank.  
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Our flagship digital properties, 'open' and NEO, continue to lead the market in retail and wholesale segments. Our current position of strength is a result of consistent execution, rigor, and investments made in building blocks across our people, processes, technology, and several multiplier projects over the past 5 years. This has helped us to not only surpass the GPS commitments we had made, but also deliver distinctiveness, and differentiation across our focused business segments as we continue to build new sources of competitive advantage.

In Q4 FY24, the bank delivered consolidated ROE of 20.87% and has now delivered ROEs of greater than 18% for the past 7 quarters. The bank is well capitalized with organic net accretion of 44 bps of CET1 capital in FY24. We stay focused on 3 core areas of execution of our GPS strategy, namely:

A. B

becoming a resilient all-weather franchise

B. Creating multiple creative forces to build competitive advantage

C. Building for the future

As you will see, there is a slight change in narrative through FY24. The earlier themes of high-performance culture, a winning mindset and strengthening of the core are now an integral part of Axis Bank's DNA. I will now discuss each of these areas.

A. Becoming a resilient all-weather franchise:

As far as becoming a resilient all-weather franchise is concerned, I will talk about deposits first. Over the last couple of years, we have in deliberate planned steps shifted the quality and strength of our deposit franchise in a marked manner. We have shared the trend on growth of granular deposits, reduction in LCR outflow rates, premiumization to Burgundy and Burgundy Private platforms and embedding of Siddhi, an employee super app and Sparsh, our customer experience transformation program into the DNA of the branches.

These initiatives have improved the health of our franchise significantly and the impact of this was seen progressively every quarter in FY24 and our deposits market performance. We are carrying this momentum into FY25.

I will now take you through performance highlights for Q4.

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■ We continue to deliver higher growth in LCR accretive retail and small business deposits, that stood at 18% YOY, 500 bps higher than our overall deposits growth. We have improved our LCR outflow rates by 500 bps in the last 2 years, which is among the best in the sector today.

■ CASA deposits grew 8% QOQ and our CASA ratio as a percentage of average assets for Q4 FY24 stood at 32%, which is among of the best in the sector today.

■ We have further improved the growth trajectory of retail term deposits with 17% YOY growth that stood at a 13 quarter high.

■ On the corporate salary side, we have redesigned our corporate salary product proposition under SUVIDHA to win employer mind share and get higher employees wallet share further access to 1,600 SUVIDHA corporate tables from the Citi acquisition with pan-India coverage as compared to few cities earlier is also adding the corporate savings account growth.

■ Our premiumization strategy has performed well with Burgundy OEMs growing at a CAGR of 32% in 5 years. Burgundy Private launched 4 years back, now includes 35 of the Forbes 100 richest Indians as its clients and manages wealth for over 10,650 families across 27 cities PAN country.

■ On the wholesale segment, Project NEO is helping to drive higher transaction banking flows leading to better current account balances.

■ Our NEFT market share in terms of value has increased to 12% and Q4 FY24 as compared to 9% in Q4 FY23. This was possible due to large CMS wins in the

fintech payment aggregation space.

■ Our deposit mobilization strategy has been led by 2 large transformation initiatives, Siddhi a super app for our employees and Project Triumph leveraging the various business segments within retail, Bharat and SME continuing to progress well .

We have seen all -around growth across businesses, and we have now market -leading growth in our focus segments. Refer to Slide 8 of the investor presentation, our higher -yielding focus segments, including SME, mid -corporate, SBB, which is small business banking rural, personal loan, credit cards together have grown at a CAGR of 25% in the last 4 years and now constitute 43% of the total advances, up by 1,210 b ps during this period .

We will continue to focus on driving growth across our business segments while following capital efficient RAROC model. Refer to the Slide 10 and 11.

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As far as strengthening the core is concerned, while we strengthen

d the balance

sheet and capital position significantly, we have also been consistently building and investing in the entire technology backbone, data analytics, digital and tech teams.

We have early leadership in micro services -based cloud adoption and the first Indian bank to be ISO certified for its AWS and Azure Cloud Security as part of commitment to open API ecosystem. We now offer wide stack of 410 -plus APIs on the developer portal. Our investment in Emerging Tech has demonstrated through creation of 3,500 plus RPA bots and leveraging Microsoft Gen AI use -cases, focused on conversational banking, automation and AI service enablement. This year, we have also embarked on further strengthening our enterprise -class systems of engagement with sales force journey that will further aid in making the systems more scalable and future ready.

B. Creating multiple creative forces to build competitive advantage:

Our second pillar is creating multiple data forces to build competitive advantage. Our readiness to partner with innovative fintech ventures has created a dynamic ecosystem that fosters innovation, enhances the customer experience and sets new industry standards globally. We believe we are well placed to play all the socioeconomic mega trends over the next decade and beyond. The multiplicative forces that we have built through unification of One Axis, 100 plus partnerships and new -age tech platforms give us the right to win. Slide 13 to 16 provide more details.

Citibank Consumer Business integration remains on -track. Deposits are largely stable, while there has been growth in retail assets and wealth management led by improvement in cross -sell metrics. We are now live with the first change in the migration journey for the transitioning customer base with IFC migration, enabling payments to Citibank accounts using Axis Bank IFC. This has been made live in March '24. We have successfully completed the migration of CVC loans portfolio in March 24, and the customers have now fully migrated from Citi systems onto the Axis systems. The integration of the other assets and liabilities remains on -track.

C. Building for the future:

The third pillar, building for the future . We are trying to be ahead of the curve towards building a bank for the future with deep investments on management, Axis Bank|Public

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time and resources in our chosen areas of distinctiveness, namely Digital, Bharat Banking and Customer Obsession.

Digital banking performance continues to remain strong . 'open ' by Axis balance

sheet continues to deliver strong growth with 33% in deposits and 74% increase in loans. 'open' by Axis continues to be the highest-rated mobile banking app on the Google Play store with a 4.8 rating. On the IOS app store too, the rating has increased to 4.8 this quarter.

NEO for business, our MSME proposition, now has 60,000 customers onboarded over the last two quarters. NEO for corporates has been scaled up with customer migration currently underway. The migration here will continue to scale up until quarter three, while we continue to launch additional capabilities. With the full rollout of NEO, Axis remains on track to become the operational bank of choice for our wholesale banking clients.

Bank-wide programs to build distinctiveness continue. Our bet on Bharat is going from strength to strength. The FY24 disbursement sold by Bharat Banking is up 30% YOY, rural advances up 30% YOY and deposits in Bharat branches up by 12%, thereby adding the PSL and profitability metrics.

In rural advances, the balance sheet in the last 24 months is 1.75x the size of the balance sheet added in the previous four years, which is March '18 to March '22. We have expanded our multiproduct distribution architecture to 2,482 branches complemented by 64,550 CSC yearly network across 683 districts and 80-plus partners across the industry. It

has also contributed significantly to the bank's overall PSL achievement at 46.37% for FY24.

Sparsh, our customer obsession program is helping to improve relationship and transactional intensity with our customers. Sparsh, our Bank-wide distinctiveness priority, is now embedded in rituals and practices across all 5375+ branches, all our customer touchpoints and in the conduct of every employee. Our Gen AI conversational chatbot is empowering frontline employees to efficiently address queries on core products.

In closing, the Indian economy continues to remain a bright spot with its favourable macros backed by strong and stable domestic policy environment, which bodes well for the banking sector. We will continue to be differentiated and distinctive in our journey to improve our service and performance levels for all our stakeholders. We remain focused towards building an all-weather institution that will stand the test of time.

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I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. The FY24 PAT stood at INR 24,851 crores, up 160% YOY. Net Interest Margin for FY24 was 4.07%, up 5 bps YOY. Consolidated ROA at 1.84%, up 99 bps YOY. Consolidated ROE at 19.29%, up 10.03% on a YOY basis. Our operating performance has been robust.

Q4 FY24 net interest income grew 11% YOY and 4% on a sequential quarter basis. Q4 net interest margin was 4.06%, up 5 bps QOQ. Q4 FY24 fee income grew 23% YOY and 9% QOQ. Retail fees grew 33% YOY and 12% QOQ. Granular fees account for 93% of our total fees.

Q4 FY24 operating revenue was up 20% YOY, 10% sequential quarter. Operating profit grew 15% YOY and 15% QOQ. PAT stood at INR 7,130 crores, up 17% on a sequential quarter basis. YOY is not comparable to previous year.

Q4 FY24 consolidated ROA and ROE on an annualized basis is 2.07% and 20.87%, up 23 bps and 226 bps QOQ. Our subsidiaries contributed 7 bps to the Consolidated ROA and 52 bps to the Consolidated ROE.

Net Interest Income grew 16% YOY for FY24 on a full-year basis. Fee income grew 28% YOY on a full-year basis. Operating profit grew 16% YOY on a full-year basis.

Our healthy business growth was delivered across all segments. Bank's total business grew 13% YOY and 5% sequential quarter. Advances grew 14% YOY, 4% sequential quarter and our month-end deposits grew 13% YOY, 6% sequential quarter.

On a month-end balance basis, our retail term deposits grew 17% YOY and 5% sequential quarter. CASA grew 8% on a QOQ basis with a CASA ratio of 43% as of 31st March 2024.

On a quarterly average balance basis, our retail term deposits grew 16% YOY, 3% sequential quarter. Total deposits grew 16% YOY, 5% on a

sequential quarter basis. Our average LCR during Q4 FY24 was 120%. Our outflow rates improved by 500 bps over the last two years. Advances gross IBPC sold grew 15% YOY, 4% QOQ. Within advances, retail loans grew 20% YOY, 7% QOQ. SME loans grew 17% YOY, 5% QOQ. Corporate Axis Bank|Public

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loans gross of IBPC sold grew 7% YOY. Small business banking loans grew 33% YOY, 7% sequential quarter.

Our mid -corporate book grew 22% YOY. Small business banking SME plus mid-corporates now aggregate on a total basis to INR 2,08,338 crores of book, constituting 22% of loans. This is up 628 bps in the last three years. We are well capitalized with a self -sustaining capital structure and adequate liquidity buffers. Overall Capital Adequacy Ratio stood at 16.63% with a CET1 ratio of 13.74%. Net organic CET1 accretion of 44 bps in FY24 and 3 bps in Q4 FY24. INR 5,012 crores of COVID provisions have been reclassified to other provisions.

These are not considered for capital adequacy computation and provide a 41 bps cushion over our reported Capital Adequacy Ratio. Our excess SLR was INR 85,056 crores. Our average LCR for the period was 120.

We continue to maintain strong position in payments and digital banking. Axis Mobile and Axis Pay have 11 million non -Axis Bank customers. 100 plus digital partnerships across platforms and ecosystems. 20 million customers on WhatsApp banking. Credit card CIF market share at 14%. Retail card spends grew 51% YOY.

Our asset quality has improved and is amongst the best in class today. GNPA at 1.43%, declined 59 bps YOY and 15 bps QOQ. Net NPA at 0.31%, declined 8 bps YOY and 5 bps QOQ. GNPA and NNPA in rupee per terms have both declined sequentially. PCR is healthy at 78%. On an aggregated basis, our coverage ratio stands at 159%.

Gross slippage ratio at 1.48% declined 28 bps YOY and 14 bps sequentially. Our Net slippage ratio is 0.57%. Q4 FY24 net credit cost was at 0.32% FY24, net credit cost was 0.37%, declined 3 bps YOY.

Our key subsidies continue to deliver steady performance. FY24 PAT at INR 1,591 crores, up 22% YOY, with a return on investment of 54% on our domestic subsidiaries. Axis Finance FY24 PAT grew 28% YOY to INR 610 crores. Asset quality metrics improved ROE of 16.77%.

Axis AMC FY24 PAT at INR 414 crores, Axis Securities FY24 PAT grew 48% YOY to INR 301 crores. Axis Capital PAT stood at INR 150 crores and executed 90 investment banking deals in FY24.

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With this, we conclude our comments. We will be happy to take questions.

Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Jinit Parmar from Moneycontrol. Please go ahead.

Jinit Parmar: So, my first question is basically on your exposure to AIF. So, you had done some provisions in the last quarter. So, just wanted to get a sense on after RBI direction last month, have you done any write -backs on that particular provision?

Puneet Sharma: No, we have not written back any provisions on AIF post the RBI clarification. We are prudently holding on to provisions on AIF investments.

Jinit Parmar: My second question is on the exit of Mr. Ravi Narayanan from the Bank last month. So, there were speculations that his exit was kind of surprising as such, considering his term in the bank.

So, just wanted to get a clarity that in your exchange filing you had said it is for personal reasons and he wanted to do something else. But just wanted to get a clarity as to like what it was other than personal reasons because there were speculations. So, any clarity on that?

Amitabh Chaudhry: Whatever we had to say was on that announcement. If they want to speculate then that is not our problem.

Jinit Parmar : Sir, your voice is not clear. I am sorry, but I could not hear you.

Rajiv Anand : Whatever the bank had to say was there in the exchange disclosure , we have nothing else to add to that.

Jinit Parmar: Okay, noted on it. Thank you.

Moderator: Thank you. The next question is from the line of Siddhi Nayak from Reuters. Please, go ahead.

Siddhi Nayak: Hi Sir. This is Siddhi. Thanks for the question. I wanted some guidance on your loan and deposit growth. I guess in the last quarterly call you had mentioned that eventually there will be some kind of slowdown in loan growth and the deposit growth obviously will have to catch up to the loan growth.  
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So, wanted to get some guidance in the new fiscal year. Any outlook that you would provide on the loan and deposit growth?

Amitabh Chaudhry: Firstly, can you hear me?

Siddhi Nayak: Yes Sir.

Amitabh Chaudhry: So, we do not provide any guidance on loan or deposit growth. But we continue to stick to our statement that based on whatever we are hearing and seeing in the marketplace that deposit growth will remain a constraint. Liquidity will remain tight and as a result if the deposit growth remains muted as what we have seen in the recent past, ultimately, the loan gr

owth will also  
reflect the same.

And I think in this quarter some of the announcements of the banks have come and we can see that playing through in some of the bank results. So, whatever we have said is turning out to be true. So, I hope you will listen more to us going forward in the future.

Siddhi Nayak: Okay, Sir. I will come back.

Moderator: Thank you. The next question is from the line of Benn from The New Indian Express. Please go ahead. Benn, sorry to interrupt you, your voice is not coming clearly. Can you please speak through the handset. Benn, may I request you to come in a better reception area as your voice is breaking.

Benn Kochuveedan: Can you hear me now?

Moderator: Yes, slightly better.

Benn Kochuveedan: Yes. Can you give us the absolute numbers of NIM (Net Interest Income), the balance sheet growth, because barring the profit numbers, none of the absolute numbers are given in the exchange filing?

Puneet Sharma: Thank you for the question. Actually, our press release carries all the numbers that you requested for, but let me read them out to you. On a full year FY24 basis. Sorry, am I audible?

Benn Kochuveedan: Yes.

Puneet Sharma: Thank you for your question. I just want to clarify that all of the numbers you have requested for are part of our exchange filing and also included in our  
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press release please. I will just read them to you for ease of reference. Our Net Interest Income for the full year is INR 49,894 crores. Our net interest income for Q4 is INR 13,089 crores growing 11% YOY and 4% QOQ.

Your second comment was on overall balance sheet size. I will guide you to look at page 8 of our press release. Our total balance sheet size as 31st March is INR 14,77,209 crores. For the same period last year which is 31st March 2023 , our balance sheet size was INR 13,17,326 crores effectively representing that our balance sheet grew by INR 1,60,000 crores in the last financial year. I hope that answers your question.

Benn Kochuveedan: And how has been the personal loan growth?

Puneet Sharma: So, effectively, if you look at the way our book has performed on a personal loan growth basis, I will request you to look at slide 740 of our investor presentation. Our PL book grew 10% on a sequential quarter basis, stands at

INR 71,592 crores and comprises 12% of our total retail asset loan book.

Benn Kochuveedan: Okay, thank you.

Moderator: Thank you. The next question is from the line of Manojit Saha from Business Standard. Please go ahead.

Manojit Saha: Hi. Good evening. What is the reason for the sharp increase in provisions from INR 305 crores in the same period of previous year to INR 1185.31 crores in the Q4 FY24?

Puneet Sharma: Thank you for your question. If you look at the breakup of provisions that we provide on slide 80 of our investor presentation, you will see that the increase is principally coming on loan loss provisions. And the increase is backed up by improvement in our provision coverage ratio.

Asset quality remains good for us, which is reflected through gross slippages. Gross slippages for us on a YOY basis has actually declined by 28 bps, giving you comfort that the book quality remains good.

Manojit Saha: Can you throw some light where the loan loss provisions have gone up, if it is retail or SME or corporate loans?

Puneet Sharma: So, effectively, please do appreciate that loan loss provisions are across categories. Again, I will request you to look at slide 78 of our investor presentation.  
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presentation. We have provided you a segmented disclosure on the NP A composition of our loan book.

We do not provide breakup on segmental net credit cost as part of our reporting. But directionally, wholesale and SME books typically would have held up well. The provisions

would be largely for the retail portfolio.

But again, please read the provisions in the context of slippages. Our slippages have improved sequential quarter and YOY, reflecting the fact that the book has healthy credit quality as we stand today.

Manojit Saha: You are saying slippages are in control, but provisions have gone up. So, is it because of aging provision? Or there was a floating provision, right?

Puneet Sharma: We do not as a policy make floating provisions. Please see the PCR number. Our PCR number now stands at a healthy 79%.

Manojit Saha: Essentially, it is aging provision, right?

Puneet Sharma: It will be a mix of aging provision and composition of assets that have slipped. It is not only aging provision. It is also a mix of assets.

Let me give you an example. In our case, we provided very high rates for retail unsecured loans. But a mortgage loan book is provided at a different rate. So, if the composition of slippages changes, loan loss provisions will change. But please do appreciate asset quality is reflected through gross slippages and net NPA. Our net NPAs have improved YOY and sequentially.

And our gross slippages have improved YOY and sequentially.

Manojit Saha: And what is the credit growth and deposit growth projection for the current financial year?

Puneet Sharma: We do not offer guidance on loan growth and deposit growth. As we answered a question previously asked to us, the only guidance we offer is medium term. Medium term for us is three to five years. And we believe that we will be a market share gaining franchise on a three to five year basis.

Manojit Saha: Okay, thank you.

Moderator: Thank you. Next question is from the line of Shilpy Sinha from the Economic Times. Please go ahead.

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Shilpy Sinha: Good evening, Sir. My question is again on CASA deposit, which you have been mentioning over the calls for some time now. But again, just to get some views on your deposit falling. The CASA deposit if I look at and the percentage of total deposits has fallen from 47% to 43%. If you can just give some idea as to what the bank is doing about it?

Munish Sharda: Yes, Shilpy, so like Amitabh said, we have been on a transformation journey for our deposit franchise in a very deliberate and planned manner over the

last couple of years. If you look at the numbers, we have made structural shifts in our type of deposits, our LCR ratios, our LCR equity deposits, our growth has actually held up our deposit trajectory. Actually, this quarter is on a 13-quarter high in terms of deposits.

And in terms of average or deposit as the sum of average assets, we are amongst the best in the industry. So, we are working on a number of things across the franchise, which include, getting the entire bank to get us deposits, including businesses like asset businesses. Also, our transformation projects, which are technology-led transformation projects. And also, the client project where we are trying to improve the operating rhythm in the branches. Apart from that, our distribution expansion last year has given us good growth and we will continue to invest in that growth, in the time to come.

Shilpy Sinha: Okay. On the advances front also, I wanted to understand if you can give some colour on the kind of loan demand that you are seeing and where is it coming from? Your corporate loan has grown only 3% last year, if I read the numbers correctly. So, if you can give some colour as well?

Rajiv Anand: So, corporate loan demand continues to be fairly broad based across various sectors. We ourselves have participated in a fair number of these transactions. And we do believe that, I mean, as I look at my pipeline, the pipeline for incremental demand on the corporate side,

continues to be quite strong as well.

I think the issue will at this point in time, given the way that the curve is shaped, where short-term rates are like a one-year deposit rate is closer to 7.5%, but the 10-year GSEC is closer to 7.20 and add corporate spreads, etc.

I think the shape of the curve will preclude us from participating in many of the transactions where potentially the customer is able to get better yields from, for example, the bond markets as opposed to the loan markets.

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From our perspective, we are able to serve the customer given the fact that we have market-leading capabilities on both the debt capital market side as well as on loan origination. And so, therefore, some of our incomes on the wholesale bank side may not necessarily come through NII, but will come through fee incomes as we continue to engage with corporate India across the capital structure that they have.

Puneet Sharma: Shilpy, I would just like to supplement what Rajiv said. A better way to look at corporate growth is grossing up for IBP C sold. So, I think you referenced the 3% number. The number grossed up for IBP C sold is actually 7%. So that is the number we should work with.

Shilpy Sinha: Okay. Another thing, the board has today approved raising of funds for the issue of debt instruments to the tune of INR 35,000 crores. So, what is the plan here? By when do we see the fund raising happening and in which mode?

Puneet Sharma: Shilpy, thank you for the question. It is a recurring annual resolution which is enabling in nature. We had a similar resolution last year of an equivalent amount. This is purely enabling for the purposes of our business. It is not an outlook on the quantum of funds or the type of funds we are likely to raise.

Shilpy Sinha: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Ashish Agashe from Press Trust of India. Please go ahead.

Ashish Agashe: Thank you so much. I hope I am audible, Sir. What was the CD ratio for this quarter, Sir? And secondly, you mentioned that the deposit growth would be a constraint. So, what sort of play could we expect from Axis Bank on this? Like, would it be hiking of deposit rates? What sort of headroom there? And again, what will be the impact on NIMs because of this? What sort of outlook do you keep on NIMs?

Puneet Sharma: Thank you for your questions. You were inaudible for some parts of the questions. We picked up two questions. One was on what our CD ratio as of 31st March was. And the second question was an outlook on NIMs. So please allow us to answer those two. And then if there are parts of your question we missed, we request you to repeat them. The CD ratio as of 31st

March was 90.31%. So, that clarifies the data question. On NIM outlook, as we have consistently maintained, we do not offer NIM's guidance on a  
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sequential quarter basis or a YOY basis. Therefore, we do not really have a way to respond to that question.

We remain true to the fact that our through-cycle NIMs will be 3.80% structurally. We currently, on last reported quarter basis, have a 26 bps cushion. Please also note that last year, full year to current year, we have improved our margins by 5 bps. So, 4.02 last year to 4.07 this year. That should indicate to you that we are focused on ensuring the right levels of NIMs at the right levels of risk for the franchise. We do not offer an outlook, so therefore we will not be able to answer that question.

Ashish Agashe: Okay, so the missing part was only on the deposit accretion side. As there is a constraint on deposit growth, will there be more hikes in the offering both for Axis as well as for the system? And then I was linking it up to the NIMs side because if you were to hike depo

sit rates, what sort of impact do you see on NIMs going forward?

Puneet Sharma: Association of deposit rate increases in margins, and that is now available in public domain. Our 12-month cost of deposits increase, which is the increase in the 12-month FY24 versus the 12-month FY23, is roughly between 95 and 97 bps. We have also had an increase in yield on interest earning assets by an equivalent number.

So far, as looking at cost of deposits and yields impact, our performance for FY24 indicates that we have been able to pass on that cost of funds to our customers either through change of mix or improvement in pricing, in some cases both. On the deposit question, we had a healthy deposit growth on a sequential quarter basis in Q4. Our commentary on deposits has been in the current liquidity constrained environment. Deposits should continue to grow for us is where I will pause that response.

Ashish Agashe: Second quick question. On the entire technology architecture side of things actually, how difficult is it to maintain, and this can be a very broad question, how difficult is it to maintain really the entire tech engine such that it keeps pace with the overall customer growth and other things for a bank your size? You also suffered some difficulties during the quarter recently on that front. So how difficult is this? Of course, we have seen quite a lot of action from the regulatory side as well on this.

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Subrat Mohanty: Sorry, you are not very audible here, but I think I got the gist of your question in terms of how we are architecting our technology landscape to manage both the increase in digital transactions, the resilience of the system to make sure that they do not go down, and also to manage information security and data security risk. Now, this is a constant kind of work that we have been at for the last three to four years. And fundamentally, this requires a very strong and new-gen technology architecture, which kind of separates the core banking system from the middleware, and then middleware from the front-end systems where most of the transactions are happening, which we have done.

The second part of this is also to be able to partition the core banking system in a manner where you are able to do the high-velocity, low-value transaction, which is the feature of India's digital stack. And we are able to take it to the cloud, which is also what we have done. So, from our perspective, there is a clear vision to be able to continue the kind of resilience that we have seen our information technology systems have.

We have also, built the capacity for the infrastructure at fairly significant levels of slack within the system, so that we have that additional capacity when the volumes go up. Having said all of this, this is not an area that any one of us can be comfortable at any point in time. So, the constant monitoring



and constant action on this is part of the everyday IT game at this point in time, and we continue to be extremely vigilant about it.

Ashish Agashe: Okay, Sir. Thank you.

Moderator: Thank you. A reminder to all the participants, you may press star and 1 to ask a question. Next question is from the line of Ekta Suri from Zee Business.

Please go ahead.

Ekta Suri: Hello, am I audible?

Moderator: Yes, ma'am, you are. Please go ahead.

Ekta Suri: I would actually like to ask that, you know, will it be possible to throw some light on Sojo Infotel NCD underwriting issue. Did Axis Capital pay subscribers like Aditya Birla Finance and Sun TV? If yes, then how much was the amount?

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Amitabh Chaudhry: We do not comment on specific transactions the one you are referring to. So, sorry, we will not be able to add anything to what is out there in the public domain.

Ekta Suri: And also, Sir, I would like to understand that as far as the home loan top-ups are concerned, is it like banks, Axis Bank is tracking that what is the end use of that home loan top-up? Because essentially a home loan top-up is for home refurbishing or maybe home expansion. But the banks are advertising it as personal loan usage.

So how is the bank like putting it in their own books, records, like giving it as a home loan top-up, personal loan or what kind of loan or loan against property?

Sumit Bali : So, this is a top-up against the home loan. So for all the customers whose account is with us, we disperse in that account and we track the movement of that. So, it is for personal loan in nature. Discretionary at the end of the customer, you can use it for house repair or other miscellaneous expenses.

Ekta Suri: So, it is in your book, as a ?

Sumit Bali : We lost... Yes, it is treated as an unsecured loan in our books. It is a small quantum of the book.

Ekta Suri: Okay, thank you, Sir.

Moderator: Thank you. Next question is from the line of Jinit Parmar from Money Control. Please go ahead.

Jinit Parmar : Oh, I pressed the button by mistake. Sorry.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma: Thank you, Mr. Neerav. Thank you, ladies and gentlemen, for taking the time to be with us this evening. If any questions remain unanswered, the Corporate Communication and Investor Relations team would be happy to take those questions offline. Thanking all of you for your time this evening.

Thank you. Have a good one.

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Moderator: Thank you very much. On behalf of Axis Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Axis Bank's Q1FY25 Earnings Conference Call  
July 24, 2024

## MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER  
MR. ARJUN CHOWDHRY – GROUP EXECUTIVE , AFFLUENT BANKING, NRI,  
CARDS & PAYMENTS  
MR NEERAJ GAMBHIR – GROUP EXECUTIVE AND HEAD OF TREASURY –  
GLOBAL MARKETS  
MR AMIT TALGERI – CHIEF RISK OFFICER

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Moderator: Ladies and gentlemen good day, and welcome to the Axis Bank Conference Call to discuss the Q1FY25 financial results. Participation in this conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during this conference call, you may please signal the operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have with us Mr. Amitabh Chaudhry, MD, and CEO; and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Chaudhry, MD, and CEO. Thank you, and over to you, sir.

Amitabh Chaudhry: Thank you, Neerav. We have on the call, Rajiv Anand – Deputy MD, Subrat Mohanty – ED, Munish Sharda – ED and other members of the leadership team.

This quarter Axis Bank continued on the path of becoming a resilient all-weather franchise. We delivered higher growth across our focus granular business segments, gained market share in digital channels and products, and improved on key operating and earnings metrics that are best-in-class now. We continue to build long-term competitive advantage with investment in technology and analytics with some cutting-edge use cases in Gen AI and financial crime intelligence.

Let me summarize the Q1 operating performance:

- Core operating profit was up 16% YOY and 1% QOQ driven by healthy operating income growth and moderation in operating expenses growth.
- Execution on the deposits is on track with sequential growth in quarterly average deposits and new customer acquisitions. I will elaborate further on this in a bit.
- Our CASA ratio and fee to average assets continues to be among the best for peer private banks.
- Our focus business segments delivered 24% YOY growth and 1% QOQ.
- The Bank is well capitalized with a CET 1 ratio of 14.06% with net accretion of 32

bps in the quarter .

We stay focused on three core areas of execution of our GPS strategy namely :

- A. Becoming a resilient, all-weather franchise
- B. Creating multiplicative forces to build competitive advantage
- C. Building for the future

I will now discuss each one of these areas.

A. Becoming a resilient, all-weather franchise

The quality and strength of our deposit franchise continues to improve through Project Triumph, the bank wide deposit transformation program .

- o The Bank continues to deliver higher than industry deposit growth at 13% YOY .
- o On a quarterly average basis, deposits grew QOQ with savings account balances up 3%, Current account balances up 2% and term deposits up 4% sequentially .
- o We have focused on firing up the New to Bank (NTB) acquisition engine for the Retail SA franchise. The past 6 months have been particularly strong on this. In this quarter we saw

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✓ Retail SA NTB deposits were up 20% YOY with new accounts opened up 8% YOY and balances per account up 11% YOY . If you take the NTB savings accounts opened in a quarter and their balance s at the end of it, this quarter was the best in our history.

✓ New corporate salary labels acquired in Q1FY25 grew 39% QOQ .

✓ Retail SA sourcing is embedded in the scorecards of every customer facing business of the Bank. The asset channels, for instance, hav

e seen

a 110% YOY growth in sourcing deposits leveraging their relationship strength .

o The productivity of Relationship Managers in these 'managed' segments has seen improvement, up 9% in FY24 (exit) over FY23 and up 14% YOY Jun'24

o Project Triumph continues to focus on productivity enhancement through tech-led solutions , unlocking the top of funnel through open market sourcing and institutionalized push on resource participation and premiumization .

✓ On the wholesale segment, project NEO continues to drive higher transaction banking flows leading to better current account balances. Our NEFT market share (in terms of value) has increased to ~13% in Q1FY25 as compared to ~10% in Q1FY24.

All round growth across busine sses . Market leading growth in our focus segments

o Our better yielding focus segments including select Retail, SME and Mid Corporate segments together grew by 24% YOY and now constitute 42% of the total advances, up by ~1300 bps in the last four years .

o We will continue to focus on driving growth across our business segments while following capital efficient RAROC model.

Strengthen ed the Core

We have significant investments made in core information technology (run the bank tech) , architecture modernizatio n, cybersecurity and fraud control .

o Our proprietary Digital tech capabilities is reflected in ' open by Axis Bank' being recognized as one of the top -rated mobile banking app in the world with rating of 4.8.

o We have created future ready and scalable platforms to replace fragmented legacy systems demonstrated through successful launch of Neo for Corporates and Integrated Treasury Management . Neo for Business, our MSME proposition, now has 80,000 customers on boarded over the last 3 quarters. In Q1FY25, we won six awards: three from Infosys Finacle Innovation Awards, two from Asian Banking & Finance Awards, and one from Digital CX Awards.

o We continue to build industrial -strength, resilient core tech platforms . The Salesforce journey that we embarked upon last fisca l is helping us standardize end-to-end retail lending workflows by creating 40+ reusable capabilities across 20+ products.

o We became the 1st Indian Bank to be ISO certified for AWS and Azure Cloud security practices with a 99% rating score for FY24 .

- o We now have a strong, dedicated Financial Crime Intelligence division that combines analytics, digital monitoring, and fraud control capabilities to safeguard the Bank.

#### B. Creating multiplicative forces to build competitive advantage

- o We believe we are well placed to contribute and lead on the broader economic trends of the next decade in India. The multiplicative forces that we have built

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through One Axis, digital capabilities and a prudent operating model differentiates us and gives us the “right to win”.

Citibank Consumer business integration completed successfully :

We completed the final migration of Citibank customers on July 14, 2 months ahead of schedule that we had promised back in Mar'23 .

- o The integration involved complex tech migration involving 2.1 million customers across multiple products from a franchise that was in India for over 100+ years.

We have ensured a smooth and seamless transition for these customers. We came out ahead of schedule for all interim milestones during this period and the data and system transition has gone as per our expectations .

- o We have designed products for customers to bring them the best of both organizations and further improve their banking experience through our superior product offerings and technology.

- o For a small set of customers with queries, complaints and social media escalations post the event , we have a dedicated post migration

on hyper-care setup to effectively resolve the same .

- o This transaction and the success of our integration program are important markers of our capabilities and our aspiration to create the gold standard in consumer banking in India.

- o We thank all the stakeholders for their faith and support . We are also grateful to the RBI and the supervisory team for their continued and proactive guidance during the transition period.

- o The business momentum of this franchise remains healthy and ahead of our internal Board monitored targets and adoption trends across products remain better than expected .

- Stronger momentum than expected, within 5 days of migration with 7lac+ new-to-bank customer registrations across Axis Internet & Mobile banking platform (9.5L+ unique logins within 1st week) .

- Transaction volume levels across IMPS, RTGS, NEFT, cheques and cards are in-line with BAU trends pre-migration .

- While customers are getting used to the new digital platforms, we have received appreciation across the board for our intuitive & feature-rich mobile application, open

#### C. Building for the future

Our journey to be future-ready continues to progress led by our focus on distinctiveness elements , namely, Digital, Bharat Banking and Customer Obsession.

Digital Banking performance continues to remain strong

- o Our Open by Axis Bank balance sheet continues to deliver strong growth with 55% increase in deposits and 68% increase in loans.

- o In this quarter we introduced new FD journeys including for non-liability customers and also launched upgraded journeys for UPI, loans, Savings Account opening etc. The Bank has witnessed significant growth in bill pay volumes on the back of various initiatives.

- o Refer to slide 54 on progress on personalisation and nudges. These initiatives have shown significant lift in customer response. The Bank has made good progress on RBI introduced platforms. On CBDC (Central Bank Digital Currency), the Bank continues to be among leaders in terms of innovations and volumes.

Bank -wide programs to build distinctiveness

Our bet on Bharat is growing from strength to strength

- o The rural advances grew 24% YOY and deposits from Bharat Branches were up 9%; thereby aiding the PSL and profitability metrics . The balance sheet added in the last 24 months (Jun'22-Jun'24) is nearly 2 times the size of the balance sheet added in the previous 4 years (Jun'18-Jun'22), within risk parameters and with better asset quality outcomes .

- o We have expanded our multi -product distribution architecture to 2,511 branches complemented by 69,000+ CSC VLE network across 683 districts and 80+ partners across the industry.

Sparsh , our customer obsession program , is helping improve relationship and transaction intensity with our customers

- o The program has been instrumental in driving higher Net Promoter Scores (NPS) led by enhanced process automation and significant digitization. The Retail Bank NPS score has jumped to 148 from a baseline of 100 in the past 2 years .

- o Adi, our Gen AI conversational BOT, is now live for 61,000 frontline employees, empowering them to efficiently address the customer queries .

- o We have now entered the next phase of Sparsh, which focuses on a new slate of initiatives .

In Closing:

- o We find favourable macros backed by a strong and stable domestic policy environment which bodes well for the banking sector.

- o We expect the deposit growth to remain a factor influencing growth in advances in the near term. We retain our stance of policy rates staying higher for longer and foresee the system credit growth to converge towards deposit growth of around ~13% for t

he fiscal.

- o We will continue to be differentiated and distinctive in our journey towards building 'an all-weather institution'.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. Good evening and thank you for joining us. The salient features of the financial performance of the Bank for Q1FY25, across (i) Operating performance ; (ii) Capital and liquidity position and (iii) Asset quality, restructuring and provisioning is as follows:

In Q1FY25 our operating performance was stable across NIMs, fee and operating expenses lines. The key metrics for Q1 FY 25 are:

a. NIM at 4.05%, flat sequentially

b. NII at Rs 13,448 cr ores, YOY growth of 12%. QOQ growth of 3%

c. Fee at Rs 5,204 cr ores, YOY growth of 16%, granular fee at 93% of total fee

d. Our Expenses for Q1FY25 were Rs 9,125 crores, YOY growth moderated to 11% and declined sequentially by 2%

e. Core operating profit at Rs 9,637 crores, YOY growth of 16%;

f. Cost to assets at 2.54%, declining 1 bps sequentially, we delivered a positive jaw for the quarter

g. Net credit cost at 0.97%, up 47 bps YOY. Gross slippage ratio in Retail, CBG declined YOY. Apart from seasonality for agri loans, about 55% of the YOY increase is attributable to lower upgrades and recoveries from NPAs and prudentially written of accounts largely from our wholesale segment which we believe is largely a timing difference. The net credit cost (annualised) for Q1FY25 is not indicative of our

expectations of full year credit cost as Q1FY25 cost is impacted negatively due to timing differences .

h. PAT at Rs 6,035 crores, increasing 4% YOY

i. GNPA at 1.54%, declining 42 bps YOY

j. NNPA at 0.34%, declining 7 bps YOY

k. PCR% at 78%, was largely flat QOQ

l. Standard asset coverage of 1.20%, All provisions by GNPA ratio is 150%

m. Our Consolidated ROA% at 1.70%, Consolidated ROE% at 16.68%. Subsidiaries contributed 5 bps to the consolidated annualized ROA and 42 bps to the consolidated annualized ROE this quarter. Pursuant to the new investment circular, the Bank transferred Rs. 1,219 crores (net of tax) to general reserve. This adversely impacted ROE by 82 bps and ROA by 7 bps. This positively impacted CET -1 capital by 14 bps. Banks CET -1 including Q1 profit stands at 14.06%, thereby accreting net of consumption, 32 bps of CET -1 capital QOQ. In addition, the Bank has a Prudent other provision of Rs 5,012 crores to be largely utilized for ECL transition. This provision has not been reckoned in the capital computation and translates to a capital cushion of ~40 bps over and above the reported capital adequacy ratio. The Bank assesses its capital position on two pillars i.e. growth and protection. We reiterate that we do not need equity capital for either pillar.

NIM at 4.05%, flat Q OQ. Yields on interest earning assets have improved 29 bps YOY. This increase was offset by cost of funds increase on a YOY basis, resulting in a YOY NIM drop of 5 bps. The seasonally higher interest reversal in Q1FY25 as compared to Q4FY24 was offset by interest on income tax refund for which orders were received in the current quarter.

Our progress on structural NIM drivers continues, with improvements across all variables on a YOY basis:

■ Improvement in Balance sheet mix: Loans and investments comprised 88% of total assets at June 24, improving 54 bps YOY;

■ INR denominated loans comprised 96.1% of total advances at June 24, improving ~ 40 bps YOY;

■ Retail and CBG advances comprised 70% of total advances at June 24, improving 225 bps YOY

■ Low-yielding RIDF bonds declined by Rs. 9,851 crores YOY. RIDF comprised 1.4% of our total assets at June 24 compared to 2.3 % at June 23.

■ Quality of liabilities measured by outflow rate improved ~ 400 bps over last two years, QAB CASA at 40% was flat QOQ. MEB CASA ratio at 42% has declined sequentially.

■ Our fee performance was good, reflected in a fee growth of 16% YOY. Our fee to assets improved 3 bps YOY.

o Total retail fee grew 18% YOY

o Total wholesale fee grew 12% YOY better the growth in advances reflecting improvements in the franchise and transaction capability

■ Trading profit and other income at Rs. 580 crores was largely flat YOY and declined by Rs 548 crores sequentially, mainly on account of DCM and trading performance, lower positive MTM on books and lower treasury income.

■ Operating expenses for the quarter stood at Rs. 9,125 crores, growing 11% YOY and declining by 2% sequentially. We have opened 50 new branches in the quarter.

o The YOY increase in rupee crore expenses can be attributed to the following reasons:

(i) 34% linked to volume; (ii) 30% technology and growth related and (iii) 38% to BAU.

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o Technology and digital spends grew 39% YOY and constituted ~ 10.4% of total operating expenses.

o Staff costs increased by 16% YOY. We have added 9,702 people from same period last year mainly to our growth businesses and technology teams.

■ QOQ decline in operating expenses is largely attributable to reduction in other operating expenses. Our staff costs increased by 7% QOQ. We added 194 people in the quarter.

■ Provisions and contingencies for the quarter were Rs. 2,039 crores, higher by 72% QoQ and 97% YOY.

■ The cumulative non NPA provisions at June 30, 2024 is Rs. 11,732 crores, comprising (i) Provision for potential expected credit loss of Rs. 5,012 crores; (ii) Restructuring provisions of Rs. 491 crores, (iii) standard assets provision at higher than regulatory rates of Rs. 1,878 crores and (iv) weak assets & other provisions of Rs. 4,351 crores.

Coming to the performance of our subsidiaries

■ Detailed performance of the subsidiaries is set out on Slides 69 to 76 of the investor presentation. In Q1FY25, the domestic subsidiaries reported a net profit of Rs. 436 crores, growing 47% YOY. The return on investment in domestic subsidiaries was ~ 54%.

■ Axis Finance :

o Overall assets under finance grew 37% YOY. Retail book constitutes 46 % of total loans  
o Q1FY25 PAT grew 26% YOY to Rs. 154 Crores, and it has healthy CAR at 19.35%.

o Strong asset quality with net NPA of 0.29% and negligible restructuring.

■ Axis AMC: Overall quarterly average AUM grew 18% YOY to ~ Rs. 2,91,967 crores, Q1FY25 PAT stood at Rs. 116 Crores, growing 27% YOY

■ Axis Securities: Revenues for Q1FY25 grew 118% YOY to Rs. 426 crores and PAT grew 171% YOY to Rs. 121 Crores. During the quarter, we infused Rs 250 crores into Axis Securities as new equity capital.

■ Axis Capital: PAT grew 220% YOY to Rs. 49 Crores and executed 22 investment banking deals in Q1FY25.

We completed the investment of Rs 1,612 crore that was announced in Max Life in the previous quarter. With this investment the Group holds 19.02% of the share capital of Max Life.

Asset quality, provisioning and restructuring

■ Gross and net NPA in rupee terms and % terms declined YOY. The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 60 of our investor presentation.

■ To reiterate, the gross slippage ratio for Retail, CBG and Bharat Banking segment s declined YOY . The Gross slippage for our wholesale business increased YOY on account of small value accounts. All accounts were less than Rs 100 crore in individual size. This resulted in Bank level gross slippage ratio (annualized) being 1.97%, increasing 10 bps YOY. W e continue to monitor our retail unsecured portfolio's closely and have proactively taken risk actions on growth and underwriting filters as and when required .

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■ Gross slippages in the quarter were Rs. 4,79

3 crores. Gross Slippages segmentally were Rs. 4,229 crores in Retail, Rs. 178 crores in CBG and Rs. 386 crores in WBCG.

■ For the quarter ~ 32% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

■ Net slippages in the quarter were Rs. 3,290 crores increasing 95% YOY. 50% of the increase in net slippages at the Bank is due to lower recovery and upgrades, mainly in our WBCG segment. Net Slippages segmentally were Rs. 2,919 crores in Retail, Rs. 84 crores in CBG and Rs. 287 crores in WBCG.

■ Recoveries from written off accounts for the quarter was Rs. 591 crores.

■ Net slippage in the quarter adjusted for recoveries from written off pool was Rs. 2,700 crores. Segmentally Retail was Rs. 2,456 crores, CBG was Rs. 13 crores and WBCG was 231 crores.

To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- o Consolidated ROA and ROE for Q1 FY25 is 1.70% and 16.68% respectively, an outcome of disciplined execution.

- o The Bank has ample and sufficient liquidity, visible in the average LCR ratio of 120%. Given the increased regulatory focus on C/D ratio as one among multiple metrics to be tracked, deposit growth could be the key constraint for growth in advances growth in the short to medium term. In the medium term to long term we believe our advances can grow 300 – 400 bps faster than industry.

- o We are well placed in the current macro environment, we continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

We conclude our opening remarks and would be happy to take your questions.

Chintan Joshi: Hi, good afternoon. Can you hear me clearly?

Puneet Sharma: Yes, Chintan good afternoon. We can hear you clearly.

Chintan Joshi: So if I can start off with asset quality and you gave us a lot of numbers, a lot of details so thank you for that will be helpful when we look at the transcript, but if you kind of look at what went wrong this quarter, is it mostly lower recoveries? And is that election linked? If you could give us some color around which products specifically led to that increase in slippages and whether this is an industry trend as in -- when you talk to credit bureaus you are seeing it across the industry. Those kind of commentary would also be helpful. So number of threads to pull on here. I'll leave it to you on what way it is best to explain this development?

Puneet Sharma: Chintan, thank you for the questions. Let me synthesize all of the data I provided earlier in the call in two key messages. The first key message is the Q1 FY 25 annualized net credit cost is not reflective of the credit cost we believe as the franchise we will run

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through the full year because it's impacted by timing differences. I think that's the first key message we want to convey.

What are these timing differences if I were to emphasize, roughly 55% of the increase in net credit cost has happened because of lower recoveries and upgrades in the corporate loan portfolio. Please appreciate that corporate loan recoveries are episodic in nature. We do expect the recoveries to happen, the timing of which could move between one quarter to a second quarter.

So 55% of it is explained by lower recoveries and upgrades and the first message that I indicated stands. I hope that gives you a clearer picture of what we are trying to indicate through all of the data we have provided.

Chintan Joshi: And is there any deterioration in any segment that you see either in your data or an industry data?

Puneet Sharma: So Chintan we have been saying this for a while. The industry as well as us have been running at credit costs that are well below through cycle levels. We are seeing increase in credit costs across



loss the retail unsecured portfolios which is to be expected given that you can't remain at trough levels on a through-cycle basis. The way we measure our portfolios is we have risk benchmarks for lending that we do. We said this last quarter, we maintained it in the current quarter. For our portfolios, we still haven't reached our internal risk benchmark yet.

Therefore, yes there is a deterioration in asset quality across some parts of the book, but not concerning enough because they have not reached our risk thresholds. Please also appreciate that we've called this out previously. We may not have like -to-like comparable numbers because as a Bank we provide 100% on unsecured retail loans on day 91 and therefore my credit cost for the same level of slippages may not be reflective of same level of slippages of another peer bank. So I think you should keep that in mind as you do number comparison.

Chintan Joshi: And then the second question was on your NII and NIMs. Could you call out the interest on tax refund element and excluding that, how should we think about the NIM outlook for the remainder of the year?

Puneet Sharma: Chintan, the way I would request you to think about it is because of the seasonality of slippages there is more than normal interest reversal in the quarter 1 as compared to quarter 4. And if you look at what we put out on Slide number 9 of our investor presentation you will see that the extra interest reversal on seasonality has been offset by the interest on income tax refund. So on a core business basis we've seen a 1 basis point compression in margins is what we have seen play through in the current quarter.

Chintan Joshi: And the outlook?

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Puneet Sharma: Chintan the outlook has that I consistently provide is we do not have guidance on margins on an annual basis or the short term. Our structural guidance is 3.80% on a through-cycle basis. We have now operated at a 25-basis point cushion above through-cycle margin for a couple of quarters. We will make all efforts to ensure we retain as much of the margin as we possibly can. But we are watchful of the competitive intensity in the market space for deposits as we get into the rest of the fiscal year.

Chintan Joshi: Sorry, that was occupational hazard.

Moderator: Next question is from the line of Mahrukh Adajania from Nuvama.

Mahrukh Adajania: So again, on asset quality, you called out in the presentation, your BB and Below has increased by 6 billion. Any sector or any vintage of this loan because there's an increase in stress investment as well, right? And then some of it is in loans. So is it the same account or any particular sector?

Puneet Sharma: Mahrukh, thank you for the question. Mahrukh, a couple of things you must note that the investments -- for us, if an investment has been made and remains unrated, it will go into the BB and Below category. On the loans, there is effectively very, very small effect. And the third item you must understand is, the investment circular forced us to mark-to-market the investments. In fact, you would be surprised to note that my BB and Below mark-to-market was a positive mark-to-market, which has resulted in an increase in the BB and Below book.

So actually, the value of the investment was higher than its carrying cost. The circular required me to recognize the MTM. I've recognized the MTM and consequently, the BB and Below book has moved up. There is nothing that is to be read into those numbers.

It is for the two effects, unrated equity investments fall under BB and Below and the transitional reserve impact, which I called out earlier, has resulted in the rupee increase.

Mahrukh Adajania: Got it. So basically, the only increase in BB is what we see in the loans, correct?

Puneet Sharma: Thanks, Mahrukh. But that's a very small amount and a very granular loan. It's very

small. It is very granular loans and average ticket sizes of that book is sub INR 40 crores. So that is BAU. I don't think there is anything that indicates wholesale asset quality in any shape or form.

Mahrukh Adajania: Got it. And my next question -- so I have two questions. One is on the interest on income taxes. If you see the other interest, that's roughly gone up by INR 200 crores. Would that be the interest on tax refunds or that's not the way to calculate?

Puneet Sharma: That will be a good indicator, Mahrukh.

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Mahrukh Adajania: Okay. And just one last question. Because of the whole revaluation thing for all banks, including yours, the investment yield seems to have moved up by over 10 basis points.

So will that be a stabilized yield now assuming that rates don't change?

Puneet Sharma: Mahrukh, I can't speak for other banks. The 10 basis points is not true for us. We are very happy to transparently call out the fact that for us, the investment reserve that we could have potentially recorded through the P&L, but we have taken where the reserve is INR1,700 crores on a gross basis. So let's break this up. It was INR1,700 crores of P&L that could have been recognized on a realizable basis now will never come through the P&L.

The accretion and amortization component that you're speaking of, which is accretion and amortization on discounted securities, which could not have been realized under the previous circular but can now be recognized under the current circular is amounting to roughly about INR 78 crores for us on a first quarter basis. So by no stretch of imagination does that translate to 10 basis points, the number is negligible. I won't be able to speak for other banks.

Mahrukh Adajania: But the yield seems to have moved up, right? No, but the investment yield seems to have moved up, right? That's why I'm asking. As in the investment income is very strong.

Puneet Sharma: Mahrukh, that's a function of the underlying portfolio. So we now have a higher -yielding portfolio for the book that we run. It has not got to do with the Master Directions on 1st April.

Moderator: Our next question is from the line of Rikin Shah from IIFL.

Rikin Shah: I have three questions. First one is on the loan book growth in this quarter. So if you look at sequential growth, the Retail and SME is virtually almost flat, and the bulk of the growth or accretion has come from the corporate in this quarter. So just wanted to understand if there is any change in underlying thought process or strategy. So that's question number one. The second one is on the non -staff operating expense, which has...

Moderator: Rikin, can you speak a little louder, please?

Rikin Shah: Sure. I'm hoping that my first question was clear. So I'll repeat the second one. The second one is pertaining to the non -staff operating expense, which has come off sequentially. So would you be able to share which opex lever were you able to pull back in this quarter? And should we think this as a beginning of moderation in the opex going ahead?

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And the third question is on the fee income. So while 1Q, there is some seasonal weakness in the fee income. But even the card and payment fee income seems to have decelerated. So anything meaningful to read into this? Those are my three questions.

Rajiv Anand: This is Rajiv. I'll take the first one. We are seeing a reasonable amount of opportunities on the corporate side. And as long as it meets our underwriting standards and pricing standards, we are happy to put those on. And if you see the growth that we have seen this quarter, it is fairly broad -based as well.

Rikin Shah: But Rajiv, we hear about a very competitive pricing in the corporates from many banking peers and retail SME was the core strategy pillar,

wherein we were growing faster. So

I just wanted to understand not only from this quarter, but from a medium -term view, is this something that one should be extrapolating, or it is just kind of the opportunities that presented in this quarter, and we took that?

Rajiv Anand : You have two questions there. I think they've always been guiding for the last many quarters that are focus sectors, as we call them, particularly the MSME and mid -corporate sectors. We will continue to see strong growth. Nothing has changed as far as that's concerned. You continue to see strong growth there. It is meeting our underwriting standards. It is meeting our pricing standards. And as far as that is concerned, I think you should see the proportion of MSME within our portfolio and MSME plus Mid-Corporate continuing to grow. I think they're at about 21 -odd percent currently. I think that number will continue to grow.

For the rest of the portfolio, I think there will always be -- and this whole issue of is

pricing competitive? That's a conversation that we've been having for at least 2 to 2.5 years now. I think the corporate sector will always be competitive. But I think there is -- like I said, there's enough opportunities for us to pick and choose such that we are meeting our underwriting standards and pricing standards and be able to grow profitably. And remember that this also brings other businesses to our current account, transaction banking, etcetera. And so therefore, to that extent, it is reasonably profitable as well.

Munish Sharda: This is Munish Sharda. On the retail asset side and also on the SME side since you asked that question, we earlier also called out that we have a well-calibrated risk-adjusted return on capital model, which we use to look at our businesses comprehensively and see where we need to grow, and where we'll get the right returns. So we -- on a retail asset base, if you look at Page 22, we've grown our retail asset by about 18% YOY. Our preferred segments in some areas like rural loans and SBB, which will make good returns on capital, we have grown at 26% and 24% YOY. Our commercial banking business where we get many more opportunities with our clients to do deposits and other fee products, etc., continues to deliver healthy growth. And these are some of the segments where we will continue to push forward for more

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growth. So this is the full view on the asset businesses, including retail assets and the SME business.

Amitabh Chaudhry: And normally, first quarter is always slower than the last quarter. So doing quarter-to-quarter comparison might not necessarily be appropriate here.

Rikin Shah: Yes, Amitabh, it wasn't from the overall growth perspective, just the mix of the growth where it's coming from.

Amitabh Chaudhry: Yes. So our consistency on the RAROC driven model continues. We will drive businesses, which give us the right return on capital. And given the deposit constrained environment, anyway we are in a way constrained in terms of how much we can grow our balance sheet or the asset side also. So there is a waterfall. We manage the waterfall quite actively. And each of the business leaders know what is possible, what is not possible, and that's how we drive our growth quarter-on-quarter.

Moderator: The next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: So two questions. The first one is just going by the explanation that 55% of the increase in credit cost is due to the timing difference. If I sort of back it out, the credit cost would probably fall by around 30 basis points. But even then, we would be a little higher than the averages we were clocking earlier. In light of this, is this like -- ex of the 30 basis points, is this like a new normal? And if so, how do we get back to the 1.8% kind of ROA? Are there any other levers in

the P&L? So that was the first question.

The second question is regarding the growth in personal loans and credit card. Now overall, if you see the industry commentary so far from peers and also yourselves, you are seeing an increase in credit costs in those segments. And within retail, those are right now the growth drivers. So do you see any kind of slowdown in those segments? And if so, which other segments can pick up the slack to keep your overall growth at about 14%, 15%? So yes, those are the two questions.

Arjun Chowdhry: Abhishek, this is Arjun. I'll answer the question on credit cards and personal loans first. I think Amitabh mentioned this just now too. We keep calibrating our growth in terms of where we see the best returns and returns are measured by RAROC, as we talked about. So there will be a constant calibration in the composition of the balance sheet. We also know that the personal loans and cards deliver a higher RAROC if done well. Yes, you're right. We have -- in fact, called it out in our investor presentation that this is the first quarter where we did just under 1 million cards. Otherwise, we have been doing close to 1 million cards for the past 10 quarters.

So we've taken action where we needed to based on what we saw both in our portfolio and the industry and what we saw from the bureau. Since both cards and personal

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loans are unsecured, we are fairly prompt and we have a very dynamic model, which tells us how those portfolios are behaving, and we take those actions very quickly. You would have noticed that the pace of growth has been tempered to reflect that. That being said, the areas for growth will come by a continued calibration of the balance sheet and continue to grow it to maximize the returns that we deliver on that. So we categorically believe, no, we don't see this as a new normal. I can speak only for our portfolio, but I don't see the first quarter annualized number has been the new normal for either personal loans or cards. I talked about some of the calibration actions we've taken. We fully expect that those will play out over the next three quarters, along with other actions that we are taking and will show significant improvements from there.

Puneet Sharma: Abhishek, thank you for your questions. Let me pick up the math that you're trying to do. And I request you to probably refer Slide 60 of our presentation. I'll work with the numbers you articulated so we'll keep it apples-to-apples. So you said if you backed off the 55 % that I spoke of, we will be about 30 basis points lower, so 97 minus 30 takes us to 67 basis points.

I'm presuming you're comparing the 67 basis points to the 50 basis points same quarter last year because that will be seasonally adjusted and an equivalent comparison. So yes, that is -- that was the purpose of indicating that there is a timing difference. So please do adjust for the timing difference whichever way you compute it.

The second aspect I would request your attention to is something that I called out earlier as part of my opening comments. 32% of the gross slippages for the current quarter are linked accounts, which are standard. And please appreciate those accounts will continue to pay us. And as the slippage gets regularized, the linked accounts also get regularized. When the linked account slips, we also create a provision on that linked account. Therefore, that needs to be factored in.

To your last sub part of your question on where do we directionally see credit cost? We have consistently been saying that credit costs for the system and for us cannot be at the levels they have in fiscal 2024. They need to move up primarily driven first by slowdown of recoveries and upgrades which we are starting to see. Please appreciate gross slippages across Retail, CBG and Bharat Banking are lower on a year-on-year basis.

So is there signs of clear stress on the portfolio? Answer is no. Hopefully, that gives you a comprehensive color of what and how you may want to think about that number. But we are very clearly stating that Q1 FY25 annualized number is not indicative of full year credit cost for us as a franchise.

Abhishek Murarka: Got it. Appreciate that Puneet, just one thing on that linked account. So is that also part of the accounts where you're providing 100% or 91 DPD or I mean the accelerated provision is also kicking in for those accounts or is it a different segment?

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Puneet Sharma: So Abhishek, if the linked account is an unsecured retail loans it will attract 100% provision. So if it is for home -- so let me explain with an example. The home loan was a lead qualifying account and the personal loan got classified because it was a linked standard account. Home loan will attract home loan product provision and the linked personal loan will attract 100% provision which is my policy.

Abhishek Murarka: Understood. By any chance possible to share how much of that 32% is unsecured retail?

Puneet Sharma: Abhishek, we don't put that data out. I'm sorry, I won't be able to give you that information.

Abhishek Murarka: Thank you so much for the answers that was really clear. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Thanks for taking the question. So as you indicated with respect to the focus on LDR and maybe in terms of the constraint on loan growth. This quarter we are still seeing some expansion in LDR and that to maybe corporate is something which is driving the growth. So would it be okay to assume in terms of you being comfortable with more than 90% odd LDR as well or how should we look at it in terms of the growth between deposits and advances?

Amitabh Chaudhry: So Kunal, we stated it last time also that we have -- obviously RBI had reached out to

various banks on their LDR strategy. We have gone and submitted our strategy to RBI which they have accepted, and we are operating within the parameters of the strategy which we have outlined to the regulator. So this quarter also continues to reflect the flexibility we have, and we believe, and we are very sure that we'll continue to operate within those flexible parameters. Let me -- I think Rajiv and Neeraj if you want to add? Neeraj Gambhir : I think Amitabh has captured it well. We have basically -- it's well within the norms and the parameters that we have sort of talked about. LCR continues to be close to 120% and thereabouts. And incrementally, as Puneet also mentioned earlier that it is the accretion to the deposits which is driving the asset side of the business and hence there is a good sort of calibration between the two.

Kunal Shah: Okay. So it would be more LCR or still in terms of the LDR in terms of maybe the strategy that you would have laid out and the flexibility that is available?

Neeraj Gambhir : I would say both are important at this point in time . LCR is a regulatory requirement. LDR is not a regulatory requirement, but it is something that the regulator and the analyst community watches quite closely. So we pay equivalent attention to both, and both are in some senses managed and paid equal attention to.

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Kunal Shah: Sure. And the second question is on slippages particularly within the retail. Any trend which you are seeing in terms of almost like 2% odd slippages wherein the skew is more towards the unsecured compared to thereof secured in this particular quarter?

Amit Talgeri: This is Amit here. So we haven't seen too much of a difference in terms of where the slippages are coming from. It's been uniform across, but like Puneet explained we've been looking at what the industry data is

as well with the bureaus. We've seen a spike -- a slight increase in unsecured across the industry primarily driven by high leverage typically loan stacking that's happening. We've seen some parts of that in our portfolio as well.

But we've been taking proactive risk actions for close to 6 to 9 months now. And one of the key leading indicators that we really look at is early risk and that is well within the guardrails. So the way we've been kind of calibrating our strategy around risk in unsecured is that we have with guardrails across multiple segments. And within that also we are looking at both at a portfolio level, early risk at different cohorts and each of that is within the guardrails. And what we do is, obviously we keep looking very closely given the increased focus around unsecured and that's something that we will continue to really watch for.

Kunal Shah: Okay. Thank you.

Moderator: Thank you very much. Next question is from the line of Rahul Jain from Goldman Sachs. Please go ahead.

Rahul Jain: Actually, I just had two questions. One is perhaps just a doubt when I try and connect the dots between slowdown in card sourcing this quarter, the slowdown in the PL growth. And the last comment that Amit made about the pickup in unsecured and then therefore pickup in corporate loan growth. So what does it imply? Does it imply that the bank will now start changing the loan book mix perhaps as the risks start to unfold in the unsecured?

I appreciate that these are still early trends and early days, but we don't know. I mean the whole system has grown this book at a rapid clip, maybe your growth has trended lower over the last 4 years. But just trying to understand because the messaging has been pretty common this quarter. Appreciate it.

Arjun Chowdhry: Yes. Sure. Thanks, Rahul. This is Arjun here. So I'll try and answer it comprehensively. So there's always a lag between credit card sourcing numbers because the card gets booked first and asset builds up with a lag after that. So if you look at the slowdown in the sourcing numbers right now, then the impact of that in terms of the book growth will be felt some time down the line. As we mentioned, we keep calibrating our book. If you look at the asset spread, particularly on the retail side, we keep calibrating our book based on the RAROC that we see on each of the portfolios, and we take action based on what we see in the mix of that book.

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So personal loans and cards are traditionally high RAROC businesses, but they also go through periods of stress being unsecured assets in their nature. So we take a holistic view on that one, and we keep moving it back and forth in terms of what will maximize the returns from the asset pool, which we see on a holistic basis. I hope that answers the question which you had.

So we will continue to change that mix strategically from time to time. And you will see those inter segment allocations changing so that we can maximize the returns that we have on a risk -adjusted basis.

Rahul Jain: Sure. Appreciate it. So can I just ask a follow -on question? So Puneet just said 34% of the downgrades happen due to the linked accounts. Can we understand what was the nature of the downgrade, if you can? If not then, generally trying to understand, so does it mean that the slowdown in PL & CC could be temporary and next few quarters, we can again start seeing pickup in this portfolio? Or will try and see again, quarter -to-quarter how things are moving. Because one could be late also, right, in assessing the cycle, you would want to avoid the type 2 error?

Puneet Sharma: Rahul, thank you for that question. I just want to just place an administrative correction. I heard you say I had indicated 34%. I just want to clarify. I had indicated 32% of gross slippages are attributable to linked accounts or have

been updated in the same quarter.

So I just want to be clear that the number is 32 %. No, maybe I had articulated it incorrectly earlier. So I just want for good order sake, to set the record right. It is 32% is what we are working with.

I think to your question on how do we think about our portfolio? The principal basis of how we think about our portfolio is risk -adjusted return on capital and that is the driver of capital and liquidity on our books. Personal loan, credit cards or for that matter, any other product as long as it delivers the right RAROC to us, we will allocate capital and liquidity to it. The RAROC allocation and liquidity allocation is the quarterly exercise at the Bank. So we have an outlook for the year, but we plan this on a quarter -by-quarter basis, and that's how you will see us execute in this tight liquidity environment.

Rahul Jain: Appreciate it. One last housekeeping question. So the RWA density this quarter went up by 300 basis points. Can you explain what could be the reason behind it?

Puneet Sharma: Rahul, thanks again for the question. The 300 basis points increase in RWA intensity is, as per the capital adequacy circular, operations risk true -up happens in the first quarter of the year. So effectively, if you are a growing franchise, then your revenues have grown. And if you have seen our trajectory, our trajectory has been pretty steep. Roughly, that gives you an uptick on risk -weighted assets. So op -risk adds to risk -weighted assets. So nearly 50% of the increased risk -based is operation s risk. The balance is 2 factors. The balance sheet mix has changed. So cash balances between last quarter and now are lower. And lending to RBI last quarter to now is lower.

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So the balance sheet mix change has impacted the balance. Direct answer to a question that I think you're looking for is my loan risk rate intensity has not changed between the 2 quarters. I hope that gives you a comprehensive response to what you were looking for.

Moderator: Thank you. Next question is from the line of Anand Dama from Emkay Global.

Anand Dama: So now we have completed the Citi integration, is it possible for us to share what is the retention ratio in terms of number of cards, employees, deposits, loans and the integration costs, I think by now it's likely over. So how should we see this cost to asset ratio moving towards over the next 3 quarters?

Arjun Chowdhry: Yes. So look, thanks for the question. But consistent with the earlier quarters too, we don't share specific numbers, but I can tell you now with the integration successfully behind us, that on every metric that we had set out when the acquisition was done , we have met or exceeded that metric, whether it be retention on balances, whether it be retention of customers or employees or even with the spending that we are seeing on the card.

We've also been able to derive significant synergistic benefits by taking the best practices and that was one of the important thesis behind the acquisition in the first

place. So we've taken synergistic benefits and the best practices from the erstwhile portfolio, being able to apply them to a much larger portfolio, whether it be cards, whether it be banking and being able to derive those benefits as well.

So I think in every which way, not just the system migration, which went up quite well on this last few weeks ago. But on every other aspect of the integration as well, it has met or exceeded the expectation, which was set out when the investment case was made.

Anand Dama: Puneet, can you talk on cost to asset ratio?

Puneet Sharma: My apologies, I understand the question was addressed to me. Sorry, I didn't catch the question. Could you help me with that again, please?

Anand Dama: So can you basically, tell us like how the cost to asset journey is going to be over the next 3

quarters? This quarter, we have seen some moderation. So how do you see that on these 3 quarters?

Puneet Sharma: So like I have consistently indicated the philosophy with which we manage expenses and what we have delivered in the quarter are in line with our previous articulation. We have said we would like to continue to invest in the franchise, given the opportunity. Where we are required to tighten our belts, we do have the ability to tighten our belts. You have seen some of that happening in the current quarter.

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Directionally, what I can indicate on expenses is expenses for last year were growing at the 27%, 29% YOY growth range. You will see moderation in growth of costs through fiscal '25 is the broad directional comment I can offer. We do not offer a cost to asset guidance.

Moderator: Thank you. Next question is from the line of Punit from Macquarie Capital. Please go ahead.

Punit: Just one data keeping question. Could you let us know the breakup of term deposits between retail and bulk?

Puneet Sharma: Thank you for the question. I would guide you to a comment I had made in the Q4FY24 results conference call. We had clearly said in order to ensure comparability to these market players, we will not be disclosing the RTD & NRTD breakup. We will disclose the LCR composition of our deposits and total deposit growth. I will guide you to Slide 7 of our investor presentation. The LCR as proportion of retail term deposits is 57% for the Q1 FY 25, and the total deposits and the average balance of deposits and average deposit growth numbers are on the slide also.

Punit: Okay, thank you.

Moderator: Thank you. Next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Yes. So just on the retail gross slippages, you mentioned that it was INR 4,229 crores this quarter. If you could just help us how much of that was agri and what would be the comparable Q OQ and Y OY numbers?

Puneet Sharma: Piran, thank you for the question. We don't give that breakup. We report Retail as a composite number. And I can give you the retail YOY and Q OQ number, but we will not split it up by segmental for one quarter alone.

Piran Engineer: That's also okay. If you could just help us with that?

Puneet Sharma: Just give me 20 seconds. I will just give you the YOY number and the same quarter last year. So we were at INR3,585 crores Q1 last year, and the equivalent number was INR 3,110 crores in Q4 FY24 .

Piran Engineer: That's quite helpful. Then secondly, I just wanted to understand better quantitatively, if not qualitatively, what percentage of your PL customers have another PL from another lender in the industry?

Arjun Chowdhry : So look, we do track the level of indebtedness of our customers, as you know, as is everybody else en route, but we're not allowed to put that number out in the public domain, and we prefer to keep it directional.

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Piran Engineer: But would it be directionally increasing or stable? If you could just mention that?

Arjun Chowdhry : It's not increasing at any fast pace. It is in line with our expectations. Also, please keep in mind that we make our offers based on a dynamic situation as we assess for every customer because we do continuous refresh of our portfolio with the bureau. So that's a moving and dynamic number. It's not an increasing trend, if that's what you're alluding to.

Piran Engineer: And if I may just slip in one last question. Transaction banking fees have been rather tepid for a few quarters. What could be done to improve growth trajectory here?

Neeraj Gambhir : So look, transaction banking fees is always a function of the fact that how much of the clients operating cash flow goes through your counter. As the technology quotient in this space has increased, we ha

ve also made a significant amount of investments in that space. For example, a lot of large and new -age FinTech customers want to integrate with the banks only through API route, and the Bank has invested quite considerably in that space towards Project NEO.

We continue to sort of make progress in that space through our recently launched NEO for Business app. We have considerably revamped our capabilities in the corporate and Internet banking space through 'NEO for Corporate s' introduction. So all of these investments and the efforts are basically making sure that we are able to provide best - in-class state -of-the-art solution to our clients.

And a lot of the inroads that we have made in the transaction banking space is through a very bespoke client -specific solutioning, not just to the large customers, but also, in many cases, to government customers as well. So effectively, this space is act ually becoming more and more of a technology play as compared to vanilla network or distribution play.

Piran Engineer: That's helpful. Thank you so much and wish you all the best.

Moderator: Thank you. Next question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Sir, I have a question as a trade -off between margins and loan growth or deposit growth. So our margins are -- as you said that we have 25 basis point cushion over versus through the cycle margins, but deposit growth or loan growth, loan growth is slightly below system and deposit growth is slightly above the system. So between the 2, do you see a possibility wherein you can step up on deposit growth or loan growth without compromising too much on the margins? How do you think between the trade -off between the two?

Puneet Sharma: Jai, thank you for the questions. We operate our business to grow profitably, which is why we've consistently said RAROC is the base framework on which we plan balance

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sheet growth. As long as we're getting profitable growth, we will grow it. The overall constraining factor that we have now been calling out for a couple of quarters is deposit growth will constrain advances growth.

As long as deposits are available at the right price and of the right quality, we believe that the franchise has enough distribution muscle to grow 300 to 400 basis points faster than industry on the asset side. That's how we are thinking about our balance sheet. Ultimately, there is a constraining factor, but growth will not come at the cost of profitability.

Jai Mundhra: Sure, Puneet. But if we look at the advances growth has been actually a bit lower than system, if you adjust for the Citi acquisition in the last 3 to 4 quarters, while profitability, of course, has been either on the ROA or maybe on the NIM side has been much protected. So do you think you can do something on the deposit side to step up on the growth or it is too sort of volatile to call out that?

Puneet Sharma: Jai, thanks for the question. I think the point you're raising is can I accelerate deposit growth to drive advances growth by compromising a bit on profits? I don't think that's an equation we are agreeable to, or we are working towards. Let me break that response up for you. We have worked very hard to improve the quality of our deposit franchise, and which has fed into our net interest margin journey.

The outflow rates on our deposits have fallen by 400 basis points over the last 2 years. That is substitution of bad deposits with good deposits. And therefore, that is a journey that we'd like to stay focused on. Consequently, picking up incremental deposits just to



report higher growth is not what we are philosophically aligned to. What we are clearly articulating is as long as we get the right deposits at the right price, the franchise is strong enough to grow faster than market over the medium to long - term, and

we feel confident that we'll be able to do that. I hope I'm being able to address your question, but I think we're very clear in our thinking, and we've been very consistent with our response to how we think about balance sheet growth and profitability for a while now.

Jai Mundhra: No, that helps. And lastly, in the opening remarks, you mentioned that -- and maybe Amitabh mentioned that INR5,000 crores of contingent provision/prudent provision, you also mentioned ECL in the same breath, right? So assuming -- is it fair to say that the kind of provisioning will suffice as and when you move to ECL or on a ballpark basis? You think you may need something more also?

Puneet Sharma: Jai, I think it's impossible to comment on sufficiency of the provision absent a final guideline. What we have done is we used to have a COVID provision. The COVID risk did not play through. We had always indicated we will never write back that provision. We have named asset -specific provision philosophy. We do not carry contingent provisions or floating provisions on our balance sheet.

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This is the only pool -based provision we have, and what was kept aside for COVID has now been earmarked for ECL transition. It is no way an indicator of excess or short provision required on actual transition date because we need to wait for the regulators ' final guidance on how and when ECL will get implemented.

More specifically, the reason I cannot give you a categorical response is in the draft discussion paper, there was a concept of floor provisioning apart from model -based outcomes. We'd like to see what the circular states on floor provisioning, because that will determine or change the quantum of provision the system and we would need as part of the actual transition. The reason we've kept this funding aside, obviously, is to make sure that the transition impact is minimal to net worth, and that's why we put this funding aside.

Jai Mundhra: Thank you and all the very best.

Moderator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma: Thank you, Neerav, for this evening. Thank you, everyone, for taking time and patiently going through the Q& A with us. If any questions remain unanswered, please reach out to Abhijit and the IR team, and we'll be very happy to respond to them separately. Thank you. Have a good evening.

Moderator: Thank you very much. On behalf of Axis Bank that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

**Call: Jul 2024**

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# Call: Oct 2024

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Axis Bank's Q2 FY25 Media Conference Call  
October 17, 2024

Management: MR. AMITABH CHAUDHRY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER , AXIS BANK LIMITED  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR , AXIS BANK LIMITED  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER , AXIS BANK LIMITED  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR, AXIS BANK LIMITED  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR , AXIS BANK LIMITED  
MR. ARJUN CHOWDHRY - GROUP EXECUTIVE - (AFFLUENT BANKING , NRI, CARDS / PAYMENTS AND RETAIL LENDING ), AXIS BANK LIMITED

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Moderator: Ladies and gentlemen, Good Day and Welcome to the Axis Bank Conference Call to discuss the Bank's Financial Results for the quarter ended 30th September 2024.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal the operator by pressing '\*' and then '0' on your touch one phone. Please note that the conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the Conference Call.

On the call we have Mr. Amitabh Chaudhry, MD&CEO; Mr. Rajiv Anand, Deputy Managing Director and Mr. Puneet Sharma, CFO.

I now hand the conference over to Mr. Amitabh Chaudhry, MD&CEO.  
Thank you and over to you, Sir.

Amitabh Chaudhry: Thank you, Michelle. Apart from Rajiv and Puneet , we have on the call Subrat Mohanty – ED, Munish Sharda – ED and other members of the leadership team.

This quarter, we delivered steady operating performance led by higher growth across our focus business segments and sequential

improvement in key return ratios.

Let me share key highlights of our Q2 operating performance:

Consolidated ROA% at 1.92% improved 9 bps YOY and 22 bps QOQ.

Consolidated ROE% at 18.08% improved 140 bps QOQ.

Operating profit was up 24% YOY and 6% QOQ driven by healthy operating income growth and further moderation in operating expenses growth.

We stay focused on three core areas of execution of our GPS strategy namely:

A. Becoming a resilient, all-weather franchise

B. Creating multiplicative forces to build competitive advantage

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C. Building for the future

I will now discuss each one of these areas.

A. Becoming a resilient, all-weather franchise

The quality and strength of our deposit franchise continues to improve through Project Triumph, the bank wide deposit transformation program.

■ The Bank continues to deliver higher than industry deposit growth at 14% YOY and 2% QOQ. We have opened 150 new branches in the last three months, both urban and rural and 200 in the first half of this fiscal.

■ The New to Bank acquisition engine for the SA franchise has trended well. In this quarter we saw

o SA New to Bank deposits up 15% YOY with new accounts opened up 5% YOY and balances per account up 10% YOY.

o New corporate salary labels acquired in Q2FY25 grew 11% YOY, with 10% YOY growth in salary Number of Accounts acquired. Salary uploads in the new book acquired in H1FY25 grew 27% YOY.

■ Project Triumph continues to focus on productivity enhancement through tech-led solutions.

■ The SA New to Bank unit productivity of Relationship

Managers continue to trend positively with 40% YOY

improvement as of Sep'24

■ The premiumization of our franchise continues to progress strongly led by strong 36% YOY growth in Burgundy assets under management.

■ During the quarter, we expanded our coverage of 'Burgundy

Private', the Bank's private banking business to 15 new cities, increasing our presence to 42 locations across India.

We believe that there is tremendous growth potential in Tier 2 cities for our best

poke wealth management services, given

our deep understanding of customers in these evolving markets.

■ On the wholesale segment refer slides 37 & 39, our industry leading customized solutions across liquidity management, payments and collections continue to drive higher transaction banking flows leading to better current account balances. Our NEFT market share (in terms of value) has increased to ~12.9% in H1FY25 as compared to ~10.4% in H1FY24.

o Our better yielding focus segments including select Retail, SME and Mid Corporate segments together grew by 20% YOY and

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now constitute 43% of the total advances, up by ~1300 bps in the last four years.

Strengthened the Core

We have made significant investments in core information technology (which we refer to as running the bank tech), further invested in architecture modernization, cyber -security, fraud control, risk and collections management .

■ During the quarter, we introduced two innovative, industry -first digital solutions at the Global Fintech Fest 2024. The Bank launched 'UPI - ATM', an integrated Android Cash Recycler with Unified Payments Interface (UPI) technology for cardless cash withdrawal and deposits. We also launched 'Bharat Connect (erstwhile BBPS) for Business', in partnership with NPCI's Bharat BillPay Limited (NBBL). This will provide businesses a comprehensive solution to efficiently manage their working capital needs at various stages of the supply chain and streamline account receivables and payables.

■ We now have a strong, dedicated Financial Crime Intelligence division that combines analytics, digital monitoring, and fraud control capabilities to safeguard the Bank.

■ We continue to garner several key external recognitions for the capabilities and initiatives we have undertaken successfully in the last few years.

i. The Bank was featured in the TIME's World Best Companies of 2024 list and was ranked the highest amongst its Indian financial peers.

ii. The Bank also won several awards including those for Best performance on Profitability, Risk Management and Asset Quality, apart from being recognized for "Excellent Practices and Adoption of ESG initiatives" at the Indian Chamber of Commerce Emerging Asia Banking Awards 2024

B. Creating multiplicative forces to build competitive advantage  
o Axis Bank, is now the leading UPI Payer Payment Service Provider (PSP) Bank in India. According to data published by the National Payments Corporation of India (NPCI), as of September 2024, Axis Bank holds a market leading share of 30.87% in the UPI Payer PSP space. This achievement is a testament to the bank's unwavering commitment to innovation, customer -centric solutions, and strategic partnerships.

o The integration of erstwhile Citi consumer business that we had completed in July exemplifies the true power of One Axis. The migration was seamless with minimal disruptions to customers . In terms of Monthly Active Users, Open is witnessing higher number of customers than were active on erstwhile Citibank platforms. Further, digital activity of these customers across products/services such as funds transfer, FD, Bill Pay etc have gone up materially.

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### C. Building for the future

Our journey to be future -ready continues to progress led by our focus on distinctiveness elements, namely, Digital, Bharat Banking and Customer Obsession.

Digital Banking performance continues to remain strong

o

o In this quarter, the Bank made several enhancements to its products including redesign of several journeys, new journeys

such as opening FD

via money from other banks, continued rollout of Neo for Corporates and Neo for Businesses, which are digital channels aimed at corporate and small business customers respectively.

o The Bank was awarded the Best Digital Bank (Private) by Financial Express. In addition to the strong app ratings, awards such as this signify the bank's distinctiveness in digital capabilities and platforms.

Our bet on Bharat is growing from strength to strength

o The rural advances grew 20% YOY and deposits from Bharat Branches were up 9%; thereby aiding the PSL and profitability metrics.

o We have expanded our multi -product distribution franchise to over 2,500 branches complemented by ~62,000 CSC VLE network across 683 districts and 80+ partners across the industry.

During the quarter, we embarked upon next phase of 'Sparsh', our

distinctive customer obsession program

o Sparsh 2.0. represents a strategic evolution from Sparsh 1.0., and is aimed towards "Linking Sparsh initiatives to enhanced customer satisfaction leading to improved NPS and better business outcomes."

o The program has been instrumental in driving higher Net Promoter Scores (NPS) led by enhanced process automation and significant digitization. Our Retail Bank NPS score has matured significantly, rising to 145+ from a baseline of 100 in the past 2 years.

In Closing:

■ We find favourable macros backed by a strong and stable domestic policy environment which bodes well for the banking sector.

■ We are well placed in the current macro environment, we continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

■ We will continue to invest where necessary to remain differentiated and distinctive in our journey towards building 'an all-weather institution'.

I will now request Puneet to take over.

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Puneet Sharma: Thank you Amitabh. Good evening everyone. Q2 FY25 operating profit was up 24% year-on-year. Our PAT was up 18% year-on-year. Our consolidated ROA was 1.92%. Up 9 basis points and 22 basis points year-on-year and Q-on-Q respectively. Our consolidated ROE at 18.1%. The entire business execution was aided by the steady growth and deposits and advances. Moving to our healthy operating performance, our net interest income grew 9% year-on-year. Net interest margin was at 3.99%. Fee income grew 11% year-on-year and 6% quarter-on-quarter. Retail fee grew 11% year-on-year and 5% quarter-on-quarter. Granular fees are at 92% of our total fees. Our operating profits was up 24% year-on-year and 6% quarter-on-quarter. Operating revenue was up 16% year-on-year and 5% quarter-on-quarter. Operating cost growth moderated to 9% year-on-year. Our H1 FY25 operating profit at INR20,819 crores was up 19% year-on-year. PAT at INR12,952 crores was up 11% year-on-year. H1 FY25 consolidated ROA was at 1.8% and consolidated ROE was at 17.43%. We've delivered steady growth in deposits. CASA continues to be the best amongst large peer banks. On a month-end balance basis, total deposits grew 14% and 2% year-on-year and sequential quarter. Term deposits grew 21% and 4% year-on-year and sequential quarter basis. Our CASA grew 4% on a year-on-year basis.

On a quarterly average balance basis, term deposits grew 21% year-on-year. Current accounts grew 13% year-on-year and our savings account balances grew 1% year-on-year. Our average LCR during Q2 FY25 was 115%.

Loan growth was delivered across our focus segments. Our net advances grew 11% year-on-year and 2% on a Q-on-Q basis.

Advances (gross of IBPC) sold was up 12% year-on-year and 2% Q-on-Q. Retail loans grew 15% Y-o-Y. SME loans grew

rew 16% Y-o-Y.

Corporate loans (gross of IBPC) sold grew 6% year-on-year.

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Our small business banking loans grew 23% year-on-year, 6% Q-on-Q. Our mid-corporate business grew 18% year-on-year, 5% Q-on-Q. Our small business banking business plus our SME business plus our mid-corporate business now constitute total advances aggregating to INR2,22,080 crores. This translates to 22.2% of our total loans and this

is up 800 basis points in the last 4 years. We are well capitalized with a self-sustaining capital structure and carry adequate liquidity buffers. Our overall capital adequacy ratio stood at 16.61% with a CET1 ratio of 14.12%. We net accreted 38 basis points of CET1 capital in H1 FY25 and 6 basis points in Q2 FY25. INR5,012 crores of other provisions, not considered in our capital adequacy computation provides an additional cushion of 38 basis points over the reported capital adequacy ratio. We carry an excess SLR as of 30th September of INR76,769 crores. We continue to maintain a strong position in payments and digital banking. We are the largest player in merchant acquiring with a market share of 20%, incremental market share of 36% in the last 1 year. Bank achieves the number 1 position in UPI payer PSP space with a market share of 31%. open by Axis Bank remains amongst the world's top rated mobile banking app on Google Play Store and iOS App Store with a rating of 4.7 and 4.8 respectively. We have 15 million monthly active users on our app. open by Axis Bank and Axis Pay have 13 million non - Axis Bank customers, 26.9 million customers on WhatsApp banking. Our credit card CIF market share at 14%. Our credit card spends grew 15% year -on-year.

Asset quality is stable. We've added prudently to non -NPA provisions in the quarter. GNPA at 1.44% , declined 29 basis points year -on-year and 10 basis points Q -on-Q. Net NPA at 0.34% declined 2 basis points Y-o-Y. Q2 FY25 annualized net credit cost was at 0.54%, down 43 basis points sequentially. Q2 FY25 gross slippage ratio annualized at 1.78%, declined 19 basis points Q -on-Q. Net slippage ratio annualized at 0.96%, declined 41 basis points Q -on-Q. Our PCR continues to be healthy at 77% and our aggregated coverage ratio is 153%, coverage ratio representing all provisions by GNPA.

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Our key domestic subsidiaries delivered strong performance. H1 FY25 profit at INR927 crores, up 35% Y -o-Y, with a return on investment in domestic subsidiaries at 58%. Axis Finance H1 FY25 PAT grew 24% Y-o-Y to INR327 crores. Asset quality metrics were stable. ROE was at 15.79% for Q2 FY25. Axis AMC H1 FY25 PAT grew 29% year -on-year to INR244 crores.

Axis Securities H1 FY25 PAT grew 139% year -on-year to INR272 crores. Axis Capital H1 FY25 PAT grew 29% year -on-year to INR87 crores and we executed 30 ECM deals in the first half of the current fiscal. With that, we will open up for questions. Thank you.

Moderator: Thank you very much, Sir. We will now begin the question and answer session. The first question is from the line of Saloni Shukla from Economic Times. Please go ahead.

Saloni Shukla: Yeah, Hi. Good evening. You know, I just wanted to understand the overall picture for the bank. We are seeing asset quality deteriorate. We are seeing higher slippages. There is higher loan loss provision. Then you are growing slower than the system on loan growth. You have a NIM declining. So what exactly is happening?

Are we entering? I mean, you're the first bank in terms of large private sector bank . So just wanted to understand, is this what we will see for the system or is it

specifically only for you? I mean, are we seeing a

system -wide slowdown or something? Can you please explain that?

Puneet Sharma: Saloni, Thank you for the question. I would like to clarify a few of the observations you have just made on a generic basis. Let me start with the comment that you made saying gross NPS are increasing. Actually, gross NPS have declined sequentially and year -on-year. Same quarter last year, our gross NPA was 1.73%. It's 1.44% as on date . Gross NPAs for the previous quarter was 1.54% and are 1.44% now. So both year -on-year and sequentially, asset quality has actually improved when reflected on a gross NPA basis. Net NPAs have also improved year -on-year from 0.36% to 0.34%. So I would like to clarify that asset quality at

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Axis Bank isn't deteriorating as was possibly interpreted by the reading of the numbers at your end.

Saloni Shukla: But you have higher slippages?

Puneet Sharma: I will move to the slippages number. Again, on slippages, you had indicated higher slippages. Our Gross slippages quarter -- the previous quarter were 1.97%. They've improved to 1.76% for the current quarter. So there's actually a sequential improvement on gross slippages. Net slippages have improved from 1.37% to 0.96%. So again, there is actually an improvement on asset quality when measured on the slippage number.

If I measure asset quality on credit costs, our credit costs last quarter on a gross basis were 1.19%. It is actually improved to 0.90%. So that's a 29 basis points improvement in gross credit costs. If I look at net credit costs, they have improved even further from 0.97% to 0.54%. Overall, what I would like to indicate to you is asset quality for Axis is not as commented or observed in your initial observation.

Now let me break up the provisions and contingencies that you alluded to. And I would request you to look at Slide 56 of our investor presentation. On Slide 56 of our investor presentation, we very transparently break up loan loss provisions and other provisions. Our loan loss provisions from the previous quarter have actually reduced by INR1,100 crores. We had INR2,551 crores of loan loss provision in Q1. It's down to INR1,441 crores in Q2.

Overall, provisions and contingencies have increased simply because we have prudently provided for non -NPA assets. Please appreciate, like I indicated on my call earlier, we have INR5,012 crores of provisions that we don't count towards capital. In the same spirit of prudence, we have provided another INR520 crores for non -NPA assets in the current quarter, which is reflected in the other provisions line, which is why you see the total provisions and contingencies broadly remaining flat quarter -on-quarter. I hope that provides you full context and color on asset quality and provisions.

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Saloni Shukla: Yeah, I was looking at the Y -o-Y number , anyways.

Puneet Sharma: Sorry?

Saloni Shukla: I was looking at the Y -o-Y number. Yes, please. On loans, if you could throw some color.

Puneet Sharma: Yeah . So I think you had two other questions, which was margins and loan growth. If I request you to go to Slide no. 9 of our investor presentation, the margin decline of 6 basis points that you are pointing to is not a margin decline. Our spreads have remained relatively flat. Our spreads are down by 1 basis point. The balance 5 basis points is nothing but we had called out - we had received an income tax refund interest , aggregating to INR220 crores plus last quarter. We had called that out as a one -time item. That item has not repeated in the current quarter.

arter. So , the core business margins actually have remained intact quarter -on-quarter.

Coming to growth, broadly if I was to benchmark myself with industry, I think both on advances and deposits, we have tracked or have been better than industry advances and credit growth, both on a year -on-year basis for both variables. I will pause there. I am very happy to take a follow -on question.

Saloni Shukla: Yeah . And could you give me some information on this IBPC corporate loan book that you have sold, INR10,000 crores? Was this in this quarter?

Puneet Sharma: See, we continue to manage our balance sheet for liquidity and asset growth perspective. Not all INR10,000 crores would have been sold in



the current quarter. There would be parts that were sold in the previous quarter and parts sold in the current quarter.

Amitabh Chaudhry: Saloni, can I say something? It's Amitabh here. I think we do need to understand and appreciate that the current conditions do present a lot of variables which are tough. While we say we have excess liquidity, on the other side the deposit rates are not coming down. There are clear guidelines in place in terms of what CD ratio you can have. We are  
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seeing some worsening of asset quality in some of the unsecured and some other asset classes.

The interest rates which are being demanded by customers or good customers is also not increasing. In such an environment, to be able to deliver a steady NIM, to be able to deliver, after the first quarter improvement in asset quality and use the policy also to make provision should be seen in a slightly different light than I think how you started off your questions. I just want to kind of land that with you a little bit.

Thank you.

Saloni Shukla: Sure. Thank you, Sir. I appreciate it.

Moderator: Thank you.

Puneet Sharma: Saloni, just a clarification. I am presuming, apart from the IBPC number, the 10,000 number that you quoted was from our UFR Note 6, which is the INR 10,369 crores number. That is our debt capital market business. Those are syndicated loans. So that is not part of the IBPC disclosure. Just for abundant caution, if that is what you were referring to. Thank you.

Moderator: Thank you, Sir. The next question is from the line of Preeti Singh from Bloomberg. Please go ahead.

Preeti Singh: Hi. I had a separate question actually around climate risk reporting. I know RBI is putting together a risk information system. Just wondering what the bank is doing to really look at climate resiliency in its portfolio.

Amit Talgeri: Thanks so much for the question. Just to give you a brief background, we do have a Board constituted, you know, ESG committee, which is actually monitoring all that we do around ESG and climate risk. There is a quarterly cadence where we report what we do around climate risk. Specifically to answer your question, we have been in active discussions with the regulator as well, as part of multiple working groups around some of these mark guidelines and what we have been doing around that.

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And, specifically in terms of the portfolio, we do have something called a hazard heat map, that we track all our portfolios across wholesale, commercial, and retail, and look at vulnerabilities based on events and do present them to the Board periodically. And the other thing that we also do is on the corporate side, we do track performance standards in terms of climate risk for all our lending proposals.

And what we do is, we also look at the mortgage portfolio, specifically around each of these where we have had issues around, let's

say,

floods or cyclones, etcetera. So in totality, what we do is all of this is captured as a part of the climate risk. And this is reported as part of a review that we do both on the risk side as well as from an ESG point of view.

Preeti Singh: Got it. Thanks. Second question was related to the CD ratio. I know that Axis Bank CD ratio is slightly high. Are you looking to sell down part of your retail portfolio as we're seeing other banks do it to bring this down?

Puneet Sharma: Thank you for the question. I think we are comfortable operating within a band on CD ratio. So as of now, that is not under consideration in so far as we are concerned. In the normal course of our operations, we

evaluate all liquidity measures available, but a sell -down of loan portfolio will not be for management on CD ratio, in the Axis context .

Preeti Singh: Okay. Thank you.

Moderator: Thank you . The next question is from the line of Ashish Agashe from PTI. Please go ahead.

Ashish Agashe: Thank you so much. Yes, Sir. You mentioned about the difficult operating environment and you included that there is worsening of asset quality, especially on the unsecured front. So , in the fresh slippages, gross slippages, how much of it would be coming from the unsecured bit, Sir?

Puneet Sharma: Thank you for the question. Actually, we did not allude towards worsening of asset quality. We actually said sequentially asset quality has improved for us. That is reflected in the gross slippage number. As  
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I had called out previously, our gross slippages are lower period -on-period. Our net slippages are also lower period -on-period. If you would like the numbers, I could call them out again.

Effectively, if you look at our gross slippage ratio, it's improved by 19 basis points quarter -on-quarter and our net slippage ratio is improved by 41 basis points quarter -on-quarter. I think you had a data question on what was the composition of the gross slippages.

Ashish Agashe: Yes, Sir.

Puneet Sharma: The composition of our gross slippages for the quarter in rupee -crore terms was INR4,443 crores. Again, in rupee -crore terms, it has declined sequentially. So, actually an improvement. Gross slippages from a segment basis was INR4,073 crores retail, INR264 crores for our CBD business and INR106 crores for our wholesale business.

Ashish Agashe : Okay. And is it fair to deduce that a bulk of the retail is unsecured?

Puneet Sharma: It will be a composition of our portfolio. It is 71% of our portfolio secured, 29% of our portfolio is unsecured. We make that disclosure in the investor presentation. Incrementally, a bulk of the slippages would be from the unsecured side of the business.

Ashish Agashe: Okay. A small question actually on the entire deposits front. How are you managing because you spoke about the NIMs side and how the core business has maintained NIMs. So, how are you managing the situation? What is probably helping you? Other banks probably have been a bit more aggressive on the pricing front. So, have you also done similar moves tactically? If you can just throw some light on that.

Munish Sharda: Yes. So, on deposit, as Amitabh said earlier, the quality and the strength of our deposit continues to improve through a transformation project that we are running. We have informed that earlier. We continue to deliver better than industry deposit growth by about 200 basis points. In this quarter, a few things that we are doing apart from the Project Triumph, we have opened 200 branches in the first six months of this year.

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We continue to expand our

distribution. We continue to see good momentum across our lines, including SAAR, CAR, deepening of our relationship on the asset side, customers where we are seeing 106% growth in our deposit base from the asset customers. We are focused on ensuring that we get every single line of the bank to get deposits from us and we bank the customers on all lines of the business.

We are also seeing good momentum in our salary acquisition. Our salary levels have grown by 11% quarter -on-quarter. Number of accounts have shown healthy growth. More importantly, the quality of the salary franchise has substantially improved in the last 12 -odd months. Also , on the wealth side, on the wealth management platform,

the Burgundy Private platform also continues to score very well. Our AUM has now gone beyond INR2 lakh crores and that AUM is growing at a very healthy clip. On the whole, our deposit journey, as we informed earlier, in our earlier sessions, we continue to invest in building a quality franchise, improving the LCR, the outflow ratios, and improving the quality of deposits and the premiumization of the entire deposit base.

Ashish Agashe: Thank you so much, Sir.

Puneet Sharma: Thank you, Munish. If I could just supplement what Munish indicated, I think there was part of your question that was around aggressive pricing and our cost of funds. I would just request you to look at Slide 9 of our investor presentation. In fact, we are one of the few franchises that have had a very stable cost of funds over the last three quarters, at 5.43 moving up to 5.45. I would also like to clearly clarify that our cost of deposits actually have remained stable quarter on quarter. So we are not in the price game for garnering deposits.

If the message that I would like to leave behind for your consideration, please?

Ashish Agashe: Thank you so much, Sir.

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Moderator: Thank you. The next question is from the line of Subrata Panda from Business Standard. Please go ahead.

Subrata Panda: Hi. So my question is a follow-up to what Amitabh Sir answered to Saloni's question on the CD ratio front. I mean, is there a broad indication from the regulator on where banks such as yours have to be in the CD ratio front?

Management: So, I think we have mentioned in the previous calls that when RBI raised the issue around CD ratios, they had discussions with various banks, including us. We clearly laid out our strategy to the regulator and had intensive discussions with them. We have a clear understanding of what they expect from us, and we are following their understanding since those discussions have happened. And our current CD ratio is in line with what is the kind of direction and discussion we are having with the regulator. So we don't see any concern on that at this stage.

Subrata Panda: Right. Understood. Secondly, I just wanted to understand, what is happening with the unsecured portfolio of various banks. I mean, are you seeing any impact on demand, especially in this festive season?

Arjun Chowdhry: Hi. Thanks for the question. So a couple of things. We are in the early days of the festive season, and so these are early range. But we have seen some encouraging signs in terms of spending picking up, particularly in the sectors which are traditionally affected by, post shradh and then the reverse of it in the festive season, namely auto, E-commerce, and things like that.

As you have also seen, there are quite a few schemes which have been launched by partners which are reflecting well in credit card spending. So, on a seasonal basis, we expect this quarter to reflect. It is a festive quarter, so we expect it to reflect well. In terms of where it is vis-a-vis our expectations, I think it is exactly where we thought it would be, given

the fact that there is an overall reduction in the acquisition of cards. But we are not seeing any signs of slowdown in the spending. We are seeing prudent spending remaining in place, particularly on cards. On  
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the unsecured book, there is growth, but that remains calibrated, as you would have seen across the industry.

Subrata Panda: Thank you so much.

Moderator: Thank you. The next question is from the line of Hamsini Karthik from Moneycontrol. Please go ahead.

Hamsini Karthik: Hi. I have two questions. One I would like to understand, how do you expect the RIDF book to sort of run down or reduce? I think the flattening we saw from '21 to '23 - FY were quite steep. From there on, it is a little flattish at INR18,000 crores. That is also having some impact on your margins. So what sort of an expectation do you have there?

Puneet Sharma: Thank you for the question. We have actually had close to a INR1700 crores INR1800 crores runoff on the RIDF book in the last quarter itself. So, it is actually running off. But you are absolutely right. Even the duration of the RIDF book, it does have a long tail as we speak. If I were to look at an estimate over the next four to five quarters, we would expect, maybe a rundown of another INR2,000 crores to INR2,500 crores. And the rest would be in the tail.

Hamsini Karthik: What I also gather, when I speak to other bankers is that microfinance loans or small unsecured loans have been picked up by the Reserve Bank in the recent supervisory rounds across banks, for signs of evergreening, for signs of overleveraging and so on. What has your experience on this particularly been? And, would in any case the provisioning buffer that you created this quarter around INR11,000 crores got to do anything with the unsecured loans?

Puneet Sharma: Thank you for the question. I will take the part on the prudent provision we created for the quarter. We have added about INR520 -odd crores to our prudent provision. We have categorically stated that this is not for NPA assets or expected NPA assets. We are very clear that it is not a reflection of the asset quality estimates that we run. This is simply a prudent provision in order to make sure that our balance sheet remains robust and healthy on a go-forward basis.

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Munish Sharda: Hi, this is Munish. On the microfinance side - as you know, there is a deterioration across the industry on the microfinance portfolios. We have a small book in microfinance, which we are watching very carefully. Our numbers as of today, as we are, you know, on delinquency numbers, they have shown an increase over the past period, but it is nothing which has gone beyond our risk guardrails and which has gone beyond the industry level. We continue to operate at a level lower than the industry.

We have taken risk actions to ensure that we do not venture out into areas which can get over-leveraged, where over-leveraging may be happening. We are also very careful in having a sharp focus on area-wise, region-wise, state-wise, focus on exposure, etc., which we continue to maintain. So our disbursement has come down.

Hamsini Karthik: Would it be possible for you to quantify your delinquency levels in the MFI book, please?

Puneet Sharma: Thank you for the question. We don't call out segmental delinquency. We have not done that in the past for any of our product segments. We do call out our segmental GNPA's, which are part of our investor presentation. I would request you to look at that. I just want to supplement what Munish said. The MFI book in our con

text is sub 2% of our loan book, so it's not something that concerns us at the moment from a quantum standpoint.

Hamsini Karthik: Perfect. Just one last question, Sir. So, recently, there were SEBI observations that came through for one of your subsidiaries, Axis Capital. Has the bank taken any action on that? Is the rectification process on? I know you had a Press Release put out on this, but in addition to that, is there any sort of work on that aspect?

Puneet Sharma: Thank you for your question. On Axis Capital, we have offered a very detailed clarification as part of our exchange filings. We have no further update to comment. The gist of the filing was Axis Capital had discontinued that business on the debt capital market side. It is 5 - 5.5% of the total income of Axis Capital, and Axis Capital is 0.7% PAT of Axis

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Bank. In essence, from a materiality standpoint, no material impact on the group financials as we see it today.

Hamsini Karthik: Thank you.

Moderator: Thank you. The next question is from the line of Piyush Shukla from The Hindu Business Line. Please go ahead.

Piyush Shukla: Hi. Good evening. I have two queries. One is on your write-offs, which stood at INR3, 119 crores in Q2 FY '25, highest in the last 1 year or so.

What sort of assets have you written off? Are these corporates or retail?

Do you have any exposure to MTNL as well? Separately, I wanted to understand your cost of fund, like Puneet Sir mentioned, has been stable, but with the change in stance from the RBI.

And expectation of rate cuts, though the inflation number this quarter was higher on expected lines. Do you expect borrowing costs to be stable or lower from here on? And a broader guidance on margins, if you can give any work trajectory to follow. Thanks.

Puneet Sharma: Thank you for the question. Let me start with the prudential write-off.

Our prudential write-offs are rule-based, as I have always indicated. We do not do judgmental write-offs. So our commercial banking business and our retail banking business follow a rule-based write-off, i.e., we write off the account after it has been provided 100% for a certain number of quarters. So, a majority of the 3119 write-offs comes from the rule-based policy we have and it is on the retail and the CBG business.

As part of our wholesale businesses, we do recoveries and settlements, but in the 3119 it would be roughly about 10% or thereabouts of that number from a corporate bank side. I think to your next question on where do we expect cost of funds to be given where the inflation print is, I will request Neeraj to probably take that question.

Neeraj Gambhir: So, yes, of course, we have seen a change in the stance from RBI. It is neutral, but if you read the commentary and the post-policy press conference by the Governor, I think we are still very focused on inflation

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and with the higher print on inflation, I think the probability of a rate cut this year seems a bit low. Any impact on our cost of funds, particularly on the deposits side of the balance sheet. I think will only be visible when we have a very explicit change in the Reserve Bank's rate guidance. So, it seems a bit uncertain at this point in time as to when that will materialize.

Piyush Shukla: On margins, if you could throw some colours?

Puneet Sharma: We do not offer a margin guidance on a sequential quarter basis year-on-year. Our margin guidance is structural, 3.8% on a two-cycle basis. We as of last reported quarter have roughly 20 basis points cushioned over two-cycle. We will make all efforts to retain as much of

the cushion

over our structural two-cycle margin guidance as we possibly can.

Piyush Shukla: Thank you.

Moderator: Thank you. The next question is from the line of Gopika G from Mint. Please go ahead.

Gopika G: Hi Sir. Yes, so I wanted to ask you, you spoke about NPAs in the retail segment, especially in the unsecured. How did you see, I mean, what about the performance of credit card segment where there are some NPAs on that front and secondly there were some write-offs in this quarter. Where did that come from and I have one more question?

Puneet Sharma: Thank you. On the write-offs, I can respond to it and then request my colleagues to pick up the other parts of the question. Like I indicated on my response to the previous question, our write-offs on our retail business and our commercial banking business are rule-based and on the wholesale are a function of assessment. As you would see dominant part of the write-offs that we would have for the current quarter would

be under the rule-based policy that we have.

Gopika G: Yes.

Arjun Chowdhry : So, yeah on the credit card piece as we had guided in the last mentioned in the last call as well, that there are certain segments where there are signs of early stress, indebtedness and we have taken early

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actions including actions in terms of the number of cards which we acquire, also actions in terms of the portfolio cards which we already have on our books.

So, some of those actions include - taking actions around scores, tightening our scores, some of those actions include curtailment of spending limits and things like that, all of which are beginning to show good results and the early signs that we have seen this quarter show signs of improvement. However, we remain very cautious and very focused on monitoring the performance of that portfolio in particular.

Gopika G: And which particular segment is this? Is this like new to credit?

Management: It's not new to credit or anything like that, but it's - there are a variety of things which we use to assess our segments which include, as I mentioned, the degree of indebtedness, the ability to pay, the vintage of the portfolio as we have called out earlier the vintage of the portfolio is a very important factor as well. So it's actually a multivariate sort of analysis which we do and we go pretty deep in terms of analyzing those segments.

Gopika G: And when do you see the se slippages in the unsecured portfolio peaking off?

Arjun Chowdhry : Very difficult to tell at this point of time, but the fact remains that from what the industry data that we have seen from Bureau which is available in the public domain there has been a rise in delinquencies across unsecured for the industry and we have seen similar signs in our portfolio. Very difficult to say that - this is the peak, this is the start etc, but we do keep monitoring and watching this portfolio and if there is any necessary action that needs to be taken we take it at an appropriate time and obviously the objective is to kind of monitor this portfolio closely.

Gopika G: And one last question on the recent RBI regulations on private sector banks investment in subsidiaries. They clearly said that the subsidiaries lay down certain sectors where the subsidiaries cannot be doing the

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same kind of business. Has the board sort of looked into it and analyzed it and how would this have an impact on Axis Bank and its subsidiaries?

Puneet Sharma: Thank you for the question. The bank is reviewing and evaluating implications of the draft circular on its legal and operating

structure. We

will assess and where appropriate make representations on the draft circular and we shall await the final guidelines prior to determining our next course of action. Suffice to say that any action that we propose to take on this matter will be in the best interest of our shareholders.

Gopika G: And could you sort of elaborate what clarifications you may be asking?

Puneet Sharma: We would not like to comment on the clarifications we are seeking. The circular came in on October 4th. We are evaluating its implications and like I said, we do want to seek some clarifications and then determine our next course of action herein. When we are ready to make any public disclosure around this subject we will be happy to do it, but it is far too nascent to make any comment on this today.

Gopika G: Sure. Thanks for those answers.

Moderator: Thank you. The next question is from the line of Ritu Singh from CNBC. Please go ahead.

Ritu Singh: Hi Mr. Chaudhry, a couple of times in the call you called out signs of

stress in some segments. Of course, unsecured is the one that has been widely spoken about, MFI as well, but I was wondering if you would call out only particular pockets that you are seeing in terms of segments one.

Secondly, on your CD ratio, you said you have been in conversations with the regulator and you sort of implied that the current ratio is where you are comfortable. I am just trying to understand, is there a particular number that was given by RBI? Is that where you are at? That gives you comfort to say that the regulators are here with your current credit deposit ratio?

Amit Talgeri : So, I think Arjun answered that question, initially. But let me just clarify.

I think what we have done is we have seen it across all products,

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especially on the unsecured side. We have seen an uptick both across cards and personal loans in line with what we have seen in the industry. There are no specific segments or sub-segments within those that we have seen specifically which have seen a spike. It has been across the board. It is across vintage. It is across income segments. It is across scores, both bureau scores as well as internal. But it is primarily around indebtedness and leverage build-up.

That is really down to the fact that a lot of these customers are probably borrowing loans after we have given a loan or after we have given a card. We have seen that in the industry which the bureaus have called out, there has been an increase in terms of customers taking loans within three months and six months. That is really what we have been looking at in terms of the portfolio as well.

From our bank point of view, we have been taking appropriate action in terms of scorecard cut-offs or policy action around unsecured build-up in terms of ensuring that the portfolio quality remains good. On the second question.

Puneet Sharma: Thank you. On the CD ratio, we will reiterate what we said earlier. We will operate under a construct that we are comfortable with. We do not have a specific CD ratio number that we will target. You have seen our results over the last three quarters. So, we are comfortable operating at where we are operating. We are cognizant of regulator feedback but our operating performance reflects what we feel comfortable operating at.

Ritu Singh: Thank you.

Moderator: Thank you. Ladies and gentlemen, due to paucity of time, may we request you to kindly limit your questions to one per participant. Thank you. The next question is from the line of Vishwanath Nair from NDTV Profit. Please go ahead.

Vishwanath Nair: Hi. Just a couple of questions. Firstly, on the deposit front, the CASA deposit base has not really moved anywhere. You said

that you

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acquired a lot more in terms of salary accounts and broader CASA but the deposit base has not really grown. I just want to get a sense as to whether that is something that is of concern or if you are happy with the fixed deposit growing faster?

On the other part, you have seen a dip in loan growth. You have also seen your low-cost deposits not good. I am trying to understand how there is no impact on the spread?

Puneet Sharma: I will take the impact on spread question and hand over to Munish to address the business question you set out. We have discussed to you in our Investor Presentation on Slide 9, our cost of funds. Our cost of funds, are a function of our cost of deposits and our cost of borrowings. Our cost of funds have remained flat for the last three quarters. 5.43 in

quarter 4 of the last fiscal, 5.45 in quarter 1 of this fiscal. We haven't seen an acceleration in cost of funds despite a flattish CASA ratio. That is principally because we have been disciplined in terms of pricing our deposits over the last nine months. So that is why you do not see cost of funds increase which effectively means pressure on spreads can come only from change of balance sheet construct or pricing of loans. We have been able to manage that at reasonable levels for the previous quarter. Therefore, no compression seems to be reported currently.

Munish Sharda: Hi, this is Munish. On the deposit side, like I said earlier, we are going faster than the industry if you look at the data for one year, three years or five years. We also, from a quality of deposit standpoint and granularity of deposit standpoint, if you look at our Page number 17 of the Investor Presentation, you will see that there is a 110 basis point reduction in the outflow rate which talks about the strength of the new deposit that we are building in the franchise.

Our endeavor is that we continue to grow the granular deposits, get more sticky deposits through the salary franchise, continue to operate at the higher end of the market through the wealth franchise through Axis Bank Limited  
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the Burgundy private franchise and also the premiumization of the deposit book.

Indeed, we have seen a higher growth in our premium accounts and balances in the first six months. We are seeing good momentum in our new-to-bank acquisition and we are boosting this further by selectively and scientifically going and opening branches. We opened about 200, we add about – we have said we will add about 500 branches in this fiscal, most of them in the next two quarters by December - January. If you also look at our CASA ratios, we had about 40.6%, which perhaps would be among the best in the industry. On the whole focus on granularity, focus on building more secure deposits, building premium deposits, etcetera, is the focus for the bank. Additionally, we have also called out that it is important that we get all our businesses to do more deposits for building digital journeys which are co-terminal journeys for deposits and accounts, getting our retail teams to open bank accounts, of the customer, we are lending money to all of that stuff is also helping us grow the franchise and the volumes. We have seen healthy growth in that as well.

So it's a bankwide strategy that we are pursuing to ensure that every customer who comes to bank with us on any product, we deepen our relationship with those customers across multiple lines, including deposits.

Moderator: Thank you so much, Sir. Ladies and gentlemen, due to paucity of time, we will take that as the last question for today. I would now like to have

and

the conference over to Mr. Puneet Sharma for closing comments. Over to you, Sir.

Puneet Sharma: Thank you, Michelle. Thank you, everyone, for taking the time to speak with us this evening. If there are any questions that remain unanswered, please do reach out to our corporate communications team or Asset Axis Bank. We will be happy to take follow-up questions. Wishing you a good evening and wishing your families and you the very best for the season and a Happy Diwali New Year to each one of you. Thank you.  
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Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Axis Bank, thank you for joining us and you may now disconnect your lines. Thank you.



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Axis Bank 's Q3FY2 5 Earnings Conference Call  
January 16, 202 5

## MANAGEMENT:

MR. AMITABH CHAUDHRY - MD & CEO, AXIS BANK  
MR. RAJIV ANAND - DEPUTY MANAGING DIRECTOR, AXIS BANK  
MR. PUNEET SHARMA – CFO, AXIS BANK  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR, AXIS BANK  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR, AXIS BANK  
MR. ARJUN CHOWDHRY – GROUP EXECUTIVE FOR AFFLUENT BANKING,  
CARDS/PAYMENTS AND RETAIL LENDING, AXIS BANK

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Moderator: Ladies and gentlemen, good day and welcome to the Axis Bank Conference Call to discuss the Bank's Financial Results for the quarter ended 31st December 2024.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in listen -only mode. There will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing “\*” and then “0” on your touch tone phone. Please note that t his conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the Conference Call. On the call we have Mr. Amitabh Chaudhry – MD and CEO; Mr. Rajiv Anand – Deputy Managing Director, and Mr. Puneet Sharma – CFO.

I now hand over the conference call to Mr. Amitabh Chaudhry – MD and CEO. Thank you and over to you, sir.

Amitabh Chaudhry: Thank you so much, Michelle. We have on the call a part from Rajiv and Puneet, Subrat Mohanty – ED, Munish Sharda – ED and other members of the Leadership Team .

This quarter, we delivered healthy core -operating performance. Our focus has been on profitable and sustainable growth as we continue to calibrate risk internally across portfolios and monitor the changing credit environment. Balance sheet and capital leve ls continue to remain strong.

Let me summarise the Q3 operating performance:

1. Core -operating profit was up 14% YOY and 5% QOQ driven by healthy operating income growth and further moderation in operating expense growth.
2. Business growth is slower this quarter on period end basis, but we continue to grow deposits at a healthy pace of 13% YOY and 3% QOQ on a quarterly average basis. Focus loan segments have also grown at a faster pace like Small business, SME and mid-corpora te together grew at 16% YOY and 4% QOQ.

3. CASA ratio and fee to average assets continues to be the best amongst peer private banks.

4. Consolidated ROA and ROE at 1.71% and 15.8%.

5. The Bank is well capitalized with a CET 1 ratio of 14.61% with net accretion of 49 bps in Q3FY25 and 87 bps in 9MFY25 period.

We stay focus ed on three core areas of execution of our GPS strategy namely:

A. Becoming a resilient, all -weather franchise

B. Creating multiplicative forces to build competitive advantage

C. Building for the future

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I will now discuss each one of these areas.

A. Becoming a resilient, all -weather franchise

Over the last few years, we have significantly progressed towards building a resilient, all -weather franchise. There are three areas of focus as we navigate the current cycle - deposit quality and growth, retail asset quality and costs - where we need to w ork on sustainable outcomes. On retail asset quality a normalisation cycle is in progress. Our recognition and provisioning policies are perhaps the most conservative among Indian Banks. We expect this will stabilise for the sector over next few quarters. On the Cost side, our expense growth this quarter has moderated to 1% YOY as we had been indicating in our prior calls.

Let me move to Deposits now:

The deposit journey for Axis Bank should be looked at from three aspects – quality, cost, and growth. Please refer to slide number 17. On the first two parameters we have delivered well.

- We have improved the granularization in our deposit book, which positively impacts the quality of LCR deposits. Consequently, improving the outflow ratio by 320 bps over the last 2 to 3 years and is now similar to larger peer ban

ks.

- We have also demonstrated controlled increase in cost of funds over the last six quarters, with only 3 bps increase in the last three quarters.

- The above focus along with macro -economic factors have impacted the period end growth in the last one year. However, quarterly average balance -based deposit growth remains higher than industry at 13%.

- The quality and strength of our deposit franchise continues to improve through Project Triumph, the bank wide deposit transformation program. Our acquisition engine, expansion plans, product launches, salary credits, burgundy AUMs remain healthy. We will s ee the effects of all these efforts in the deposit growth as the impact of reduction in certain portfolios start to stabilize and tight liquidity scenario eases.

- ✓ We have opened 130 new branches in the last three months, and 330 in the first nine months of this fiscal.

- ✓ The New to Bank acquisition engine for the SA franchise has trended well. In this quarter we saw SA New to Bank deposits up 15% YOY with new accounts opened up 2% YOY and balances per account up 15% YOY.

- ✓ With a specific focus on home maker segment, the Bank launched special women's account "Arise". We believe there is significant market opportunity in this segment.

- ✓ The Bank has made focused interventions to ensure that the Salaried customers remain engaged with the Bank. We see higher number of customers, both existing customers as well as newly acquired customers, getting salary credits.

I. 24% YOY growth in Salary Uploads in the NTB Salary book by Dec 24

II. 42% YOY growth in Premium acquisitions in NTB Salary book by Dec 24

- ✓ The premiumization of our franchise continues to progress strongly led by 26% YOY growth in Burgundy assets under management.

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- ✓ On the wholesale segment refer slide 37, our industry leading customized solutions across liquidity management, payments and collections continue to drive higher transaction banking flows leading to better current account balances.

On the topic of retail asset quality

- We continue to have one of the best asset quality levels across large peer Banks, in terms of net NPAs and provision coverage levels.

- Latest bureau data indicates a rise in delinquencies in some pockets, specifically in unsecured products, including MFI, across the industry. The primary reasons are credit hungriness and over -leverage.

- MFI does not constitute a significant portion of our portfolio [MFI retail being ~1% of retail loans], recent regulatory actions have led us to adopt a cautious stance on this sector, both through direct and indirect sourcing.
- We observe an increase in risk in certain segments and specific programs for personal loans and cards in the past. However, proactive interventions, including regular portfolio monitoring and Early Warning Triggers, have allowed us to recalibrate policies to ensure delinquencies remain within acceptable thresholds. We have priced for this risk that we are seeing manifest today.
- Given the heightened delinquency levels in the industry, we continue to remain cautious in our outlook towards unsecured.
- We have continued to strengthen the collection's infrastructure including use of tech enablement at front -end to improve collections capabilities.

We continue to garner several key external recognitions for the capabilities and initiatives we have undertaken successfully in the last few years. Axis Bank Foundation (ABF) has been awarded the prestigious gold award at FICCI's 4th Sustainable Agriculture Summit and Awards 2024. We also won the Best Indian Bank at the prestigious Financial Times (FT) Bank of the Year 2024 Awards, which is testimony to the quality and depth of our Banking services across verticals.

#### B. Creating multiplicative fo

rces to build competitive advantage

We continue to innovate and remain open to new partnerships and collaborations. During the quarter - GenWise, developed in collaboration with Axis Bank, India's leading app -based club for senior citizens, has launched an industry -first UPI payment solution specifically designed to address the needs of India's elderly population.

The International Finance Corporation (IFC), the soft loan window of the World Bank, has partnered with Axis Bank to provide a \$500 million loan to scale up green project financing in India. The collaboration marks the IFC's first -ever blue investment in India and the country's inaugural blue loan issued by a financial institution.

Mintoak and Axis Bank have announced a partnership, marking a step in their shared mission to support SMEs.

#### C. Building for the future

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Digital Banking performance continues to remain strong

- In this quarter, the Bank launched new products including a personal finance management tool, which is an industry first, the ability to see their investments in shares across brokers. Further, the bank made several enhancements to its products including redesign of several journeys, new journeys such as opening FD via UPI, continued rollout of Neo for Corporates and Neo for Businesses, which are digital channels aimed at corporate and small business customers respectively.
- In Q2, the bank successfully migrated erstwhile Citibank customers to Axis Bank digital platforms. Subsequently, digital activity of these customers has seen material improvement.

Bank -wide programs to build distinctiveness

Our bet on Bharat is growing from strength to strength

- The rural advances grew 17% YOY and deposits from Bharat Branches were up 9%; thereby aiding the PSL metrics. We have expanded our multi -product distribution architecture to over 2,650 branches complemented by ~62,000 CSC VLE network across 680 districts and 80+ partners across the industry.

'Sparsh', our distinctive customer obsession program

- Sparsh 2.0, our enhanced Customer Experience program, simplifies interactions, driving NPS, automation, and digitization, with a focus on customer loyalty and business growth. Our Retail Bank NPS score has matured significantly, rising to 148+ from a baseline of 100 in the past 2 years.

In Closing:

- We are well placed in the current macro environment, we continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our businesses.
- We will continue to invest where necessary to remain differentiated and distinctive in our journey towards building 'an all-weather institution'.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. Good evening and thank you for joining us. The salient features of the financial performance of the Bank for Q3 FY25 and 9MFY25, across (i) Operating performance; (ii) Capital and liquidity position and (iii) Asset quality, restructuring and provisioning is as

follows:

Key financial parameters for 9M FY25:

1. Consolidated ROA% at 1.8% flat YOY, consolidated ROE% at 16.9%. Decline in YOY consolidated ROE% is dominantly attributable to reducing leverage on the balance sheet.
2. Operating profit at Rs. 31,353 crores grew 18% YOY.

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3. Cost to income at 47%, improved 247 bps YOY .
4. PAT at Rs. 19,256 crores grew 9% YOY .

In Q3FY25 our core operating performance was healthy aided by improving operating leverage.

The key metrics for Q3 FY25 are:

- a. Consolidated ROA% at 1.71%, Consolidated ROE% at 15.8%. Subsidiaries contributed 7 bps to the consolidated annualized ROA and 41 bps to the consolidated annualized ROE this quarter.
- b. NII at Rs. 13,606 crores, YOY growth of 9%; QOQ growth of 1% .
- c. Fee at Rs. 5

,455 crores, YOY growth of 6%, granular fee at 94% of total fee .

- d. Operating Expenses at Rs. 9,044 crores, YOY growth moderated to 1%, degrew QOQ by 5%.

- e. Core Operating profit at Rs. 10,102 crores, YOY growth of 14%; QOQ growth of 5% .

- f. Cost to assets at 2.48%, declining 7 bps since March 2024 .

- g. Provisions to assets at 0.56%, down 3 bps QOQ. Net credit cost at 0.80%. Recoveries (including recoveries in written off accounts) and upgrades improved by 5% QOQ.

- h. PAT at Rs. 6,304 crores, increased 4% YOY, adjusted for tax provision write back, in previous quarter, flat QOQ.

- i. GNPA at 1.46%, declined 12 bps YOY.

- j. NNPA at 0.35%, largely flat YoY and QOQ .

- k. PCR% at 76% .

- l. Standard asset coverage of 1.2%, stable QOQ, all provisions to GNPA ratio is 151%.

- m. The higher tax rate by ~6% in this quarter, is attributable to the Bank having received favorable ITAT orders in the previous quarter that resulted in a tax provision write back.

There are no such orders in the current quarter.

The Bank has accreted 49 bps on net basis of CET -1 capital in Q3FY25 and 87 bps in 9M FY25.

The Bank's CET -1 including 9MFY25 profit stands at 14.61%. In addition, the Bank has a prudent other provision of Rs. 5,012 crores to be largely utilized for ECL transition. This provision has not been reckoned in the capital computation and translates to a capital cushion of ~38 bps over and above the reported capital adequacy ratio. The Bank assesses its capital position on two pillars i.e. growth and protection. We reiterate that we do not need equity capital for either pillar. We may opportunistically evaluate issuing Tier -2 and AT -1 instruments based on market conditions.

Domestic NIMs at 4.06% remained flat QOQ. Overall NIM stood at 3.93%, declined 6 bps QOQ, 3 bps is attributable to the full impact of application of increased outflow rates on our "operating deposits" which resulted in us keeping higher investments during the quarter, this coupled with

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higher average LCR in Q3FY25 as compared to previous quarter. The balance 3 bps is largely attributable to interest reversal on NPA, in part accentuated due to the seasonality of Bharat Banking slippages. The impact of reduction of CASA % in deposit / liabilities mix was offset by rate benefit on liabilities.

Our progress on structural NIM drivers continues, please refer to slide 10, with improvements across most variables on a YOY basis:

- Improvement in Balance sheet mix: Loans and investments comprised 90% of total assets at December 24, improving 89 bps YOY .
- Average domestic advances to total advances improved QOQ.
- Retail and CBG advances comprised 71% of total advances, improving 167 bps YOY and 4 bps QOQ .
- Low-yielding RIDF bonds declined by Rs. 8,391 crores YOY. RIDF comprised 1.10% of our total assets at December 24 as compared to 1.80 % of total assets at December 23.

- Quality of liabilities at December 24 measured by outflow rate at 25.3% remains amongst the best in the industry
- QAB CASA at 39%, impact of decline in QAB CASA was offset by rate benefit across parts of the liability stack.
- Our fee growth was 6% YOY.
  - o Total retail fee grew 5% YOY, supported by our TPP and liabilities business
  - o Transaction banking fee grew 16% YOY and 9% QOQ, reflecting penetration and adoption of NEO in our client set.
- Trading profit and other income at Rs. 517 crores declined by 57% QOQ, this is explained entirely by reversal of MTM gains on investments booked in Q2FY25, pursuant to applicable RBI guideline relating to investment accounting. Based on market movements in the first fortnight of Q4FY25 driven by tight domestic liquidity and global factors, MTM volatility is likely to continue in Q4FY25.
- Operating expenses for the quarter stood at Rs. 9,044 crores, growing 1% YOY and declining 5% sequentially. We have opened 130 new branches in the quart

er and 330

new branches in the 9MFY25.

- o The YOY operating expense increase of Rs 98 crore can be attributed to increase technology expenses, growth business investments and BAU opex, offset by reduction in integration expenses.
- o Technology and digital spends grew 16% YOY and constituted ~10.2% of total operating expenses.
- o Staff costs increased by 10% YOY. We have added 2,729 people from same period last year mainly to our growth businesses and technology teams. Our head count declined QOQ.
- QOQ decline in operating expenses is largely attributable to our cards business and BAU expenses across all business and functional lines. Additionally, integration expenses were nil in the current quarter as we completed legal day 2 (LD2) in the last quarter.

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- Provisions and contingencies for the quarter were Rs. 2,156 crores. Provisions to average assets was 56 bps, declining 3 bps QOQ. Net credit costs / provisions for NPA was Rs. 2,185 crores. Annualized net credit cost for Q3FY25 was 80 bps, increased 26 bps QOQ, partly attributed to seasonality.
- The cumulative non NPA provisions at December 31, 2024 is Rs. 11,875 crores, comprising (i) Provision for potential expected credit loss of Rs. 5,012 crores; (ii) Restructuring provisions of Rs. 415 crores, (iii) standard assets provision at higher than regulatory rates of Rs. 1,898 crores and (iv) weak assets & other provisions of Rs. 4,550 crores.

Coming to the performance of our subsidiaries

Detailed performance of the subsidiaries is set out on Slides 62 to 69 of the investor presentation.

In 9M FY25, the domestic subsidiaries reported a net profit of Rs. 1,401 crores, growing 26% YOY. The return on investment in domestic subsidiaries was ~ 49%.

• Axis Finance :

- o Overall assets under finance grew 25% YOY. Retail book constitutes 47% of total loans
- o 9MFY25 PAT grew 20% YOY to Rs. 509 crores
- o Strong asset quality with net NPA of 0.25% and negligible restructuring.

• Axis AMC: Overall quarterly average AUM grew 24% YOY to ~ Rs. 3,26,098 crores, 9MFY25 PAT stood at Rs. 378 crores, growing 27% YOY

• Axis Securities: Revenues for 9MFY25 grew 73% YOY to Rs. 1,314 crores and PAT grew 86% YOY to Rs. 368 crores

• Axis Capital: 9MFY25 PAT grew 36% YOY to Rs. 148 crores and ACL executed 43 ECM transactions in 9MFY25

Asset quality, provisioning, and restructuring

- The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 54 of our investor presentation.
- Slippages are mainly in our retail unsecured book, largely in cards and personal

loans. We have seen some slippage in MFI in the current quarter, but retail MFI is ~1% of our retail advances and hence this is not likely to have a large impact on our books. The corporate and CBG loan book continues to behave well for us.

- Gross slippages in the quarter were Rs. 5,432 crores increased 22% sequentially. Of the total increase of Rs 989 crores, partly attributable to seasonality. Gross Slippages segmentally were Rs. 4,923 crores in Retail, Rs. 215 crores in CBG and Rs. 294 crores in WBCG.

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- For the quarter ~ 29% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

- Net slippages in the quarter were Rs. 3,517 crores increasing 48% QOQ. Net Slippages segmentally were Rs. 3,394 crores in Retail, Rs. 146 crores in CBG and negative Rs. 23 crores in WBCG.

- Recoveries from written off accounts for the quarter was Rs. 1,300 crores, improving 32% sequentially.

- Net slippage in the quarter adjusted for recoveries from written off pool was Rs. 2,217 crores. Segmentally Retail was Rs. 2,928 crores, CBG was Rs. 50 crores and WBCG was negative 761 crores.

To summar

ize, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- Consolidated ROA and ROE for 9MFY25 is 1.8% and 16.9% respectively, an outcome of disciplined execution.

- The Bank continues to ensure that its balance sheet is clean and healthy through prudent provisioning policies, like 100% provision on unsecured retail loans the day the loan turns NPA and structured rule based write offs, that in the short term impact reported numbers like credit costs and net slippages.

- The Bank has accreted CET -1 of 87 bps in 9MFY25 and carries sufficient liquidity, visible in the average LCR ratio of ~119%. Given the increased regulatory focus on C/D ratio as one among multiple metrics to be tracked, deposit growth will be the key constraint for growth in advances in the short to medium term.

- We continue to closely monitor the geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

We conclude our opening remarks and would be happy to take your questions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Chintan from Autonomous. Please go ahead.

Chintan: Can I ask two questions? The first one is on your deposit growth. So, you know, Axis has done a lot of work on the deposit franchise over the past few years. You showed that in your slides. We can see that improvement. But if I think about the kind of last few quarters, then your deposit growth is lagging some of your private sector peers. And also, if I think about retail LCR deposit growth, that's also lagging a little bit. What can be done to grow more in line with other private sector peers without compromising on price?

And the second question, I mean, I have got a few questions on asset quality, but given we are restricted, what I really want to understand is how are your policies more conservative relative to peers? If you can just elaborate on that.

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Puneet Sharma: Chintan, thank you for your question. Let me take the policies question and then I will request my colleagues to answer the deposit question. On the policy question, we provide 100% on day 91 on unsecured exposure whether triggered or linked. At least our understanding of the market is not everyone provides 100% for retail unsecured loans on the day the asset slips to NPA. So therefore, we are more prudent than some of our peer banks.

Second is our policies impact some of our reported numbers more on account of prudence as we do rule-based write-off on our retail and SME portfolio. And therefore, the net slippage number gets accentuated in our case. Because if an asset is not written off and sits in GNPA stock, any recovery from that reduces your net slippage number for the quarter.

For us, that recovery only gives us benefits in the net credit cost line. Therefore, that's the reason we chose to call this out because in the first year of start of a cycle, which is either normalization or credit cost, depending on what view participants in the call may have on where we are, our view

is normalization. It's not a credit cycle yet. In the initial quarters, we will end up bearing more credit costs than banks that have a differential policy. I hope that gives you a fair flavor of why we call that out and why we think we are more prudent than the street.

Munish Sharda: The answer to the deposit question, Chintan, so this is Munish. So, we are deeply focused on the quality of our book over the last few quarters. And as you rightly said, we have seen significant improvement in the quality of deposits and the granularization of deposits in the last few quarters, which on slide number 17, you will see the quality of LCR deposits, etc., has improved significantly over the years. And we have also significantly reduced the gap between us and some of our

peers in terms of the cost of our deposit. Over the last few quarters, our cost of funds also has gone up only by 3 basis points, which tells you that we have been focused on more granular deposits and not running necessarily after high-cost deposits in the market.

If you look at the other factors, when you look at our quarterly average balance growth, our quarterly average balance growth this quarter also is at 13%, which is higher than the industry's deposit growth number, which also tells you that we are focused on high-quality deposit growth through the quarter and not only necessarily at the end of the quarter.

We have been telling all of you that we are focused on building a sustainable and high-growth deposit franchise through multiple initiatives in the Bank that we are taking, one of which is Project Triumph, which is a multi-quarter initiative to improve the granularization of our deposits and improving the operating rhythm of our franchise.

The Bank-wide deposit transformation program, our acquisition engine, the expansion plans, new product launches, our salary credits have seen significant improvement in the last few quarters. Like we told you a couple of quarters back, our Citi acquisition has also given us inroads into the salary franchise. We have seen 24% YOY growth in salary upload in the NTB salary book, 42% YOY growth in premium acquisition in the NTB salary book by December 2024. We have seen 26% growth in our Burgundy assets under management. We are attracting new segments of customers, we have launched a new product called ARISE.

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We believe that with all of these initiatives and with a focus on Bank-wide garnering of deposits across all of our businesses and channels, including asset businesses and the commercial banking businesses, we should continue to push for growth better than the industry as we have done this quarter on a quarterly average basis in the next few quarters as well. Thank you.

Moderator: Thank you, sir. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: So, two questions. So, first is just sort of continuation on the deposit growth question. So, now do we think that in search for quality, we have over-calibrated because now it's becoming a bit of a constraint to overall loan growth? So, do you think it's time maybe to rely on pricing or to try something else to get the headline or the period and growth at higher than industry? And how much of a constraint or how do you plan to get LDR lower? Because even if we think of a system level deposit growth next year, that would mean that at best we will do similar amount of loan growth. So, how do we plan to address this LDR constraint? So, that's point one.

The second question is on asset quality. Can you talk a little bit about the forward growth or delinquencies in unsecured, especially PL cards, business loans? Are those still increasing? Have they plateaued? Are you doing any kind of recovery and therefore how to read the delinquency and provisioning trends in the next two, three quarters? So, yes, those are my two questions.

Amitabh Chaudhry: Abhishek, thank you for your question. On the first question on deposits, you know, while growth is a good number to get after, and like I said earlier, we have done a quarterly average balance basis growth of 13% better than the industry. But you must realize that we are focused on building a granular deposit book. We are not necessarily running after lumpy deposits, which are one on the back of pricing, which can lead to volatility in books. They come as they go. So, we will continue to stay focused on building a granular deposit book across the franchise.

Abhishek Murarka: Sir, on the LDR constraint?

Puneet Sharma: Thanks, Abhishek. I think as we have indicated and you see in our performance, we have calibrated,

so LDR is not the sole variable. There are multiple ways to manage the balance sheet. We have calibrated our balance sheet in a manner we believe satisfies the concern of the regulator. And at the current moment, we do not see a requirement extraneously put on us to moderate our LDR ratios. So, we will remain comfortable operating at that range. You would have seen the same range of LDR in Quarter 3 of last year, and you have seen the same numbers through the running five quarters of our performance.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

Mahrukh Adajania: I have a follow-up question on deposits. So, if your total growth remains a bit soft, then the QAB growth going ahead will also be affected. So, are you okay with low growth till the system deposit taking improves or will you launch some competitive schemes to improve the total growth so that it has a favorable impact on QAB going ahead as well, right? Because we don't necessarily get

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QAB figures from all banks. Maybe just two or three. And as such, it's hard to compare. So, just a thought on how the total deposit growth will improve or just some guidance on whether if the system deposit growth remains tight, then you would rather opt for managing margins and calibrating growth? So, that's my first question.

And my second question is on asset quality. So, you have given many, many details. Thank you for that. But do you see any spillover stress in any segments other than unsecured and even the small bit of MFI you have, which you already called out earlier? So, do you see that's the unsecured stress spilling into other segments? You may not have a big exposure, but just a system wide comment as well would help. These were my two questions.

Subrat Mohanty: Mahrukh, this is Subrat. Thank you for your question. On the deposit growth in future, you are absolutely right. The MEB or the month-end or the quarter-end growth has to come eventually if the QAB numbers have to continue to be high. We are quite aware of that. So, Munish listed out a host of initiatives that's all. So, we continue to remain confident about the outcomes of those initiatives.

At this moment, the system liquidity is also a constraint, and the overall deposit growth at a sectoral level is also somewhat a constraint because of that. So, we will continue to work on it. We are not unaware of the need to continue to have strong month-end and quarter-end balances as well. But like Munish pointed out, it's a dynamic interplay of the cost of funds, quality of deposits, and making sure that we do not have volatile deposits in future, which drives our strategy. You have seen in the past also, if you take a 9 months' view of our deposits for this year and compare it with 9 months of the previous year, even on month-end balances, the growth is higher than the industry growth.

So, once again we will request you to not take a quarter or a running quarter basis comparison because that sometimes has a little bit of fluctuation. So, we will continue to work on making sure that the MEB balances also correspond to the growth that we are seeing in the QAB balance.

Arjun Chowdhry: This is Arjun here. To your other point, on segments where we are seeing stress aside from unsecured, in the current macro, we don't want to not be cautious about any segment. It is, as Amitabh pointed out, and as Puneet also mentioned, the macro environment does require a lot of caution. So, we are observing almost every segment across the board. We talked about MFI although it's a very small unsecured, we have talked about.

However, if your specific question is about has it spread already into other areas and is there a contagion, no, we don't see that yet. But that does not mean we will take our eye off the ball on any particular segment. We will

obviously continue to calibrate the growth that we get, try and keep more secured in that mix because that, quite logically and naturally, is performing better in this current environment. So, not calling out any segments, it's going to be unaffected, at the same time, not seeing any contagion yet.

Moderator: Thank you. We will take the next question from the line of Suresh Ganapathy from Macquarie Capital. Please go ahead.

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Suresh Ganapathy: Just one qualitative question and perhaps Amitabh, you can throw light on this. So, you know, to really summarize this quarter number, we are at a multi-quarter low of loan growth and deposit growth. These slippages are at a multi-quarter high, credit costs are the highest seen since the COVID period. And margins are the lowest seen in several quarters. So, this really looks like a tough environment. So, what's the challenge here?

I mean, is it really a macro issue or how do you come out of this? Because if I were to really put the context, this looks like a really tough quarter in the last several years that we have seen. And perhaps it could be representative of the industry. We have to see some of the other banks, but clearly the visibility is also not there, Amitabh, at this point in time. So, what needs to correct here and what's gone wrong, if you can give us specifically to you, but in general for everybody in the system?

Amitabh Chaudhry: Suresh, you mentioned a lot of factors. I think a lot of them are interlinked. So, if you obviously have a macro, which is uncertain environment where you are seeing the normalization of the credit cycle, you are seeing not only rising credit costs on the unsecured side, but general constraints in the industry in terms of additional lending or increased risk rates, whatever that might be.



Obviously, as we said, the macro remains uncertain. Macro remains, going forward, a little bit tough. The deposit, the liquidity, which has just come back a little bit, is gone again. We do not expect the deposit or the credit growth to move from 11, 12% even in FY26. So yes, it is a tough environment.

Now in that environment, what are the choices one can make? One is to ensure that on a going forward basis, the kind of book which you are creating is the right book. You are not necessarily chasing growth, but you are chasing the right assets. You obviously want to ensure that you continue to build your deposit franchise, the right kind of franchise. And frankly, in this environment, it is easier to build the right kind of franchise because you can take the tough calls. In an environment where deposits are growing at a certain rate, sometimes you want to accept whatever is coming because it's just growing at such a healthy pace.

At this time when deposit growth is constrained, frankly, you can make those tough choices, and we are making those tough choices. As you are aware, we used to have, for example, on TD rates, a differential between the two banks you want to compete with, that differential has been brought down. We had the higher outflow; we have brought down. We are same as peers.

We have gone after non-callable deposits much more than maybe some of the others and paid a price for it. We have created a balance sheet where refinance is a decent portion of our balance sheet. We have paid a price for it. But it is all for the long term of the franchise. Yes, we have had to reduce our disbursements and lending in areas which normally give you a higher rate, because given what the environment is, we now don't want to be lending, doing unsecured lending, which is then used to replace some of the other loans in the system.

So, in this environment, given the choices we have is work on deposit franchise, which we talked about, focus on expenses, and you will see that, as we mentioned in the previous calls, we continue to manage our expenses

down, and we will continue to see that going forward.

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Third, first stabilize your credit costs, and then bring them down over a period of time. You have already talked about the fact that some of the costs are stabilizing, yes. First, it started with credit card personal loans. It went to MFI a little bit. Let's see whether it pans on to some of the other areas. But that's a clear area of focus, investing a lot on the collection side, ensuring that we have best of breed collection capability in the system using technology. But will that mean that some of the factors or some of the numbers that you quoted will remain on the lower end of the curve? Yes, they might.

I mean, it is a given. In this environment, for us, it will be more important as a strategy to do the right thing, and preserve the balance sheet, and preserve the quality of the franchise, rather than just trying to deliver the growth for growth's sake. So yes, in the next couple of quarters, you could see a moderation in the numbers. You have been seeing a moderation in the numbers across industry, and I would expect that there would be some moderation in the numbers.

I mean, how would you grow if the industry is going to grow at 10, 11% down to deposit and credit growth, and your lower deposit ratio is being, you know, RBI has clearly hinted that it needs to be in a certain range. In the long run, unless you are doing something substantially different, you can deliver a number which might be slightly better, but not substantially better. So, I would expect the industry to slow down a little bit, unless the macro changes. And both the global and domestic macro right now looks a bit uncertain till some policy actions get taken and provide more clarity in terms of how this plays out.

Suresh Ganapathy: I'm sorry, just a second question on the opportunities itself, because if I were to look at your loan growth, I mean, it's running below nominal GDP, it's running below the system loan growth, and of course, you being the third largest private sector Bank, better technology, better reach. I mean, is it really the fact that the current environment is so bad that it just cannot grow even at system levels, and you have taken a conscious choice to really slow down the growth to such an extent, or it's a combination of resource constraints, or you really see competitive environments still not being saner in some of the segments for you to take a call to grow below the system, you know?

Amitabh Chaudhry: So, Suresh, we are quite clear that we don't want to grow at any cost. We are selectively growing the loan portfolio with the desired RAROC. So consequently, our requirement for deposits is based on where we can generate the right assets at the right return. You will see, for example, our cost of funds has not moved that much in the last few quarters. Could we have raised more deposits at a slightly higher price? We could have. But then, you know, we are introducing things, at least in Axis system, which we don't want. Our reliance on high-cost deposits, because we somehow want to deliver more growth.

So it is a conscious strategy, it is a tougher strategy, what we believe is the right long-term strategy, that we want to grow assets which give us the right return, and obviously, we want to generate deposits of the right kind at the right price, and all these factors are feeding into each other.

So, my view is that if some of the macro clears up, our platform is only improving over a period

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deposit and the asset side, when the market comes back, you will see Axis doing much better than the others, because we have all that ready.

You mentioned things like resource constraint. No, absolutely that's

not the case. Can we go and

actually increase the size of our portfolio in some of the segments which supposedly give a low return? I think we can, but we don't want to do that. We don't want to go down that path which we have walked away from in the past.

Moderator: The next question is from the line of M. B. Mahesh from Kotak Securities. Please go ahead.

M. B. Mahesh: Just this question which Abhishek had asked earlier on how the portfolio is behaving today in terms of the fresh formation of bad loans in the unsecured loan portfolio. If you could just clarify on that question, please.

Amit Talgeri : Hi, Mahesh. This is Amit here. So, just to kind of clarify on that one, so industry wide we have also seen increase in delinquencies across unsecured. Now of course, it's no longer only personal loans and cards. We have seen that spread out to MFI as well . On similar lines, we have also seen that in our portfolio.

Now obviously, we have been taking risk actions. I think the last two quarters, we have also been mentioning the fact that we have been proactively looking at risk interventions both on account of policies, filters. The two prime reasons have been credit hungriness and leverage going up. So, our policy filters also ensure that some of these are now recalibrated in our scorecards to ensure that the risk guardrails have been tightened.

So, each of these is ensuring that the new acquisition that we are booking is of a better quality.

And what we will do is obviously this will play out over a period of time, but we are quite confident that what we have been booking over the last, let's say , 9, 12 months, ever since this whole crisis has kind of played out, is of a better quality and will stand us in good stead in the coming quarters.

M. B. Mahesh: Sorry, just to clarify, in your assumption, this current run rate of slippages will continue based on what the portfolio is behaving today. Is that the way to look at the final conclusion here? Amit, it's a very simple question saying that, look, you kind of indicated that you have tightened the credit filters and incrementally the book is starting to behave well. So, when exactly is that inflection point that you are seeing based on the current data sets that you are seeing in your book?

Amit Talgeri : So, Mahesh, just to kind of confirm that, see, I think the way we need to look at it is there are two parts here. One is a new acquisition over the last 9, 12 months, and second is the way the collection efficiencies have played out.

Now, two things here again. Over the last 9 to 12 months across the industry, we have seen some amount of deterioration in terms of collections. What we have done, however, is over the last six to nine months, we have actually beefed -up collections in a big way, both in terms of infrastructure, both in terms of agencies, and more importantly, using technology to ensure that we are kind of capable to ensure that we get the right customer faster than most in the market.

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So, these are the two things. So, one is policy correction, risk interventions, and collections efficiencies will ensure that what we have booked over the last few months, actually the last whole year actually, is ensuring a better run rate to what we currently have in terms of portfolio performance. And that's what will really play out is what I was actually mentioning.

M. B. Mahesh: Thanks. Puneet, just one clarification. In the Rs. 5,400 crores of slippages, depending on what number you want to assign for the microfinance slippages, it can be a high number or a lower number. Is it possible for you to quantify, given the extremely high level of slippages that one is seeing in that portfolio for the various players?

Puneet Sharma: Mahesh, thank you for the question. One clarification, and I will give you a pointed answer to your question. I just want to context

tualize. Microfinance is 1% of my retail book, and roughly about

0.6%-0.7% of my total advances. And this is retail microfinance. So, it is not material in my context. The cumulative book will be roughly Rs. 6,000 crores approximately.

Slippages in that Rs. 5,432, the microfinance slippage will be a small part. It's not a dominant part of that number. A dominant part of that number is the unsecured retail asset products like PL and cards.

Amit Talgeri : And Mahesh, to add to that, given the environment in the last few quarters in microfinance, we have significantly slowed down disbursements in that business, and also there is a denominator impact in any case. But it's a very small number, and we continue to watch that space very closely. We

have strengthened the collection capacity, large part, as you know, in microfinance, the front -end seller and the collector is same. The people are largely busy collecting the portfolio quality at the front -end, and we have been very careful over the last 3 quarters.

Moderator: Thank you, sir. We will take the next question from the line of Pra khar Sharma from Jefferies. Please go ahead.

Prakhar Sharma: Thank you, everyone, and good to hear from you all about trying to manage the balance sheet both on profitability and asset quality. So, good to hear that. Puneet, I just wanted to probably check on the behavior of your unsecured book and credit quality. You know, you have been generally sensible on the quality and upfront in recognizing. So, how generally, as a pattern, it should behave over, let's say, the cycle, let's say, started from 1Q '25? Should we see some sort of peaking out and then stability or these build up will continue for longer? So, if you could shed some light on how the pattern on both, let's say, personal and credit card type of loans could pan out.

Puneet Sharma: Thanks, Prak har. Thanks for your question. The macro environment remains tough. We are seeing slowdown on growth and that has to reflect in individual customers' asset health also. Broadly, portfolios in the nature of credit cards and PL do not normalize in one or two quarters. They do take time to play out. So, I would not call this a peak as yet, both from an industry standpoint or our standpoint yet.

However, having said that, there are lead indicators, post correction, corrective action that Amit spoke of that has happened on the portfolio. The lead indicators are measured. This is

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delinquencies of the new cohorts that we are looking. The early indicators across product sets are showing us a positive sign. These portfolios have not matured. Therefore, for the signs to translate into a concrete outlook by us, we will take a couple of quarters to crystallize. But once we get that confidence, having observed the data for a reasonably long period of time and not just early successes, we will call that out on subsequent reporting.

We anyway demonstrated through credit action, the fact that personal loan growth is down to 17% YOY and 1% Q OQ versus 23% YOY in Q2 will show you the fact that disbursement growth on this portfolio would be very small or in some cases even negative.

Same with the credit card portfolio. Credit card growth is 8% YOY and it grew 1% Q OQ versus 22% YOY for Q2 FY25. I think what I want to communicate to you is we are taking appropriate corrective action on these portfolios by slowing down growth. The corrective action is visible to us. Early signs of the corrective action are positive.

However, to provide a concrete outlook on the portfolios, we need to observe the data a little more closely and for a slightly longer period of time. Obviously, the unknown unknown to everybody today is how the macros will behave over a period of time. So , we remain watchful on these portfolios.

Prak har Sharma: Just one data -keeping question. Can you clarify the negative or

the write back of the standard

provisions in this quarter? Because the balance sheet has grown. So, I think you have not used the contingent provisions. Can you just clarify on that part? And that's the last question.

Puneet Sharma: Thanks, Prak har. We have not used any of, one, we don't have the contingent provision. We have a provision for ECL. The Rs. 5,012 crores was the number last quarter. It continues to remain the same. The movement in the standard asset is a product mix growth question. So, if you are aware, we create higher standard asset provisions in certain product classes versus other product classes. So, there is a mix impact on growth which has resulted in lower standard asset provisions. Second, the write back is we create provisions for unhedged foreign currency exposure. This is confirmation from customers. We have received better quality of confirmations through the current quarter that resulted in a write back on UFCE provisions which gets reported in the standard asset line. So, growth has been fully provided for. Its mix of growth plus UFCE that shows you the negative number on the slide.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL. Please go ahead. Mr. Shah, please proceed with your question. I have unmuted your line.

As the current participant is not answering, we will move on to the next question, which is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Just one clarification in terms of Bharat banking, you indicated it during the margin comments and the interest reversals, but would you incrementally say that the slippages, even on the retail, is coming from the Bharat banking or the seasonal agri stress? If you have to look at it, maybe

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compared to the way the movement has been over the last Q2 to Q3, generally it's been in the range of Rs. 500 odd crores. Does it continue in the similar trajectory or it's still higher this quarter?

Puneet Sharma: Kunal, my apologies. You were not audible. Could you please repeat your question because we weren't able to hear your question clearly? I heard the part that said you wanted clarity on the Bharat Bank slippages .

Kunal Shah: Yes, so overall slippages, okay, generally when we look at it over the past few years, generally the incremental slippage seems to suggest it's like closer to Rs. 500 odd crores. Can we say that incrementally that has also been higher, or this is whatever is the higher slippage that's primarily PL and CC and MFI?

Puneet Sharma: So Kunal, if I was to anchor the response to your question at the Rs. 500 crore number, obviously it will vary QOQ . The sequential quarter growth in gross slippages is Rs. 989 crores. There is a seasonality impact and then there is the MFI impact, which I called out. The seasonality impact is larger than the number you have indicated. And the MFI impact is a small number. That would explain the sequential quarter growth in gross slippages.

Kunal Shah: And the seasonality would be again more with agr i or that would be like PL and CC as well. Yes. That's the question.

Puneet Sharma: So, Kunal, there is no seasonality in PL/CC.

Kunal Shah: Second question is on Operating expenses . So, I think Amitabh also indicated that we will continue to maybe see it on a declining trend, but the way it is suggesting maybe either to boost the growth, to boost the deposits, so would we still need higher investments? And today, if we look at it in terms of Opex to assets, we are down to less than 2.4 %-odd. Okay. Earlier we have been indicating 2.1, 2.2, excluding Citi and so have we reached that level, or could we see more gains on the overall Opex to assets ratio or the operating efficiency?

Puneet Sharma: Kunal, thank you for your question. Couple of clarifications before we respond. I don't think Amitabh has provided any forward guida

nce on Opex. I think he reported the numbers that we have on a Y OY basis and Q OQ. So, we have a 1% Y OY growth and 5% Q OQ decline.

Second, just from a hygiene perspective, we moved away from cost guidance. So, the numbers you set out used to be something we used to call out, but we don't have a cost guidance currently in any shape or form.

Having said that, we had indicated that when credit costs start to moderate, we will optimize our Opex. You are seeing that optimization of Opex happening. So, we have been able to tighten our belts and bring core Opex savings to the table. We will continue to work on our efforts to reduce or optimize Opex further. Please also appreciate that quarter 4 from a business perspective is the strongest quarter for the sector and this proportionately contributes to disbursements and business for the system as a whole and for us compared to the run rates of the first three quarters. So, as you think about cost for the quarter, you must factor my response while determining those expenses.

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Overall, we remain focused on making sure operating leverage plays through our P&L I hope that covers what you were looking for.

Moderator: Thank you. We will take the next question from the line of Rikin Shah from IIFL. Please go ahead.

Rikin Shah: So, I just had a question on fee income now. So, the fee income in this quarter has been soft at around 6% and in some of the subsegments like card payments and corporate credit, it is even negative Y OY. Just wanted to understand that are there any levers for the fee income growth to improve and how does this trend in the coming quarters?

Puneet Sharma: Rikin, thank you for your question. I think let's contextualize this. Our fee -to-assets in the quarter is also about 1.42%. It remains best in class. Fee income on the retail business is basis incremental disbursements. There has been a structural shift i n incremental disbursements that is warranted given how credit has played through some of the segments. So, you are by nature going to see a moderation in fee expenses which is playing through our P&L.

Further, some of the non -asset businesses where we used to garner fees has also moderated by virtue of conscious choice. We were sourcing about 1.2 million odd cards same quarter last year. We sourced about 700 ,00 to 800,000 cards this quarter.

These are conscious choices. Bringing back fee income is we do not think is a challenge. Fee income will work alongside our conscious strategy of recalibrating book. We do think we can operate at reasonable levels of fee -to-assets, but yes, you are likely to see the moderation given disbursement, incremental disbursement profile.

Moderator: Thank you. The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Firstly, on liquidity, so I think, Puneet, you made a comment saying that we don 't see any extraneous constraint on LDR. So, I just wanted to understand if there is any change in the operating environment there and especially on LDR, do you look at or does the regulator look at the quarterly average or the closing period because we have been highlighting the quarterly average deposits? And on the LCR, are we operating assuming that the draft LCR guidelines will kick in going ahead because that's another constraint on loan growth?

Amitabh Chaudhry: So, I think we have said in the past that we have submitted a certain strategy to RBI. RBI accepted it. We are working through that strategy. Puneet talked about the fact that you have seen our numbers for the last five quarters, and they have been in a certain range, and we don't believe that we have any problem in maintaining that range. So, rather than going into details of everything, I think our numbers very clearly reflect what we have been delivering and obviously they clearly reflect that b

ased on our discussions with RBI, the Reserve Bank is okay with it.

As far as new LCR guidelines are concerned, obviously we have to wait for them to come through. There are a lot of guidelines which we are waiting for them to come through and actually also draft guidelines debating to become final guidelines. Let's wait and watch. I mean, we are aware of what  
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the impact could be, and we are obviously internally looking at what strategies we need to adopt to manage some of the changes. Right now, I don't know when you all say that are we acting as if they are already in place, well, let me just say that we are strategizing, and we will act when they come into play.

Param Subramanian: One more question, if I may. So, based on the comments on seasonality, would it be fair to say that the PL and CC slippages are largely stable QOQ ? And secondly, there is a large recovery from written -off in this quarter. Is there any one off over there?

Puneet Sharma: Thank you for the question. As we responded to the question earlier, PL/CC has no seasonality. It's a product that plays through its life cycle over all seasonality.

Param Subramanian: No, I meant adjusting for seasonality, Puneet. So, basically, is PL and CC stable QOQ slippages?

Puneet Sharma: Like I said, I think we won't directly or indirectly answer product level slippages on this call.

Effectively, what we are simply saying in our commentary to you is a dominant part of the increase of the Rs. 989 crores on account between Q3 and Q2 could be attributable to seasonality in slippages and in a small part the MFI portfolio which would not have seen the same number in quarter 2. So that should explain the number to you in totality.

Param Subramanian: And Puneet, the bit on recovery from written -offs being higher this quarter?

Puneet Sharma: Look wholesale recovery is always episodic. We did not have a wholesale recovery in Q1. We got better recoveries in Q2. We have wholesale recoveries in Q3. So, we continue to monitor it but very difficult to predict how wholesale recoveries play through on a QOQ basis.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today, which is from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: We appreciate the tough steps that the Bank is taking in this kind of macro environment with a focus on delivering sustainable performance. So, I have like a couple of questions. One is around the credit cost. So, we have mentioned that we have tightened the provision policy and that has resulted in 15 %-20% higher provisions which will continue in the near term. So, how much this actual impact because of that is in this quarter number? And when I look back like we have typically operated coverage ratio if I take the last five -year average coverage ratio has been around 75%-76% which is where we are right now. So, does this tighter policy mean that our coverage ratio will go up because anyhow we were operating at this coverage ratio of 70s prior? So, how do we see that?

Puneet Sharma: Thank you for the question. Again, from a hygiene perspective, I don't think we indicated on the call that we have tightened provisioning policies in the current quarter. What we indicated on the call is we believe our policies on provisioning are more prudent than most on the street. And the illustration we provided to back that statement is we provide 100% on unsecured retail on day one. Our understanding is the street does not do that. So, it was a common comment around prudence.

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On your question on PCR, for us PCR is an outcome. We run with very prudent and conservative provisioning rules. So, the way the Bank operates is we have a provisioning rule for each asset class. An example of that is 100% provision on retail unsecured. Dependin

g on the composition

of slippage, the rule will trigger, and provisions will be created. These are non -discretionary rules.

Therefore, credit cost is an outcome of the rules and PCR for us is a reported number.

Fundamentally, if I was to review all of our provisioning rules in comparison to street, I would conclude basis we are benchmarking that our rules on provisioning are more prudent than most on street.

Nitin Agarwal: So, Puneet, I was referring to this provisioning rules only wherein we have mentioned that we now operate at 15 % to 20% higher where we used to previously operate, and this only should drive an increase in PCR. So that's where the question was from.

Puneet Sharma: So, I guess that question is coming from reading slide 55 of our investor presentation where we have a bullet point which says provisioning rules tightened. That comment on slide 55 is on a through cycle basis. We give you 15-year numbers from FY10 to 9 MFY25. In the early part of that cycle, we did not have the stringency of the rules that we have today. And we were operating at 15 to 20% lower PCR based on the then prevailing rules. So, that's the context of the comment. You will see that comment at least over the last 7 to 10 quarters that we have been presenting results. So, if that's led to the confusion that, that change has happened in the current quarter, we apologize for it. But that's a change we made a while ago.

Nitin Agarwal: And margins wherein domestic NIMs are stable, but the global NIMs have declined 6 basis point for a reason. So, I was wondering that isn't the fall in global margins pretty high as overseas business is pretty tiny like for us. So, how much was the real decline in the overseas business margin? And how do we see our 3.8% NIM guidance in this kind of environment and the strategy that we have adopted?

Puneet Sharma: We stay true to our outlook of NIM guidance that 3.8 through cycle should stand. Given all that we are seeing today, we see no reason to revise that outlook. We remain confident that we will defend our 13 basis points excess over our through cycle guidance to the best of our ability. And that is the only outlook we would look to provide on margins today.

To your question on global margins versus domestic margins, there is the relative mix of the non-rupee book has increased period on period. That reflects a change in the weighted average margins that you see between domestic and global. And second is there is an impact of excess offshore liquidity that we have been holding that has played through in global margins. So, those are the two reasons why domestic margins and global margins vary. The excess liquidity of 3 basis points, the excess liquidity we had called out as part of the 3 basis points on account of LCR impact. These are all annualized impacts. They are not for the quarter. So, I just want to be abundantly clear in case I misunderstood.

Nitin Agarwal: And one more question if I can just squeeze in. If you can share some color on the trending in unsecured retail slippages because right from the beginning of the year, we have talked about and

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we were the early ones to talk about the increase in slippages in certain product categories. So how is the trending in this quarter in unsecured retail, particularly the credit cards?

Puneet Sharma: So, like we responded to a question earlier, the macro environment remains tough. We have taken portfolio action. Portfolios like cards take a longer period of time to play out because you issue a card, then there is utilization, then there is non-payment of MAD, then there is delinquency, and then there is credit cost. So, cards as a product has a longer cycle than most other retail unsecured products.

We have taken corrective action on the portfolio. Early signs of delinquency basis the corrective action on the portfolio which has been

en booked after corrective action is positive. We have not seen enough time elapsation on that portfolio to draw a conclusive comment on whether this is done or not. Please allow us time to let this portfolio vintage for us to come back with the concrete outlook. Currently, that's how we see the cards portfolio. Our portfolio growth has been moderated. It's grown 8% YOY and degrown 1% QOQ which is a function of the extensive tightening that has taken place on NIM moderating.

Moderator: Thank you, sir. As that was the last question for today, I would now like to hand the conference over to Mr. Puneet Sharma for closing comments. Thank you, and over to you, sir.

Puneet Sharma: Thank you, Michelle. Thank you everybody for taking the time to speak with us this evening. If any of your questions remain unanswered, please feel free to reach out to Abhijit. We would be happy to pick those questions up and respond to you. Thank you and have a good evening.

Moderator: Thank you, members of the Management. On behalf of Axis Bank, we thank you for joining us and you may now disconnect your lines. Thank you.

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Axis Bank Limited Q4 FY'25 Earnings Conference Call

April 25, 2025

MANAGEMENT : MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , AXIS BANK  
MR. RAJIV ANAND - DEPUTY MANAGING DIRECTOR , AXIS BANK  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER , AXIS BANK  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR , AXIS BANK  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR , AXIS BANK  
MR. ARJUN CHOWDHRY – GROUP EXECUTIVE FOR AFFLUENT BANKING , CARDS /PAYMENTS AND RETAIL LENDING , AXIS BANK  
MR. NEERAJ GAMBHIR – GROUP EXECUTIVE (TREASURY , MARKETS & WHOLESALE BANKING PRODUCTS ), AXIS BANK

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Moderator: Ladies and gentlemen, good day and welcome to the Axis Bank Conference Call to discuss the Bank's Financial Results for the quarter and year -ended as 31st March 2025.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in listen -only mode , and t here will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing “\*” , then “0” on your touch tone phone.

Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the Conference Call. On the call we have Mr. Amitabh Chaudhry – MD and CEO; and Mr. Puneet Sharma – CFO.

I now hand over the conference call to Mr. Amitabh Chaudhry – MD and CEO. Thank you and over to you, sir.

Amitabh Chaudhry: We have on the call, Rajiv Anand – Deputy MD, Subrat Mohanty – ED, Munish Sharda – ED and other members of the leadership team.

This quarter, we delivered steady core -operating performance and lifted sequential total deposit growth higher than the industry. Our focus has been on profitable and sustainable growth, we continue to calibrate risk internally across portfolios. Balance s heet is resilient, and capital position continues to get stronger.

Let me summarise the Q4 operating performance:

1. Core -operating profit was up 11% YOY and 5% QOQ. NIM at 3.97%, improved 4 bps QoQ.
2. Period end total deposit growth picked up 7% QOQ. On a YOY basis, deposit growth rates were similar, for both, period end and quarterly average basis at 10% and 9% respectively.
3. On the lending side, focus on businesses with higher RAROC continues. Small business, SME and mid -corporate together, grew at 14% YOY and 3% QOQ and constituted 23% of total bank loans.
4. Fee to average assets improved and continues to be the best amongst peer private banks.
5. Consolidated ROA and RoE stood at 1.88% and 17.11% respectively.
6. The Bank is well capitalized with a CET 1 ratio of 14.67% with net accretion of 6 bps in Q4FY25 and 93 bps in FY25 period.

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We review the delivery against our GPS strategy annually. Over the years disciplined execution of our financial metrics, have been complimented with distinctiveness areas to ensure a robust and comprehensive approach to growth and sustainability aspects of the strategy. We stay focussed on three core areas of execution of our GPS strategy namely:

- A. Becoming a resilient, all -weather franchise
- B. Creating multiplicative forces to build competitive advantage
- C. Building for the future

I will now discuss each one of these areas.

A. Becoming a resilient, all -weather franchise

Over the last few years, we have significantly progressed towards building a resilient, all -weather franchise. There are three areas of focus as we navigate the current cycle - deposit quality and growth, retail asset quality and costs - where we need to work on sustainable outcomes. On retail asset quality a normalisation cycle is in progress, and this should stabilize over next few quarters. Our recognition and provisioning policies are perhaps the most prudent among Indian Banks. On the Cost side, our expense growth moderated to 6% YOY in FY25 from 30% in FY24. We have also seen an improvement of 9 bps in our cost to assets FY 25 v/s FY24.

Let me move to Deposits now:

The deposit journey for Axis Bank should be looked at from three aspects – quality, cost, and growth. Please refer

to slide number 22. On the first two parameters we have delivered well.

- We have improved the granularisation in our deposit book, which positively impacts the quality of LCR deposits. Consequently, improving the outflow ratio by 340 bps over the last 3 years and is now similar to larger peer banks.
- We have also demonstrated controlled increase in cost of funds over the last eight quarters, with only 7 bps increase in the last four quarters.
- The quality and strength of our deposit franchise continues to improve. Our acquisition engine, expansion plans, product launches, salary credits, and Burgundy AUMs remain healthy. We are observing initial signs of traction from these efforts on overall deposit growth, as certain portfolios begin to stabilize and the tight liquidity scenario eases.
- We have opened 170 new branches in the last three months, and ~500 in this fiscal.
- YOY MEB | QAB basis, total deposits grew 10% | 9%; term deposits grew 14% | 14%, CA grew 6% | 6%, SA grew 3% | 1%, respectively
- QOQ MEB | QAB basis total deposits grew 7% | 2%; term deposits grew 5% | 2%, CA grew 16% | 3%, SA grew 8% | flat, respectively.
- The New to Bank acquisition engine for the savings account franchise has trended well.

In this quarter we saw Savings Account New to Bank deposits up 19% YOY and granular balances per account up 17% YOY.

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- The Bank has made focused interventions to ensure better engagements with its salaried customers and continue to see healthy trends with
  - o 18% YOY growth in Salary Uploads in the NTB Salary book by Mar'25
  - o 38% YOY growth in Premium acquisitions in NTB Salary book by Mar'25
- ✓ The premiumization of our franchise continues to progress well led by 10% YOY growth in Burgundy assets under management. Axis Bank's Burgundy Private segment won the award for India's Best for Next Gen at the Euromoney Global Private Banking Awards 2025
- On the wholesale segment refer slide 33 and 35, our industry leading Neo platforms along with customized solutions across liquidity management, payments and collections continue to drive higher transaction banking flows leading to better current account balances.

On the topic of retail asset quality

- We continue to have one of the best asset quality levels across large peer Banks, in terms of net NPAs.
- In retail asset quality for unsecured products across the industry, including MFI, a normalisation cycle is in progress. The primary reasons are credit hungriness and over - leverage.
- MFI does not constitute a significant portion of our portfolio [~2.1% of retail loans], recent regulatory actions have led us to adopt a cautious stance on this sector, both through direct and indirect sourcing.



- We observed increase in risk in certain segments and pilot programs for personal loans and cards in the past. However, proactive interventions, including regular portfolio monitoring and Early Warning Triggers, have allowed us to recalibrate policies to ensure delinquencies remain within acceptable thresholds for the new cohorts based on early data reads. Overall, we see stabilisation in our card's portfolio. Personal loans may take a few more quarters to show improvement.
- We have also strengthened the collection's infrastructure including use of tech enablement at front -end to improve collections capabilities.

#### B. Creating multiplicative forces to build competitive advantage

We continue to innovate and remain open to new partnerships and collaborations. An example of this was during the quarter Axis Bank became the first Indian Bank to execute an Aircraft Financing deal. It involved a long -term US Dollar Loan for the purchase of 34 training aircrafts. This pioneering aircraft financing deal, structured end -to-end by our GIFT City Team, is a strategic step towards creating a robust aviation

finance ecosystem within India.

#### C. Building for the future

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Digital Banking performance continues to remain strong

- In Q4, the bank introduced several new fraud protection related initiatives.
  - o The bank introduced an in-app mobile OTP as an alternative to SMS OTP. This industry first feature significantly enhances security against fraud and takes away dependence on telecom networks, thus improving customer experience as well.
  - o The bank also introduced a Safety Centre on the Open app by Axis Bank. This provides customers' the ability to control their digital channels usage at a granular level across Internet banking, mobile banking, UPI etc.
- Additionally, the bank continued to make progress in introducing new journeys and optimising existing ones.

Bank -wide programs to build distinctiveness through Bharat Banking and Sparsh is progressing well

- The rural advances grew 7% YOY and deposits from Bharat Branches were up 9 %; thereby aiding the PSL metrics. We have expanded our multi -product distribution architecture to 2,736 branches.
- Sparsh 2.0, our enhanced Customer Experience program, simplifies interactions, driving NPS, automation, and digitization, with a focus on customer loyalty and business growth. Our Retail Bank NPS score has matured significantly, rising to 159 from a baseline of 100 in the past 3 years. Softer aspects like our Brand Consideration Score has also improved over the past few years.

In Closing:

Over the past few years, Transformation projects undertaken across the bank, have been pivotal in sharpening our execution capabilities.

We are well placed in the current macro environment. We continue to closely monitor the geopolitical environment and its impact on our businesses.

We will continue to invest where necessary to remain differentiated and distinctive in our journey towards building an 'all-weather institution'.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh.

Good evening and thank you for joining us. We continue to make good progress towards building a stronger, consistent, and sustainable franchise. The salient features of the financial performance of the Bank for FY 25 and Q4 FY25, across (i) Operating performance; (ii) Capital and liquidity position; (iii) Growth across our deposit franchise and loan book and (iv) Asset quality, restructuring and provisioning is as follows:

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In Q4FY25 and FY25, our operating performance was healthy across NIMs, fee and operating expenses lines. The key metrics for FY 25, on a reported basis:

- FY25 NIM at 3.98%, 18 bps cushion over our through cycle NIM call out of 3.80%.
- Fee stands at Rs 22,504 crs, YOY growth of 11%, granular fee at 93% of total fee
- Operating expense at Rs 37,500 crs, YOY growth of 6% as compared to a YOY growth

of 30% in FY24

- d. Core operating profit stands at Rs 39,916 crs, YOY growth of 13%;
- e. Cost to assets stands at 2.46%, declining 9 bps YOY
- f. PAT stands at Rs 26,373 cr, increasing 6% YOY
- g. GNPA at March 25 was 1.28%, declining 15 bps YOY
- h. NNPA at March 25 was 0.33%, largely flat YOY
- i. Standard asset coverage ratio of 1.2%, All provisions by GNPA ratio of 157%
- j. Consolidated ROA% at 1.77%, Consolidated ROE% at 16.89%

The key metrics for Q4FY25, on a reported basis:

- 1. Consolidated ROA% at 1.88%, Consolidated ROE% at 17.11%, Subsidiaries contributed 5 bps to the consolidated annualized ROA and 13 bps to the consolidated annualized ROE this quarter
- 2. Banks CET -1 including profits stands at 14.67%, after adjusting for proposed dividend of Rs 1/- per share, improving 93 bps YOY and 6 bps QoQ, largely through organic accretion. The Bank holds prudent other provisions aggregating to Rs 5,012 cr which have not been utilized or written back to P&L, this translates to a capital cushion of ~37 bps over and above the reported capital adequacy ratio.
- 3. The Bank assesses its capital position on two pillars i.e. growth and protection. The Bank does not need equity capital for either pillar. The proposed equity capital resolution is entirely enabling and is being taken as a matter of annual practice.
- 4. NIM at 3.97%, improved 4 bps QoQ. Yields on interest earning assets have improved 5 bps QoQ. This increase sufficiently addressed increase in cost of funds of 4 bps QoQ.
- 5. Fee at Rs. 6,338 crs, growing 12% YOY and 16% QoQ, granular fee at 94% of total fee
- 6. Core operating profit at Rs. 10,575 cr, growing 5% QoQ, 11% YOY
- 7. Cost to Assets at 2.46%, declining 2 bps QoQ, 9 bps YOY
- 8. Net credit cost at 0.50%, declining by 30 bps QoQ
- 9. PAT at Rs. 7,117 cr, increasing 13% QoQ
- 10. GNPA at 1.28% declining 18 bps QoQ, and 15 bps YOY. NNPA at 0.33% declining 2 bps QoQ and largely flat YOY

The Board of Directors has recommended dividend of Rs. 1 per equity share of face value of Rs. 2 per equity share for the year ended 31st March 2025. This would be subject to approval by the shareholders at the next annual general meeting.

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Our progress on structural NIM drivers continues, with improvements across all variables on a YOY basis:

- Improvement in Balance sheet mix: Loans and investments comprised 89% of total assets at March 25, improving 149 bps YOY;
- INR denominated loans comprised 96% of total advances at March 25, stable YOY;
- Retail and CBG advances comprised 71% of total advances at March 25, improving 5 bps YOY
- Low-yielding RIDF bonds declined by Rs. 7,107 cr YOY. RIDF comprised 0.90% of our total assets at March 25 compared to 1.46% at March 24.
- Quality of liabilities measured by outflow rate improved ~ 340 bps over last three years, MEB CASA% at 41% continues to be amongst the highest in the large private sector banks universe, improved 127 bps QoQ.
- Our fee performance was strong, reflected in a fee growth of 16% QoQ.
  - o Total retail fee grew 14% YOY and 22% QoQ
  - o Fees from TPP grew 32% YOY and 56% QoQ
  - o Retail cards and payments fees grew 11% YOY and 20% QoQ
- Trading profit at Rs. 173 cr lower by Rs. 848 cr YOY and Rs. 195 cr QoQ

- Operating expenses for the quarter stood at Rs. 9,838 cr, growing 6% YOY and 9% sequentially. We have opened 170 new branches in the quarter and 500 new branches through the year. We added 2,074 people in the quarter and 121 people YOY mainly to our growth businesses and technology teams.

- o Technology and digital spends grew 7% YOY and constituted ~ 9.3% of total operating expenses.

- o QoQ increase in operating expenses is largely PSLC related costs. The Bank has assessed itself as PSL compliant in FY 25 at headline and each sub segment level. In Q4FY25, the Bank incurred an expense of Rs 591 crore towards purchase of PSLC's to meet organic shortfalls in SMF and NCF categories. Excluding this expense, the QOQ cost growth would be 2% and cost to assets for Q4FY25 (annualised) would be 2.42%. The Bank continued to remain surplus in other categories of PSL and has sold PSLC's and booked income aggregating to Rs 169 cr in Q4FY25. These cannot be netted off in accordance with RBI reporting requirements. The additional PSLC expense was incurred

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to overcome short term challenges mainly around MFI growth and gold loan PSL classification. We remain confident in our long -term Bharat Bank strategy and our ability to improve organic compliance in across PSL sub -segments. In FY26, we will continue to use a combination of organic PSL book growth, PSLC, IBPC and PTC to meet our PSL obligations.

- Provisions and contingencies for the quarter were Rs.

1,359 cr, lower by 37% QoQ, driven largely by upgrades in the wholesale book, including recoveries aggregating to Rs 801 crore due to government guaranteed Security receipts issued by NARCL. The Bank has not booked interest aggregating to Rs 537 cr on the said SR's, which will be done on a realization basis or upon further clarity emerging on the RBI circular.

- The Bank has reviewed and made more stringent its classification and upgrade criteria for certain types loans. This at the margin may negatively impact credit costs, upgrades and recoveries in FY 26 when compared to FY25.

- The cumulative non NPA provisions at March 31, 2025 is Rs. 11,957 crores, comprising (i) Provision for potential expected credit loss of Rs. 5,012 crores; (ii) Restructuring provisions of Rs. 392 cr, (iii) standard assets provision at higher than regulatory rates of Rs. 1,868 cr and (iv) weak assets & other provisions of Rs. 4,685 crores.

Growth across our liabilities and loan franchise

Please refer slides 22 -23 for details around the quality of our liabilities franchise and slides on our loan franchise.

The Bank continues to remain focused on QAB deposit growth, total deposits on a QAB basis grew 9% YOY and 2% QoQ. Our CASA balances on QAB basis grew 3% YOY and 1% QOQ and CASA ratio on QAB basis stood at 38%. The Bank gained some momentum on MEB total deposits in Q4FY25, they grew 7% QOQ and CASA deposits grew by 10% QOQ.

Loans grew 8% YOY and 3% QoQ. Our loan book is granular and well -balanced with retail advances constituting 60% of the overall advances, corporate loans at 29% and CBG at 11%. ~72% of our loans are floating rate. ~48% of our fixed rate book matures in 12 months.

Break -up of the floating rate loan book by benchmark type and MCLR re -pricing frequency is set out on Slide 14 of our investor presentation.

#### Retail book

- Retail advances grew 7% YOY and 3% sequentially, ~ 72% of the book is secured
- Q4FY25 Retail disbursements (including Bharat Bank) grew 15% QoQ, largely coming from the secured segments.

#### Wholesale Banking Coverage

Details of rating composition, incremental sanction quality is set out on slide 32.

- Domestic corporate loan book grew 8% YOY and 2% QoQ.
- The offshore wholesale advances are largely trade finance related and primarily driven by our GIFT city branch. 91% of the overseas standard corporate loan book is India linked and 96% is rated A - and above.

#### Commercial banking

- The commercial banking book grew 14% YOY and 4% QoQ. Details of rating composition, incremental sanction quality is set out on slide 39 or 40. The quality of the CBG franchise we are building and strong relation led approach is reflected through 88% of CBG loan book is PSL compliant.

#### Coming to the performance of our subsidiaries

- Detailed performance of the subsidiaries is set out on Slides 53 to 60 of the investor presentation. In FY 25, the domestic subsidiaries reported a net profit of Rs. 1,768 crores, growing 11% YOY. The return on investment in domestic subsidiaries was ~ 46%.

##### o Axis Finance :

■ Overall AUF grew 22% YOY. Retail book constitutes 47% of total loans

■ FY25 PAT grew 11% YOY to Rs. 676 Crores, and healthy CAR at 20.90%.

■ Healthy asset quality with net NPA of 0.37% and negligible restructuring.

o Axis AMC: Overall quarterly average AUM grew 17% YOY to ~ Rs. 3,21,506 crores, FY25 PAT stood at Rs. 501 Crores up 21% YOY

o Axis Securities: Broking revenues for FY25 grew 45% YOY to Rs. 1,656 crores and PAT grew 39% YOY to Rs. 419 Crores

o Axis Capital: Revenues for FY25 grew 33% YOY to Rs. 705 crores and PAT grew 7% YOY to Rs. 161 Crores

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#### Asset quality, provisioning and restructuring

- Asset quality continues to remain stable with Gross in rupee terms and % terms declining

sequentially and YOY. Net NPA declines QOQ and was largely flat YOY.

The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 46 of our investor presentation.

• Gross slippages in the quarter were Rs. 4,805 cr, declining 12% QoQ. Gross Slippages segmentally were Rs. 4507 cr in retail, Rs. 196 cr in SME/CBG and Rs. 102 cr in WBCG

• Gross slippage ratio (annualized) stood at 1.90%, declining 23 bps QoQ

• For the quarter ~ 30% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

• Net slippages in the quarter were Rs. 2,015 cr. Net Slippages segmentally were Rs. 2,804 cr in retail, Rs. 125 cr in CBG and negative Rs. 914 cr in WBCG.

• Recoveries from written off accounts for the quarter was Rs. 935 crores.

• Net slippage in the quarter adjusted for recoveries from written off pool was Rs. 1,080 cr declined 51% QoQ. Segmentally retail was Rs. 2,298 cr, CBG was Rs. 5 cr and WBCG was negative Rs.1,223 cr.

To summarise, Axis Bank is progressing well to be a stronger, consistent and sustainable franchise:

- Consolidated ROA and ROE for FY25 1.77% and 16.89% respectively, an outcome of disciplined execution.

- The Bank has ample and sufficient liquidity, visible in the average LCR ratio of 118%.

- We are well placed in the current macro environment, we continue to closely monitor the global geopolitical environment, inflation, system liquidity, cost of funds and its impact on our business.

We conclude our opening remarks and would be happy to take your questions.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Chintan Joshi from Autonomous Research . Please go ahead.

Chintan Joshi : Hi, good evening . Thank you for taking my questions . Can I start with some commentary around how to think about the rate cut cycle and the translation of that into your NIM s. Specifically, I am interested in how we should think about transmission on your borrowings and on your SLR investment portfolios, if you can help us think about those two, loans and deposits is kind of well understood, so I am curious about borrowings and investments here.

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And then the second question would be, on your growth, you flagged a 7% month -end balance growth, how much of that month -end balance has been retained to date, they tend to kind of flow away post quarter end, but sounds like things might have been a little bit more stickier , given that you're flagging that . Those two would be my questions, thank you.

Puneet Sharma: Chintan, thank you for your question. Let me first start with your question on retention of the M EB growth into the subsequent quarter.

I said this earlier as part of my opening comments and I will reiterate, we manage and track our performance on a quarterly average balance basis . Right through FY '25, our quarterly average balance numbers on a year -on-year basis has tracked our MEB balance growth .

We have sequentially been a business that has had sequentially strong inflows in quarter 4, that trend has played through in the current quarter . We do not offer comment on how much of that money stays retained, you will see that visible in our quarter one reporting number as we stand, but I think two points for your consideration, we are very focused on QAB, that's how we manage our balance sheet . We are looking to drive up growth in deposits, that's visible through the deposit growth we are seeing in quarter four. You will have to wait for us to report Q1 for you to get a colour of what was retained and what was not retained in quarter one of the current period.

To your other question on rate transmission across our products, the way I would look to respond to that quest

ion to you would be - we manage our balance sheet on a duration basis, so please think of duration of our balance sheet as the key driver of rate transmission and rate impact . We have a tightly matched duration on assets and liabilities , and therefore , if you look at how the Bank performed through FY '23 and FY '24, we managed the up cycles and down cycles relatively well. On rate transmission across assets, we as a bank are policy led . We transmit rate increases or decreases in the quarter in which the policy rate changes and that policy will be effective both ways, on up cycle and down cycle.

On liability repricing, you 've seen some action across market participants including us . We've all done a savings account rate cut . There has also been a moderation on retail term deposit rates and those should be an offset to asset repricing as we see the repo cuts being passed through to customers.

Chintan Joshi : Borrowings and investments or should we take that within your broader comments?

Puneet Sharma: So investments on our bank balance sheet are largely fixed rate . So effectively , if you look at the largest component of investments on a bank's balance sheet, they will be government securities, they are fixed rate instruments , and obviously , when rates tend to decline, you will have MTM gains like you had MTM losses, but they don 't flow through the margin line as such.

If you want a break up of our portfolio, roughly a dominant part of our portfolio which is 66% of our portfolio is held to maturity , and that should give you a colour on how the fixed rate book will behave. Borrowing should typically follow the same route as ....

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Chintan Joshi : So presumably they kind of rebalance every 3 -4 years or something, that duration might be helpful.

Puneet Sharma: So, Chintan, we do not publicly call out durations . You will see some duration disclosures in our annual report, but we do not provide you asset specific duration outcomes . Please rest assured or

rely on the original comment I made . We run a tightly managed duration on a full balance sheet basis.

Chintan Joshi : Thank you.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the Management will be able to address questions from all the participants in the conference, kindly limit your questions to two per participant. Should you have a follow -up question, please rejoin the queue. Thank you.

We will take the next question from the line of Mahrukh Adajania from Nuvama . Please go ahead.

Mahrukh Adajania: Hi, so my first question is on asset quality. You said that you have tightened provisioning policy and that could impact FY '26. So could you just quantify whether it will be like an immaterial impact or a material impact and what has tightened, because you are already following a much tighter provisioning policy on unsecured, so what would have changed?

And also , in terms of the security receipts, the write -back of provisions that you see on NARCL SR, so would you have reversed the complete provision that you had or you would have left something as buffer? So that's my question on asset quality .

And my second is on deposit growth. So, if you see the period end year -on-year growth, then it's a bit below the sectors. Now that liquidity has improved and RBI has clarified even on its LCR stance, do you see deposit growth coming in line with the sectors in FY '26? So these are my two questions.

Puneet Sharma: Mahrukh, thank you for your question. There are multiple questions in your 2 questions, so let me try and answer them in parts.

I think if I start with your first comment on security receipts. We basically called out two things.

We have written back provisions of INR 801 crores on security receipts. We have INR 537 crores of interest which we have not written back and shall book on a when realised basis , or when

arification emerges in the regulations. So broadly, if you were to do it on a percentage basis, it's 60-40, give or take. So , INR 801 crores booked in the P&L, INR 537 crores potentially to be booked at a future date on a realisation basis.

The second part of your question was what has changed? We have said that our provisioning policies remain the tightest in the industry. We've tweaked how we classify assets at the margin , and that tweak is incremental, and this relates to some very specific asset outcomes like one -time settlements, et cetera. So , we have tweaked those at the margin to make them more stringent. And we are transparently calling out that, that change is incremental to the change that we had in FY '25. So that's the second part of your question.

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On the third part of your question, which is around deposit growth, we don't offer guidance on how we will grow. Please appreciate we have worked very hard to strengthen the three legs of our deposit franchise, which is cost, quality and growth. Cost and quality we have delivered. Early signs of growth you've seen through, come through in Q4 of the current fiscal. We will continue to work hard on making sure that we grow our liabilities franchise with the right quality and quantity of liabilities.

Mahrukh Adajania: Thank you.

Moderator: Thank you. The next question is from the line of Anand Swaminathan from Bank of America. Please go ahead.

Anand Swaminathan : Thank you. I had a couple of questions. First is on the Cit i integration. It's been almost 2 years since the merger. Can you provide us some color or some quantification in terms of where all you have seen these benefits and where have been the most positive outcomes in terms of synergies?

That is one.

And second, just as a clarification on the write -back on SRs, the loan loss provisions, the 1,316 number would have been 2,100? Is that the right interpretation without this write -back this quarter?

Those are my 2 questions. Thank you.

Subrat Mohanty : Yes. Hi. This is Subrat. On your first question on Cit i integration, see last year, in July, we completed what we termed LD2, which is when Cit i customers moved on to the Axis Bank platforms, and we started managing the customers both from a relationship as well as in terms of owning them on our system.

We had a very specific plan over six quarters in terms of the synergy benefits that we internally presented to the Board. At the end of six quarters, we came a bit ahead of the plan in terms of the synergy benefits. So , from a planned synergy perspective, it ticked all the boxes.

Two additional benefits of the acquisition was improving the premium base of our franchise and having a good set of seasoned credit card customers coming in. Those customers have come in. We continue to now offer to them the whole bouquet of Axis Bank services, which is much wider and cuts across multiple products and services, and also is present in multiple cities. So that also is something that is happening.

In terms of the people that we got in as part of the acquisition, we had almost 3,500 people come

in, about 178 people were identified as key resources who came on board. And after about 2.5 years of people coming on board, we have had very limited attrition of these senior resources, these critical resources. In fact, a lot of them today hold bank -wide responsibilities , based on their past experience.

So on an overall basis, that's the summary of the things. Since almost the year has passed after LD2, we no longer separate the Cit i and the Axis book and monitor their progress , because all of these customers now have been re -carded, they own Axis Bank accounts. So we continue to now

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look at them as part of the Axis base, and provide them both services and upselling opportunities as and w

hen they come.

Puneet Sharma: Thanks, Subrat. Anand to the second part of your question. Yes, I think you're reading the INR 1,369 crores number on Slide 48 of our presentation. If you add INR 801 crores , it's going to be INR 2170 crores. So that would have been the number.

I would just request you to please also while noting that number, not e the fact that the INR 801 crores was routed through the P&L in the first place. So we debited the P&L when the provision was made. We are crediting the P&L and the provision is being reversed. So it's just a function of timing. Overall, on a time agnostic basis, this is a P&L neutral entry.

Anand Swaminathan: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. Thanks for taking the question. So firstly, your comment on personal loans and credit cards. If I heard it correctly, you mentioned that there is stabilization in the credit card portfolio, while personal loan might take slightly longer to stabilize? Was that the right comment? D id I hear it right?

Puneet Sharma: Thank you, Kunal. Yes, you heard the comment correctly. We are seeing the credit cards... Y es, sorry, please continue.

Kunal Shah: No, no, you can continue.

Puneet Sharma: No. So I think you heard us correctly. We said that the card portfolio is stabilizing and the PL portfolio will take a few more quarters to show improvement.

I think we need to give you full color. The reason we make that comment is we took underwriting actions on the portfolio. The early reads on those underwriting actions are positive, but the vintages have not matured enough for us to provide a constructive or concrete outlook on the personal loan portfolio. So , basis where we see the initial reads on a non -vintage portfolio, we have made a call out saying that it would take us a few more quarters for this book to stabilize.

Kunal Shah: Earlier that comment used to be like PL generally stabilizes and peaks out in 9 months , and credit card generally takes 15 months. So I think maybe that seems to be like slightly reversed, okay? So it's like credit card seems to be stabilizing earlier than the PL. So any particular reason for that, any particular cohort being that kind of a problem, yes?

Puneet Sharma: So Kunal, thank you for that question. I think the way we would request you to think about it is underwriting is not an exact science. We make corrections and then we observe portfolios post that correction.

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I think the way to read our comment is the cards corrections have started playing through. We have consistently and continued to make corrections . As we see this corrections vintage, we will be able to provide an outlook. I don't think there is further color that we have at the moment to offer on the PL portfolio.

Kunal Shah: Sure. And second question is on overall growth side. So again, let's say deposit growth, no doubt the sequential improvement has been there, but still below the industry average. And similarly, on the loan growth side, in fact, home loan, auto loan, that's just stayed flat on a year -on-year basis. No doubt our focus is on SBB, SME and mid -corporate, but some of these segments are not contributing to the growth.

So what would actually trigger maybe the overall loan growth as well? Will it be only led by deposit growth or maybe the stabilization of asset quality, or maybe some comfort on margins? When should we start even like loan growth, maybe following the indus try, as it is still lagging like 4 -odd percentage points to industry average.

Amitabh Chaudhry : So, obviously, last year has been characterized by scenario where deposit growth has been a constraint. And so that has driven us to prioritize growth in certain asset classes and obviously control and constrain t the growth in some of

the asset classes. As we said earlier that we do believe that we have reached now a stage where if things play out the way we expect and given the externalities into account, one can't kind of give us everything that we know everything that is going to happen.

But we do believe that now both growth and profitability should start moving in the right direction, subject to this increased liquidity and continuous increased liquidity playing through for this particular financial year. So assuming liquidity remains, flows into the deposit side, we do believe that the platform is there for both growth and profitability. And as that deposit growth opens up, you will see growth start coming back across various asset classes.

Kunal Shah: So assume by FY '27, it will be industry average, FY '26 or no? Not very confident about FY '26.

Puneet Sharma: Kunal, we don't offer guidance. I think whichever way you ask us the question, we are not going to give you the outlook or guidance on what our FY '26 number would be. So I think Amitabh has said, how we see our business shape up and the confidence that we have in the franchise, we do not have guidance to offer for FY '26.

Kunal Shah: Okay. Thanks and all the best.

Moderator: The next question is from the line of Abhishek from HSBC. Please go ahead.

Abhishek Murarka: Hi. Good evening. And thanks for taking my question. So my question one is, just a sort of data keeping, if you could share how much of cards deposits could you see the benefit of lower outflow rates on? So from next year when the LCR regulations come in?

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And the second part is on growth. So you will have a little bit of release of LCR. You will have excess SLR, which you called out. Your LDR is lower now. And there are 3-4 segments where consolidation has happened over the last 3-4 quarters already. So do you think your loan growth should now pick up ahead of deposit growth in the, let's say, foreseeable future? I don't want a number or a guidance, but just logically thinking through this.

And also, particularly in your loan book, just wanted to know, LAP stands out as a segment where there's quite a bit of growth. So anything particular that's happening there? Or is it some reclassification benefit or you're seeing pockets where better pricing is there? So some insight on that would also help. So, thanks. Those were my questions.

Amitabh Chaudhry: So firstly, since you talked about LCR, the LCR will kick in only effective April 1, 2026. And yes, obviously, all of us are facing the impact of the new circular. Obviously, we have to do more analysis. Right now, we believe that the impact will be neutral. What the construct of deposits will look like as of April 2026, difficult to predict at this stage. But if we were to look at the stock today, it definitely does not have a negative impact on us. And I kind of leave it there.

I just mentioned in the answer to the previous question that if the liquidity in the system continues to be there for this particular financial year, and if it is there, it will hopefully flow through the growth in deposits. We do believe we have the franchise, we'll be able to grow the retail asset classes.

And as I said, in a constrained deposit environment, we try to give the limited amount of money which we have to asset classes, which give us the highest RAROC. That's a strategy which we have followed. So between the mortgage and LAP, if LAP can give us a higher RAROC, we will obviously try to grow that faster in comparison to the others. We obviously have other risk guardrails also. It's not just one particular guardrail.

So with all the way the guardrails operate with each other, there is a certain waterfall, which is created, and those targets are given to various businesses to run with. Hopefully, you get a sense for what this could mean for us if the deposit growth

was to come back. If our deposit franchise

on the NTB side is kicking quite well. We continue to maintain the momentum in the next couple of quarters, and how it will can flow through on the asset side of the balance sheet also.

Abhishek Murarka: So exactly on your point, Amitabh, if liquidity remains the way it is or improves, irrespective of that, you have other levers to grow your loan book a little faster than deposits. So that is what I was trying to figure, then will you be utilizing those levers, let's say, in the next two years or liquidity is the primary lever that you are looking at?

Neeraj Gambhir: So as the liquidity in the system improves, we should see better environment for us to raise borrowings through, for example, bonds. CD market rates have already come down. So these are all avenues which are available to a bank to actually grow its liability franchise.

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We continuously evaluate our options to raise funding from all of these markets and the relative pricing to the deposit market. And depending upon what looks attractive and what looks suitable at a given point in time, we access that market. And we try and ensure that all this is basically accretive from an LCR perspective and NSFR perspective. So I think it's a constant exercise that



we do all the time.

Abhishek Murarka : Understood. And on the LAP part, basically, you're saying it's higher RAROC than home loans. So that's why you're doing it. There's no reclassification or any other benefit in that book? It's just pure RAROC -based growth?

Puneet Sharma: Abhishek, there is no reclassification in the numbers across home loan and LAP.

Abhishek Murarka: Okay. Got it thanks.

Moderator: Thank you. The next question is from the line of Harsh Wardhan Modi from JPMorgan. Please go ahead.

Harsh Modi : Hi. Thanks for taking my questions. Two questions. Foreign loans are small, about 4%. But any second order impact from trade and tariff on asset quality, not right away early days, but let's say, 3, 6, 12 months down the line.

And second, the risk weighting is up from 70 to 72 in the course of the year. What drove that? And how do we think about that number over the next 12 months? Thank you.

Rajiv Anand : This is Rajiv. Not just on the offshore book, but we have done a fairly elaborate bottom -up work on impact on tariffs across industry. And within those industries, companies where we have exposures. At this point in time, on everything that we know around tariffs, the impact on the portfolio is negligible. But there are so many moving parts, both positive and negative. We continue to watch the space and evaluate the impact on the portfolio.

Puneet Sharma: Thanks, Rajiv. Thanks, Harsh for the question. On risk weights, two simple responses. Advances, risk weights are equal or lower than the previous year. The change in risk weight is a function of balance sheet composition change and growth in our off -balance sheet liabilities. That's the principal reason why RWA intensity has moved up. It isn't because we are putting on riskier assets.

And if you look at...

Harsh Modi: So is that the reason why fee income is better?

Puneet Sharma: Look, I think you've got to read that comment across multiple slides. So Q-O-Q RWA intensity has dropped, but Q-O-Q fee income has increased. So there's no direct correlation between fee income and risk -weighted intensity. But yes, our non -fund-based business does contribute to our fee. We give you a breakup of our credit linked fee on our corporate fee breakup, and that has remained steady at about 20% of our total corporate fees. So that's the color on fee and RWA intensity.

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Harsh Modi: Thank you.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL Securities. Please go ahead.

Rikin Shah : Yes. Thank you for the

opportunity. Two questions. The first one, Puneet, could you clarify what are the tweaks that we are making in certain accounts, which would impact the asset quality next year? And did I hear correctly that the implications of this would be visible in upgrades and recoveries in FY '26? So that's first one.

And second one, for your repo linked loans, the repricing happens once in the quarter, or that was a generic comment for the overall loans, right? So do you have a pattern of towards the end of the quarter, in 1 month, 2 months? If you could clarify that? Those are my questions.

Puneet Sharma: Thank you, Rikin, for the question. On repo linked loans , we are policy led on repricing, both on the upside and downside. We repriced at the end of the quarter in which the rate cut has been announced, both on upside and downside. So that's the response to your repricing question.

I think your first part of your question is tweaks to accounts. I don't think we intended to say tweaks to accounts. If we have conveyed that impression, I would like to correct that. We have said the way we are getting more stringent on how we classify accounts, not upgrade accounts. So how we are pushing down exposures rather than pushing up exposures. And an example of where we have gotten more stringent is how we deal with one -time settlements for, let's say, accounts that have been settled for a period less than 3 months.

So on OTS accounts, we have gotten more stringent on recognition. The provisioning policies continue to remain conservative, which is 100% provision on unsecured loans once classified. And that's the color or the genesis behind the qualitative comment we offered, which is to say that this change in classification at the margin could impact FY '26 slippages over FY '25.

I also take this opportunity to clarify , one of my colleagues pointed out that when I was making my opening remarks, I said FY '27. Please read this comment in the context of FY '26 being marginally higher than FY '25.

Rikin Shah: Got it. Thank you, Puneet.

Moderator: Thank you. We will take the next question from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Yes. Hi team. Thanks for taking my question, and congrats on the quarter in this tough environment. Just getting back to the question on deposits. Now on Slide 22, you've explained it well as to how we should look at this deposit journey. My question really is what will change your

stance on growth? Will you compromise on, say, the cost differential versus peer 2? Or will you compromise on outflow rates to get growth? Or is the quality and cost of deposits sort of sacrosanct?

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Subrat Mohanty : Yes. Hi. This is Subrat. Like we have always said, quality cost and growth, all 3 vectors that we manage. If you've seen in Q4, we have done some amount of catching up and possibly done better on a Q-O-Q basis vis-a-vis the industry.

Large part of it has not come because of either any change on cost or any letting go of quality metrics that we track on deposits. It's largely come because of the work that we continue to do, in terms of being in front of customers, deepening the relationship with the customers.

So those fundamentals which we had been running over the last 1.5 years as part of internal project called Triumph, they continue to guide our actions in terms of the work that we are doing in the field. So we will continue to be on that path. We have done a good job in the last 2 years in terms of both the quality and the cost of deposits. We don't want to be going back on that kind of work that has happened.

Piran Engineer : Okay. Okay. Fair enough. And just secondly, on your personal loans versus credit card comments on asset quality. So I get that you've improved incremental sort of sourcing, but it's still a small part of the book. But then why is that not true

also for credit cards?

And another sort of question to this is your personal loan customers would be a subset of your credit card customers, right, and a much more sort of stringent subset. So ideally, shouldn't personal loans recover first and credit cards recover later? What's the disconnect here? Thanks.

Arjun Chowdhry : Okay. So, hi this is Arjun here. I will try and address both questions.

So firstly, on credit cards, the asset buildup is actually much slower than on a personal loan, because in a loan, you do a disbursal; on a card, you do an issuance and then the guy spends and then revolves and then pays back some. And therefore, there's a few months before the asset builds up. So obviously, those actions play out differently from a traditional term loan.

We are actually seeing, as we mentioned earlier, we are seeing signs of stabilization and improvement in the new sourcing on both our portfolios, and that's an encouraging sign. But obviously, the proportion that the new portfolio represents of the total book tends to be different in both the businesses, because of the factor that I just mentioned.

The second is I do want to clarify, it's not as if we have that the personal loan customers are all credit card holding customers. These are 2 separate groups of customers, and we also offer personal loans to our existing bank account customers. So yes, we do offer loans on cards to card customers. That's a part of the buildup there, and that's a part of the outstanding there. But it's also a stand-alone offering, which is offered both to new customers and those who don't have a credit card with us, may have a bank account or some other product.

Piran Engineer: Got it. Okay. That answers my questions. Thank you and wish you all the best.

Arjun Chowdhry: Thank you.

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Moderator: The next question is from the line of Akshat Agrawal from SMIFS Institutional Research. Please go ahead.

Akshat Agrawal : Good evening, sir. Thanks for the opportunity. So my first question is on credit to deposit ratio. It has improved to below 90% at 88.7% versus 90% to 90% seen since 1Q '24. And this is all because of the deposit growth improvement. Should we see late 80s as your new operating level for the bank going forward? And was this just because of the deposit growth? Or was this because of any regulator nudge? Thank you.

Puneet Sharma: Akshat, thanks for the question. No, there was no regulatory nudge. We have consistently maintained that there isn't a regulatory push on us managing the CD ratio at a certain level. The decline in CD ratio is a function of the deposit growth we have been able to deliver in the quarter. And we continue to manage the balance sheet on multiple variables. CD ratio is only one amongst the many variables that we will manage our balance sheet by. So it's not a constraining factor currently.

Akshat Agrawal : Right. Thanks for answering that. My second question is kind of answered, but while Y-O-Y loan growth at 8% remains below system, Q-O-Q momentum has actually improved to 2.6%, which is better than what we saw last few quarters. Is it just seasonal? Or should we see this momentum as a reinstatement of the bank's growth trajectory going forward?

Puneet Sharma: I think the way you should look at our numbers is, look, we have always said that we will dial up growth when we are comfortable with getting growth back. I think the quarter is a function of that strategy or outlook that we have previously presented.

Akshat Agrawal : Right sir. Thank you.

Puneet Sharma: Thank you.

Moderator: Thank you. The next question is from the line of M.B. Mahesh from Kotak. Please go ahead .

M. B. Mahesh : Puneet, again, just coming back on that, it's provisioning that we are discussing for FY '26. Is it possible to quantify if you were to look at FY '25 as an example, what would that quan

tum look

like? Just trying to understand the materiality of what is being discussed here?

Puneet Sharma: Mahesh, it will be marginal. It won't be the exponential. But it was our duty to flag it off, so we flagged it off.

M. B. Mahesh: Okay. Second question is that given that you will have a few rate cuts during the course of this year as well, how are you looking at the margins that you have guided on a through -the-cycle basis.

Any color on that?

Puneet Sharma: Mahesh, thanks for the question. I think we are roughly about 18 basis points above our through - cycle margin on a full -year basis, 17 basis points for the last quarter. I think we will try and retain as much of the cushion as we can. We will look to manage margins on a dual principle basis. We

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look to manage margins by managing our balance sheet on the asset side better. So you could possibly see some legs on mix change left.

While assets will reprice faster than liabilities , if you take the duration view of the balance sheet, we have a very tight duration between assets and liabilities. So consequently, if you're willing to take a full year or a slightly longer view, we think we are well placed to manage the repo rate down cycle. We will continue to... Sorry, please go ahead.

M. B. Mahesh: Puneet, just when you say this matched on duration, you match the duration on cash flows? Or is it matched on the interest rate side?

Puneet Sharma: Matched duration on interest rates, so repricing duration.

M. B. Mahesh: Okay.

Puneet Sharma: So liquidity may not be matched. The comment I am making is it's on interest rate reset duration. And I am not saying it is fully matched , I just want to be cautious. The term I used was tightly matched. So there will be some gap, but it's a manageable gap.

The other variables that we have is you've seen the industry including us taking a savings rate cut. We've also repriced our deposits lower, so that's early action to offset some of the margin pressure that we discussed. So I think there's a mix and match on the asset side as well as the liability side for us to play with. The key message I would request you to please take away from the response is, there is a cushion over through cycle. We will try and retain as much of the cushion as we possibly can.

M. B. Mahesh: Thank you.

Moderator: The next question is from the line of Krishnan ASV from HDFC Securities. Please go ahead.

Krishnan ASV : Yes. Hi, very good evening. I just wanted to say on the savings rate cut that's happened across the system , and this is not just proactive plan. But just trying to understand, in a sense, once you have taken a price cut on the deposit side, is it not logical to assume that you'll also have to pass this benefit on to consumers? Wouldn't there be a regulatory expectation that this has passed through the MCLR line to the consumers? Why should a bank be able to retain the gains from the savings rate cut?

Neeraj Gambhir : Yes, hi. This is Neeraj here. If you look at the structure of Indian banks, most of them have a very large component of the assets in the form of repo -linked loans now, and this has happened over the last 4, 5 years. So the moment a rate cut is done, and because these are repo -linked loans, within a quarter, these loans repriced down. So effectively, the benefit is passed to these customers within a quarter.

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But if you look at liabilities, since the liabilities are fixed rate liabilities mostly, which is deposits, they take time to reprice. So there is a repricing lag between the assets and liabilities in a downward moving cycle.

When you reprice your savings bank book, you are actually doing a stock reprice of the entire book, unlike in the case of deposits, where the reprice will flow in over a period of time. So effectively, what you're doing i

s the asset price benefit has already passed largely through the EBLR or repo-linked book. Now you're basically repricing on the liability side. So effectively, it matches more closely than it would have been if we have not done the savings rate cut. I think that's the key logic for most of the banks to first start with a savings rate cut.

But that doesn't mean that 's the end of the story. You are continuing to see reprice on the deposit side as well. Most of the banks have actually reduced their retail deposit rates by roughly 15 to 20 basis points.

We have seen a much bigger reprice on the bulk deposit side where the rates have actually come down roughly 60 to 70 basis points. So as the interest rate cycle plays out , as the policy rates are being cut, we will continue to see this dynamic play out.

As far as MCLR is concerned, MCLR is a calculated benchmark. This is a fixed formula in which the calculation happens. As the various components of the liabilities reprice, the MCLR reprice will also happen and it will be passed on to the customers.

Krishnan ASV : Understood . I could understand the fact that the term deposits repricing does take through incrementally versus the savings went through the stock. But I was just trying to understand, doesn't the savings rate cut feed into MCLR , even if it's just 20%, 30% of your portfolio. I understand the bulk of your portfolio and for the banking system at large is now 50% plus with the repo-linked . But there's still an MCLR linked book. That will have to see transmission at some stage, right? It's not a free lunch for banks. Is that a fair assumption?

Neeraj Gambhir: We recalculate MCLR every month. For example, this month, when we recalculated the MCLR , the calculated MCLR was about 10 basis points lower, and we have repriced it. This is due to the fact that part of our savings book has repriced , and partly our deposit book has repriced. So this is going to be a continuous affair as we go forward.

As I mentioned, a s MCLR is a calculated way of doing benchmark , it is a preset calculation, so as the various components reprice, MCLR will also reprice.

Krishnan ASV : Got it. Understood. Thanks. My second question was to do with continued changes in terms of recalibrating and tightening our provisioning norms. I've been covering the bank for a while, and I understand that Axis Bank has been trying to stay ahead of the curve for about 5, 6 years now at the very least.

I just want to know how long can this journey continue? It seems you set out on this journey to catch up with your peers in terms of provisioning practices, impairment recognition practices and  
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so on. But it doesn't seem to end. At what point do you call out that we are now in line with the best practices across the system?

Puneet Sharma: Thanks for the question and the observation. I would like to clarify your observation. I don't think we have chased peers on these practices. Our belief clearly and will be established with data. We've led market practice of the best asset quality, provisioning policies that the bank runs. We had others follow us , rather than we follow others. I think with this change to answer your question directly, I think this is the last set of changes that we are likely to see post this, we are largely done. Yes, just to add one more color. I do think the changes we are making basis our market study , some of the peer banks do not follow this practice.

Krishnan ASV : That's helpful. Thanks Puneet. Thanks for the clarification.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today, which is from the line of Ankit Bihani from Nomura. Please go ahead.

Ankit Bihani : Yes. Hi. Thank you for the opportunity. I just wanted to ask when the NIMs have improved 4 bps Q-O-Q and you highlighted the factors in your slides that have contributed to

the improvement. I

just wanted to know if there is any impact of the lower number of days in the quarter towards the reported NIMs. That's my question. Thank you .

Puneet Sharma: Thank you for the question. Look, I think the day impact is negligible to non-existent in our book.

The 4 basis points improvement is improvement in asset quality, 2 basis points ; improvement in spreads 2 basis points . Of the spread improvement to 2 basis points , roughly 1 plus is coming from interest on income tax refund. That's the bridge to the margin improvement sequentially. We do not see a meaningful takeout impact for us to call out.

Ankit Bihani: Okay. Thank you.

Moderator: Thank you. As that was the last question for today. I would now like to hand the conference over to Mr. Puneet Sharma for closing comments. Thank you, and over to you, sir.

Puneet Sharma: Thank you, Michelle. Thank you, everyone, for taking the time to speak with us this evening. If there are any questions that remain unanswered or any clarifications we can offer, please feel free to reach out to Abhijit and our IR team. We'd be very happy to engage and clarify.

Thank you once again for your time. Have a good evening.

Moderator: Thank you, members of the Management . On behalf of Axis Bank , thank you for joining us, and you may now disconnect your lines. Thank you.

# Call: Jul 2025

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Axis Bank's Q1FY26 Media Conference Call

July 17, 2025

## MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO, AXIS BANK LIMITED  
MR. RAJIV ANAND – DEPUTY MANAGING DIRECTOR, AXIS BANK LIMITED  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER, AXIS BANK LIMITED  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR, AXIS BANK LIMITED  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR, AXIS BANK LIMITED  
MR. AMIT TALGERI – PRESIDENT & CHIEF RISK OFFICER, AXIS BANK LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Axis Bank Conference Call to discuss the bank's financial results for the quarter ended 30th June 2025. Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent.

Unauthorized dissemination of the contents or the proceeding of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions at the end of the briefing session.

Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. On behalf of Axis Bank, I once again welcome all the participants to the conference call.

On the call, we have Mr. Amitabh Chaudhry, MD and CEO, Mr. Rajiv Anand, Deputy Managing Director and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Chaudhry, MD and CEO. Thank you and over to you, Sir.

Amitabh Chaudhry: Thank you, Rayo. We have on the call Rajiv Anand, the Deputy MD, Subrat Mohanty, ED, Munish Sharda, ED, Puneet Sharma, CFO and other members of the leadership team. This quarter, we delivered steady operating performance aided by higher non-interest income and continued moderation in operating expenses.

Let me summarize the Q1FY26 operating performance. Operating profit was up 14% YOY and 7% QOQ. Non-interest income grew 25% YOY and our fee-to-average assets continued to be the best amongst peer private banks.

On a YOY basis, total deposit growth rates were similar for both period-end and quarterly average basis at 9% and 8% respectively. On a weighted basis, retail and small business deposits under the LCR framework grew 12% YOY. On the lending side, small business, SME and mid-corporate together grew at 18% YOY and 5% QOQ and constituted 23% of the total bank loans.

The bank remains well capitalized with a CET1 ratio of 14.68%. We stay focused on three core areas of execution of our GPS strategy, namely

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becoming a resilient all-weather franchise, creating multiplicative forces to build competitive advantage and building for the future. I will not discuss each one of these areas. We have significantly progressed towards building a resilient all-weather franchise.

There are four areas of focus as we navigate the current cycle, deposit quality and growth, credit growth, retail asset quality and cost, where we continue to work on sustainable outcomes. On retail asset quality, our normalization cycle is in progress. As indicated in the last call, we apparently made changes to our technical recognition criteria, which has impacted Q1FY26 asset quality numbers across cost slippages, net slippages, credit costs and interest reversals, impacting NIMs.

Puneet will provide details on each of these. On credit, we are focused on delivering better growth outcomes. Quarter 1st, financial year 2026 has been one of our strongest quarters in terms of QOQ loan book growth in the last few years. Wholesale banking growth was driven by sector-specific demand, strong refinancing activity and disciplined execution, no

t just rates tailwinds.

On the cost side, our expense growth moderated 2% YOY and declined 5% QOQ. Let me move to the deposits now. The deposit journey for Axis Bank should be looked at from three aspects -- quality, cost and growth.

Please refer to slide number 17. On the first two parameters, we have delivered well and demonstrated consistency. We have improved the granularization in our deposit book, which possibly impacts the quality of LCR deposits, consequently improving the outflow ratio by 150 basis points over the last one year and is similar to larger peer banks.

We have also demonstrated controlled increase in cost of funds over the last eight quarters. Our confidence in the franchise has allowed us to take early and proactive action on savings account rates and term deposits. This has resulted in a QOQ decline of 11 basis points in cost of funds.

The quality and strength of our deposit franchise continues to improve. Our acquisition engine, expansion plans, product launches, salary credits and Burgundy AUMs remain healthy. The bank has made focus interventions to ensure better engagements with its salaried customers and continues to see healthy trends with 18% YOY growth in salary uploads in the NTB Salary Book by June 25, 27% YOY growth in premium acquisitions in NTB Salary Group by June 25.

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The premiumization of our franchise continues to progress well, led by 6% QOQ growth in Burgundy AUM. As per the recently published Asian Private Banker India 2024 league tables, we retain the third position with the highest growth rate amongst banks. Our industry-leading NEO platforms, along with customized solutions across liquidity management, payments and collection,

continue to drive higher transaction banking flows.

Please refer to slide 31 for more details. On creating multiplicative forces to build competitive advantage, as a full suite cards and payments player, the bank continues to hold on innovation-led partnership models to tap newer customer segments and the evolving needs. It partners with Flipkart, Group SuperMoney and RuPay to launch a co-branded credit card targeted at UPI users, and an innovative wearable payment solution in partnership with boAt and Mastercard.

Building for the future, digital bank performance continues to remain strong, providing fraud-safe data. Digital platform remains a key focus area for the bank. In Q1 FY26, the bank enhanced transaction monitoring and introduced fraud prevention related features, such as mobile OTP, Safety Center and lock FD.

On the corporate banking side, the bank continued the rollout and further enhancement of features on the NEO platform. In Q1 FY26, the bank migrated 80% of eligible clients to the NEO platform. Our digital platforms are scaling rapidly.

Adi, the Gen AI-powered frontline assistant, has seen a 66% increase in usage. It helps employees deliver faster, consistent resolutions at the frontline, enhancing productivity and reducing dependency on manual support. Bank-wide programs to build distinctiveness through Bharat Banking and Sparsh continue to progress well.

The rule advances grew 5% YOY and deposits from Bharat branches were up 9%, thereby aiding the PSL metrics. We have expanded our multi-product distribution architecture to 2,737 branches. Sparsh 2.0, our enhanced customer experience program, simplifies interactions driving NPS, automation and dataization with a focus on customer loyalty and business growth.

Our retail bank NPS score has matured significantly, rising to 159 from a baseline of 100 in the past three years. Softer aspects like our brand consideration score has also improved over the past few years. In conclusion, we are optimistic as we step into FY26.

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We believe large, well-capitalized banks like Axis with strong digital capabilities, innovative product suites are best placed to capitalize

on the India

opportunity. Our platform will allow us to grow at rates faster this year than the industry and this thesis will continue to play in the medium term.

Before I hand over to Puneet, on behalf of the bank, I would like to acknowledge Rajiv Anand's exceptional 16-year journey with Axis Group. We thank him profusely for his visionary leadership and invaluable contributions across all business segments of the bank that has created a lasting impact on the bank's growth and culture. Thank you so much, Rajiv. I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. Our performance at a glance for Q1FY26 is as follows.

Operating profits at INR11,515 crores, up 14% YOY, 7% QOQ. Our operating performance is driven by higher non-interest income and effective cost control. Our net interest income was up 1% YOY, down 2% QOQ. Net interest margin at 3.80%, down 17 basis points QOQ.

Non-interest income up 25% YOY, fee income up by 10%, retail fee up 9%, granular fee accounts for 91% of our total fee. Operating revenue was up 8% YOY, operating expenses grew 2% YOY and was down 5% QOQ. We delivered a positive operating job for the quarter.

Cost of assets at 2.41%, declined 5 basis points QOQ, 13 basis points YOY.

Consolidated ROA at 1.51%, X of technical impact ROA was 1.66%.

Consolidated ROE at 13.57%, X of technical impact 14.9%. Our focus on average deposits continues. MEB deposit growth remains steady.

YOY, MEB, QAB total deposits grew 9% and 8% respectively. Term deposits grew 12% and 12% respectively. CA grew 9% YOY, 4% QOQ. SA grew 3% YOY, 1% QOQ. MEB-QAB CASA ratio was at 40% and 38% respectively.

Average LCR during Q1FY26 was 119%. Outflow rates improved by 150 basis points over the last year. Cost of funds declined by 5 basis points QOQ and 11 basis points YOY.

SBB, SME and mid-corporate growth remains healthy. Our SBB, SME and mid-corporate mix stood at INR 2,472 billion worth of loans, 23% of our total

loans, up 820 basis points over the last 4 years. Overall, our advances grew 8% YOY . The bank's focus segments grew 11% YOY . SME loans were up 16% YOY and 2% QOQ . Corporate loans were up 9% YOY , 6% QOQ . And mid -corporate was up 24% YOY and 15% QOQ . Our

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small business banking book grew 15% YOY and 1% QOQ. Retail loans grew 6% YOY with rural loans growing 5% YOY . We are well capitalized with a self - sustaining capital structure and adequate liquidity buffers.

Overall, our capital adequacy stood at 16.85%. Our CET1 ratio was 14.68%, up 62 basis points YOY . Additional cushion of 36 basis points over reported capital adequacy is attributable to other provisions of INR 5,012 crores, not counted in the stated capital adequacy ratio number. Our excess SLR was INR 96,608 crores.

We continue to maintain a strong position in the payments and digital banking space. 'Open' by Axis Bank remains amongst the world's top rated mobile banking app on Google Play Store and iOS Play Store with ratings of 4.7 and 4.8, respectively, with 15 million active monthly users. 0.79 million credit cards were acquired in Q1 FY '26. Cards in force market share was 14%.

Let me move to the asset quality trends and the impact of the technical impact and explain that a bit. We disclosed in our Q4 FY '25 Earnings Call that we have reviewed the classification and upgrade criteria for certain types of loans that would impact the reported asset quality metrics. Accordingly, the prudent application of technical parameters for recognizing slippages and consequent upgrades have been implemented and has impacted reported asset quality parameters, including provisions and conveniences for the quarter ended 30th June 2025.

The technical impact is largely restricted to cash credit and overdraft products and one -time settled accounts. Hence, due to the technical impact, the reported values of gross slippages, net slippages, c

redit cost, NPA ratios, ROA

and ROE are not like for like comparable to previous quarter, previous year.

We have provided Slide 44 of the investor presentation that quantifies the impact of the technical impact across the key variables that I have discussed about. Let's move to each one of them in some detail. Reported gross slippages for the quarter were INR 8,200 crores. INR 2,709 crores of gross slippages is attributable to the technical impact representing 1.03% of gross slippages for the quarter in value terms. Gross slippages for the quarter adjusted for technical impact is INR 5,491 crores. Gross slippages X of technical impact have increased 13 basis points YOY and 20 basis points QOQ.

The QOQ impact is also a function of agri -seasonality. Reported gross slippage ratio annualized for Q1 is 3.13%. Adjusted for technical impact is 2.10%. Gross

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slippages segmentally were INR 7,500 crores in retail, 403 in CBG and 297 in our wholesale business. The technical impact on gross slippages by segment were INR 2,165 crores for retail, INR 234 crores for our wholesale business and INR 310 crores for our C BG business.

Segmentally the gross slippage ratio for our CBG and wholesale segments adjusted for technical impact declined QoQ and YoY. For the quarter, 29% of the gross slippages other than technical impact are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

It's important to note that 80% of the individual contracts that slipped because of the technical impact and that continue to remain NPA at 30th June 2025 are fully secured. Hence, given the security cover, we believe that economic loss due to technical impact will be minimal over the life of such contracts.

Net slippages, reported net slippages for the quarter were INR 6,053 crores, INR 1,861 crores of the net slippage is attributable to technical impact representing 0.71% of the net slippage for the quarter in value terms. Net slippage for the quarter X of technical impact is INR 4,192 crores. Reported net slippage ratio annualized is 2.33%, net slippage ratio adjusted for technical impact is 1.62%.



Net slippages segmentally were INR 5,726 crores in retail, INR 137 crores in CBG and INR 390 crores in our wholesale business. The technical impact on net slippages by segment were INR 1,574 crores in retail, 187% in our WBCG business and INR 100 crores in CBG. Segmentally, the net slippage ratio for CBG and wholesale segments adjusted for technical impact declined YOY. Our recoveries from written off accounts for the quarter was INR 904 crores, increasing 53% YoY and flat QoQ. Net slippages for the quarter adjusted for recoveries from written off pool and technical impact were INR 3,228 crores. The same number for Q1 FY25 was INR 2,700 crores and the comparable number for Q4 FY25 was INR 1,079 crores. Segmentally, for retail, it was INR 3,636 crores. Equivalent number for Q1 FY25 was INR 2,456 crores and for Q4 was INR 2,297 crores. Our commercial banking business was negative INR 14 crores for the quarter. For Q1 FY25, it was INR 13 crores and Q4 FY25, INR 5 crores. For our wholesale banking business, it was negative INR 334 crores. For Q1 FY25, it was INR 231 crores positive and for Q4 FY25, it was negative INR 123 crores.

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Our reported GNPA ratio is 1.57%. GNPA ratio adjusted for technical impact was 1.41%, lower by 13 basis points YOY. Reported net NPA ratio is 0.45%. Net NPA ratio adjusted for technical impact stands at 0.36%, increasing 2 basis points YOY and 3 basis points QOQ.

Thank you for your patience for our opening remarks. We would be happy to take questions.

Moderator: Thank you very much. The first question is from Saloni Shukla from Economic Times. Please go ahead.

Saloni Shukla : Hi, good evening. Mr. Chaudhary, you had said recently that any meaningful growth will

only come after the next two quarters. But Sir, even if we consider the technical impact, the asset quality performance hasn't been very great. So can you explain from here onwards how should we see FY '26 for Axis Bank on asset quality and even growth parameters? I'm seeing home loans also have not grown. So, LAP has grown and SME has grown. But if you could just sort of answer both these questions. Thank you, Sir.

Amitabh Chaudhry: Sorry, Saloni. Thanks a lot for the question. Let me take on the growth question first and then I'll come to asset quality. I made a statement. I said that our platform will allow us to grow at rates faster this year than the industry. And this thesis will continue to play in the medium term.

I think this line clearly brings out the fact and our intent and our confidence in terms of what can happen on growth. Obviously, this is subject to what happens in the market and how the market plays out. But we do believe that our platform is now well -poised to grow across various sectors, across various asset classes.

Where do we see more growth? Where the opportunity is? Obviously, something which we are watching very closely. We have been working on each of those platforms. There are reasons, very specific reasons why some asset classes have grown or not to that extent. But please continue to focus on the macro statement we are making.

As far as asset quality is concerned, apart from the technical change which Puneet talked about, when you compare the first quarter to the last quarter of last financial year, you do have this unusual impact coming through in the first quarter around agriculture NPL. So, you do have a situation where in the first and the third quarter you see a spike in NPLs because of agriculture. And then kind of you recover that in the second quarter.

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So, when you take the impact of that out, I think our overall slippages are similar. I will ask Puneet to expand on that further. But I do not see any change in terms of where the slippages are. We have also said last quarter that the credit card performance has stabilized. We will continue to monitor the performance of some of the other areas, which is personal loans and MFI and so on and so forth, and give you a first statement in terms of our outlook at the end of second quarter.

We continue to maintain that. But the overall slippages are not growing. They

are stabilizing. If you take the impact out of the two factors, one is the technical decline, second is the agri. Puneet, if you want to add anything, please go ahead.

Puneet Sharma: No, I would agree. I think, yes, if we have to identify one marginal area of improvement for ourselves, yes, recoveries and upgrades is what we can work on. But otherwise, I think our slippages are not exceptionally off what we see in other quarters.

Saloni Shukla: Okay, I just want to slip in one question. Would it be possible for you to give me a break-up of the slippages, which sectors it is coming from?

Puneet Sharma: Thank you for the question. I think as we called out, a dominant part of the slippages is coming from the retail segment. So, it is actually sector agnostic. From a product perspective on the retail side, we are seeing that come from the cash credit overdraft product largely offered to the retail customers, which includes some of the cash credit overdraft products we offer to the retail agri - customers that we have. So that's one product set that has gotten impacted by the change in the current quarter.

Holistically, across product sets, we have changed how we are accounting for one-time settlement classification, and that's across product sets because that's a thematic change in classification. So those are the two places where we have seen the impact play through. So, it will be sector agnostic, more product specific, please.

Saloni Shukla: Okay, thank you.

Moderator: Thank you. The

next question is from Ritu Singh from CNBC. Please go ahead.

Ritu Singh: Hi. I understand you repeated a few times this technical impact, but if you could put it very simply, why did you choose to change how you make provisions, what your policies around those really are? What were the sort of loopholes you identified because of which you chose to change this policy?

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So, in very simple words, if you could explain what exactly is this technical impact, and even without that, your retail slippages of INR 7,500 crores, excluding that INR 5,335 crores. Could you give us a breakup of exactly how much of this is agri, and where is the other stress that you are seeing? That's one question.

Second, on your loan growth in single digits at about 8% only, going ahead, do you expect this number to improve meaningfully? And if I may slip in a third question, since Mr. Rajiv Anand is retiring this quarter, is the DMV position that you are looking to fill at the bank anytime soon? Thank you.

Puneet Sharma: Thank you for the questions. Okay, let me demystify technical impact in simple terms. NPA classification happens on days past -due criteria, and then there is qualitative criteria, which is agnostic of days past -due. An example of that could be, if you've given a customer a one-time settlement, do you follow the days past -due criteria for downgrading the customer, or do you downgrade the customer as and when a one-time settlement is given?

So qualitatively and simply, classification can happen on days past -due, classification can happen on qualitative parameters. We have not changed any day-past-due parameters because they are driven by regulation.

The qualitative parameters, as we have previously indicated, we benchmark the most prudent in market on an annual basis. That benchmarking exercise happens for us in the period of Feb and March, and the implementation of that happens from the next fiscal.

The purpose of the benchmarking is to make sure that our balance sheet is resilient and can withstand any credit cycle that comes our way, therefore giving you a robust, credible outcome when growth comes back. So that's the thinking behind why the change and what the change is about.

I'll defer to Amitabh to answer the DMD question. If I've missed another part of the question, I'd be happy to come back and take that.

Ritu Singh: That is on the credit growth, and also on the slippages in this about size 335, including the technical impact, the retail slippage. How much is from the agriculture portfolio and how much and where is the rest from?

Puneet Sharma: So roughly, if you look at what we do, is Q1 and Q3 are cyclical, and the way I would request you to think about it is, in Q1 and Q3, about 25% or thereabouts of slippages are from the agri portfolio. So, you could apply the maths to INR

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5,400 crores, and roughly about 25% or thereabouts would be agri. The percentage would be broadly similar for last year's rupee crore number.

Ritu Singh: The rest of the 75%?

Puneet Sharma: The rest of the 75% is coming entirely from the unsecured business. We are very clear in making a call -out saying, we do not see stress in the secured part of our retail book as on date.

Ritu Singh: Sorry, since you say 75% of those slippages are from the unsecured book, when do you see that book stabilizing?

Puneet Sharma: So, it would basically be, if you look at the INR 5,491 crores that I called out, if you back out the 25% of agri, you will be left with a residual number. A large part of that residual number would have trigger accounts from the retail unsecured book, and some of them would have also got upgraded during the quarter.

Ritu Singh: Sure. On the credit quote and the DMV question, thank you.

Amitabh Chaudhry: So, when Rajiv retires in August, as per expectations of RBI, we need to have MD, CEO and three EDs. Our NRC is

actively looking at who and when we

appoint a third person as Executive Director of the bank. When we are ready to do that, we will be very happy to do it, but you should expect announcement of ED appointment as Rajiv retires. So that is the answer to one of your questions.

Second question I thought I answered in detail in the response to the first question, which was, yes, credit growth is where it is, but our confidence about what we can do the rest of the year and in the medium term given where our platform is, is high. We are expecting to grow faster than the industry.

Obviously, that's an expectation, but we are quite driven towards ensuring that we can deliver that output. Our platform allows us to do it. It is a question of identifying the specific retail asset class and the wholesale asset classes where we want to grow.

So, we have made that statement very clearly. We are not guiding for growth, but I have given you enough hints on that. We believe we can go faster than the industry.

Ritu Singh: Sure. The industry numbers are about 10% at the moment, so we will take cue from that.

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Amitabh Chaudhry: Let us see what the industry is, and we will at Axis Bank try to ensure that we are better than that.

Ritu Singh: Thank you.

Amitabh Chaudhry: Thank you, Ritu.

Moderator: Thank you. The next question is from Vishwanath Nair from NDTV. Please go ahead.

Vishwanath Nair: Hi. Just a -- I mean, I am sorry I am still harping about this technical impact thing, but just the fact that your NPA number has changed, or fresh slippage numbers can change from INR 5,500 -odd crores to INR 8,200 crores, and INR 2,700 crore addition. I mean whatever material or immaterial changes you might be making to your NPA classification; it is just a little surprising that the gap is so big. So, if you can explain why exactly the gap is so big.

The second part of this question is about the growth aspect. So, I know you made a lot of comments, Mr. Chaudhry, but just the fact that your retail book is not at all at this point in time showing any material growth of 6%. 27% of your retail book is just home loans, which has not grown at all in quarters, multiple quarters.

And if you were to look at the next largest piece of your book, which is rural loans, there as well you have seen a QOQ decline. I am just trying to understand the reason behind this confidence that you will beat industry growth. Just these two questions. Thank you.

Amitabh Chaudhry: Well, we are -- normally, I think you will notice that as Axis Bank. we are quite careful about what we say. I think sometimes we are blamed for not saying enough or not projecting things in the future too much. The fact that some of the retail asset book has not grown should actually give you confidence that we can grow because there is that much more opportunity for it to grow. Some of the asset classes have not grown because you have seen a spate of

regulation changes, which has meant that the way loans are done or the way loans are given out, their processes have changed or the way they have to be booked, that process has changed.

So, in some of the areas where the growth is not there, it is not because if you go and look at the numbers, the disbursement growth is quite solid, but the overall AUM has not grown because in many cases you have seen loans getting repaid or renewal not getting done, etcetera.

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So, the second part of the confidence comes from there, that we know that the disbursement growth is going quite well. A number of asset classes in the retail area, but the AUM is not reflecting that as yet and it will reflect over a period of time. Wholesale is an area also which did not grow for a long period of time or did not grow fast enough. In this quarter we have shown that the wholesale side has started growing.

So, by the way not that our overall loan growth is bad,

our loan growth is in line

with the industry and we are seeing that the industry credit growth starts picking up. We believe we can also pick up from where we are. So if you believe that if we can deliver this growth with, as you said, low loan growth on the mortgage side or Bharat Banking side, I think it should give you more confidence that what we are saying comes with some logic.

As far as the credit, the slippages are concerned, I will ask Puneet to add, but at a very conceptual level, what this new provision policy has done for us is that it has either led to...

Vishwanath Nair: I am sorry, I think the audio dropped.

Moderator: Participants, thank you for patiently holding your lines. We have the lines of the management reconnected. Over to you, Sir.

Amitabh Chaudhry: Sorry, I was on that answering the question on the credit costs. We got disconnected. Apologies about that. So, I have explained to you what's really happening conceptually. Again, just to repeat, so you get the sense for what we are saying. Either it's pre-polling recognition of NPLs because you are being more conservative or we are delaying recognition of recovery over a period of time.

And that's the bigger driver. Yes, because the stock of our overall book is so large, you are seeing the impact of that in this quarter to be quite large. We do believe that the economic impact over a period of time will be almost will become minimal. And yes, so hopefully from here on, it will start to come down.

Vishwanath Nair: Just a follow-up to this. So, would you say that this is a one-off then?

Amitabh Chaudhry: Let Puneet finish, then why don't you ask a follow-up, if you don't mind.

Vishwanath Nair: Sure.

Amitabh Chaudhry: Let Puneet finish.

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Puneet Sharma: Thanks, Amitabh. I think broadly the way you have to think about whenever a policy changes, there is a re-correction of stock and then there is the true flow. What you've seen in the current quarter is a re-correction of the full stock because we don't apply policy changes prospectively, we apply it to the full book as of a given date.

So the reason the number is large in Q1FY26 is the full book has gotten reassessed on that criteria, consequently large. Now that the stock has flowed through Q1 to the point Amitabh was making earlier, the flow should be more moderate than what you've seen in the current quarter.

Vishwanath Nair: So, it's safe to say that this is a one-off then, the spike in slippages?

Puneet Sharma: So, it is safe to say that -- so I'd like to confirm two or three things. One, having benchmarked our policies, we do not expect to make any further changes of this nature on a go-forward basis because we think we are at the most prudent end of the street today. So, this is probably the end, not just probably actually the end of policy corrections at Axis Bank unless regulation changes today. So that's one confirmation we are happy to offer.

Second is, the impact will play through the full year, but the stock correction is Q1. So yes, it's fair to assume that the impact will be more muted in the subsequent quarters.

Vishwanath Nair: All right. Thank you.

Moderator: Thank you. The next question is from Mayur Shetty from Times of India. Please go ahead.

Mayur Shetty: Yes, sorry. My question was also on this, the technical impact. I just wanted to know if I understood it correctly. The slide says that the total impact was INR 614 crores. So, the profit is down by INR 614 crores because the bank has changed its asset classification and income recognition norms. Is that correct? Would it be correct to say that?

Puneet Sharma: Yes, that's correct. So I guess you are referring to Slide 44 of the investor presentation. INR 614 crores is nothing, but 75% of INR 821 crores, which is the provision we have made because of higher recognition that was done due to change in norms. So INR 821 cr

ores is the provisions and contingencies impact. Post-tax impact is INR 614 crores.

So, yes, one way to read the number is the reported PAT plus INR 614 crores of PAT would have been apples-to-apples to same quarter last year.

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Mayur Shetty: And with this new policy, are you all compliant with the ECL norms? Should they be implemented?

Puneet Sharma: The new policy would -- effectively the policy has nothing to do with ECL norms. The ECL norms are provision-led. Our provisioning policy was always more conservative than required by regulation and more conservative relative to our peer banks. So yes, as is PCR today. We do not believe that there will be a stage 3 impact on ECL transition to our network, i.e., we are adequately provided for stage 3 assets.

Mayur Shetty: Thank you.

Moderator: Thank you. The next question is from Gopika from Mint. Please go ahead.

Gopika: Hi, just one more question on this technical impact. If I missed, what triggered this change in the policy?

Puneet Sharma: Gopika, thank you for the question. As a bank, we undertake a benchmarking exercise to market best practices annually. This exercise we do internally between the months of February and March. When we did this exercise, for the non-DPD-based parameters, we did find an odd bank that was following criteria that were more stringent than us, and that benchmarking led to the change that we have made.

If you go back in our history, you would have seen similar changes made to the CBG provisioning policy, similar changes being made to our 100% provision on unsecured retail assets policy change. So it's a continuous process to get better over a period of time, and that's what yielded this change currently.

Gopika: Okay. This is not because of any concerns regarding your retail portfolio...

Amitabh Chaudhry: Sorry to interrupt the question. By the way, we had stated that we are changing our policy in the last call, so it's not that this is some sudden thing which we did. I think when we did the last call, we did say that we are making a change and you will see an impact come through our results.

But anyway, yes. No, there was nothing which we are seeing in the portfolio or something in the economy which is making us conservative. It was a planned thing which we do every year. I think now we have become the most, as Puneet used the word, the most prudent bank in terms of provisioning policies across the spectrum, and hopefully we have done with it.

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Gopika: And one quick question on margins. Of course, how do you see the impact of margins? Because the funds have come down, but how do you see margins panning out in the next quarter, in the coming quarter?

Puneet Sharma: So, thank you for the question again. I would request that we look at margins on a through-cycle basis rather than a sequential quarter basis, and I'll answer your sequential quarter question. Our balance sheet is reasonably tightly matched on duration.

Therefore, over the duration of our assets and liabilities, which is roughly in the 15-to-18-month range, asset re-pricing and liability re-pricing should level off. Therefore, we retain our confidence that on a through-cycle basis, we will stay at the 3.80 NIM that we have previously alluded to. For the next quarter, the RBI has cut rates by 100 basis points.

25 basis points of that have been fully passed through in the current quarter for the full quarter. The remaining 75 basis points have been passed through for part of the quarter. So, the way you have to think about it is the full 75 basis points will get passed through the next quarter. That's how, directionally margins will go.

Gopika: Okay. Thank you.

Moderator: Thank you. The next question is from Hamsini from Moneycontrol. Please go ahead.

Hamsini: Hi. A couple of things I'd like to understand. So, this technical aspect that we just c

overed right now, has it been only for retail assets or across the business classes? And as a continuation to this aspect, is the RBI inspection still ongoing? Would it have any bearing to the inspection as well?

Puneet Sharma: I will not comment on inspection, but I will give you a confirmation that this is not an RBI-triggered change. This is a change that we have triggered on our own.

Hamsini: And the second question I'd like to ask is, we have seen a protracted phase of high slippages from particularly the retail segment. Has it been difficult for the bank to sort of really pinpoint as to when the pain in the retail space is going to come to a near-tapering level? Have you assessed the situation well there? How long should investors expect that retail will be a pain point for Axis Bank, as well as for the banking industry as a whole?

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Puneet Sharma: Thank you for the question. I think I missed answering the question earlier, or part of your question earlier, which was whether this is just retail or across the portfolio. The implementation is across the portfolio.

But please appreciate that the larger corporate customers are able to work through some of these changes sooner than the retail customers. So that's the reason why we clearly called out that the impact on the CBG and the WBCG segment has been minimal.

To your second question on asset quality trends, We have called out the fact that credit cards is stabilizing for us. We have called out the fact that on personal loans, post -credit corrections that were undertaken, early rates on the new portfolio are encouraging, i.e. delinquency lower than previously underwritten portfolio.

This personal loan portfolio should vintage by end of H1, which is another quarter. And if the rates continue to be the way we are currently seeing it, we have called out the fact that early rates are good, so you'll clearly get a directional input basis vintaging of the book.

On secured, we have had no problem on retail or – and segmentally on wholesale CBG, we are not seeing any emerging risk. That should give you a full flavour of how we are seeing the colour of our book.

Hamsini: Thank you so much. If I can squeeze in one more question. On margins, you had given a guidance of about 3.8% being a sustainable number. I know QOQ is not the right way to look at it, but in a decreasing interest rate scenario, would you be looking at tweaking the product mix or doing something a little different with your retail – I mean, with your assets right now in order to ensure that 3.8% is maintained? I'm just curious to understand how you would look at this number?

Puneet Sharma: Thank you for the question. I think it's important that I put that question in perspective. 3.8% was on a through -cycle basis, so effectively the way I would request you to think about a cycle is equate a cycle to the duration of our assets and liabilities .

As previously called out, roughly it's in the 15 -month, 18 -month range. So if you take the last rate cut and measure 15 months to 18 months thereafter, you should see us being able to get back to the 3.80% that we have alluded to previously. So, on a through -cycle basis, we will get to the 2% to 3.80% name

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that we have. We have never said 3.80% will hold through for every single reporting quarter.

As responded to a question posed earlier, we reported a 3.80% net interest margin for the current quarter. The current quarter has for the full quarter

impact of 25 basis points and part of the quarter impact for 75 basis points. This 75 -basis points rate cut impact will fully play through in the next quarter. That's directionally how you should be thinking about our margins. Thank you.

Hamsini: Thank you so much.

Moderator: Thank you. The next question is from Harshita Swaminathan from Bloomberg News. Please go ahead.

Harshita Swaminathan: Hi. Good eve

ning. My question on NIM was mostly answered, but I did want to ask about the technical changes that you mentioned. Out of your loan book sector -wise, did you see that the impact of those technical changes was more in one particular part of the loan book or was it more evenly distributed?

Puneet Sharma: Thank you for the question. Like we said that, we can't call this out sectorally, because the change has impacted the retail segment more. And within the retail segment, the product that has got impacted by the change is the cash credit overdraft product.

That's ...so it's a product -specific impact rather than a sector or a segment -specific impact. One -time settlements are across all products, all segments. So the combination of the two is what has manifested in the current quarter.

Harshita Swaminathan: All right. Thank you so much.

Puneet Sharma: Thank you.

Moderator: We will be able to take one last question. The last question is from Varun Dubey from ET Now. Please go ahead.

Varun Dubey: Sir, my question on NIM has been answered, but I just wanted to understand one more thing because in last quarter the company has said that the company had 18 -basis -point cushion over the through -cycle margin. When the NIMs were 3.98%, it has come down to 3.8% now. So, what is the cushion that the company has? Can you tell me?

Puneet Sharma: Thank you for your question. I think let me probably articulate the way we think about margins. We think about margins on a through -cycle basis. We do not think of margins on a sequential quarter basis.

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The cycle should be measured broadly in terms of the duration of our assets and liabilities. And if you put them in the 15 -month, 18 -month range, over the period of 15 months to 18 months, then the rate cycle shows you a drop, you will first see a drop in margins and then a recoupment of margins.

So, what we have consistently maintained and what we continue to maintain today is the quality of the franchise that we have built will allow us to deliver 3.80% on a through -cycle basis with an early drop because assets get re -priced faster than liabilities and then a recoupment at the end of the cycle. So think about it as it inverted C, that's how margin trajectory should behave.

Varun Dubey: Okay, Sir, and I have missed, I think, Sir, your answer on the PL portfolio, I mean the personal loan portfolio, because it was expected to show some improvement in the next two to three quarters. So, are there any initial signs of improvement?

Management: Yes. Thanks, Varun, for the question. Yes. We have clearly seen some signs of change in the portfolio there. I think Puneet mentioned it earlier. All the key indicators that we have seen, whether its bounce rates, early delinquencies, resolution rates, we have seen an improvement. I think that provides us comfort and all are within the risk guardrails. I think he also mentioned the fact that we would still like to monitor these for a quarter before we are calling out normalization or stabilization, but clear signs of improvement.

Varun Dubey: Okay. Thank you, Sir.

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference over to Mr. Puneet Sharma for closing comments.

Puneet Sharma: Thank you, Rayo. Thank you, everyone, for taking the time to speak with us this evening. If there are any questions that have remained unanswered, please feel free to reach out to our Corp. Comm team. We will try and get back to you as soon as possible. Have a good evening, everyone. Thank you.

Moderator: Thank you very much. On behalf of Axis Bank, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

# Call: Oct 2025

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Axis Bank's Q 2 FY26 Media Conference Call  
15th October 2025

## MANAGEMENT:

MR. AMITABH CHAUDHRY – MANAGING DIRECTOR & CEO, AXIS BANK LIMITED  
MR. PUNEET SHARMA – CHIEF FINANCIAL OFFICER, AXIS BANK LIMITED  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR, AXIS BANK LIMITED  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR, AXIS BANK LIMITED  
MR. NEERAJ GAMBHIR – EXECUTIVE DIRECTOR DESIGNATE, AXIS BANK LIMITED

Page 2 of 27 Moderator: Ladies and gentlemen, good day, and welcome to the Axis Bank Conference Call to discuss the Bank 's financial results for the quarter and year ended as on 30th September 2025.

Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents, or the proceedings of the call is strictly prohibited, and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the lesson -only mode . There will be an opportunity for you to ask questions at the end of the briefing session . Should you need assistance during the conference call, please signal an operator by pressing “\*” then “0” on your touchtone phone. Please note that this conference is being recorded.

On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call we have Mr. Amitabh Chaudhry – MD and CEO , and Mr. Puneet Sharma – CFO.

I now hand the conference over to Mr. Amitabh Chaudhry – MD and CEO. Thank you, and over to you, Sir.

Amitabh Chaudhry: Thank you, Dorwin . Apart from Puneet, w e have on the call, Subrat Mohanty – ED, Munish Sharda – ED, Neeraj Gambhir – ED Designate, and other members of the leadership team.

This quarter, we have delivered a strong growth in advances and deposits, gaining market share in both. We have had a steady operating performance aided by stable net interest income, healthy fee income growth and positive operating jaws. Notably, our credit card business crossed 15 million Cards in force and our UPI market share rose to 35%



plus in terms of both value and volume, reinforcing our leadership as the top UPI payee . Our balance sheet remains resilient, and our capital position continues to be strong, enabling us to pursue profitable and sustainable growth.

Page 3 of 27 Let me summarize the Q2 performance.

1. On the deposit side, month -end balances grew 4% QOQ and 11% YOY , and quarterly average balances grew 3% QOQ and 10% YOY .
  2. On the lending side, total advances grew 5% QOQ and 12% YOY . Within that, small business SME and mid -corporate together grew at 8% QOQ and 20% YOY , and constituted 24% of total bank loans.
  3. Core operating revenue was up 4% YOY , and the core operating profit was up 3% YOY .
  4. Our fee to average assets continues to be the best amongst the peer private banks.
  5. The Bank remains well capitalized with a CET1 ratio of 14.43%.
- As we have stated in the past, we remain focused on three core areas of execution of our GP A strategy namely :
- Becoming a resilient all -weather franchise
  - Creating multiplicative forces to build competitive advantage
  - Building for the future

I will now discuss each one of these areas.

A. Becoming a resilient, all -weather franchise

We have continued on our journey towards building a resilient all -weather franchise. There are four areas of focus as we navigate the current cycle ; deposit growth, credit growth, retail asset quality and cost where we continue to work on sustainable outcomes.

- On credit, we delivered better growth outcome in second quarter , driven by wholesale banking, where we prioritize clients and segments which could drive deeper relationship economics .
- With faster tax, execution inte

nsity and One Axis orchestration,  
we continue to remain the p ort-of-call for complex mandates. On

Page 4 of 27 Retail Bank ing, we have started seeing gradual uptick both in the secured and unsecured segments with maintaining focus on sourcing better quality customers.

- On asset quality, our corporate SME and retail secured book are holding up well , and the retail unsecured book is broadly seeing improvement and stabili sation –specifically we have seen improvement in Cards and stabili sation in Personal Loans . All the key indicators – bounce rates, early delinquency, collection resolution rates – have shown an improvement, which provides us comfort.
- On a H1FY26 basis, the expense s increased by 3% YOY , and we continue to deliver positive operating jaws.

Let me move to Deposits now.

The deposit journey for Axis Bank should be looked at from three aspects – quality, cost and growth. Please refer to Slide #17.

- We have demonstrated controlled movement in cost of funds over the last two years. Our confidence in the franchise has allowed us to take early and proactive action on savings account rates and term deposits in Q1, which has resulted in a further QOQ decline of 24 basis points in the cost of funds in Q2.

- We continue to remain focused on growing faster than the industry in medium to long term. In Q2, we have gained further market share.

o YOY on MEB | QAB basis, total deposits grew 11% | 10%; term deposits grew 12% | 13%; CA grew 13% | 7%; SA grew 6% | 4%, respectively.

- o QOQ on MEB | QAB basis, total deposits grew 4% | 3%; term deposits grew 4% | 4%; CA grew (1)% | 2%; SA grew 4% | 3%, respectively.
- The strength of our deposit franchise continues to improve. Our acquisition engine , expansion plans, product launches, salary credits and Burgundy AUMs remain healthy.

Page 5 of 27 • The Bank has made focused interventions to ensure better engagements with the salaried customers and continues to see healthy trends with :

- 14% YOY growth in salary Uploads in the NTB salary book by Sept '25.
- 35% YOY growth in number of Premium accounts for NTB salary book acquired in YTD Sept'25.
- ✓ The premiumization of our franchise continues to progress well, led by 2% QOQ and 5% YOY growth in Burgundy assets under management. Recently , Burgundy Private was named Best Private Bank for High Net Worth Individuals (HNWIs) India at The Asset AAA Private Capital Awards 2025, among several other prestige accolades - an affirmation of our commitment to excellence in client service and wealth management.
- Our industry leading Neo platform s along with customized solutions across liquidity management, payments and collections continue s to drive higher transaction banking flows with compressing TATs and deepening stickiness through ecosystem flows. Please refer to Slide #31 for more details.
- B. Creating multiplicative forces to build competitive advantage
- Continuing t he focus on product innovation and digital empowerment, we have launched two industry -first solutions that redefine customer safety and financial access. First, 'Lock FD ', a pioneering feature that empowers customers to block premature withdrawals of fixed deposits by digital channels . And second, India's first gold -backed credit line on UPI with Gold Loans ' for MSMEs and self -employed entrepreneurs in collaboration with Freecharge.
- Axis Bank continue d to garner industry -wide recognition for its leadership , innovation and impact. Our commitment to social responsibility was honored with the prestigious FICCI CSR Award

Page 6 of 27 2023-24, while our people practices earned the top accolades, including the Business World, HR Excellence Award and the Brand on Hall Excellence Award. Further , our digital -first approach was validated with the SKOCH Award 2025 for our pioneering contactless strategy in bounce collection.

C. Bui

lding for the future

Digital Banking performance continues to remain strong

- We continue to introduce new journeys and enhancements . In Q2, we launched and scaled the Financial Health Score to all our customers . The financial health score provides a view to customers on how they are doing across various parameters of financial health. Additionally, we have revamped the Mutual Funds experience for customers and introduce d new features to enhance customer safety.
- Also, we continue d to roll out and further enhance the features on the Neo platform on the corporate banking side. By the end of Q2, we migrated approximately 95% of eligible clients to the Neo platform.
- Bank -wide programs to build distinctiveness through Bharat Banking and Sparsh is progressing well.
- The rural advances grew 2% YOY , while deposits from a Bharat Banking branches grew 10% YOY . We have expanded our

multi-product distribution architecture to 2,740 branches now.

- Building on the strong Q1 momentum, Sparsh 2.0 continues to drive our enterprise-wide transformation around Customer Obsession. It is changing how we listen, how we act and how we deliver, turning insights into action and action into impact. Our Retail Bank NPS has improved by 55 points since inception, reflecting steady progress in experience quality and customer trust across key journeys.

- At the recent GFS 2025, Axis Bank demonstrated its commitment to driving digital innovation by actively participating

Page 7 of 27 in nearly 15 major product launches. These include notable launches for UPI like UPI Reserve Pay, UPI H ELP, UPI for joint and business accounts, UPI Biometric authorization, Retail F x platform and many others. Furthermore, we are proud to have been part of the pioneering launch of Agentic AI Payments using UPI, reflecting our focus on leveraging cutting-edge technology to shape the future of banking in India.

As we look back, the first half of the fiscal year unfolded amidst a dynamic macroeconomic backdrop. While tariff-related developments presented headwinds, the policy rate cuts, a favorable monsoon, GST rate reductions and improving liquidity conditions are poised to serve as a strong tailwind as we enter the second half. These factors, combined with a series of progressive RBI policy interventions aimed at strengthening the financial ecosystem, set the stage for an acceleration in credit growth. With a resilient balance sheet, a sharp execution focus, and a clear strategic direction, we remain confident and optimistic about the opportunities that lie ahead. We will continue to invest where necessary to remain differentiated and distinctive in our journey towards building an 'all-weather institution'.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh. Good evening, everybody. The salient features of our financial performance for Q2FY26 are as follows.

1. We gained market share across deposits and advances, both growing at 11% and 12% YOY, respectively.
2. Our H1FY26 core operating profit was Rs. 20,010 crores, up 4% YOY. This was aided by stable NII, fee growth and positive operating jaws.
3. Steady operating performance aided by stable NII and robust fee income. Our NII was up 1% QOQ and 2% YOY.
4. Our net interest margin stood at 3.73% for the quarter, annualized. Fee income grew 5% QOQ and 10% YOY. Granular fee constituted 91% of the overall fee. Retail fees for us grew at 10% YOY.

Page 8 of 27 5. Our H1FY26 cost-to-assets stood at 2.38%. It declined by 14 basis points YOY, aiding us to deliver positive jaws.

6. Our MEB QAB CASA ratio stood at 40% and 38%, respectively.

Our average LCR outflow rates stood at 27.2%.

7. Our advances grew 12% YOY and 5% QOQ. Bank's focus segments grew 12% YOY and 5% QOQ.

8. Our small business banking plus SME plus mid-corporate book stood at Rs. 2,658 billion, 24% of total loans

. Grew 20% YOY,

and is up 738 basis points over the last four years.

9. YOY and QAB balances for SME loans were up by 19% and 9% QOQ. Corporate loans were up 20% and 11%, of which mid-corporate was up 28% and 8%.

10. Retail loans grew 6% YOY, of which small business banking grew 14% YOY and 5% QOQ. Our retail loans grew 2% on a YOY basis.

11. We remain well capitalized with adequate liquidity buffers.

Overall capital adequacy ratio stood at 16.55%. Our CET ratio stood at 14.43%, up 31 basis points YOY.

12. Capital cushion of 44 basis points over reported CAR attributable to other provisions of Rs. 5,012 crores and additional one-time standard asset provision of Rs. 1,231 crores.

13. Our excess SLR was Rs. 101,012 crores. Our average LCR during Q2FY26 was 119%.

We continue to maintain a strong position in the payments and digital banking space.

1. Continue to maintain a market-leading position in the UPI PSP space with a market share of 37% , and maintaining the lowest technical declines amongst the top 50 UPI remitter members.

2. Continue to be amongst the largest players in merchant acquisition with a terminal market share of approximately 20.6%.

Page 9 of 27 3. We acquired 1 million Cards in Q2FY26 and achieved the key milestone of crossing 15 million Cards in force with a market share of 14%.

4. The Axis mobile banking app remains strong amongst the world's top-rated mobile banking app on Google Play Store and iOS App Store with a rating of 4.7 and 4.8 , respectively , with 15 million active monthly users.

5. Stable asset quality. Our GNPA at 1.46% was down 11 basis points Q OQ and 2 basis points YOY . Our net NPA at 0.44% or 44 basis points was down 1 basis point QOQ .

6. Our provision cover ratio is healthy at 70%.

7. On an aggregated basis , our coverage ratio is 147%. Coverage ratio basically means all provisions by GNPA.

8. Gross slippage ratio at 2.11% is down by 102 basis points QOQ .

Our net slippage ratio at 1.05% is down 128 basis points QOQ .

Our retail asset quality is stabilizing.

- Retail business net slippages and net credit costs are lower than what we reported in Q2 FY25.

- Net credit cost is 0.73% , down 65 basis points QOQ .

Our domestic subsidiaries delivered steady performance :

H1FY26 total profit at Rs. 936 crores with a return on investment in domestic subsidiaries of 49%.

- Axis Finance :

- o H1 PAT grew 18% YOY to Rs. 385 crores.

- o Asset quality metrics remain ed stable with net NPA at 0.42%.

- Axis AMC :

- o H1FY26 PAT grew 11% YOY to Rs. 271 crores.

- Axis Securities :

- o Customer base grew 15% YOY and the H1FY26 PAT stood at Rs. 175 crores.

- Axis Capital :

- o H1FY26 PAT stood at Rs. 93 crores.

Page 10 of 27 o We executed 9 ECM deals and 6 non-ECM deals in Q2FY26 .

Let me cover a question that I anticipate on the call up front which is the standard asset provision.

1. Following an RBI advisory post its FY25 annual inspection, the Bank in Q2FY26 made an additional one-time standard asset provision of Rs. 1,231 crores for two discontinued crop loan variants.

2. The customer terms remain unchanged on the underlying loans.

3. This standard asset provision will be written back to P&L when all outstanding loans in the two discontinued variants are recovered or closed in the normal course or by 31st March, subject to us closing all outstanding loans in these product variants, whichever date comes earlier.

4. There is no divergence in asset quality or NPA provisioning that was identified in the said annual inspection. I repeat, no divergence in asset quality or NPA provision was identified in

the said annual inspection.

5. The additional one-time standard asset provision exceeds 7.5x FY25 and 13 times the three-year average P&L charge of credit cost for both products.

6. These loans are fully secured.

7. We are not expecting any significant increase in credit cost from

previous years in the two discontinued loan variants over the

residual closure or recovery period.

8. There is no requirement or obligation to top up this provision in subsequent quarters. Hence, this is a static amount that will finally be written back into the P&L.

9. The impact of the one-time standard asset provision on ROA and ROE is 23 basis points and 196 basis points, respectively.

Thank you for your patience. We would be very happy to take your questions.

Page 11 of 27 Moderator: Thank you very much. We would now begin the question-and-answer session. Our first question comes from the line of Saloni Shukla from The Economic Times. Please go ahead.

Saloni Shukla: Hi. Just one clarification on the one-time standard asset provision. So, this advisory was to the entire banking system or only to Axis Bank?

Puneet Sharma: Saloni, thank you for the question. We would not be able to comment on whether advisories are to the banking system or otherwise. But to the best of our understanding, because this was consequent to the annual inspection, we treat this as specific to Axis Bank.

Saloni Shukla: Can you give some more color on what was the concern regarding the RBI had that you had to take this standard asset provision? Was the account not performing well or what exactly are these loan variants that we are talking about?

Puneet Sharma: Thank you for the question. Let me try and explain this as lucidly as I possibly can. The Bank had been offering one of these product variants from 2015 and the other from 2021. These were loans given to farmers and classified as priority sector lending loans. The Bank has discontinued these two loan products. For these loans, the Bank had taken a position that customer terms should not be changed to the detriment of the customer having issue on discontinuance of the loan products. Hence, the existing stock of loans depending on the verified end-use of these customers will get classified into agricultural use, consumption use or will be closed on review or renewal date.

The Bank has been asked to maintain the standard asset provision on this stock of loans without changing customer terms till they get fully recovered or repaid. These loans have also been declassified entirely from our PSL computation and the Bank has purchased PSLCs in the current quarter to make good the declassification effect.

The provision of Rs. 1,231 crores translates to roughly about 5% of the underlying loan portfolio on a holistic basis. These loans are fully secured. We are not expecting any significant increase in credit costs

Page 12 of 27 from previous years for the two discontinued loan products. And the standard asset provision will get written back upon closure of these loans on 31st March, 2028, whichever date comes earlier.

So, in a sense, this is a stock of loans where we will re-characterize end-use. And once we finish the re-characterization, we will be able to write-back this provision into our P&L.

Amitabh Chaudhry: Saloni, just to add to what Puneet said. If our credit quality on these loans does not deteriorate further, which we do not expect to happen, we are taking a provision in this quarter which will be written back because of the static provision in the March 31st, 2028, quarter. That is the essence of what is happening here. We are providing now, this provision will be reversed in that particular quarter. Obviously, we will monitor it very closely, RBI wants us to monitor it closely. But we have given you data points which very clearly indicate that right now what we are seeing in the portfolio is no deterioration and we do not expect any

deterioration or significant deterioration in this portfolio going forward either. I hope it clarifies.

Saloni Shukla: Yes. Sir, Axis Bank was one of the banks which was very conservative on PL and Credit

Cards . This quarter has been really strong growth. So, would it be fair to assume that the asset quality worries on these segments have now receded completely?

Puneet Sharma: Thank you for the question. Retail asset quality is stabilizing. For retail businesses, the net slippages and net credit costs were lower than what we reported in Q2 FY25, which is four quarters ago. Further, gross slippages for all retail assets excluding technical impact has declined YOY , showing that the portfolio slippages are stabilizing. With the comfort that the portfolio is stabilizing, we increased card issuances to over 1 million Cards in a quarter and grew our retail disbursements by 17% Q OQ.

As you would recall, we had said that we were reviewing our scorecards. Early asset quality performance on the products showed decent trends. We had said we will provide an update as of 30th

Page 13 of 27 September. So, the portfolio is stabilized and we are getting some growth back in the two product variants.

Saloni Shukla: Okay, thanks.

Moderator: Thank you. Our next question comes from the line of Ritu Singh from CNBC. Please go ahead.

Ritu Singh: Hi, you have answered a bit on this one -time provision, but to just get back to that technical impact . In the last quarter, Puneet, I remember on record you had said that going ahead the impact is going to be minimal. In this quarter, compared to about Rs. 2,700 crores in the previous quarter, we have again seen a slippage of Rs. 1,500 crores. Could you give us a sense of when you expect this to be fully normalized, the impact to be fully absorbed? One.

The second question was around your NIM s, despite this being a relatively harder quarter for all banks on account of the rate cut . We have seen you have sort of stead ied the NIM s, but not much of a decline from the previous quarter. Now, what led to this ? And if you could give us an outlook as to whether you will be able to retain this kind of a trajectory? Thank you.

Puneet Sharma: Thank you for the question. Yes, I had indicated that you would see improvement in the technical impact . But just for completeness and recall, I had requested everyone to focus on the net slippages and the net credit cost because it's a running account. So, compared to the net slippage of Rs. 1,861 crores last quarter, we have had a net slippage of only Rs. 280 crores in the current quarter. And compared to a provision of Rs. 821 crores, we have a provision impact of Rs. 256 crores in the current quarter.

The way these accounts behave is Rs. 1,861 crores was collectible stock for me as I started Q2. So, I collected money from that collectible stock that is reflected in the recoveries and upgrades during the quarter. And if you do the math, 1,512 minus 280, that's roughly about Rs. 1,200 crores of recoveries and upgrades that have taken place in the current

Page 14 of 27 quarter. 60% of those have come from the Q1 stock, and the pool has a self -correct ratio of 35 %.

So, as this pool moves forward, directionally, you should see value of gross slippage on technical impact continue to tend downwards. And if recovery and upgrade performance holds, the net slippages should perform better as we move forward. That was the trajectory and explanation we provided. Slide 44 of our investor presentation has the details , both at the headline level and at a product segment level. And I think the quarter has played broadly in line with what we had previously indicated.

Coming to margin performance, yes, we have delivered a strong defense to margin decline. We had indicated last quarter that we had to still transmit close to 75 basis points on a full quarter basis of yield

compression. Our advances yield has compressed about 35 basis points in the current quarter on the full book, but that was offset by strong deposit repricing. So, we got 824 basis points benefit on COF. So,

that delta differential has helped us protect margins. So, the margins have purely come from operating reasons. There is no one-off or exceptional item in the margins.

Ritu Singh: The future trajectory of these margins, if this will continue, you will continue to have these levels?

Puneet Sharma: Thank you for that. We do not guide. But I think what we have previously indicated is, if there is no further rate cut that takes place, we have consistently been saying from the time rate cut started, for our franchise, we should see margins bottom out in Q3. But please do note that this is subject to no incremental rate cuts. If rate cuts happen, then we have a reset to the quantity of rate cut from a margin pressure perspective.

Ritu Singh: Just a quick one, if I may add in. From the series of regulatory reforms that the RBI has announced, whether that is easier capital market financing or acquisition financing, what are the areas in which you think

Page 15 of 27 Axis Bank would benefit most and where you could get some more market share?

Puneet Sharma: I will request Amitabh to comment on where we benefit as a franchise. But broadly, our comment on the policy changes announced by RBI, as we have reviewed them, are holistically possible, positive for the banking system and for us. We are currently assessing the impact or reviewing the draft guidelines. It's too early for us to offer an impact analysis on the changes announced because the changes are far-reaching. But generally, the headline message would be positive for industry, positive for us.

Amitabh Chaudhry: So, Puneet has covered it quite well. I mean, right now we are still awaiting, in many cases, draft circulars themselves to fully understand and appreciate what the operating model and the guidelines would be for each of those large-scale reforms which RBI Governor has talked about. But as Puneet rightly pointed out, I mean, the thrust of all of them seems to be to kind of continue to allow banks to do more than what they are doing today. And we are very hopeful that we have a platform which can capitalize on those opportunities.

I think I recently mentioned that acquisition finance is one such area. But again, we have to wait for the operating guidelines before we react. So, as and when they are issued and as and when they formally become new guidelines, hopefully, we will be ready to capitalize on all those opportunities over a period of time. So, we are looking forward to further clarifications. Thank you.

Ritu Singh: Thank you.

Moderator: Thank you. Our next question comes from the line of Subrata Panda from Business Standard. Please go ahead.

Subrata Panda: Hi. My question was, again, what Ritu asked based on the guidelines that RBI has come up with, on the proposed norms RBI has come up with on acquisition financing and how do you want to go about that? And also, what is the status on stake sale for Axis Finance? And in light

Page 16 of 27 of what the Governor had said in the Monetary Policy statement. Also, I want to add one thing. I mean, you, I think Amitabh mentioned that although rate cuts, GST rate reductions and improving liquidity conditions will help in credit growth, I just want to get a sense as to what kind of credit demand you are seeing in the festive season and what has been the positive impact of GST. If you can throw some light on that as well.

Amitabh Chaudhry: So, let me answer the latter half of the question first. As I said in my opening remarks, we firstly are very positive looking to not only the GST rate cut announcement but also the CRR cut which will flow through the banking system over the next couple of quarters. It is too early to comment in the sense that some of these cuts have become applicable

only recently. But yes, we are seeing some positive signs. Again, as I said, the cuts have happened only 20, 25 days back

and it will be foolish

on our part to jump to conclusions straight away. But at least on the retail disbursement side, we are seeing some positive uptick. On the wholesale side, we have demonstrated pretty good growth anyway. Has the industry started suddenly borrowing more? No. I think they will do it in a measured and calibrated way. So, we have to wait for a little bit more time before we can firmly conclude that this is having a positive impact on the overall growth in banks, advances and deposits.

On Axis Finance, we are going through a process. Yes, one of the things which have been talked about by the RBI Governor is that they are going to give some leeway to banks in terms of forms of business, a draft circular which was issued earlier. Again, we are awaiting the details of what RBI has in mind. But at the same time, please be aware of the fact that Axis Finance is growing quite well. It has its capital requirements and we do need to ensure as the owner of Axis Finance that they get capital at the right time.

So, we will continue to evaluate our options and do the right thing for Axis Finance. Hopefully, forms of business sector is not very far away and that will give us a clear direction in terms of what leeway and flexibility we have. Also, Axis Finance will become an upper layer NBFC

Page 17 of 27 very soon, given the size of the AUMs they already have. And that will also mean that we get onto this path of ultimately having to list it at some stage in the future. So, there are quite a few factors at play and obviously we are taking all of them into account as we evaluate raising money in Axis Finance. The process is still on. Have we completed all your questions?

Subrata Panda: On the acquisition financing part, are there areas that you are particularly looking at?

Amitabh Chaudhry: Our genesis of that saying that it is positive for us is that we have been the leading player in the syndication, both debt and loan side for the longest period of time. Now, as Indian banks are allowed to do acquisition financing, it plays to our strength in terms of our relationships with various corporates and business houses, our ability to syndicate, our ability to raise equity also at the same time. Obviously, it depends on the opening guidelines which come into play, but obviously it will be something which we will be looking at quite actively as we move forward. That is where our optimism is coming from. Though it all depends on what the final set of guidelines will look like.

Subrata Panda: Thank you so much, Sir. Thank you.

Moderator: Thank you. Our next question is from the line of Ashish Agashe from PTI. Please go ahead.

Ashish Agashe: Thank you so much, Sir. I hope I am audible. You mentioned about the Rs. 1,231 crore provision, you said that it is 5% of the entire exposure of the two discontinued products. Sir, just a small question, where does the 5% decision come from? Was that also part of the advisory that provides so much? Or was it a call taken by the Bank, because this is standard assets ultimately?

Puneet Sharma: Thank you for the question. The 5% is a translation of the amount on the denominator. The advisory was for an absolute amount. So, we got an advisory of Rs. 1,231 crores. So, the advisory is for the absolute amount. When I translate Rs. 1,231 crores by the outstanding portfolio

Page 18 of 27 as of 30th September, that translates to approximately 5% of portfolio value.

Ashish Agashe: Okay, Sir. And one more thing, Sir, what is leading to the degrowth on the home loans front, like a 1% decline? Is it some bit of caution from the Bank on that, Sir?

Munish Sharma: So, our home loan book is made up of three components. One is the prime home loan book, one is the affordable housing book, and third is part of the mortgage book is the LAP book. If you look at our LAP book, it is growing at 22%



. Essentially, as we have been saying that in the past few quarters we were seeing either stabilization of disbursements in this book, as a result of which the runoffs were faster than the additional disbursements in the book and that is why the book growth was muted. In the last quarter, as Amitabh and Puneet just mentioned, we started seeing the growth coming back in the home loan segment. And also, we are looking to grow our affordable housing book profitably and at a higher rate. As the disbursements catch up in the next couple of quarters, the book growth will start to set in.

Ashish Agashe: So, you are basically saying that this is sort of past payments really happening and fresh disbursements not keeping pace, basically?

Munish S Harda: In the past. And the fresh disbursements have now started to pick up.

If we take you back a couple of quarters, we have been saying that even in this tight liquidity environment we have been actually calibrating our disbursements depending on the type of the asset which is giving us the right level of ROC. And home loan at that point in time looked a bit lower in the ROC hierarchy. Disbursements were a bit muted. We are seeing the disbursements come back. The competition has become a bit more rational in this space. And as the disbursements start growing over the next few quarters, the growth will start coming back in that book.

Ashish Agashe: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Piyush Shukla from The Hindu Business Line. Please go ahead.

Page 19 of 27 Piyush Shukla: Hi. I wanted to ask, firstly, these two crop loan variants you are talking about, what type of loans were these, like KCC or tractor finance?

Exactly what kind of these variants were? This is one clarification I wanted. And my questions are, one is on the other operating expenses which have risen to Rs. 6,839 crores from Rs. 6,040 crores last quarter, so why this jump? And on ECL, have you estimated the amount of provision you will have to make based on the draft guideline or you are yet to do so? Thanks.

Puneet Sharma: Thank you. Let me start with the last question first. The ECL guidelines are draft, and like I said earlier, we are in the process of assessing the draft guidelines. We do do pro forma submissions to the regulators given where our provisioning policies are. We do believe that we are adequately provided for transition. There will be a marginal impact of additional provision asks given that ECL is on an exposure basis and IRAC provisions are on an outstanding basis. So, you need to provide for exposure under ECL, under IRAC you provide for outstanding. So, our current best assessment is, there will be a marginal impact that we will have to undertake if the transition date was as at the end of last quarter.

I think the second part of your question, if I recollect correctly is, it is basically - it is farmer lending is how I would classify the two product variants at. And the farmer lending could be, the farmer could have used it for any end use as we see it. Sorry, I missed your second question if you could help me with that, please.

Piyush Shukla: The part on higher other OpEx, Rs. 6,839 crores versus Rs. 6,040 last quarter, why was this bump?

Puneet Sharma: So broadly, if you look at QOQ OpEx, let us break the QOQ OpEx down into two parts. As I had indicated earlier that we have declassified the two product variants from priority sector loans. And consequently, we went out and purchased priority sector lending certificates in the quarter. The cost of the priority sector lending certificates in the quarter for a half year basis, because the PSL is an average requirement since this purchase happened in the second quarter, we have charged half

Page 20 of 27 year cost in the current quarter. So that is the principle and only reason for cost increase on a QOQ basis. If I exclude

the PSLC cost, our QOQ cost increase is 2%. So, costs are well contained with the exception of the PSLC cost incurred on declassification and PSLC purchase.

Piyush Shukla: Okay, thank you. Just marginal impact, will you be able to say, what would that be? I mean, you are mentioning margin, is there any figure

to that on EC L?

Puneet Sharma: So, we do not publicly quantify what that impact would be. Please read marginal in the context of net worth, because the opening adjustment would happen on net worth. I just want to be abundantly clear. Second, we would like to await the final guidelines because we still want to assess concepts like minimum provision thresholds, etc. Further, the color of the portfolio will change by the time implementation happens, so it will be a dynamic number. So, we have not put out a number in public domain. But, if I was to give you a directional input, marginal in the context of our net worth.

Piyush Shukla: Thank you. Thank you, Sir.

Moderator: Thank you. Our next question comes from the line of Siddhi Nayak from Bloomberg. Please go ahead.

Siddhi Nayak: Okay. Sir, I wanted to take the acquisition financing question a bit further. I understand we do not have the guidelines as such, but I wanted to understand how are large banks like yours, large local banks like yours, kind of pitting yourself against the already established foreign lenders in the acquisition financing space? Like, what is the broad sense in terms of how would you want to compete with the large foreign players in this space in terms of both underwriting spreads? If you could answer that, and then I will take forward my other question.

Neeraj Gambhir: So, this is Neeraj here. As far as acquisition financing is concerned, domestic banks are already permitted to participate in offshore acquisition financing. What they were precluded from was the domestic mergers and acquisitions. Now, again, this is subject to the final

Page 21 of 27 guidelines. Now once they are permitted in domestic M&A market, fundamentally for a rupee transaction, raising rupee funding is the best way, because in that process you do not end up taking any currency risk, right? And as far as rupee financing market is concerned, whether it is loans or whether it is bonds, Axis Bank has a leading position, we are the number one bank as far as the lead tables are concerned. So, it quite naturally fits into what we have been anyways doing. So, I hope that answers your question.

Siddhi Nayak: So, is it safe to say that domestically banks, especially given their risk thresholds, etc., would be targeting just AAA and AA corporates in the domestic M&A space?

Neeraj Gambhir: Well, large corporates, I would not go into what specific ratings. And yes, I mean, as far as the domestic rupee financing market is concerned, domestic banks have the largest share, foreign banks have much smaller share.

Siddhi Nayak: Okay. My second question is on the impact of tariffs. Amitabh Sir said that in the beginning of his remarks that tariff impact has started to play out, but that's kind of offset. What's the kind of impact you saw on the corporate loan front, on the small loans as well? Has it started feeding into the credit growth?

Neeraj Gambhir: Yes. As far as tariffs is concerned, I think three or four sectors are the largest impacted sectors. They are very well known; textiles, gems and jewelry, electrical parts, and pharma. We are watching for the impact. So far, not much impact is visible in our portfolio. In some of these sectors, for example, gems and jewelry, our exposure is virtually very, very small. But the full effect is yet to play out. And obviously, the market is hopeful of a trade deal at some point in time in the near future. So, it's an evolving situation, we will see how this plays out. But, at this point in time, not much real impact as

far as asset quality is concerned.

Siddhi Nayak: Okay, Sir. Thank you.

Page 22 of 27 Moderator: Thank you. Our next question is from the line of Vishwanath Nair from NDTV Profit. Please go ahead.

Vishwanath Nair: Hi, a couple of questions, the first one being on the loan growth side of the story. So, this quarter, clearly, the 20% growth on the corporate loan book has been one of the boosters. I am trying to understand from you, because in the past there have been comments about the rationality of

pricing on this book. Are you comfortable with the way the pricing is happening in the market? And is this going to be a big boost? That's the first one.

The second one, again, on the technical impact one. Puneet, I get your point about looking at the net credit cost point of view. But having said that, the fact that it's still very close to the technical impact on the gross capital is still close to the Q1 number, that's a bit worrying. So, if you can give me some understanding on that. Thank you.

Subrat Mohanty: Hi, this is Subrat. On the corporate loan growth, and whether we have been able to maintain pricing discipline, I think this is something that we have continued to focus on. We have always maintained that we will grow when we find the pricing to be to our liking. So, there have been opportunities in the quarter, and we continue to see those opportunities going forward as well, where we are able to leverage the relationship that we have and be able to satisfy our internal pricing grid in order to be able to grow.

In Q2, there were a few good opportunities that came our way, something that we had not seen in the past. So, therefore, that particular number looks a bit inflated. But in general, we find that there is opportunity in the wholesale segment for us based on strong relationships that we have got and some of the trends we are seeing in certain sectors where there is movement from client in terms of making new investments. So, that's really what happened on the corporate book, it's come with the kind of pricing discipline that we have always maintained.

Page 23 of 27 Puneet Sharma: Vishwa, thank you for the question. To aid my response to your question, I would request you to look at Slide 44 of our investor presentation. Broadly, let's start with the quantum underlying question that you raised. So, the technical impact was 1.03% contributed to gross slippages last quarter, it has actually halved to 0.56%. So, there has been a meaningful reduction in the gross slippage number itself. Second, the reason I request that we look at net slippages is the Bank's reporting practice. So, let me explain this with an example. Since we are discussing Q2, this is the July to September quarter. So, if at the end of the July month, I was to slip because of the technical impact, I would get recorded as gross slippage. Consequently, the customer upgraded themselves on July. So, on August 1 if the customer upgraded, the customer would be recorded as recoveries and upgrades. So, we are not netting off same quarter recoveries from the gross slippage number.

So, there could be customers that would have purely because of interest application at month end slipped for the night and gotten upgraded because they serviced the very next day. Hence, my request that we should remain focused on the net slippage because that is a reflection of the performance for the quarter and net slippages is what drives the provisioning cost. So, I hope that clarifies for you.

One, on an absolute basis, customer behavior has improved, which is showing in a reduction in the gross slippage number. And the net slippage number, the impact is even larger. And the reason it flows that way is because of the month-end reporting problem. I hope that gives you clarity on why the gross and the net differ in reporting patterns.

Vishwanath Nair: Sure. Thanks

Moderator: Thank you. Our next question comes from the line of Malvika from Money control. Please go ahead.

Malvika Sundaresan: So, a week ago, I think around October 10th, the RBI's high-level committee issued a letter of caution to Axis Bank citing lapses in

Page 24 of 27 KYC norms related to an old account. Last quarter, the Bank also undertook a cyclical write-off. So, we are seeing two back-to-back regulatory and operational issues.

So, a few parts to the question, how should investors sort of interpret this? And there is still no clarity on whether these actions were a result

of direct regulatory intervention or did Axis Bank initiate it as a part of their own compliance measure? And lastly, what concrete steps are you taking to strengthen compliance framework going forward?

Amitabh Chaudhry: Thank you for the question. I mean, obviously, compliance is right in front and center for all of us at Axis Bank, is something which we not only have to deliver in every transaction, but in how we behave, how we think, etc. The specific case which you mentioned, where we received an advisory relates to an account which was opened in East India in 2010 - 11. Let me repeat, 2010 -11, and whether the right documentation was taken at the time of the opening of the account.

It has taken this much time because RBI at that time had looked at that particular account and given us some instructions. This latest advisory has come about because one of the constituents has been fighting in the courts and based on certain court direction, RBI has had to re-look at the whole process all over again. So, please understand that this is something which happened 14 years back. But I do not want to discount it by just saying it happened 14 years back. We have to keep looking at what do we need to do as an institution to not have any of these issues ever recur or happen in the future. And we are working very hard as an organization and so is the board to ensure that it does not happen.

In this particular case which you are referring to, the technical write-off and some of the other stuff, it happened because of self-detection and we detected it ourselves. We obviously took corrective action. It led to a certain amount of provision. As we have already shown in our numbers, the impact of that in the second quarter has come off quite sharply and hopefully it will continue to trend down as we move forward. But I completely agree with you that we have to continue to move forward. As far as investors are concerned, obviously, we will have a

Page 25 of 27 conversation with them to convince them that some of these items are one-off and not repeated.

Malvika Sundaresan: Thank you.

Moderator: Thank you. Our next question comes from the line of Gopika from Reuters. Please go ahead.

Gopika Gopakumar: Hi. I just wanted to understand what is your credit growth guidance for this year? I mean, you are saying the new guidelines set the stage for higher credit growth, so how much of a difference or incremental change are you expecting? That is one.

And second, you said Axis Finance could soon become an upper layer.

Are you expecting that to happen this financial year?

Subrat Mohanty: Thank you. This is Subrata. On credit growth, we do not offer guidance on credit growth. In Q1, we had mentioned and reiterated our aspiration in the medium term to grow about 300 basis points above market. That is the journey that we are on. So, we continue to try and build the book in a manner where we are growing a bit faster than the market. That trend has started from this quarter onwards. So, we will continue to work very hard to do that. But no short-term guidance on where credit growth will be during the course of this year.

On Axis Finance, I mean, that is again a future or a forward kind of view on when can we be upper layer NBFC. Right now the team is focused

on making sure that they continue to grow the way they are growing and we will continue to find ways to support them in terms of capital, and that is the priority. As and when they cross a certain threshold, they will become an upper layer NBFC, it is just a matter of building the book and reaching a certain number. But we do not have a clear view on when that particular timeline will be achieved. So, that is really the comment on Axis Finance.

Gopika Gopakumar: One last question, if I could slip in. You said the stress has stabilized in the retail loan segment, but when do you see that coming off? I mean,

Page 26 of 27 it is still around those levels that we have seen in the last quarter. But when do you see it substantially coming off? When do you see the turnaround coming?

Subrat Mohanty: I think we have kind of shown the trend and the trajectory there. In terms of the numbers, we have mentioned that it is the lowest in the last five quarters. From our perspective, the two areas that were areas of focus was unsecured and Cards . We have continued to maintain that in Cards , from Q4 onwards, we have seen the stabilizing trend. On unsecured, we are starting to see the stabilization happen, which we had in some sense anticipated and we had come back saying we will give you a constructive commentary as part of this quarter comment, which we are offering.

You will also have noticed that disbursement growth has started happening. The card numbers are up. On the unsecured side also there has been disbursement growth, which suggests that there is confidence that we are able to open some of the gates. So that's really where we will leave this at this point in time. And you will see QOQ how the numbers trend. From our perspective, the way we had anticipated, the book is behaving exactly that way.

Gopika Gopakumar: So, the retail loan NPAs are coming , as of now, it is only from credit Cards and Personal Loans , no other segments ?

Subrat Mohanty: They come from all segments . But, in terms of what we predict or what our forecast says, everything else is well within our internal estimate.

Gopika Gopakumar: Thank you.

Moderator: Thank you. I would now like to hand the conference over to Mr. Puneet Sharma for closing comments. Over to you, Sir.

Puneet Sharma: Thank you, Dorwin . Thank you, ladies and gentlemen, for your time this evening. If there are any questions that remain unanswered, please do reach out to our Corporate Communications team , we would be very happy to pick them up and respond to you in due course. Thank you for

Page 27 of 27 your patience and have a good evening. Wishing you and your families a very Happy Diwali and a prosperous new year. Thank you.

Moderator: Thank you. On behalf of Axis Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

# Call: Jan 2026

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Axis Bank Limited Q3FY26 Earnings Conference Call

January 26, 2026

MANAGEMENT : MR. AMITABH CHAUDHRY - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , AXIS BANK LIMITED  
MR. PUNEET SHARMA - CHIEF FINANCIAL OFFICER , AXIS BANK LIMITED  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR , AXIS BANK LIMITED  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR , AXIS BANK LIMITED  
MR. NEERAJ GAMBHIR - EXECUTIVE DIRECTOR , AXIS BANK LIMITED

Axis Bank Limited  
January 26 , 202 6

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Moderator : Ladies and gentlemen, good day and welcome to the Axis Bank Conference Call to discuss the bank's financial results for the quarter ended as on 31st December 2025. Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent.

Unauthorized dissemination of the contents of the proceedings of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. On behalf of Axis Bank, I once again welcome all the participants to the conference call. On the call, we have Mr. Amitabh Chaudhry, MD and CEO, and Mr. Puneet Sharma, CFO. I now hand the conference over to Mr. Amitabh Chaudhry, MD and CEO. Thank you and over to you, sir.

Amitabh Chaudhry: We have on the call our Executive Directors - Subrat Mohanty, Munish Sharda and Neeraj Gambhir and other members of the leadership team.

We continue to deliver strong growth across both deposits and advances. Our core operating performance remains steady, supported by resilient net interest income and healthy momentum in fee income. We have continued to strengthen our distribution footprint and have now crossed the milestone of 6,000 branches. Our balance sheet remains resilient, and our capital position continues to be strong, enabling us to pursue profitable and sustainable growth.

Let me summarise the highlights of Q3:

1. Our Deposits growth momentum continued with month■end balances growing 5% QoQ and 15% YoY , and also quarterly average balances growing 5% QoQ and 12% YoY; with CASA delivering a strong growth of 3% QoQ and 14% YoY
2. Our total advances grew 4% QOQ and 14% YOY . Within that, Small business, SME and mid -corporate together, grew at 5% QOQ and 22% YOY and constituted 24% of total bank loans.
3. Core operating revenue was up 7% YOY and the core operating profit was up 7% YOY .
4. Our PAT was up 28% QOQ.
5. The Bank remains well capitalized with a CET 1 ratio of 14.50%.

We continue to stay focused on the three core areas of execution of our GPS strategy namely :

- o Becoming a resilient, all -weather franchise
- o Creating multiplicative forces to build competitive advantage
- o Building for the future

I will now discuss each one of these areas.

A. Becoming a resilient, all -weather franchise

We have continued on our journey towards building a resilient, all -weather franchise. There are four areas of focus as we navigate the current cycle - deposit growth, credit growth, retail asset quality, and costs - where we continue to work on sustainable outcomes.

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o Starting with credit, we continue to compound on the foundation built for wholesale in the first half, with deeper ecosystem penetration and increasing customer stickiness. We have reinforced our calibrated shift toward high■RAROC segments with growth anchored around high -quality, transaction led and ecosystem -linked flows, while holding our stance on quality intact. This is evident from the quality of our incremental sanctions, as growth remains concentrated in A■ and■above rated clients. In Retail Banking , we remain selective in scaling segments, with a sharp focus on credit■tested customers and growth across our distribution channels.

o On asset quality, our secured portfolios across segments continue to remain resilient, while the early indicators on retail unsecured products are well within guardrails and stabilising at low

er levels. All the key indicators — bounce rates, early delinquencies, collection and resolution trends — continue to stabilize, reflecting the ongoing improvement in portfolio behaviour.

o We had positive operating jaws both for the quarter as well as year -to-date, with our cost to assets at 2.33%, a 15 bps YOY improvement

Moving to Deposits now:

The deposit journey for Axis Bank should be looked at from three aspects – quality, cost, and growth. Please refer to slide number 17.

o We have managed our cost of funds with strong discipline through the rate■hike cycle, keeping the rate impact well■contained over the last two years. Our cost of funds are now 39 bps lower YoY and 8 bps lower QoQ, reflecting our effective navigation of the current rate■cut cycle as well.

o We continue to demonstrate and remain focused on growing faster than the industry in medium to long term. In Q3, our deposits have outpaced the credit growth.

o Year-on-Year on MEB and QAB basis, total deposits grew 15% and 12%; term deposits grew 16% and 14%, CA grew 20% and 10%, SA grew 11% and 8%, respectively.

o Quarter -on-Quarter on MEB and QAB basis, total deposits grew 5% and 5%; term deposits grew 6% and 6%, CA grew 7% and 5%, SA grew 1% and 2%, respectively.

o We recognise that while our progress on the cost and growth dimensions of deposits has been strong, there is still some work to be done on improving the quality. We continue to actively work towards deeper granularization of the deposit book to further enhance its resilience.

o Building onto the momentum from Q2, our deposit franchise continues to gain strength, supported by stronger acquisition funnels, a wider distribution footprint, sharper product propositions, and sustained momentum in our salary and Burgundy businesses. At the start of this fiscal, we had recalibrated our approach to both New■to■Bank (NTB) and Existing■to■Bank (ETB) deposit mobilisation, with a sharper focus on quality and engagement. The outcomes continue to be encouraging.

• Our NTB engine has seen a marked upgrade in profile, with new customers sourced maintaining higher balances and higher activity from day one, driven by a more premium■led sourcing strategy, persona■based acquisition, and tighter conversion discipline. This has resulted in a richer mix of premium customers

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and family relationships with a 53% YoY increase in average balances maintained by our NTB customer year -to-date. Our transformation programs — Siddhi and Sparsh —continue to accelerate this momentum and embed execution consistency across the network.

o Our salaried franchise continues to show encouraging traction with improved activation and higher -quality inflows resulting in:

■ 21% YoY growth in salary uploads in the NTB Salary book by Dec'25

■ 32% YoY growth in number of premium accounts for NTB

Salary book acquired in YTD Dec'25

o These trends reflect stronger engagement and a more targeted customer-level strategy.

- Similarly, our ETB franchise continues to gain momentum, supported by the execution discipline we've embedded across the network. Targeted, analytics-led, segment-focused campaigns are deepening balances, broadening product penetration, and elevating customer lifetime value, as evident in our ETB Salary book now growing at 18% YoY.

- Premiumisation across the franchise is progressing well, supported by rising wallet share and superior client servicing, reflected in the 7% QoQ and 8% YoY growth in Burgundy AUMs.

- Our industry-leading Neo platforms continue to scale rapidly, now powering a fast-expanding digital ecosystem, serving over 4.3 lakh customers on Neo for Corporates, 3.1 lakh on Neo for Business, and thousands more through our API and partnership channels. Neo for Corporates is fast emerging as the digital backbone of our Corporate Banking franchise

se, transforming how clients engage

with us and deepening our leadership in platform-led banking. Please refer to slide 31 for more details.

B. Creating multiplicative forces to build competitive advantage

o This quarter, we have advanced our agenda on digital-first, inclusive and future-ready initiatives through industry-first innovations and strategic partnerships.

o We pioneered the omni-channel Express Banking Digital Point in partnership with Hitachi Payment Services - a next-generation banking concept offering a glimpse into the future of inclusive banking. Customers can now walk-in to Express Banking 24x7 to open new bank accounts, avail instant cards, book fixed deposits, apply for loans and pay utility bills as per their convenience.

o We continue to lead decisively in the UPI Payer PSP space, with our market share rising to 39% by value and 38% by volume in Q3, while maintaining the lowest technical declines as a remitter bank, reinforcing our position as the top UPI payee.

o We also introduced a UPI powered, Digital, Co-branded Rupay Credit Card built for India's financial needs - the Google Pay Axis Bank Flex, the first card under this offering.

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C. Building for the future

Digital Banking performance continues to remain strong

o We continued to introduce new journeys and enhancements during the quarter. In our mobile app, we further enhanced the One View feature by using Account Aggregators allowing customers to see their portfolios across deposits, Mutual Funds, ETFs and stocks across the entire ecosystem using this feature.

o Additionally, we rolled out several new safety related features which empowers customers to protect their accounts. We launched face authentication-based journeys for select products using Aadhaar which could dramatically reduce the possibility of fraud.

Bank-wide programs to build distinctiveness through Bharat Banking and Sparsh is progressing well

o At the end of December 2025, the deposits from Bharat Branches were up 12% YOY and rural advances were up 2% QOQ.

o Our Customer Obsession initiative, Sparsh has been accelerating our enterprise-wide shift focus strengthening experience outcomes and simplifying interactions through digitisation. Retail Bank NPS has risen 4 points QoQ and 59 points since inception, with consistent improvement across Retail products. This progress is being enabled by our digital platforms: Adi, our GenAI-powered assistant, now live across 72 products and processing over 36,000 monthly active users; and Kaleidoscope, our real-time CX engine, which maps 38 live journeys with more than 28,000 monthly active users.

Our progress this quarter reflects our focus on creating longer-term and sustainable solutions - simplifying access to credit, reimagining digital banking, and investing in talent and ideas that will shape the future. We remain vigilant to the evolving geopolitical environment and its potential implications for the operating landscape. Over the medium to longer term, our ambition remains unchanged —sustainably outpace the sector growth. We will continue to invest where



necessary to remain differentiated and distinctive in our journey towards building 'an all-weather institution'.

I will now request Puneet to take over.

Puneet Sharma: Thank you, Amitabh.

Good evening and thank you for joining us this evening. The salient features of the financial performance of the Bank for Q3FY26 and 9MFY26, across (i) Operating performance; (ii) Capital and liquidity position and (iii) Asset quality, restructuring and provisioning is as follows: For 9M FY26, our operating performance

was stable across NII, fee and operating expense lines :

1. NII at Rs. 41,591 crs, grew 3% YOY , NIM at 3.72%, declining 27 bps YOY after factoring 100 bps pass-through of the repo rate cut
2. Fee at Rs. 17,883 crs, grew 11% YOY
3. Operating expenses Rs. 28,896 crs, grew 4% YOY , delivered a positive operating jaw on both an operating revenue and core operating revenue basis
4. Cost to assets at 2.33%, declined 15 bps YOY

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5. Core operating profit at Rs. 30,824 crs, grew 5% YOY

The key metrics for Q3 FY26 are:

- a. YOY Deposits and advances growth of 15% and 14% respectively
  - b. QOQ deposits growth of 5% and advances growth of 4%
  - c. NII at Rs. 14,287 crs, YOY and QOQ growth of 5% and 4% respectively, NIM at 3.64%,
  - d. Fee at Rs. 6,100 crs, YOY growth of 12%, QoQ growth of 1%, granular fee at 92% of total fee
  - e. Expenses at Rs 9,637 cr, YOY growth at 7% and QOQ degrowth of 3%
  - f. Cost to assets at 2.33%, declining 15 bps YOY and 5 bps QOQ
  - g. Core operating profit at Rs. 10,815 crs, YOY growth of 7%
  - h. Net credit cost at 0.76%, down 4 bps YOY
  - i. Net credit cost (excluding technical impact) at 0.63%, down 17 bps YOY and 1 bps QoQ
  - j. PAT at Rs. 6,490 cr, QoQ growth of 28% and YOY growth of 3%,
  - k. GNPA at 1.40%, declined 6 bps QOQ and YOY
  - l. NNPA at 0.42%, declined 2 bps QOQ and increased 7 bps YOY
  - m. PCR% at 70%, Standard asset coverage of 1.14%, All provisions by GNPA ratio is 146%
  - n. Consolidated ROA% at 1.57% improving 27 bps QoQ, Consolidated ROE% at 14.15% improving 264 bps QOQ. Subsidiaries contributed 8 bps to the consolidated annualized ROA and 47 bps to the consolidated annualized ROE this quarter.
  - o. Banks CET -1 including 9MFY26 profit stands at 14.50%, we have net accreted 7 bps of capital in the quarter. The Bank has provisions aggregating to Rs. 6,243 crs which have not been reckoned in the capital computation and translate to a capital cushion of ~ 43 bps over and above the reported capital adequacy ratio. The Bank assesses its capital position on two pillars i.e. growth and protection. We reiterate that we do not need equity capital for either pillar. We may opportunistically evaluate issuing Tier -2 and AT -1 instruments since our AT1 is currently due in September 2026 based on market conditions.
- NIM for Q3FY26 was 3.64%, down 9 bps QoQ. Full quarter impact of the 25 bps repo rate cut in December 2025 will play through loan yields in Q4FY26 as we transmit repo rate changes at the end the quarter in which the rate cut is announced. Yields on interest earning assets declined 17 bps QOQ, this decline was offset by cost of funds reduction of 8 bps QoQ. The Bank maintains its through cycle stance of NIMs at 3.80% (cycle measured in terms of duration, starting from the date of last rate cut).

Our progress on structural NIM drivers continues:

- o Improvement in Balance sheet mix: Loans and investments comprised 90% of total assets at December -25, improving 38 bps YOY and 5 bps QoQ;
- o Retail and CBG advances comprised 68% of total advances at December -25, declining 333 bps YOY . This is an outcome of the Bank's conscious strategy to optimize for NII in the short term. Retail disbursements have grown 20% YOY and 12% QoQ, which gives us comfort that we will be able to rebalance the portfolio proportionally over our planning horizon.

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o Low-yielding RIDF bonds declined by Rs. 6,792 crs YOY . RIDF comprised 0.57% of our total assets at December -25 compared to 1.10% at December 24.

o Quality of liabilities at December 25 measured by outflow rate stood at 28.6%, moved adversely as gained market share in deposits in FY26. We continue to remain focused on this variable

o QAB CASA at 37%, declined by 65 bps QOQ and 116 bps YOY . We have seen an improvement of 37 bps on CASA pricing for the 9MFY26 as compared to FY23. In addition

, the impact of YOY decline in QAB CASA was offset by rate benefit across parts of the liability stack. The cost of deposits declined 36 bps YOY and 6 bps QOQ.

o Our fee income grew 12% YOY and 1% QoQ.

• Total retail fee grew 12% YOY , supported by our SBB, SEG, Liabilities and cards businesses

• Total wholesale fee grew 11% YOY . WBCG fees grew 19% YOY , our MEG fees grew 16% YOY . Our Transaction Banking fee grew 5% YOY

o Trading profit and other income at Rs. 125 crs declined QOQ and YOY mainly due to lower realized gains and MTM.

o Operating expenses for the quarter stood at Rs. 9,637 cr, growing 7% YOY and declining 3% QoQ.

• Since Q3FY21, based on a prudent internal policy, the Bank has been consistently provisioning for gratuity liability, in anticipation of the implementation of the Code on Social Security, 2020. As at December 31, 2025, the Bank holds a cumulative provision of ₹434 crores towards the New Labour Codes based on its preliminary assessment of impact. Given the provision accumulation under the prudent policy till the end of the previous quarter, the Bank has had to take a minimal charge to its Profit and Loss Ac count for Q3FY26 of an amount of ₹25 crores for the Labour Codes. The Bank will monitor the finalization of Central and State rules relating to the New Labour Codes and adjust its estimates and provisions in subsequent reporting periods for gratuity and other aspects of the New Labour Codes, in accordance with applicable accounting standards.

• The YOY increase in operating expenses is Rs. 593 crs. 79% of this increase can be attributed to an increase in statutory expenses attributable to PSLC costs, CSR and DICGC premium. The balance increase is attributable to Volume linked expense growth, technology spends and BAU expense offset by reduction in staff costs.

• Total operating expenses declined by 3% QOQ. The decline in staff cost is attributable to decline in QOQ period end head count by 946 and reversal of accruals for staff expenses no longer required to be paid. Operating expenses (other than Staff) were flat QOQ as BAU volume linked expense growth was offset by PSLC cost reduction.

• Technology and digital spends grew 11% YOY and constituted ~ 11% of total operating expenses.

• We opened 134 new branches in the quarter, 234 new branches in the 9MFY26 and 404 branches in the last 12 months

o Net credit costs for the quarter was Rs. 2,307 cr. Annualized net credit cost for Q3FY26 was 76 bps, declining 4 bps YOY

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o Net credit costs (excluding technical write off) for the quarter was Rs. 1,930 cr. Annualized net credit cost (excluding technical write off) for Q3FY26 was 63 bps, declining 17 bps YOY and 1 bps QoQ

o The cumulative non NPA provisions at December 31, 2025 is Rs. 13,111 crores, comprising (i) Provision for potential expected credit loss of Rs. 5,012 crores; (ii) Restructuring provisions of Rs. 216 cr, (iii) standard assets provision at higher than regulatory rates of Rs. 1,711 cr, (iv) additional one-time standard asset provision of Rs. 1,231 crores and (v) weak assets & other provisions of Rs. 4,941 crores.

Growth across our liabilities and loan franchise

o Amitabh discussed the growth in loans and deposits. We gained market share on a year on year basis across our deposit franchise and maintained the market share on loan franchise.

Our loan book is granular and well-balanced with retail advances constituting 56% of the overall advances, corporate loans at 32% and CBG at 12%. Please refer slides 17 and 18 for details around the quality of our liabilities franchise and slides on our loan franchise.

o ~73% of our loans are floating rate. ~45% of our fixed rate book matures in 12 months.

Break-up of the floating rate loan book by benchmark type and MCLR re-pricing

frequency is set out on Slide 9 of our investor presentation.

o In

Q3FY26 Retail disbursements grew 20% YOY and 12% QoQ. Disbursement growth in home loans was 30% YOY and 16% QOQ, Vehicle loans was up 26% YOY and 20% QOQ, retail agri was up 32% YOY and 31% QOQ, personal loans was up 21% YOY and 1% QOQ.

Coming to the performance of our subsidiaries

o Detailed performance of the subsidiaries is set out on Slides 51 to 58 of the investor presentation. In 9M FY26, the domestic subsidiaries reported a net profit of Rs. 1,490 cr, growing 6% YOY . The return on investment in domestic subsidiaries was ~ 52%.

o Axis Finance :

- Overall assets under finance grew 22% YOY of which share of Retail + MSME at 56 % of total book v/s 53% last year.

- 9MFY26 PAT grew 12% YOY to Rs. 571 crores.

- Strong asset quality with net NPA of 0.36% and negligible restructuring.

- Incremental standard asset provisions made in the quarter to comply with upper layer regulations is Rs 55 crores

o Axis AMC: Overall quarterly average AUM grew 11% YOY to ~ Rs. 3,60,575 crores, 9MFY26 PAT stood at Rs. 454 crores, growing 20% YOY

o Axis Securities: 9MFY26 PAT stood at Rs. 270 crores

o Axis Capital: 9MFY26 PAT grew 20% YOY to Rs. 178 crores

Asset quality, provisioning and restructuring

o The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 42 of our investor presentation.

o Gross slippages in the quarter were Rs. 6,007 cr of which retail was Rs 5,472 cr, CBG was Rs 370 cr and WBCG was Rs 165 Cr.

o Our Gross slippage ratio for the quarter was flat sequentially and declined 2 bps YOY . Our Gross slippage ratio for the quarter (excluding technical impact) declined sequentially by 4 bps QOQ and declined YOY by 62 bps.

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o Retail asset quality stabilizing as evidenced by:

- Credit card portfolio has seen a YOY improvement across gross slippage, net slippage, gross credit cost and net credit cost

- Retail assets portfolio has seen a YOY improvement across gross slippage, net slippage, gross credit cost and net credit cost

o For the quarter ~ 39% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

o Net slippages in the quarter were Rs. 3,135 cr declining in value terms by 11% YOY . Net Slippages segmentally were Rs. 3,051 cr in Retail, Rs. 195 cr in CBG and negative Rs. 111 cr in WBCG.

o Net slippage ratio for the quarter declined 29 bps YOY . Our Net slippage ratio for the quarter (excluding technical impact) was flat sequentially by and declined YOY by 45 bps.

o Recoveries from written off accounts for the quarter was Rs. 799 crores up 25% QOQ.

o Net slippage in the quarter adjusted for recoveries from written off pool was Rs. 2,335 cr. Segmentally Retail was Rs. 2,506 cr, CBG was Rs. 109 cr and WBCG was negative Rs. 280 cr.

Please see slide 44 and 45 for quantification of Technical Impact across segments

To summarize , Axis Bank is progressing well to be a stronger and sustainable franchise. We continue to closely monitor the current macro and geopolitical environment, inflation, liquidity, cost of funds and its impact on our business.

We conclude our opening remarks and would be happy to take your questions.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question and answer session. The first question is from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, good afternoon. Thank you for taking my questions. Can I please start with the 3.8 NIM guidance? Thank you for reiterating that. The question would be, is that something you're fairly confident about or would you like to caveat that target with any kind of market dynamics that need to play out for you to achieve that target? That would be my first one.

My second, again on NIMs , is you've seen 27%, year -on-y

ear corporate loan growth, 6% year

on your retail loan growth. And of course, you highlighted disbursements are improving. But

how should we think about this impacting your NIMs on mix effects? It's kind of linked to the 3.8. If you're going to grow corporate faster, does that mean that 3.8 may be a little in danger? And a final question would be, Amitabh, at Davos, you said it will take 18 to 24 months to return to deposit growth momentum. Could you please elaborate on that? I'm not quite sure what you are referring to there? Thank you.

Puneet Sharma: Thank you for the question, Chintan. I'll respond to it in parts. 3.8%, we remain confident of, it is rate cycle agnostic, which is why we say it's a through cycle NIM guidance. We are not walking away from that even today, despite the 125 basis points rate cut that we've seen. We remain confident that we will get to the 3.8% over the duration of our book. So we reiterate what we have said previously.

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To the second part of your question on portfolio mix, we had clearly called out at the start of Q1 that for the current fiscal, we would look to optimize net interest income because that flows through PAT and has a positive impact on ROE that's exactly what you've seen. We found the right risk-adjusted opportunities to grow in the wholesale business.

We haven't sacrificed RAROCs, we have deepened our relationship with the client, and that's where growth has come through on the wholesale side. We do believe that we will rebalance our book to what we have previously indicated. We think an optimal book balance in the current plan horizon would be 58 to 60 retail, 23 to 25 wholesale and the balance being SME. That calibration will take place depending on the time of cycle that we are in. I'll pause there. I've covered two parts of your question. I'll hand back to Amitabh for the Davos question.

Amitabh Chaudhry: I was specifically asked about two things when I was there. One, while the credit growth seems to have picked up, what about deposit growth, which remains anemic? And by when do we expect the deposit growth to come back? To that question, I responded that first the credit and the deposit growth have to converge as it converged earlier.

So credit growth cannot get ahead of deposit growth on a sustained basis. And if the Indian economy has to grow at a certain rate, we have to ensure that the credit growth does happen, which feeds into deposit growth. And I'm hoping that in the next 15 months to 18 months, the deposit growth will stabilize at similar levels as credit growth because there is no option. If deposit growth remains anemic, then the credit growth will come down.

You cannot have those two numbers diverging on a sustained basis. RBI, I think is fully cognizant of this. While we have seen periods of very low liquidity again over the last couple of quarters, including in the last quarter, now RBI has talked about infusing liquidity.

It has to be sustained. It has to be continuous. And as is evident, the regulator is fully seized of that matter. And if that continues, we do believe that over a period of time, both the credit growth and sustained liquidity will feed into the deposit growth. That was the context to my answer.

Chintan: What was surprising was the length of time you think the convergence will take.

Amitabh Chaudhry: The reason I said that is because given what is happening on a geopolitical basis, it's very difficult to say that things can stabilize that quickly. I mean, look at what's going on around us and every day is a new event. So in that sense, what is happening to the Rupee, whether intervention will be required at what stage, for things to stabilize. I just thought that it cannot happen in a hurry. It will take a little bit more time than what all of us want and anticipate. That's where I was coming from.

Chintan: O

kay, thank you.

Moderator: Thank you. The next question is from the line of Mahrukh Adajania from Nuvama. Please go ahead.

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Mahrukh Adajania: Yes, hi. Congratulations. I have a couple of questions. Firstly, on LCR. So your LCR has dropped. If you could explain the movement for the average LCR, and if you could give the average LCR outflow. I don't know if I missed it in the commentary, but that's my first question. And my second question is really on deposit growth. So you did give a sector commentary, but just in terms of deposit growth, we've beaten the sector over the last two quarters. Will we be able to continue at the same pace because we are coming from a period where people were questioning the low deposit growth and now we've overtaken many large banks on overall growth. So does that momentum look sustainable to you? That's my second question. And on opex, if at all there is a reversal on employee expenses, because the number looks too low or should this be the new base and we work on building upon this base only? So those were my

questions .

Neeraj Gambhir: Hi, Mahrukh. This is Neeraj here. On LCR, we have been broadly in 115% to 120% range for the last several quarters. We continue to operate in that range. Quarter -on-quarter, there is some variability because given the large balance sheet, there are changes to inflows and outflows that do happen and consolidations of liabilities and assets do change . But the broad idea is to stay within that 115% to 120% range that we have operated in for almost 8 to 10 quarters now, maybe even longer. So not too much to be read into that at this point in time.

Munish Sharda: Mahrukh, thank you for your question. This is Munish. On deposit, thank you for acknowledging we've done better than the industry. As we've been telling the street for the last few quarters, that we have been undergoing a transformation in our execution and operating rhythm in the branches.

The components of deposit growth are NTB and ETB and also new segments that we are getting after in the branches apart from the branch expansion that we are doing. We've been telling you that NTB growth has been encouraging for us. We've been premiumizing our new acquisition.

We're seeing great momentum in our salary book.

We're also seeing momentum in our NRI book, so the NTB book is growing. This is the work that we've done on customer servicing and customer engagement in the last few quarters. We've also seen our ETB book starting to deepen quite heavily this year as compared to the previous few years.

So, we're confident that, if we continue on that execution, deepening with our customers will continue to improve both on deposits as well as on the number of products that we have per customer, that will continue to improve also. Last year, we added about 500 branches. This year also we will add about 400 branches . We've added 134 branches this quarter. That momentum is continuing. We are very clear that our new branches, location, etc ., has to be in line with our premiumizing strategy and also in line with our digital ambition as well as our Bharat Banking ambition. So we continue to invest in there.

Our Burgundy private franchise also is growing very healthily and our investments in digital, etc., have started giving us good results. Net -net, I think we are confident that our retail deposit momentum, we've seen some good work, but we realize , as Amitabh said in his address, that we

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have a lot of work to do still across our current account and our individual deposit franchise, and we will continue to double down in those areas.

Puneet Sharma: Mahrukh thanks for the question. I think to the last question that you asked on staff cost. The reduction in staff cost has two variables. A bsolute reduction in headcount quarter -on-qua

ter,

which is permanent in nature and there is a one-time reversal of staff expenses that are no longer required to be paid. However, please note that the staff expenses no longer required to be paid would not have changed the direction of the staff cost improvement on a sequential quarter basis.

Mahrukh Adajania.: Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: Hi. Good evening . A few questions. The first one is on the liabilities. So my question is specific on the current account. We have seen a decent acceleration even on average basis. So what's driving that and how do you think about its sustainability? And second part to that is on the borrowings as well. So , we have seen the borrowings going up in the last two quarters, and it's now back to 15% of IBL. So how should we think about that moving ahead? So that's first on the liability.

Second is on cost of deposits. This quarter the improvement in cost of deposit was a bit slower than some of the other peers. Assuming no further rate actions, Puneet, when do you think our TD re -pricing gets over and how much more juice is left on cost of TD side?

The third one is clarification on opex? So, on the staff expenses again, if I look at the average remuneration per employee, should we assume that what we saw in this quarter is the new base and we build on to that or the reversal helped that average number in this quarter and we need to strip that out? If you could quantify that, it'll be helpful .

And the last question is on asset quality. The standard loans provision were negative in this quarter, what's driving that? And given that ex of technical slippages, the credit costs were only 63 basis points this quarter. So how should we think about the direction here on? Thank you.

Neeraj Gambhir: Hi, this is Neeraj here. On your question around current accounts, I think it's a combination of a few things. One, we are continuing to see deepening of our existing customer -base relationship s driven by the tech stack and the technology investment that we have done on corporate banking side.

We continue to have much more deeper engagement with clients on their operating flows through some of the Neo based investments that we have done and the platform that we have

put in place, whether it is through APIs or whether it's through our Neo for Corporate platform. We are actually seeing some good outcomes of the solutioning that we do with our customers, whether it is corporate customers or government customers for their cash management requirements. So that is having a positive effect on our current account franchise.

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We are also working to deepen and granularize the current franchise through our retail current account initiatives, which is spanning both ETB as well as NTB customer base. And on ETB customer base, I think there is a focus on certain set of branches which are closer to current account customers and actually having a dedicated thought process in those branches for current account customers. So a combination of these things is what I would say is playing out for us at this point in time.

Subrat Mohanty: On the staff cost question, like Puneet mentioned see the absolute number is down. And directionally, things would not have changed even if we had not taken the reversals into account. So staff wage cost productivity is an important metric. We are monitoring it very closely.

We have mentioned in the past about Siddhi, the employee super app, Adi the app that we use for addressing customer questions and queries at the branches. These are very powerful tools to improve employee productivity. These are almost now 100% used across the bank for customer facing roles and for productive roles in the field.

So there is confidence in the team that is going out, me

eting customers on an everyday basis in

how they use these tools and what productivity gains they are getting out of these. We will continue to work to sustain the wage productivity numbers that we have been able to achieve in this quarter.

And on a broader basis, I think we have maintained the point that we will have an operating jaw that is positive. And that is really how we are looking at it from a medium-term perspective. So the cost-to-asset ratio will continue to head in the direction based on how the operating jaw continues to remain positive.

Puneet Sharma: Rikin on your last question around cost of funds, we do not give out the proportionality of the book to be re-priced, but the shorter-term book has entirely been re-priced as we stand. I think given that the duration of the book is set out in our annual report, a good estimate could be taken from there on what is left to be re-priced. But please appreciate that non-retail term deposit rates in quarter 4 have started to inch up.

And consequently, the re-pricing benefit on deposits to the fullest extent of the lag book may not come through if the rate environment remains competitive through quarter 4. So we will wait and watch. But ideally, you should see a deposit cost decline play through even in quarter 4 to offset some of the margin pressure that we will see on account of the pass-through of the 25-basis fund repo rate cut.

Rikin Shah: Got it. And Puneet, on the standard loan negative provisions and the credit cost direction?

Puneet Sharma: So I think the negative in the standard assets provision for the current quarter is driven by the fact that there were sectors that we had marked as stress previously where given the stabilization of the overall loan book, we do not see a stress. So that is a marginal impact.

It is actually inconsequential in the context of our results. It is about INR128 crores. We have clearly set that number out in the investor presentation to look at. Directionally, from a credit

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cost standpoint, we had said the retail book is stabilizing. We continue to remain true to that comment. You are seeing that flow through now in numbers.

Rikin Shah: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Jay Mundra from ICICI Securities. Please go ahead.

Jay Mundra: Hi. Good evening. Sir, two questions. One is on PSL. The PSL compliance, how are you placed? The RIDF outstanding has been coming down, now down to 100 billion. Does this suggest that we are moving towards self-sufficiency in PSL or the shortfall is being made good by PSLC certificate? I mean, that is question number one.

Number two is deposit and LCR put together, I mean, the strategy on deposit has been cost, runoff and growth. We have come more than industry on growth. Cost has also been competitive.

The runoff rate has inched up a little bit. Now, for LCR from April, the new guidelines comes in and the runoff rates on the wholesale and NBFC should ideally come down. Do you sense that you can still continue this strategy?

I mean, the new LCR guideline would be helpful in pursuing the current deposit strategy without compromising on the runoff rates? And if you would have LCR release or you would need to sort of a buffer up? So, these are the two questions. Thank you.

Subrat Mohanty: So, on the PSLC strategy, see, we have not got any RIDF allocation over the last four years, largely because of how we manage the PSL book in terms of organic growth. We did Bharat Banking in 2021 as a specific strategic agenda for the Bank. Some of it has played out in terms of the strength that we have built in the agri portfolio.

So, the RIDF numbers that you see are the old RIDF numbers which have been running off based on their tenure. Going forward, this is going to continue to be a challenge at a system level because everyb

ody is focused on this. There has been some amount of r eclassification, declassification in this specific area.

We feel fairly confident given how we have focused on the Bharat Banking part of the business over the last four years that through a combination of organic book as well as wherever in order to bridge some of the gap, we might need to do PSLC purchase. We will continue to be able to manage the overall PSLC requirements that we have.

Neeraj Gambhir : So, on LCR question, if you recall from 1st April, there are three things which are changing. First is that we are required to maintain an additional 2.5% runoff on retail and SBC deposits which have IB and MB enabled . There is an alignment of HQLA haircut. And thirdly, some OLE deposits will move from OLE category to non -financial corporate category which is a much lower runoff of 40%. So, there are pluses and minuses with this guideline and our current estimate is that this is what our composition of deposi ts is. We are broadly neutral in terms of these pluses and minuses effective 1st of April.

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As far as strategy going forward is concerned, I think we need to bear in mind that currently for the last, I would say, couple of years, the growth rate of individual and small business customer deposits has been somewhat slower as compared to the growth of the corporate and institutional deposits. It is a phenomenon that has been playing out in the Indian banking system. So, we are actually seeing an impact of that which is why there has been an increase in our outflow rates as well.

We will continue to focus more on growing our granular and retail deposit base, but please bear in mind that the current sort of institutional setup and the flow of the deposits in the system is somewhat against this. So, the outflow rates going forward wi ll actually depend upon the growth rate that we see for us as well as for the system on these two separate constitutions.

Jay Mundra: Sure. Net-net, the lower runoff rate should ideally help in the runoff profile of the deposits, right? Is that a fair assessment?

Neeraj Gambhir : I mean, it is helping. Of course, it is helping, but there is also a higher runoff rate for retail deposits that is offsetting it because now you are talking about 5% extra on retail and SBC where you are giving Internet banking and Mobile banking.

Jay Mundra: Right. Sure. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Abhishek M from HSBC. Please go ahead.

Abhishek M: Yes, thank you. Good evening and congratulations for the quarter. So, two questions. I think the first question is basically on any kind of inorganic opportunity that you see out there, especially something which can give a sort of lasting push to your NIM, ROA, PSL compliance , all those things. And given that, you know, any such thing has to be of a certain size given your scale, would you need additional capital if this kind of an opportunity were to arise or is the current capital position adequate? So, that is my first ques tion.

The second question, Amitabh, is also on how do you think about LDR? I think you said that the regulator still monitors it, but as you move, you know, as we use LCR and NSFR more and more to manage reserves, is that becoming more important than really look ing at LDR or is the regulator looking at both? And internally also, do you look at both? So, just these two questions, if you could clarify.

Subrat Mohanty: Thank you, Abhishek. This is Subrat. On the inorganic opportunity, I mean, we continue to be looking at what opportunities are available in the market. But given the size of possible opportunities, if you take the universe of opportunities available, I don 't think there is anything of the size which meets some of the criteria that you mentioned, which will require us to raise capital for that kind

of opportunity.

So, to answer your question, I don't think there will be any capital requirement given the set that is available in that kind of an area . I mean, we have no other comment to make in terms of what opportunities are available at this point in time.

On your second question on LDR, see, over the last six quarters or so, this is seventh, we have been between about 90% to 93% LDR. And we have been able to navigate this environment in terms of doing the right balance between growth and keeping the LDR in that range. Our general sense right now is that as a metric, you know, the metric served its purpose. Right now, possibly the focus on the metric is a bit different than what it was a year back.

But we continue to remain focused on keeping it in that range, which we have managed in this quarter as well. And we think that we can maintain that range and still continue to show industry equal or industry leading growth. So, that's the way we currently have made sure that the operating model works. And we are comfortable with that.

Abhishek M: Sure. Thanks. Can I squeeze in just one more question? Just sort of data -keeping question on slippages. How much would be the agri slippages this quarter? Because ex of that, I mean, even your Q -o-Q performance and your underlying slippage looks to have improved quite substantially. That's a great thing. So, just if you could share the agri slippage, that would be great? Thanks.

Puneet Sharma: Abhishek, thanks for the question. Consistently, we've responded to that by saying we don't break up the retail slippages across product categories. So, that's a number we won't put out, please. Thank you.

Abhishek M: All right. Thanks, Puneet. And all the best.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Hi, team. Congrats on the quarter. Before my questions, I just need a clarification, Subrat, to what you said that the focus on LDR as a metric is different today from what it was a year back.

Are you referring to you guys or the RBI here?

Subrat Mohanty: No, no. We are referring to how important or what kind of a range we need to keep it in . I mean, when we were at the higher end of that range between 90 and 93, it was a different kind of a focus. Now that we have been typically in the lower end of that range, we have some kind of, you know, elbow room from our perspective. We don't offer commentary on what the regulator views on that range.

Piran Engineer: Got it. Got it. Okay. That's helpful. Then just moving on to my questions, and I'll ask them all at once. Just firstly, corporate growth, if you could give some more flavor coming from volume or value? And if it's value, is it that the corporates are borrowing more or are you gaining wallet share? So, some quantitative stuff or color out there would be useful.

Secondly, a little bit on credit cards, you know, credit cards, the decline Q -o-Q, is it simply an end of period thing that last quarter was good due to an early festive season? Or should we read more into it and be concerned? And honestly, this is not just for you all, but for the industry.

And thirdly, and I know you all have spoken about this in the last one or two quarters about prioritizing NII over NIM. My question is, why only in FY'26? Why not in FY'27 and FY'28?

It clearly gives you ROE accretion. If you see this quarter also, your capital has not been consumed because you're probably growing in lower risk weight assets. So, let this just continue. What is the logic of keeping it only in the short term? Yes, that's it. Thanks.

Vijay Mulbagal: Hi, thanks for the question. I'm Vijay here. I'll answer on the corporate growth. We're being very selective about the growth. It's being largely powered by the strong c

lient engagement,

materially faster turnaround times compared to how the market is operating, clearly focused on our filters on both FTP and RAROC. In terms of sectors, it's primarily led by power, corporate real estate, diversified conglomerates.

But we're not stopping at just asset growth on the corporate. Our idea is to embed the Bank in each corporate to be able to improve our transactional flows. Neeraj spoke about Neo, and the current account flows are a testament to how we're embedding the Bank in corporates. And also corporate salary and Burgundy, most of these are how we are operating and engaging with the corporates. We're not chasing the growth here , we're being selective about it. And clearly, RAROC FTP filters operate. Ecosystem play is very much our play.

Arnika Dixit: Hi, this is Arnika . On the card side, I think it's a phenomenon that we've seen across the sector, post the festive demand rundown, the spend year-on-year came down. Last year, festive season was in October, November. This year, the festive season actually along with GST cuts came in September, and that's why you see the quarter -on-quarter difference.

Piran Engineer: But Arnika , are you seeing pressure on revolvers and EMI products also? Or is it just



mathematically a decline? If you get what I mean?

Arnika Dixit : Yes. So, the key is that our percentage share of revolve continues to be the same. There's no change that we are seeing over there. I think depending on the mix of the clients you get from time to time, the color of the book moves. But from our perspective, our ENR share, our spend share continues to be stable for last six quarters.

Piran Engineer: Understood.

Puneet Sharma: Piran, to your last question on optimizing NII on a go forward basis. Our comment for FY'26 was driven by the fact that we make these decisions on a plan cycle basis. So we are due for our plan cycle for FY'27. Once we've made the decision, we'd be happy to communicate.

Piran Engineer: Okay, so it's not definitely a no, it's just that you will revise it each year and communicate to the street?

Puneet Sharma: We will review it as part of our plan cycle and the outcomes, we'd be happy to communicate it at a due point in time.

Piran Engineer: Okay, that's helpful. Yes. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Adarsh Parasrampuria from Enam. Please go ahead.

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Adarsh Parasrampuria: Hi team, great set of numbers. A couple of questions. First is with things settling down on unsecured and retail, on credit cost, we did see some gap versus peers getting created on the credit cost side. So most large peers were operating close to 50 or under, and now things seem to be settling on the unsecured side. So if you can offer some direction, you did speak about credit cost, but do you expect to bridge the gap you've had in, maybe in the last couple of years, given that technical slippages also should not be an issue next year?

Moderator: Ladies and gentlemen, thank you for patiently holding. The line for the management has been reconnected. Mr. Parasrampuria, you may proceed now.

Amitabh Chaudhry: Adarsh, we could not hear you properly but before the line got disconnected, I think you asked about M&A and then you had a question on slippages. Let me answer the second question and I'll then ask Puneet to answer the first. I don't know what M&A you're referring to. We don't comment on any M&A and we are not in any position to discuss any M&A at this point in time.

People are quoting sources. Good luck to them.

Puneet Sharma: Adarsh, on your question on credit cost. As you're aware, we don't guide on credit cost, but I'll reiterate. Retail asset quality stabilization is what we called out last year Q4 for cards, Q2 this year for PL. The numbers are visible on slide 44/45 for

you to see. The stabilization is playing

through. Early vintage delinquency of the new underwritten book continues to behave well.

That's where we will stop at commenting on credit cost performance, but that should give you a fair idea of stabilization actually playing through our numbers.

Adarsh Parasrampuria: Perfect. Thanks, Amitabh and thanks, Puneet.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yes. So, the question was on recoveries. When we look at the run rate on the recovery side in particular, it still seems to be almost similar on a quarter-on-quarter basis, somewhere around 2800 -2900 range, and there were expectations in terms of better recoveries to flow through even from the technical slippages, given that there was a lot of accretion which has happened.

So, maybe do we expect the overall recovery trend to improve from here on? How should that ideally behave? No doubt on the slippage side, we have seen the core slippages being managed, but there were some expectations of improvement in the recoveries too.

Puneet Sharma: Kunal, thank you for the question. If your question is related to technical slippages and recoveries thereof, we reiterate that pool will not result in an economic loss for us. We will be able to recover these loans because they have an adequate value of security cover. That's what we've consistently been saying. You've seen a decline in the net slippage number on a quarter-on-quarter basis.

I think you're comparing quarter 3 to quarter 2. Please do adjust for seasonality, and if you adjust for seasonality, the trend lines that we've been calling out continue to hold. So, on technical slippages, we remain true to our comment that you should see recovery from that pool over a period of time, no economic loss on that pool.

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Kunal Shah: Sure, sure. And secondly, on the investment income side, so there has been quite a bit of volatility in 2Q and 3Q. So, is it more to do with maybe some booking of the, maybe some

selling the investments during a particular quarter which would have resulted in the treasury gain in last quarter not reflected in the investment income, and this quarter maybe the treasury is low and investment income is high? So, should we look at it both as a cumulative number to just see in terms of how the investment portfolio is giving the benefit, or how should we rate that? Because last two quarters, it's been quite volatile?

Puneet Sharma: Kunal, treasury income is a function of the treasury's decision to monetize basis market scenarios. Ideally, you should look at trading profit on a full -year basis. It will differ on a quarter -by-quarter basis in each fiscal.

So, if I request you to look at nine months trading profits, nine months trading profits for last year was INR1,885 crores, and nine months trading profit for the current year is INR1,978 crores. So, broadly flat to stable, INR100 crores gap. So, please don't either model or measure trading profits quarter to quarter. On a nine -month to nine -month basis, we've delivered a similar amount as we did last nine months.

Kunal Shah: Sir, the question was more on the investment income side?

Puneet Sharma: So, if you're looking at yields on investment income...

Kunal Shah: Yes. So, interest on investment, sorry?

Puneet Sharma: Yes. So, if you're looking at yields on investment income, there will be some volatility depending on the investment position we carry on our trading book. There will also be some volatility basis the interest rate view our treasury takes between long -duration securities versus short -duration securities.

You're right in your observation that there is a marginal decline in yield on investments in the current quarter, that's driven by specific treasury strategies on elongating or shortening the duration

tion of instruments we hold. Nothing to read into it as we stand today.

Kunal Shah: Sure. Thanks. That's helpful. Yes.

Moderator: Thank you. The next question is from the line of Rahul Jain from MFS Investment. Please go ahead.

Rahul Jain: Thanks and good evening, gentlemen. I've got two questions actually. One is just wanted to understand about the growth in the retail asset book. What strategy are we adopting to improve the traction there? What do you think about the market share gain opportunities that exist in the retail asset side? Because the last few quarters, it's growing in a very narrow band, if I'm not wrong, between 1% to 2% quarter on quarter? So, really keen to hear your comments on that, number one.

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Number two, on the operating leverage side, how confident or what's your view about the direction of travel going forward in the next couple of years as the investment need might again arise if the retail asset growth picks up or irrespective of the retail asset, the operating leverage will continue to come through. So, those are two questions. Thank you.

Munish Sharda: Rahul, hi. This is Munish. Thank you for your question. At a very broad level, there are two or three things that we used to look at the retail asset businesses. The first thing at a broad bank level, we have said that we will grow our asset book through cycles at about 300 basis points better than the industry. And I think the franchise is well positioned to deliver that.

The second thing is that on the RAROC side, we are guided by RAROC operating principles. We are very clear that we will dial up or dial down depending on the returns that we expect to make in any business. The third is any environmental shift that happens impacts the overall growth.

Fourth item is we are very committed to delivering large part of our asset growth by deepening the relationship with our existing customers. So, within these four guiding principles, the last few quarters we've seen, we took a hit in unsecured disbursement because there was about six to eight quarters back we went through a cycle there. We've seen those disbursements now come back. We have remodeled our acquisition engine, and we are seeing attraction in that business. We've also, in the mortgage business, we're seeing a lot of competition from PSU banks since a few quarters back. We're also doubling down on a few lines within the retail mortgage business, which will give us higher RAROC, etc. So, we've seen disbursement come back there as well. In our wheels business, which is the auto loan, commercial vehicle, construction equipment businesses, we're also pushing for the right RAROC in that business. We have deployed technology. We are seeing a growth in that business, also driven by the shift in the GST, etc., that's happened in the last quarter. Finally, in our small business banking businesses, there are also two - secured and unsecured books where we are pushing growth because that business brings a whole lot of opportunities with those set of customers.

We are seeing higher disbursement growth quarter -on-quarter and Y -o-Y. Puneet and Amitabh mentioned those numbers in their respective addresses. We think that if we continue to work in

these areas, and we continue to double down on digital transformation et c., in those businesses, our ability to deliver on the 300 basis points better than the industry will continue to get sharpened.

The growth of book takes time once the disbursement starts improving, and we're hoping that if we continue on this momentum, we will be able to deliver and we're well positioned to deliver 300 basis points from the franchise, better than the industry on a through cycle basis. I hope that answers your question.

Rahul Jain: Okay, so just a follow on. Just to clarify what Munish said earlier, this 300 basis point, to my understanding, was on the aggregate

loan growth for the bank. His remark was in context of the retail or the overall, that's number one ?

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Number two, just to clarify, RAROC, you all feel that the corporate book is better in RAROC than retail, or you're talking about in general the capital allocation? Because retail growth at some stage will start becoming strategic because of even the relationship on the liability side or the card relationship.

Amitabh Chaudhry: So, Rahul, we have mentioned a couple of things consistently. One, we'll maintain a growth which is better than the industry growth rate. Munish gave the numbers. We also mentioned in this call itself that over a period of time, we'd like the ratio of retail, wholesale, and SME to be in a certain zone, which basically implies that at some stage, retail also has to start contributing in the same way as what wholesale is doing today.

Wholesale is way higher right now, but at some stage, that will come down. Retail will pick up because the disbursement numbers definitely reflect that over the next couple of quarters, the retail growth will start picking up. And depending on the asset class in retail, if we can manage credit costs, we have talked about this that the RAROC for retail businesses tends to be higher if you do your client selection and all that well.

That does not mean that wholesale RAROC is lower. But wholesale, unless you get the full relationship and the full value, the only thing you do is a loan. It does not work. Same thing with mortgage. If the only thing you do is a retail mortgage loan, it does not work. So we obviously have a very detailed, intensive, comprehensive RAROC framework, and we use that to decide which businesses can grow, and that's why we keep this balance. I hope that answers the question. Puneet, you can answer the second one.

Puneet Sharma: So Rahul, on your cost question, the way I would request you to think about cost is as follows. Please think about cost to assets on a full year basis rather than quarter -by-quarter. When retail disbursements improve, we will see costs increase because there is a sourcing component, cost component to retail disbursements.

But that does get compensated in part on the fee income line because we will realize some amount of processing fees to offset that cost. Keeping that aside for the moment, directionally, you should see cost to assets improve as we get efficiency into the business. And that's how you should think about our cost to assets on a go -forward basis. So efficiency from where we reported today.

Rahul Jain: Got it. Appreciate the responses. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Hi. Good evening. Thanks for taking my question. First question is on the NIM movement in the quarter. So you reported it's down nine basis point quarter -on-quarter. So if I look at your NII at 4% quarter on quarter, it's largely in line with your loan growth and your asset growth.

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So is it that, the growth that we saw in the last quarter was back -ended and so, the averages have grown, is my understanding correct there? That's my first question. Because it doesn't tally with the NII movement?

Puneet Sharma: Param, thanks for your question. I think a good way to anchor the response is to refer to slide 9 of our investor presentation. Effectively, we've explained the 9 basis points as 1 bps of extra interest reversal compared to the previous quarter due to seasonality of the quarter. 8 basis points is spread compression.

Broadly, I would request you to think about the 8 basis points as a reasonable portion of the 8 basis points coming from mixed shift in the book. So what you've seen is wholesale

proportionality move up compared to retail proportionality. Now that's playing through on full quarter basis as we move forward in time. So there's an advances mix impact on margins that plays through in the 8 basis points.

And second, there is a liability mix impact that's playing through in margins, given that for the system and us, the incremental CASA ratio is not at the same levels as the book CASA ratio. Those are the two variables that have played through from a margin compression standpoint. The pulls and pushes of what the average balance is or when the growth is will differ quarter to quarter, but those are the two big variables that have impacted margin decline in the current period.

Param Subramanian: Absolutely. That's very helpful. Just to follow up on that, so this mixed shift that has happened over the last two quarters where corporate has picked up in the mix by about 2.5% , like you called out, is it well reflected in the current quarter NIM s and yields, or is there some more pass-through in Q4 that still has to reflect?

Puneet Sharma: So like we said, Param, we are focusing on NII optimization through the year. So effectively, given what opportunities present themselves in the current quarter, we will take a considered decision on where we grow for in the current quarter. So if there's a further mixed shift, it will impact margins. That's the natural response I can provide you. The other impact on margins in Q4, as I had called out earlier, was the full pass-through of the 25 basis points repo rate cut offset by depository pricing in part.

Param Subramanian: Fair enough. Thanks, Puneet. Just one last question. I didn't pick up your response to what is the impact of the new LCR calculation from FY'27 on your reported numbers. Yes, that's it from me. Thank you so much.

Puneet Sharma: Thank you. I think we would be neutral on the change from where we stand today.

Moderator: Thank you. As that was the last question for today, I now hand the conference over to Mr. Puneet Sharma for closing comments. Thank you and over to you, sir.

Puneet Sharma: Thank you, Michelle. Thank you, everyone, for taking the time to speak with us this evening. For any unanswered questions, the IR team and myself will be available. So please do feel free to reach out to us. Thank you and have a good evening.

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Moderator: Thank you, members of the management. On behalf of Axis Bank, thank you for joining us and you may now disconnect your lines. Thank you.

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Axis Bank Limited Q4FY26 Earnings Conference Call

April 25, 2026

MANAGEMENT : MR. AMITABH CHAUDHRY - MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER  
MR. PUNEET SHARMA – GE & CHIEF FINANCIAL OFFICER  
MR. SUBRAT MOHANTY – EXECUTIVE DIRECTOR  
MR. MUNISH SHARDA – EXECUTIVE DIRECTOR  
MR. NEERAJ GAMBHIR - EXECUTIVE DIRECTOR

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Moderator: Ladies and gentlemen, good day and welcome to the Axis Bank Conference Call to discuss the Bank's Financial Results for the Quarter Ended as on March 31, 2026. Participation in the conference call is by invitation only. Axis Bank reserves the right to block access to any person to whom an invitation has not been sent. Unauthorized dissemination of the contents of the proceeding of the call is strictly prohibited and prior explicit permission and written approval of Axis Bank is imperative.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions at the end of the briefing session. Should you need assistance during the conference call, please signal the operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. On behalf of Axis Bank, I once again welcome all the participants to the conference call.

I now hand the conference over to Mr. Amitabh Chaudhry, MD and CEO. Thank you and over to you, sir.

Amitabh Chaudhry: We welcome you all to a discussion on Axis Bank's Financial Results for the quarter and financial year ended March 2026.

We have on the call our Executive Directors - Subrat Mohanty, Munish Sharda, Neeraj Gambhir and other members of the leadership team.

FY2026 unfolded against a complex and uncertain global macroeconomic backdrop. Elevated geopolitical tensions, including tariff issues and lately the West Asia conflict, continue to disrupt global supply chains, influence capital flows, and add volatility to markets worldwide. Indian economy has shown resilience amid this uncertainty so far.

In this environment, Axis Bank remained firmly focused on disciplined execution, balancing growth with watchfulness, while continuing to build momentum in our chosen areas of focus. We made strong progress this quarter in building a resilient, all -weather franchise, strengthening our balance sheet, focusing on our customers, improving efficiency and increasing activity intensity across the franchise without diluting risk standards. Please refer to slide 3 for more details on our House of GPS.

Now let me talk briefly about the progress we have made on each pillar of our GPS strategy.

## 1. Starting with Growth

We sustained the momentum from the previous quarter with strong all -round growth across segments.

- Our total advances grew 6% QOQ and 19% YOY , within which Wholesale grew 38%, SME 24% and Retail 8% on YOY basis.

o Wholesale Banking has evolved from a balance sheet centric model to an ecosystem led approach, driving diversified, high quality growth in relatively strong -cycle segments. We have deepened relationships that

enhance our share of wallet, improve risk visibility and deliver the planned RAROC.

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o Our SME franchise continues to grow strongly. We have built a diversified, granular portfolio and have improved our yields through data driven credit decisions, simplified products and digitized operations.

o In Retail, our disbursement growth remains strong and risk-calibrated, centred on credit-tested customers, strengthened underwriting discipline, and balanced scaling across proprietary and partner-led distribution channels.

• Moving on to the Deposits

o We continue to deliver faster than the industry growth in medium to long term:

■ Year-on-Year on MEB and QAB basis, total deposits grew 14% and 13%; term deposits grew 16% and 15%, CA grew 11% and 10%, SA grew 11% and 10%, respectively.

■ Quarter-on-Quarter on MEB and QAB basis, total deposits grew 6% and 2%; term deposits grew 5% and 3%, CA grew 7% and 3%, SA grew 7% and 2%, respectively. Total CASA deposits increased by 7% QOQ on MEB basis, resulting in 48 bps improvement in CASA ratio

o Our cost of deposits declined by 46 bps YoY and 4 b

ps QoQ, underscoring

the strength of our funding strategy and disciplined execution.

o There is ongoing work on improving the deposit quality through deeper granularization, with an emphasis on building more stable liabilities mix to enhance resilience across cycles.

o Our New -to-Bank (NTB) franchise continues to scale with a sustained improvement in quality. Newly acquired customers are maintaining meaningfully higher average balances, with NTB average balances up 53% YoY , reflecting the continued impact of premium-led sourcing and tighter conversion discipline.

■ NTB Product Per Customer (PPC) has improved by 24% YOY , due to better quality acquisitions.

o Our Existing -to-Bank (ETB) engine has continued to strengthen, with our ETB Salary book growing 18% YoY , underscoring steady improvement in corporate salary segment with higher wallet share and customer lifetime value.

• Burgundy continues to be our key driver of premiumisation, with assets under management up 14% YoY . The strength and consistency of our proposition was reaffirmed with Burgundy Private being named 'India's Best for Next-Gen' at the Euromoney Global Private Banking Awards 2025 for the third year in a row.

2. On Profitability : we focused on structurally improving the quality of earnings through consistent and sustainable delivery, supported by ongoing improvements in operating efficiency.

• Our cost-to-assets declined to 2.28%, down 18 bps YoY through improvement in operational productivity

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• While we added 400 branches during the year, our total workforce declined by 3% YoY , driven by technology-led efficiency gains at both employee and branch levels.

• Our consolidated Q4FY26 ROA was 1.64% and ROE was 15.15%

3. On Sustainability : we stay focused on quality, balance sheet resilience, building future-ready technology platforms and investing in people and capabilities to deliver sustainable outcomes at scale.

• Our GNPA was at 1.23%, declining 17 bps QOQ and 5 bps YOY; while the Net credit cost was at 0.37%, down 13 bps YOY and 39 bps QoQ

• I want to specifically highlight the strong progress on AI initiatives across Axis

Bank. Please refer to slides 5 to 7 for more on this.

- o Through AXIOM, our bespoke AI operating model, we are building an AI-led, customer centric Bank that's transforming the customer touchpoints, employee productivity, and core processes at enterprise scale

- o We are the only ISO 42001 certified BFSI organisation globally; ISO42001 is the first international standard providing guidelines for an Artificial Intelligence Management System. We also received the award for 'Best GenAI Use Case in Retail Banking' at the Retail Banker International Asia Trailblazer Awards 2026.

- o We have a roadmap for scale■up and we expect AI to drive meaningful bottom■line impact over the next 18 -24 months. Our focus remains on embedding AI responsibly, securely, and in a way that supports sustainable growth.

- Our people■first approach has been consistently recognised externally. During the year, Axis Bank was certified by the Top Employers Institute, the only Indian private■sector bank on the list and included in the TIME Best Companies Asia■Pacific list for the second consecutive year. We were also recognised as one of India's Iconic Workplaces by HT Mint and Deloitte, featured among the Best Places to Work by The Hindu and WorkL, and received the ATD Best Awards for fostering a strategically driven talent management culture.

- Underpinning all of this is our unwavering focus on customers. Through our Customer Obsession initiative, Sparsh, we are strengthening experience outcomes and simplifying interactions through digitisation. Our Retail Bank NPS has improved significantly since inception, and we have retained the 2nd rank in the Kantar Retail Bank Survey for the 3rd consecutive year. Our leadership in customer

customer experience and analytics has also been recognised at the Annual BFSI Service Quality Excellence India Summit 2026, where Axis Bank won the 'CX Data and Analytics Excellence Award' and 'Best Omni■Channel Experience Strategy'.

We had strong business momentum in Q4 as a Bank with clear intent, the right talent and a strong culture. This positions us well to assert our right to win and to gain more than our fair share across businesses.

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In an environment marked by uncertainty and volatility, our conservatism is a strategic advantage. The choices we made during the year have strengthened our foundation and enhanced our resilience.

As we step into FY27, we are watchful of the ongoing uncertainties, however we stay confident in our ability to grow in a disciplined and calibrated manner, faster than the industry.

With that, I will now hand over to Puneet.

Puneet Sharma: Thank you, Amitabh.

Good evening and thank you for joining us. Before discussing the financial performance for Q4FY26 and FY26, I would like to clarify two items:

1. Accounting related to tax item: In the financial year 2022 -23, the Bank acquired Citibank's India Consumer Business from Citibank N.A. (acting through its branch in India) ("CBNA") and the NBFC Consumer Business from Citicorp Finance (India) Limited ("CFIL") collectively referred to as Citi India Consumer Business on a going concern basis. In accordance with an independent valuer's report, intangibles (excluding goodwill) amounting to ■8,714.24 crores were recognised in the Bank's financial statements. Despite retaining access to and business use of these assets, as a prudent measure aimed at protecting its capacity to pay dividends, the Bank opted to fully amortise these intangibles through the Profit and Loss account in FY 2022 -23. Furthermore, the Bank elected not to create any deferred tax asset in FY 2022 -23 on such intangibles, nor did the Bank consider the deductibility on the said intangibles while providing for current tax in the books until the regular tax assessment for the said financial year was completed. During the quarter and year ended 31st March 2026, following the conclusion of regular assessment proceedings by the income tax authorities, tax depreciation on these intangibles was allowed. As a result, the tax expense for Q4FY26 and FY26 is lower by ■2,193.20 crores, which includes the reversal of excess tax provisions made in prior years amounting to ■ 1,129.80 crores, reduction of current year's tax expense by ■ 265.85 crores and recognition of a deferred tax asset of ■ 797.55 crores. This has resulted in the effective tax rate (ETR) for FY26 being

17.25%

## 2. Voluntary enhancement of the Bank's provisioning framework for standard assets :

During Q4 of FY26, the Bank proactively strengthened its balance sheet by voluntarily enhancing its prudent provisioning framework for standard assets, in line with our conservative risk -management philosophy. Based on an assessment of evolving and unpredictable macroeconomic and geopolitical uncertainties, the Bank created an additional one-time provision of ₹2,001 crores during the quarter. This approach is aligned with our practice to enhance resilience of our balance sheet during periods of elevated uncertainty while maintaining transparency and discipline in risk governance. This action is prudent and precautionary in nature and does not reflect any deterioration in asset quality or adverse credit trends in the Bank's loan or investment portfolio as of the reporting date. Our Core asset quality metrics remain stable and within our risk guardrails. The creation, utilisation or potential reversal of this provision is governed by a Board -approved framework and is calibrated using internal stress -testing by the risk function under severe but plausible downside scenarios. Based on our current assessment, this provision

is considered sufficient

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to absorb potential incremental provisioning charge to P&L even under the most adverse stress scenario modelled for FY27. To provide some context, the adverse stress scenario assumes average oil over US\$ 150 for 12 months, inflation at 7.4% and currency depreciating by ~ 20% over current levels etc.

Between the two one -time items above and trading loss in the quarter due to year -end rate movements driven by extraneous factors, the net impact on the P&L of these three items combined is net neutral on P&L.

Moving to, the salient features of the financial performance of the Bank for FY26 and Q4FY26, across (i) Operating performance; (ii) Capital and liquidity position; (iii) Growth across our deposit and loan franchise and (iv) Asset quality, restructuring and provisioning is as follows:

For FY26, our operating performance was stable across NII, fee and operating expense lines :

- NII at ₹56,048 crs, grew 3% YOY , NIM at 3.69%, declining 29 bps YOY after factoring 125 bps pass -through of the repo rate cut
- Fee at ₹24,444 crs, grew 9% YOY
- Operating expenses ₹39,362 crs, grew 5% YOY , in line with core revenue growth after absorption of rate cut and despite lower trading income due to year end volatility
- Cost to assets at 2.28%, declined 18 bps YOY
- Core operating profit at ₹41,443 crs, grew 4% YOY
- Standard asset coverage ratio of 1.26%, increased by 11 bps YOY; All provisions by GNPA ratio of 166%, increased 900 bps YOY
- Consolidated ROA% at 1.46%, Consolidated ROE% at 13.59%

The key metrics for Q4 FY26 are:

- PAT at ₹7,071 cr, QoQ growth of 9%
- YOY Deposits and advances growth of 14% and 19% respectively
- QOQ Deposits growth of 6% and advances growth of 6%
- NII at ₹14,457 crs, YOY and QOQ growth of 5% and 1% respectively, NIM at 3.62%,
- Fee at ₹6,561 crs, YOY growth of 4%, QoQ growth of 8%, granular fee at 92% of total fee
- Expenses at ₹10,466 cr, YOY growth at 6%, and QOQ growth of 9%, adjusted for employee benefit related provisions in the current quarter due to year end rate movements and variable pay write -back in the previous quarter, the YOY growth was 5% and QOQ growth was 4%
- Cost to assets at 2.28%, declining 18 bps YOY and 5 bps QOQ
- Core operating profit at ₹10,619 crs, largely flat QoQ and YOY
- Net credit cost at 0.37%, down 13 bps YOY and 39 bps QoQ.
- Net credit cost (excluding technical impact) at 0.28%, down 22 bps YOY and 35 Bps QoQ
- GNPA at 1.23%, declined 17 bps QOQ and 5 bps YOY
- NNPA at 0.37%, declined 5 bps QOQ
- PCR% at 70%, flat QOQ%
- Consolidated ROA% at 1.64% improving 7 bps QoQ, Consolidated ROE% at 15.15% improving 100 bps QOQ. Subsidiaries contributed 6 bps to the consolidated annualized ROA and 41 bps to the consolidated annualized ROE this quarter.

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• Banks CET -1 including FY26 profit stands at 14.38%, we net consumed 12 bps of capital in the quarter for growth. The Bank has provisions aggregating to **■ 8,244 crs**, including the standard asset provisions created earlier in Q2FY26 pursuant to regulatory guidance. These have not been reckoned for regulatory capital computation. Consequently, they represent an additional buffer over and above reported capital ratios, translating into an incremental capital cushion of ~53 basis points. This further reinforces the Bank's balance -sheet strength and enhances its ability to navigate uncertainty while continuing to support growth and shareholder value. We reiterate that we do not need equity capital for either pillar, i.e., growth and protection. The resolution we've taken today is only an enabling resolution consistent with our practices for the prior years. We may opportunistically evaluate issuing Tier -2 and AT-1 instruments based on market conditions.

Yields on interest earning

assets declined 5 bps QOQ, cost of funds were largely flat QOQ. The Bank maintains its through cycle stance of NIMs at 3.80% (cycle measured in terms of duration, starting from the date of last rate cut transmission).

Our progress on structural NIM drivers continues:

**■ Improvement in Balance sheet mix:** Loans and investments comprised 89% of total assets at March -26

**■ Retail and CBG advances** comprised 67% of total advances at March 26, declining 471 bps YOY . This is an outcome of the Bank's conscious strategy to optimize for NII in the short term. Retail disbursements have grown 24% YOY and 19% QoQ, which gives us comfort that we will be able to rebalance the portfolio proportionality over our planning horizon of 3 years.

**■ Low-yielding RIDF bonds** declined by **■ 5,761 crs** YOY . RIDF comprised 0.46% of our total assets at March 26 compared to 0.90% at March 25.

**■ Quality of liabilities** at March 26 measured by outflow rate stood at 28.8%, moved adversely. We continue to remain focused on this variable.

**■ QAB CASA** at 37%. We have seen an improvement of 39 bps on CASA pricing for FY26 as compared to FY23. The impact of marginal YOY decline in QAB CASA was offset by rate benefit across parts of the liability stack. The cost of deposits declined 46 bps YOY and 4 bps QOQ.

**■ Our fee income** grew 4% YOY and 8% QoQ.

o Total retail fee grew 2% YOY and 11% QOQ supported by our SBB, SEG, Liabilities and cards businesses

o Total wholesale fee grew 8% YOY . WBCG fees grew 14% YOY , our MEG fees grew 12% YOY . Our Transaction Banking fee grew 5% YOY

**■ Trading profit and miscellaneous income** at negative **■ 538 crs** declined QOQ and YOY mainly due to MTM losses on investments in government securities, bonds & debentures, shares etc.

**■ Operating expenses** for the quarter stood at **■ 10,466 cr**, growing 6% YOY and 9% QoQ. Adjusted for one -time items aggregating Rs 408 crs, the core QoQ growth is 4%. The one time items comprise increase in staff cost is attributable to provisioning for employee benefits Rs 126 crore and one time reversal accruals for staff expenses no longer required to be paid in the previous quarter aggregating to Rs 282 crs

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o The YOY increase in operating expenses is **■ 629 crs**. 36% of this increase is attributable to technology spends, 33% is volume linked expense growth while balance is BAU expense partly offset by reduction in statutory costs.

o The QOQ increase in operating expenses is **■ 830 crs**. Of this Rs 408 crore is due to one time items in staff cost. Our QOQ period end head count declined by 552.

Operating expenses (other than Staff) were up 7% QOQ largely BAU volume linked expense growth offset by PSLC cost reduction.

o Technology and digital spends grew 14% YOY and constituted ~ 10% of total operating expenses.

o We opened 166 new branches in the quarter, 400 new branches in FY26.

**■ We are PSL compliant** at a headline and each sub -segment level.

**■ Net credit costs** for the quarter was **■ 1,146 cr**. Annualized net credit cost for Q4FY26 was 37 bps, declining 13 bps YOY and 39 bps QoQ.

**■ Net credit costs** (excluding technical write off) for the quarter was Rs. 888 cr. Annualized

net credit cost (excluding technical write off) for Q4FY26 was 28 bps, declining 51 bps YOY and 35 bps QoQ.

■ The cumulative non NPA provisions at March 31, 2026 is ■ 15,473 crores, comprising (i) Prudent provisions for standard assets of ■ 7,013 crores; (ii) Restructuring provisions of ■ 197 cr, (iii) standard assets provision at higher than regulatory rates of ■ 1,733 cr, (iv) additional one-time standard asset provision of ■ 1,231 crores and (v) weak assets & other provisions of ■ 5,299 crores.

Growth across our liabilities and loan franchise

Amitabh has already discussed the growth in loans and deposits. We gained 20 bps market share gain on loan franchise and maintained stable market share on a YOY

basis on the deposit

franchise and. Our loan book is granular and well-balanced with retail advances constituting 55% of the overall advances, corporate loans at 33% and CBG at 12%. Please refer slides 22 and 23 for details around the quality of our liabilities franchise and slides on our loan franchise.

~73% of our loans are floating rate. ~48% of our fixed rate book matures in 12 months. Break-up of the floating rate loan book by benchmark type and MCLR re-pricing frequency is set out on Slide 14 of our investor presentation.

In Q4FY26 Retail disbursements grew 24% YOY and 19% QoQ. Disbursement growth in home loans was 28% YOY and 15% QOQ, Vehicle loans was up 25% YOY and 10% QOQ, retail agri was up 34% YOY and 19% QOQ, personal loans was up 22% YOY and 9% QOQ.

Coming to the performance of our subsidiaries

■ Detailed performance of the subsidiaries is set out on Slides 55 to 62 of the investor presentation. In FY26, the domestic subsidiaries reported a net profit of ■ 2,051 cr, growing 16% YOY. The QoQ growth in PAT is 9%. The return on investment in domestic subsidiaries was ~ 54%.

■ Axis Finance :

o Overall assets under finance grew 22% YOY of which share of Retail + MSME at 57% of total book v/s 54% last year.

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o FY26 PAT grew 19% YOY to ■ 806 crores.

o Strong asset quality with net NPA of 0.36% and negligible restructuring.

o Provisions made in the quarter to comply with upper layer regulations is Rs 48 crores

■ Axis AMC: Overall quarterly average AUM grew 12% YOY to ~ ■ 3,59,601 crores, FY26

PAT stood at ■ 596 crores, growing 19% YOY

■ Axis Securities: FY26 PAT stood at ■ 366 crores

■ Axis Capital: FY26 PAT grew 61% YOY to ■ 259 crores

Asset quality, provisioning and restructuring

■ The Slippage, GNPA, NNPA and PCR ratios for the Bank, and segmentally for Retail, CBG and Corporate is provided on slide 47 of our investor presentation.

■ Gross slippages in the quarter were ■ 4,709 cr of which retail was Rs 4,098 cr, CBG was Rs 297 cr and WBCG was Rs 314 Cr.

■ Our Gross slippage ratio for the quarter declined sequentially by 48 bps and declined 27 bps YOY. Our Gross slippage ratio for the quarter (excluding technical impact) declined sequentially by 31 bps and declined YOY by 70 bps.

■ For the quarter ~ 35% of the gross slippages are attributed to linked accounts of borrowers which were standard when classified or have been upgraded in the same quarter.

■ Net slippages in the quarter were ■ 2,013 cr. Net Slippages segmentally were ■ 1,708 cr in Retail, ■ 164 cr in CBG and ■ 141 cr in WBCG.

■ Net slippage ratio for the quarter declined 11 bps YOY and 41 bps QoQ. Our Net slippage ratio for the quarter (excluding technical impact) declined YOY by 18 bps and QoQ by 32 bps.

■ Recoveries from written off accounts for the quarter was ■ 1,197 crores up 28% YOY.

■ Net slippage in the quarter adjusted for recoveries from written off pool was ■ 815 cr.

Segmentally Retail was ■ 1,041 cr, CBG was ■ 93 cr and WBCG was negative ■ 319 cr.

Please see slide 48, 71 and 72 for quantification of Technical Impact across segments. Technical Impact has lost its reporting relevance as it will be in the base period for the next quarters' reporting. Further, the net slippages are down to negligible levels. Hence, we will discontinue this disclosure from Q1FY27.

In summary, Axis Bank continues to make progress towards building a stronger and more sustainable franchise. We remain vigilant in monitoring the macroeconomic and geopolitical environment, inflation, liquidity, and our cost of funds, along with their impact on our business. This concludes our opening remarks. We look forward to your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Chintan from Autonomous. Please go ahead.

Chintan: Hi, go

od evening. Thank you for taking my question. Can I start with NII and NIMs? Could you remind us if there is any day-count convention benefit in your NIMs? Secondly, if the full 25 bps rate cut from December has been passed on your EBLR book? And thirdly, if there's any residual TD repricing left on your book? That's the question on NIMs.

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And then I've got a question on the corporate growth. At 34% year-on-year, you are growing your corporate book meaningfully faster than your peers. What opportunity do you see that others may not be seeing? And also, could you kind of show us in the numbers or qualitatively how this has benefited your ROA or is that still left in the future? Because I know it's NIM-dilutive, but it may not be ROA-dilutive. Just want to understand how do we observe that improvement of metrics, how do we go about analysing that bit of growth.

Puneet Sharma: Chintan, thank you for your questions. I'd probably have to respond in parts. So the first part of your question on have we transmitted the 25 basis points repo rate cut last quarter on our entire loan book? I would request you to look at slide 14 of our investor presentation. The repo-linked book is 61%, so that would have gotten repriced and the full repricing effect would be in the yields for the current quarter because just to remind you, we transfer repo rate pricing at the end of the quarter in which the rate cut was announced. So, this quarter has full impact of repo rate cut on the 61% of the loan book. On the same slide, we've given you tenor-wise breakup on MCLR and other EBLR. So, those will reprice as per the tenors we've set out there. I hope that covers the first question.

The second question on the growth and how is it benefiting us on the corporate side, I'll request Vijay to come in on where he's seeing growth. But I just want to make sure we reassure you, we monitor all of our businesses on risk-adjusted return on capital.

There has been no dilution in risk-adjusted return on capital in the current fiscal compared to what we reported last fiscal for this segment. There has been no dilution in risk standards. 91% of this book is rated A- and above, both on stock and flow roughly follow the same pattern, so we've not gone down the credit curve. I will pause there. I'll request Vijay to come in on growth.

Chintan: Puneet, just quickly on the NII before we go to Vijay, is there a day count convention benefit in your NIMs if you can remind us on that and residual TD repricing left?

Puneet Sharma: Chintan, there is no day-count representation. We simply follow number of days in the quarter annualized for days in a year. So, we have no artificial day-count convention management as part of our reported NIMs.

So, the number of days a quarter has, that is what will get annualized. The government securities book follows a 30 by 360 methodology that is market standard, we follow that for the G-sec book. So, we have no further comment to add on day-count convention. We have consistently reported, we have not changed our methodology on margin computation.

Chintan: And residual TD repricing?

Puneet Sharma: Chintan, we don't provide the data on residual TD repricing in percentage terms, but we do have some legs left on that lever as we move forward.

Chintan: That is helpful. Thank you. Thank you. And Vijay?

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Vijay Mulbagal : Hi, Chintan. See, on the wholesale side, our playbook remains unchanged. We selectively grow and we are not chasing growth here. We invest in sectors with the strongest cycles and clear micro tailwinds.

Incrementally, growth was seen in power, largely renewables, commercial real estate, data centers, NBFCs largely PSL driven, and manufacturing. Again, as Puneet reiterated, I should also add to that that growth remains quality led.

Both our pricing filters and RAROC discipline

are maintained even as we are growing. And of course, we use the opportunity of balance sheet to ensure that we are getting reciprocal transaction flows leading to fee expansion and float

expansion and obviously driving One-Axis outcomes which includes corporate salary, Axis Capital, trusteeship, etc.

Chintan: Thank you.

Moderator: Thank you. Your next question comes from the line of Rikin Shah from IIFL Capital. Please go ahead.

Rikin Shah: Hi, good evening. I had three questions. The first one is, you know, the strategy of NII maximization has translated into growth acceleration, but with the sharp rise in the wholesale deposit rates that we have seen, do you think it warrants a focus moving back to margins? Just trying to understand when do we reach to this 3.8 through the cycle NIM guidance that we have earlier provided? So that's the first one. I'll come back with two questions after this.

Amitabh Chaudhry: I just want to reiterate that, you know, obviously we are trying to ensure that we maximize the value for the institution looking at NIM, growth, and obviously the risk profile of what we are trying to do on the asset side.

We will continue to optimize them as we move forward depending on the opportunities, the risks that we see, and, you know, as all of us are aware what's happening with West Asia. So, you might see in some quarter's growth which is more than what kind of we are guiding in the medium term, but we have always maintained that from a product mix perspective, we expect 70-30, 70% is what is retail and SME kind of business and 30% is wholesale, plus minus 3% or 4% here and there, and that's what we expect to maintain.

We have not shifted away from our stance that we expect to deliver 3.8% NIM through cycle.

We are working towards it. I mean, obviously it's a target not easy to pin down on because the interest rates continue to behave in a manner and in a shape which is really difficult to predict.

Given all of that, we are optimizing everything.

Rikin Shah: Fair enough, Amitabh. But any comment on when do we think this -- we can achieve this 3.8%?

Is it like any timeframe that we would like to define?

Puneet Sharma: Rikin, thank you for the question. We'll reiterate we've said we will get to through cycle 3.80%, 15 to 18 months from transmission of last rate cut. That's a consistent comment we've offered.

We are not moving away from that comment.

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Rikin Shah: Got it. Perfect. The second one is on the net technical slippages now, you know, clearly inching closer to zero. Wanted to get a sense on what could be the loan yield uplift from the absence of this interest reversals due to technical slippages next year? And also, is there a possibility of any recoveries that can be achieved in these technical slippages in the next fiscal?

Puneet Sharma: Thank you for that question, Rikin. I think on technical slippages we'll reiterate. When technical slippages were first reported by us, we made two comments. We said gross slippages will decline through the year and net slippages will decline even faster. I'll request your attention to Slide 48 of our investor presentation. In the first quarter when we reported technical impact, gross slippages were INR2,700 crores, they're down to INR1,240 crores. Net slippages were INR1,861 crores, they're down to INR218 crores. In percentage terms, the net slippages are now 0.07%. Effectively, what we had said and anticipated is playing through. We continue to believe that there should not be an economic loss on this portfolio, we'll be able to recover it over time. We do not want to provide guidance or outlook on when this portfolio will get fully recovered. It's going into BAU and we'll continue to operate it as BAU.

Rikin Shah: Got it. And then just the last question, Puneet, to your earlier

opening remarks that PSL full

compliance has been achieved. So just wanted to clarify whether it is including the PSLC purchases or it is organic ex of those purchases we have achieved full compliance? And also if you could just, you know, quantify the absolute amount of AFS reserves as of the March end?

Puneet Sharma: Rikin, thanks again for that question. PSL compliance at headline and subsegment levels counts PSLC purchased. We are not organically compliant, but that's been a strategy that we have consistently followed. If you look at our annual disclosures, we've endeavoured to be fully compliant, including PSLC purchases. On AFS reserve, INR254 crores is our AFS reserve on a gross basis at 31st March 2026.

Rikin Shah: That's the positive number, right?

Puneet Sharma: It's a negative number.

Rikin Shah: Okay. Thanks.

Moderator: Thank you. Your next question comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Yeah. So again touching upon the same question in terms of NII optimization. Last time we indicated that maybe irrespective of the NIM profile, we will still look at NII growth maybe as our -- maybe the target. And this quarter compared to that of the overall loan growth, it appears to be relatively weak at 1-odd-percent. Would it be fair to assume that maybe larger part of

growth is coming through towards the end of the quarter and we should see the benefit of growth leveraging coming through in the next year?

And for the full year, should we still expect NII to outpace the overall loan growth looking at this NII optimization strategy given that now rates are almost where they are and deposit repricing, as you mentioned, would be towards the end?

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Puneet Sharma: Kunal, thanks for the questions. Let me again respond to them in parts. Business does get booked through the quarter. Quarter 4 is the strongest quarter for the industry as well as us. So yes, there is a gap between MEB growth and average balance growth, which does play through on NII versus growth. Please also appreciate that if you're measuring NII growth in its absolute quarter - on-quarter, there is loan growth number and then there is interest -earning assets growth number. So I would request you to focus on interest -earning assets growth because that plays through NII, not just advances growth. The interest -earning assets growth is marginally lower than loan growth as we stand today. The last element obviously between the loan growth walk and the NII is the two basis points margin contraction that has played through in the current quarter. So that's the bridge to the growth versus NII walk.

To your pointed question on was the growth period -end or will we see the growth sustain and have net interest income from that growth? The book has continued to hold up, so it was not a period -end bump -up for growth that we reported on the advances side. I hope that answers all of your questions. Thank you.

Kunal Shah: Yeah, perfect. And a couple of more. So one is overall in terms of the step -up on the retail side.

So we had seen maybe almost 4 -odd percent growth you indicated the disbursement growth that has been quite strong. So we should really see the step -up now getting into the double -digit kind of a retail growth getting into the next year looking at the disbursement momentum or this was more like a Q4 phenomenon?

And then maybe on fee income side, overall relatively weak across the board including all the private banks in say the single -digit kind of a number. So how should we look at it going forward? Would it continue to trail the balance sheet growth? Thanks.

Munish Sharda: So Kunal, this is Munish. First of all, you know, it's not a Q4 phenomenon. We've shown you last quarter also, we saw a decent acceleration in our disbursement numbers in retail assets and in assets, as Puneet an

d Amitabh told you, we are looking to grow assets in a RAROC accretive businesses and we continue to push for growth in those businesses.

Our investments in technology, digital, etc., we are working with the branches to deepen relationship with our own customers, etc., is helping us accelerate the momentum and we hope to continue to maintain this momentum in the retail asset book which will eventually start feeding into the overall book growth number.

Kunal Shah: Got it. And on fee side?

Munish Sharda: Similarly, you've seen our fee numbers. As the core businesses grow and as our branch business , etc. also grows and with the addition of new branches , we also continue to hope to see acceleration in the fee lines as well as we go into the next year.

Kunal Shah: Okay. Thanks.

Moderator: Thank you. Your next question comes from the line of Abhishek Murarka from HSBC. Please go ahead.

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Abhishek Murarka: Hi. Good evening. Thanks for taking my question. So my first question is again on growth. So now since we are seeing a pretty strong pickup in retail disbursements and SME looks good as well, do you see a need to calibrate your corporate deposit growth just from a RAROC or ROA perspective , that change in mix will drive your P&L and make it look better? So do you see any need to calibrate that corporate deposit growth?

And if not, then do we really care about the 60% retail, 15 SME, 25 corporate kind of mix or does that not really matter because on a RAROC basis you're generating pretty much similar return? So how do we think about this?

Neeraj Gambhir : So on the liability side, I think we are seeing a institutionalization of the deposit base. Obviously as a bank we would like to...

Abhishek Murarka: I meant corporate loans. Sorry, my bad. Yeah, I meant corporate loans. So the whole question was about the loan mix and corporate loans.

Puneet Sharma : Abhishek, thanks for the question. Let me respond to the RAROC question first because that

leads into the second response. See the RAROCs continue to remain healthy for the wholesale business. We can confirm to you that RAROCs that this business had in FY25 have held up through FY26. So growth has not come at the compromise of RAROC.

The book composition at A - and above has stayed at 91%, so we've not seen growth come at the cost of asset quality or origination quality as we speak. The theoretical question that you asked is as long as the RAROCs hold up well, why bother between a mix of wholesale and retail? The challenge is that there is a finite amount of leverage that a financial institution can have to retain its AAA rating. We will need to manage that leverage ratio for ourselves, as while RAROCs are leverage -agnostic, ROEs are leverage -dependent. So as we look to manage the max leverage that we can work with within a capital structure that we are comfortable with, we will need a balanced book.

Therefore our commentary that in the near term we are optimizing for NII with wholesale growth, but we will look to recalibrate the book back. That should hopefully give you a full color of our thinking behind the RAROC, ROE, and book composition.

Abhishek Murarka: Yeah, sure. And by when do you start recalibration? Because it's been a while since retail picked up, but now it seems to have picked up quite strongly.

Subrat Mohanty : So as we speak, the levers in our hand are really the activity levels on the ground on the retail asset side, which is fairly strong, which is reflected in Q -on-Q disbursement growth apart from the year -on-year disbursement growth that you are seeing on the retail asset side. So the recalibration in that sense is continuing and is ongoing. So from our perspective, you'll see the retail book growth continue to happen as we've seen in the last two or three quarters.

And like Amitabh mentioned, the overall ratio

of about 70 -30, give or take 3 % on either side, is

where we'll be. So from our perspective, that's what we are doing. What's in our control is continued focus on making sure that we are in front of the customers and getting the business, Axis Bank Limited

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which you can see on the retail disbursement side is happening and which Munish also reiterated is happening quite strongly.

Abhishek Murarka: Sure. Okay. And the second one is on opex. Can you please clarify? What I got is there's a INR126 crores one -time cost and a INR282 crores reversal, was it? Or it was a cost again?

Puneet Sharma: Abhishek, if you look at my comments last quarter, we did call out that we reversed employee benefit expenses no longer payable last quarter. So in the last quarter, the staff cost went down because of the reversal. In the current quarter, we've provided for INR129 crores. It is not on account of what we reversed, it is basically rate movement for employee benefits.

In one quarter we had a negative, which is the prior quarter, in the current quarter we have a positive, therefore the numbers have moved in opposite directions. The cumulative impact of that as I called out for you was roughly about INR408 crores. Adjusting for that INR408 crores, I had called out the growth numbers on a Q -o-Q basis to be 4%. I hope that clarifies.

Abhishek Murarka: Yeah, sure. Yeah, got it. All right. Thank you so much for answering the questions.

Moderator: Thank you. Our next question comes from the line of MB Mahesh from Kotak Securities. Please go ahead.

MB Mahesh: Puneet, just two questions. One is on that RAROC argument that you presented. Since we can't observe segmental RAROCs for the company and we can kind of see only the ROE side of it, if you were to kind of triangulate and see what the ROEs look like, is it meaningfully lower than a number like 15% or are you targeting for a different number here?

Puneet Sharma: Mahesh, thank you for the question. The aspirational ROE was 18% at the bank level. Given the component outlook we've provided, it's a fair assumption that you can assume that there will be retail /SME ROEs marginally higher than wholesale ROEs. So we don't really want to put a number at a segment level. At the bank level, we continue to aspire for 18% is what we would like to state.

MB Mahesh: Okay. The second question is from the credit cost line. Now that we are seeing slippages trending lower and credit cost trending lower, keeping everything as constant, how do you look at FY27?

Amitabh Chaudhry: Mahesh, Puneet is not going to give you a guidance and I'm not permitted to give you a guidance.

I'll just say that given where we are and given if you look at the trend line and the fact that we have said that we have seen stabilization in some of our portfolios, I mean, you can then stretch that trend line.

I mean, obviously the joker in the pack is how long this West Asia crisis lasts and what impact it has on India, and that's why one of the reasons why we have made this provision just to protect ourselves. But if we ignore West Asia, then you know where the trend line is going. If West Asia crisis continues, frankly I don't know where this trend line will go because it's very difficult to predict at this stage how long, what sectors, how much the impact would be, what India will be able to manage, not able to manage, what the inflation would be, etc., etc.

So we'll be watching the space closely and that's why even if as we have grown in the wholesale side, you will see that from a strategy perspective, we have not sacrificed our asset quality at all. We are very, very careful where we are giving this money out. And same applies to retail. While we are seeing disbursement growth, we've been very, very cautious about while we are growing, we want to be very careful where we grow.

re we grow.

MB Mahesh: All right. Thank you. Just one clarification on the incremental disbursements that you're doing, one of the conversations that we've had previously is that there was significant tightening of the underlying credit filters in the last two years and that was expected to open up as the portfolio starts behaving better over time. Have we reverted back to where we were earlier or are you still kind of comfortable to hold the stance that you're more open to kind of take a bit more risk than before? Thank you.

Puneet Sharma: Mahesh, thank you for the question. The growth that we have delivered on disbursement is without loosening our risk filters as on date. We've clearly been prudent and we don't expect to be loosening our risk filters on a go-forward basis. Sorry, Mahesh, was I audible or did you miss me, please?

MB Mahesh: I got the answer. Thank you.

Moderator: Thank you. Your next question comes from the line of Mahrukh Adajania from Tara Capital. Please go ahead.

Mahrukh Adajania: Hi. Good evening. I just had two questions. You talked about your buffer provision you created this quarter quoting \$150 oil price. So does that mean that if indeed the situation gets worse from here on, you would actually be drawing down on these provisions this year itself because you've not drawn down on your earlier contingency provisions? That's why I'm asking. So that's my first question.

And my second question is that just in terms of deposits, right, deposit taking, basically it's getting a little tight for the sector, though deposit growth for the sector has moved up, loan growth has moved up even faster. So given that dynamic, is there a potential for deposit rates to rise from here? So these are my two questions.

Puneet Sharma: Mahrukh, thank you for the questions. I'll take the first one and then request Neeraj to come in on the second. The way we've constructed the provision is it is not a floating provision. There is an underlying identified pool of loans across customer segments, across products. That identification of pool of loans was done pursuant to a framework our risk team set up for stress testing. So these are an identified set of loans.

On these identified set of loans, we have an additional standard asset provision of INR2,001 crores. In the inadvertent event of loans from this pool slipping, this provision will get utilized to take care of slippages from this pool. So the construct of this provision is very different from the INR 5,012 crores we were holding for expected credit losses. There is a clear utilization against pools that get impacted by the West Asia crisis.

So the short answer to your question is yes, we will draw down on these provisions in the event we see an impact on the P&L in FY27.

Mahrukh Adajania: Okay, but for that does oil have to go to 150 or there's no such thing, it's just that the pool should be impacted?

Puneet Sharma: Mahrukh, look, the 150 comment and I want to contextualize this because you've picked up one part of the comment I made. The comment holistically I made was even if I take the most stress scenario my risk team gave me, the slippages that I would have would stand fully covered from a provisioning perspective by this standard asset provision we've created today.

So I have not at any point in time said that that slippage will happen, asset quality remains stable, but yes, if anything from this pool were to slip related to West Asia crisis, not everything will slip at 150, something may slip at 110. If assets from this pool slip and the slippage is not in the ordinary course of business, this provision will get utilized.

Mahrukh Adajania: Perfect.

Neeraj Gambhir: Mahrukh, to answer your deposit pricing question, I think we are looking at two different markets. One is the retail deposit market and second is the whole

retail or bulk deposit market. In

the retail deposit market, banks reduced the pricing by approximately 10 to 15 basis points in

response to the 25 basis points cut. So to that extent, the transmission was incomplete, but given where the market is, I don't see any further cuts happening.

Second, on the bulk deposit market or wholesale deposit market, it's the usual year -end phenomenon that we see in the last month of the quarter. We see some kind of an uptick in the bulk deposit rates. This time that uptick was a little bit more accentuated because we saw sell - off in the bond market, we saw higher yields in the CD market and that kind of transmitted back into the bulk deposit market as well.

As we transition into this new year, we have seen some softening of bulk deposit rates, but it's a wait and watch. Liquidity in the system is good, but really the question is what happens to the crude oil prices, to the currency, etc., which is what the market is reacting to.

Mahrukh Adajania: Okay. Thank you. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, we take that as our last question for today. I now hand the conference over to Mr. Puneet Sharma for closing remarks.

Puneet Sharma: Thank you, Sagar. Thank you everyone for taking the time this evening. If any questions remain unanswered, please feel free to reach out to Rahul or myself. We'd be happy to take them offline.

Thank you and have a good evening.

Moderator: Thank you. On behalf of Axis Bank, thank you for joining us and you may now disconnect your lines. Thank you.